

In the opinion of Jones Hall, A Professional Law Corporation, San Francisco, California, Bond Counsel, subject, however to certain qualifications described herein, under existing law, the interest on the Bonds is excluded from gross income for federal income tax purposes and such interest is not an item of tax preference for purposes of the federal alternative minimum tax. Interest on the Bonds may be subject to the corporate alternative minimum tax. In the further opinion of Bond Counsel, such interest is exempt from California personal income taxes. See “TAX MATTERS.”

\$82,895,000



CALIFORNIA MUNICIPAL FINANCE AUTHORITY
REVENUE AND REFUNDING BONDS
(ESKATON PROPERTIES, INCORPORATED OBLIGATED GROUP),
SERIES 2024

Dated: Date of Delivery

Due: As shown on inside cover

The \$82,895,000 California Municipal Finance Authority Revenue and Refunding Bonds (Eskaton Properties, Incorporated Obligated Group), Series 2024 (the “Bonds”) will be issued as fully registered bonds in denominations of \$5,000 or any integral multiple thereof and, when delivered, will be registered in the name of Cede & Co., as nominee for The Depository Trust Company, New York, New York (“DTC”). Beneficial owners of Bonds will not receive physical certificates representing the Bonds purchased but will receive a credit balance on the books of the nominees of such purchasers. So long as Cede & Co. is the registered owner of the Bonds, principal of and premium, if any, and interest on the Bonds will be paid by U.S. Bank Trust Company, National Association, as bond trustee, to DTC, which, in turn, will remit such principal, premium, if any, and interest to its participants for subsequent disbursement to the beneficial owners of the Bonds, as described herein. See APPENDIX G — “BOOK-ENTRY SYSTEM” hereto.

Principal of, premium, if any, and interest on the Bonds will be payable solely from and secured by a pledge of payments to be made under the Loan Agreement (as defined herein) by Eskaton Properties, Incorporated, a California nonprofit public benefit corporation (the “Corporation”). The obligation of the Corporation to make such payments under the Loan Agreement is evidenced and secured by the Series 2024 Obligation, issued pursuant to the Master Indenture (each as defined herein), whereunder members of an obligated group (the “Members of the Obligated Group”) are jointly and severally obligated to make payments on the Series 2024 Obligation in an amount sufficient to pay principal of, premium, if any, and interest on the Bonds when due. The Members of the Obligated Group have also executed and delivered Deeds of Trust (as defined herein) naming the Master Trustee as beneficiary to secure the performance of their obligations under the Master Indenture. The sources of payment of, and security for, the Bonds are more fully described in this Official Statement. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS.”

Interest on the Bonds is payable on each May 15 and November 15, commencing November 15, 2024.

The Bonds are subject to optional, mandatory and extraordinary redemption, and purchase in lieu of redemption, prior to maturity as described herein under “THE BONDS — Redemption of the Bonds.”

Maturity Dates, Principal Amounts, Interest Rates, Yields, Prices and CUSIP‡ Numbers on Inside Front Cover

NONE OF THE AUTHORITY, ANY AUTHORITY MEMBER OR ANY PERSON EXECUTING THE BONDS IS LIABLE PERSONALLY ON THE BONDS OR SUBJECT TO ANY PERSONAL LIABILITY OR ACCOUNTABILITY BY REASON OF THEIR ISSUANCE. THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY, PAYABLE SOLELY FROM AND SECURED BY THE PLEDGE OF REVENUES AND OTHER ASSETS UNDER THE BOND INDENTURE (AS HEREIN DEFINED). NEITHER THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA, NOR ANY OF ITS POLITICAL SUBDIVISIONS SHALL BE DIRECTLY, INDIRECTLY, CONTINGENTLY OR MORALLY OBLIGATED TO USE ANY OTHER MONEYS OR ASSETS TO PAY ALL OR ANY PORTION OF THE DEBT SERVICE DUE ON THE BONDS, TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT. THE BONDS ARE NOT A PLEDGE OF THE FAITH AND CREDIT OF THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA OR ANY OF ITS POLITICAL SUBDIVISIONS, NOR DO THEY CONSTITUTE INDEBTEDNESS WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION. THE AUTHORITY HAS NO TAXING POWER.

An investment in the Bonds involves a certain degree of risk related to the nature of the business of the Obligated Group, the regulatory environment, and the provisions of the principal documents. A prospective investor is advised to read this entire Official Statement, including without limitation the information in the sections herein entitled “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS” and “BONDHOLDERS’ RISKS” for a description of the security for the Bonds and for a discussion of certain risk factors that should be considered in connection with an investment in the Bonds and in APPENDIX A — “INFORMATION REGARDING ESKATON PROPERTIES, INCORPORATED OBLIGATED GROUP” and APPENDIX H — “FINANCIAL FEASIBILITY REPORT” for further details about the financial condition and operations of the Obligated Group.

This cover page contains certain information for general reference only. It is not intended to be a summary of the security or terms of the Bonds. Investors should read the entire Official Statement to obtain information essential to the making of an informed investment decision.

The Bonds are offered when, as and if received by the Underwriter, subject to prior sale, to withdrawal or modification of the offer without notice, and to the approval of the validity of the Bonds and certain other legal matters by Jones Hall, a Professional Law Corporation, Bond Counsel; the approval of certain matters for the Authority by its counsel, Jones Hall, a Professional Law Corporation; and the approval of certain matters for the Obligated Group by its counsel, Hefner Law. Certain legal matters will be passed upon for the Underwriter by Chapman and Cutler LLP. It is expected that the Bonds in book-entry form will be available for delivery through the facilities of DTC on or about September 19, 2024.



Date: September 4, 2024

† For an explanation of the rating, see “Rating” herein.

‡ A registered trademark of The American Bankers Association. CUSIP data is provided by CUSIP Global Services (“CGS”) managed on behalf of the American Bankers Association by FactSet Research Systems Inc. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. CUSIP numbers are provided for convenience of reference and none of the Authority, the Corporation or the Underwriter take responsibility for the accuracy of such data.

\$82,895,000
CALIFORNIA MUNICIPAL FINANCE AUTHORITY
REVENUE AND REFUNDING BONDS
(ESKATON PROPERTIES, INCORPORATED OBLIGATED GROUP), SERIES 2024

MATURITY DATE (NOVEMBER 15)	PRINCIPAL AMOUNT	INTEREST RATE (%)	YIELD (%)	PRICE	CUSIP [†]
2024	\$1,210,000	5.000	2.950	100.309	13048VX86
2025	2,470,000	5.000	3.000	102.250	13048VX94
2026	2,595,000	5.000	2.870	104.417	13048VY28
2027	2,725,000	5.000	2.910	106.254	13048VY36
2028	2,860,000	5.000	2.930	108.039	13048VY44
2029	3,000,000	5.000	2.950	109.734	13048VY51
2030	3,155,000	5.000	3.030	110.983	13048VY69
2031	3,310,000	5.000	3.120	111.969	13048VY77
2032	3,475,000	5.000	3.220	112.673	13048VY85
2033	3,650,000	5.000	3.280	113.263 ^C	13048VY93
2034	3,830,000	5.000	3.330	112.919 ^C	13048VZ27
2035	4,025,000	5.000	3.410	112.371 ^C	13048VZ35
2036	4,225,000	5.000	3.490	111.826 ^C	13048VZ43
2037	4,435,000	5.000	3.520	111.622 ^C	13048VZ50
2038	4,660,000	5.000	3.570	111.284 ^C	13048VZ68
2039	4,895,000	5.000	3.680	110.544 ^C	13048VZ76
2040	5,135,000	5.000	3.780	109.876 ^C	13048VZ84

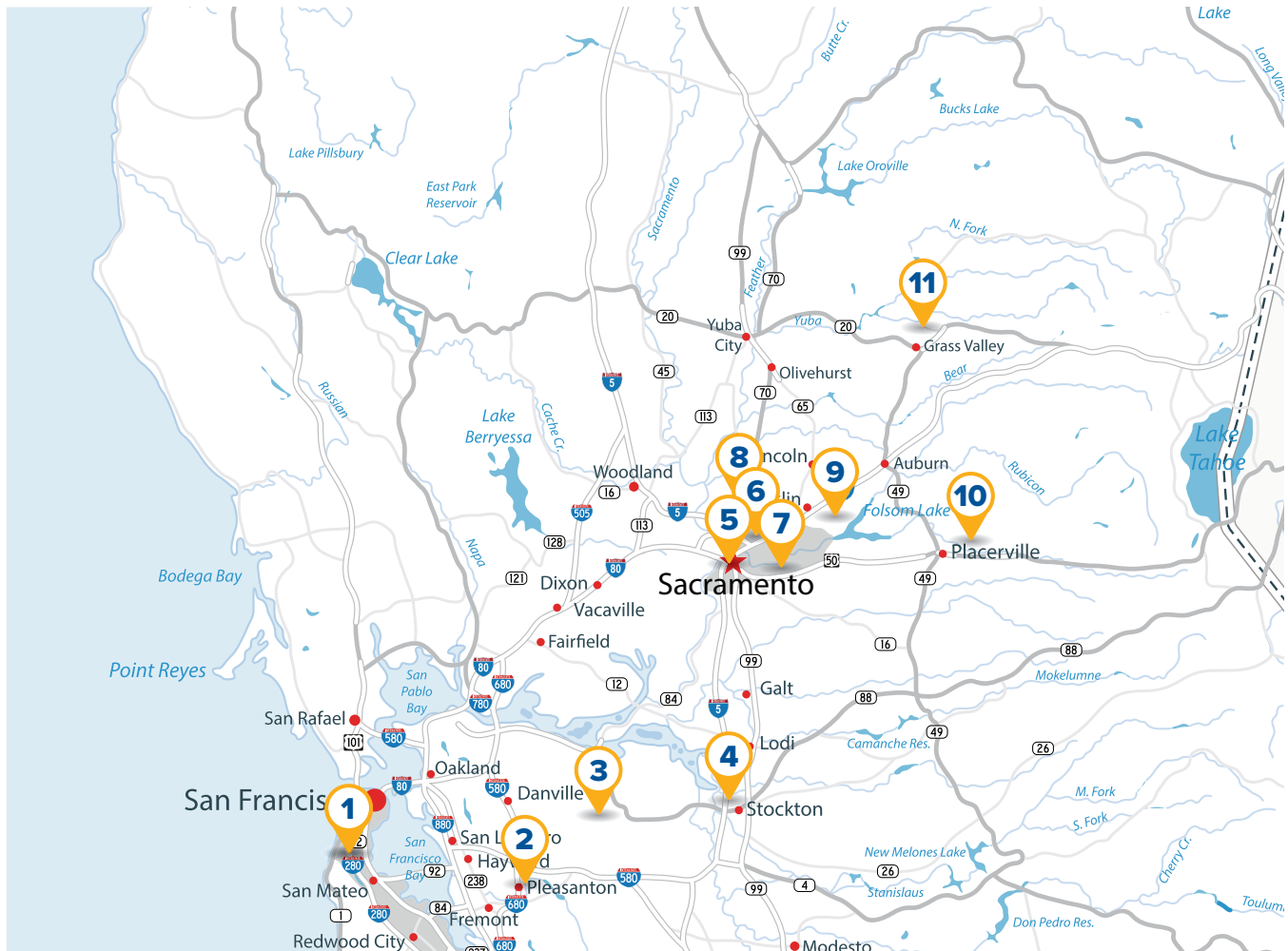
\$23,240,000 5.000% Term Bonds due November 15, 2044 Priced 107.840^{CC} to yield 4.050%
CUSIP[†]: 13048VZ92

[†] A registered trademark of The American Bankers Association. CUSIP data is provided by CUSIP Global Services ("CGS") managed on behalf of the American Bankers Association by FactSet Research Systems Inc. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. CUSIP numbers are provided for convenience of reference and none of the Authority, the Corporation or the Underwriter take responsibility for the accuracy of such data.

^C Priced to the first optional redemption date of November 15, 2031.

^{CC} Priced to the par call date of November 15, 2034.

ESKATON®



1. **The Trousdale – Burlingame**
2. **The Parkview – Pleasanton**
3. **The Reutlinger – Danville**
4. **O'Connor Woods – Stockton**
5. **Eskaton Land Park***
6. **Eskaton Village Carmichael***
7. **Eskaton Gold River***
8. **Eskaton Village Roseville***
9. **Eskaton Granite Bay**
10. **Eskaton Village Placerville**
11. **Eskaton Village Grass Valley***

Obligated Group Community*

Non-obligated Community

Managed Community

ESKATON®



Eskaton Land Park



Eskaton Village Grass Valley



Eskaton Village Carmichael



Eskaton Gold River



Eskaton Village Roseville

This Official Statement does not constitute an offer to sell the Bonds or the solicitation of an offer to buy, nor shall there be any sale of the Bonds by any person in any state or other jurisdiction to any person to whom it is unlawful to make such offer, solicitation or sale in such state or jurisdiction. No dealer, salesperson or any other person has been authorized to give any information or to make any representation other than those contained herein in connection with the offering of the Bonds, and, if given or made, such information or representation must not be relied upon.

The information relating to the Authority set forth herein under the captions “THE AUTHORITY” and “LITIGATION—The Authority” has been furnished by the Authority. The Authority does not warrant the accuracy of the statements contained herein relating to the Obligated Group nor does it directly or indirectly guarantee, endorse or warrant (1) the creditworthiness or credit standing of the Obligated Group, (2) the sufficiency of the security for the Bonds or (3) the value or investment quality of the Bonds. The Authority makes no representations or warranties whatsoever with respect to any information contained herein except for the information under the sections entitled “THE AUTHORITY” and “LITIGATION—The Authority.” The information relating to DTC and the book-entry system set forth herein under the captions “THE BONDS—Description of the Bonds” and in APPENDIX G hereto has been furnished by DTC. Such information is believed to be reliable but is not guaranteed as to accuracy or completeness and is not to be construed as a representation by the Underwriter or the Corporation. All other information set forth herein has been obtained from the Obligated Group and other sources that are believed to be reliable, but the information herein, other than that described as being provided by the Authority in the first sentence of this paragraph, is not guaranteed as to accuracy or completeness and is not to be construed as a representation by the Underwriter or the Authority. The information and expressions of opinion herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale of the Bonds made hereunder shall create under any circumstances any indication that there has been no change in the affairs of the Authority, the Obligated Group or DTC since the date hereof. The Underwriter has provided the following sentence for inclusion in this Official Statement. The Underwriter has reviewed the information in this Official Statement in accordance with and as part of its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information. This Official Statement is submitted in connection with the issuance of securities referred to herein and may not be used, in whole or in part, for any other purpose.

THE BONDS HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED, AND NEITHER THE BOND INDENTURE NOR THE MASTER INDENTURE HAS BEEN QUALIFIED UNDER THE TRUST INDENTURE ACT OF 1939, AS AMENDED, IN RELIANCE UPON EXEMPTIONS CONTAINED IN SUCH ACTS. THE REGISTRATION OR QUALIFICATION OF THE BONDS IN ACCORDANCE WITH APPLICABLE PROVISIONS OF LAWS OF THE STATES IN WHICH BONDS HAVE BEEN REGISTERED OR QUALIFIED AND THE EXEMPTION FROM REGISTRATION OR QUALIFICATION IN OTHER STATES CANNOT BE REGARDED AS A RECOMMENDATION THEREOF. NEITHER THE AUTHORITY, THE STATE OF CALIFORNIA, NOR ANY POLITICAL SUBDIVISION THEREOF PASSED UPON THE MERITS OF THE BONDS OR THE ACCURACY OR COMPLETENESS OF THIS OFFICIAL STATEMENT. ANY REPRESENTATION TO THE CONTRARY MAY BE A CRIMINAL OFFENSE.

This Official Statement should be reviewed by each prospective purchaser and its legal, regulatory, tax, accounting, investment and other advisors. Investors whose investment authority is subject to legal restrictions should consult their own legal advisors to determine whether and to what extent the Bonds constitute a legal investment for them. In making any investment decision, investors must rely on their own examination of the Bond Indenture, the Loan Agreement, the Master Indenture, the Series 2024 Obligation, the Deeds of Trust and related documents and the terms of the Bonds, including the risks involved.

IN CONNECTION WITH THE OFFERING OF THE BONDS, THE UNDERWRITER MAY OVERALLOT OR EFFECT TRANSACTIONS THAT STABILIZE OR MAINTAIN THE MARKET PRICE OF THE BONDS OFFERED HEREBY AT LEVELS ABOVE THAT WHICH OTHERWISE MIGHT PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME.

CAUTIONARY STATEMENTS REGARDING
FORWARD-LOOKING STATEMENTS IN
THIS OFFICIAL STATEMENT

Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements.” Such statements generally are identifiable by the terminology used, such as “plan,” “expect,” “estimate,” “budget” or other similar words. Such forward-looking statements include but are not limited to certain statements contained in the information under the captions “PLAN OF FINANCING” and “BONDHOLDERS’ RISKS” in the forepart of this Official Statement and the statements contained under the caption “MANAGEMENT’S DISCUSSION AND ANALYSIS” in APPENDIX A — “INFORMATION

REGARDING ESKATON PROPERTIES, INCORPORATED OBLIGATED GROUP” and APPENDIX H — “FINANCIAL FEASIBILITY REPORT” to this Official Statement. The achievement of certain results or other expectations contained in such forward-looking statements involve known and unknown risks, uncertainties and other factors that may cause actual results, performance or achievements described to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. The Corporation does not plan to issue any updates or revisions to those forward-looking statements if or when its expectations or events, conditions or circumstances on which such statements are based occur or do not occur.

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OFFICIAL STATEMENT

\$82,895,000

**CALIFORNIA MUNICIPAL FINANCE AUTHORITY
REVENUE AND REFUNDING BONDS
(ESKATON PROPERTIES, INCORPORATED OBLIGATED GROUP), SERIES 2024**

INTRODUCTORY STATEMENT

The following introductory statement is subject in all respects to the more complete information set forth in this Official Statement. The descriptions and summaries of various documents hereinafter set forth do not purport to be comprehensive or definitive and are qualified in their entirety by reference to each document. All capitalized terms used in this Official Statement and not otherwise defined herein have the same meaning as in the Bond Indenture or the Master Indenture (each as defined herein), as applicable. See APPENDIX C and APPENDIX D hereto. This Official Statement speaks only as of its date, and the information contained herein is subject to change.

PURPOSE OF THIS OFFICIAL STATEMENT

This Official Statement, including the cover page and the appendices hereto, is provided to furnish information in connection with the sale and delivery of \$82,895,000 aggregate principal amount of California Municipal Finance Authority Revenue and Refunding Bonds (Eskaton Properties, Incorporated Obligated Group), Series 2024 (the “*Bonds*”). The Bonds will be issued under the JPA Act (as defined herein), and pursuant to and secured by a Bond Trust Indenture, dated as of September 1, 2024 (the “*Bond Indenture*”), between the California Municipal Finance Authority (the “*Authority*”) and U.S. Bank Trust Company, National Association, as bond trustee (the “*Bond Trustee*”). The Authority will loan the proceeds of the Bonds to Eskaton Properties, Incorporated, a California nonprofit public benefit corporation (the “*Corporation*”), which loan will be evidenced by a Loan Agreement, dated as of September 1, 2024 (the “*Loan Agreement*”), between the Authority and the Corporation.

The Corporation will use the proceeds of the Bonds, together with other available funds, to (i) finance the costs of capital expenditures at certain communities owned and operated by the hereinafter described Members of the Obligated Group; (ii) refund the outstanding principal amount of the California Statewide Communities Development Authority Revenue Refunding Bonds (Eskaton Properties, Incorporated Obligated Group), Series 2012 (the “*Series 2012 Bonds*”), \$25,590,000 of which are currently outstanding; (iii) refund the outstanding principal amount of the ABAG Finance Authority for Nonprofit Corporations Revenue Refunding Bonds (Eskaton Properties, Incorporated Obligated Group), Series 2013 (the “*Series 2013 Bonds*”), \$36,590,000 of which are currently outstanding; (iv) refund the outstanding principal amount of the Authority’s Revenue and Refunding Bonds, Series 2022 (Eskaton Properties, Incorporated) (the “*Series 2022 Bonds*” and, together with the Series 2012 Bonds and the Series 2013 Bonds, the “*Prior Bonds*”), \$16,805,063 of which are currently outstanding; (v) pay a swap termination payment; and (vi) pay certain costs incurred in connection with the issuance of the Bonds and the refunding of the Prior Bonds. See “PLAN OF FINANCING” and “ESTIMATED SOURCES AND USES OF FUNDS” herein.

THE AUTHORITY

For a description of the Authority, see “THE AUTHORITY” herein.

THE OBLIGATED GROUP

The Corporation is a California nonprofit public benefit corporation that, among other activities, owns and operates three retirement communities – Eskaton Village Carmichael in Carmichael, California, Eskaton Land Park in Sacramento, California and Eskaton Gold River in Gold River, California. Eskaton Village-Grass Valley (“*Eskaton-Grass Valley*”) is a California nonprofit public benefit corporation that owns and operates a retirement community in Grass Valley, California. Eskaton Village-Roseville (“*Eskaton-Roseville*”) is a California nonprofit public benefit corporation that owns and operates a retirement community in Roseville, California. The communities operated by the Corporation, Eskaton-Grass Valley and Eskaton-Roseville are referred to herein as the “*Communities*.”

Eskaton (the “*Parent*”) is a California nonprofit public benefit corporation and is the sole corporate member of the Corporation, Eskaton-Grass Valley and Eskaton-Roseville. The Parent and its related subsidiaries own or manage 25 senior housing communities with living options that include independent living, assisted living, memory care and affordable housing.

As of the date of this Official Statement, the Corporation, Eskaton-Grass Valley and Eskaton-Roseville are the only members of the Obligated Group under the Master Indenture (the “*Obligated Group*”) as described below. Neither the Parent, any of its affiliates nor any of its managed communities, other than the Corporation, Eskaton-Grass Valley and Eskaton-Roseville, is obligated with respect to the Bonds and the hereinafter described Series 2024 Obligation.

Together, the Corporation, Eskaton-Grass Valley and Eskaton-Roseville (excluding discontinued healthcare operations) represented approximately 64.7% and 65.8% of the total assets of the Parent and its subsidiaries as of December 31, 2022 and 2023, respectively, and approximately 65.1% and 62.7% of the operating revenues of the Parent and its subsidiaries for fiscal years 2022 and 2023, respectively.

Each member of the Obligated Group is exempt from federal income taxation under Section 501(a) of the Internal Revenue Code of 1986, as amended (the “*Code*”), as an organization described in Section 501(c)(3) of the Code. For additional information regarding the Obligated Group, see APPENDIX A — “INFORMATION REGARDING ESKATON PROPERTIES, INCORPORATED OBLIGATED GROUP” and APPENDIX B — “AUDITED FINANCIAL STATEMENTS OF ESKATON PROPERTIES, INCORPORATED AND SUBSIDIARIES AS OF AND FOR THE FISCAL YEARS ENDED DECEMBER 31, 2022 AND 2023.” Also see APPENDIX H — “FINANCIAL FEASIBILITY REPORT” for more information.

THE OBLIGATED GROUP AND THE MASTER INDENTURE

At the time of issuance of the Bonds, the Corporation, Eskaton-Grass Valley and Eskaton-Roseville will be the only Members of an Obligated Group created under the Amended and Restated Master Trust Indenture dated as of September 1, 2024 (the “*Restated Master Indenture*”) among the Corporation, Eskaton-Grass Valley and Eskaton-Roseville and U.S. Bank Trust Company, National Association, as master trustee (the “*Master Trustee*”). The Restated Master Indenture amends and restates the Master Trust Indenture dated as of July 1, 1999, as supplemented and amended prior to the date of issuance of the Bonds (the “*Existing Master Indenture*”), between the Corporation and The Bank of New York Mellon Trust Company, N.A. The Corporation, Eskaton-Grass Valley and Eskaton-Roseville and any future Members of the Obligated Group will be jointly and severally liable for all Obligations issued pursuant to the Master Indenture (as defined below), including the Series 2024 Obligation (as defined below) securing the Bonds.

To evidence the Corporation's obligation under the Loan Agreement to pay the principal of and interest on the Bonds when due, the Corporation, as Obligated Group Representative, will issue the Eskaton Properties, Incorporated Obligated Group Obligation No. 1 (the "*Series 2024 Obligation*") in the original principal amount of \$82,895,000, pursuant to the First Supplemental Master Trust Indenture dated as of September 1, 2024 (the "*First Supplemental Master Indenture*" and, together with the Restated Master Indenture, the "*Master Indenture*") between the Corporation, as Obligated Group Representative, and the Master Trustee, supplementing and amending the Restated Master Indenture. The Series 2024 Obligation will evidence the Corporation's obligation under the Loan Agreement to pay principal of, premium, if any, and interest on the Bonds when due.

The Corporation previously issued its Obligation No. 19 in the original principal amount of \$38,695,000 pursuant to the Existing Master Indenture to evidence the Corporation's obligation to pay principal, premium and interest on the Series 2012 Bonds. Obligation No. 19 will be canceled upon the refunding of the Series 2012 Bonds.

The Corporation previously issued its Obligation No. 22 in the original principal amount of \$51,875,000 pursuant to the Existing Master Indenture to evidence the Corporation's obligation to pay principal, premium and interest on the Series 2013 Bonds. Obligation No. 22 will be canceled upon the refunding of the Series 2013 Bonds.

The Corporation previously issued its Obligation No. 26 in the original principal amount of \$24,109,000 pursuant to the Existing Master Indenture to evidence the Corporation's obligation to pay principal, premium and interest on the Series 2022 Bonds. The Corporation also issued its Obligation No. 27 pursuant to the Original Master Indenture to evidence the Corporation's obligations under the covenant agreement delivered to the purchaser of the Series 2022 Bonds. Obligation No. 26 and Obligation No. 27 will be canceled upon the refunding of the Series 2022 Bonds.

Upon the issuance of the Bonds and the refunding of the Prior Bonds, the Series 2024 Obligation will be the only Obligation outstanding under the Master Indenture.

The Corporation, Eskaton-Grass Valley and Eskaton-Roseville are currently the only Members of the Obligated Group, and the Corporation does not currently have plans to add additional Members to the Obligated Group. Neither the Parent, any of its affiliates nor any of its managed communities, other than the Corporation, Eskaton-Grass Valley and Eskaton-Roseville is obligated with respect to the Bonds and the Series 2024 Obligation.

The Series 2024 Obligation and all Obligations issued under the Master Indenture will be general obligations of the Members of the Obligated Group and will be secured by (i) a security interest in the Gross Revenues of the Obligated Group (as described below) granted pursuant to the Master Indenture and (ii) a security interest in the Mortgaged Property (as described below) pursuant to the hereinafter described Deeds of Trust.

For more information about the Obligated Group, see APPENDIX A — "INFORMATION REGARDING ESKATON PROPERTIES, INCORPORATED OBLIGATED GROUP" and APPENDIX B — "AUDITED FINANCIAL STATEMENTS OF ESKATON PROPERTIES, INCORPORATED AND SUBSIDIARIES AS OF AND FOR THE FISCAL YEARS ENDED DECEMBER 31, 2022 AND 2023." Also see APPENDIX H — "FINANCIAL FEASIBILITY REPORT" for more information. For more information about the Series 2024 Obligation and the Master Indenture, see "SECURITY AND SOURCE OF PAYMENT FOR THE BONDS" and "SUMMARY OF MASTER INDENTURE AND DEEDS OF TRUST" in APPENDIX C hereto.

SECURITY FOR THE BONDS

The Bonds are limited obligations of the Authority payable solely from payments made by the Corporation under the Loan Agreement, from payments made by the Obligated Group on the Series 2024 Obligation and from amounts held by the Bond Trustee under the Bond Indenture (other than the Rebate Fund). In the Loan Agreement, the Corporation agrees to make payments to the Bond Trustee, which payments, in the aggregate, are required to be in an amount sufficient for the payment in full of all amounts payable with respect to the Bonds, including the total interest payable on the Bonds to the respective dates of maturity of the Bonds or earlier redemption, the principal (or redemption price) of the Bonds, less any amounts available for such payment as provided in the Bond Indenture. The Bonds are otherwise payable from investment earnings and proceeds of insurance or condemnation awards, each in the manner and to the extent set forth in the Bond Indenture. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS.”

The Authority will pledge and assign certain of its rights under the Loan Agreement and the Series 2024 Obligation to the Bond Trustee as security for the Bonds. The Series 2024 Obligation will entitle the Bond Trustee, as the holder thereof, to the protection of the covenants, restrictions and other obligations imposed by the Master Indenture upon the Members of the Obligated Group and any other Person that may become a Member of the Obligated Group in the future. The obligations to make payments on the Series 2024 Obligation are absolute and unconditional, joint and several obligations of the Corporation, Eskaton-Grass Valley, Eskaton-Roseville and the future Members of the Obligated Group, if any.

ADDITIONAL OBLIGATIONS AND ADDITIONAL INDEBTEDNESS

In certain circumstances, the Members of the Obligated Group (including any future Member of the Obligated Group) may issue Additional Indebtedness (including Guaranties), which may, but need not, be evidenced or secured by an additional Obligation issued under the Master Indenture that will be equally and ratably secured with the Series 2024 Obligation, or that may be entitled to the benefit of security in addition to that securing the Series 2024 Obligation, which security need not be extended to any other Obligations. The Master Indenture requires that the Obligated Group meet certain operating and financial tests prior to issuing new indebtedness or entering in certain other transactions. See “CERTAIN COVENANTS OF THE OBLIGATED GROUP UNDER THE MASTER INDENTURE — Limitations on Additional Indebtedness and on Encumbrances” below and “SUMMARY OF MASTER INDENTURE AND DEEDS OF TRUST — Limitations on Additional Indebtedness” and “Limitations on Encumbrances” in APPENDIX C hereto.

CONTINUING DISCLOSURE

The Corporation, on behalf of the Obligated Group, will enter into an undertaking (the “*Continuing Disclosure Agreement*”) for the benefit of the Bondholders to provide certain information and to provide notice of certain events to the Municipal Securities Rulemaking Board (the “*MSRB*”) on its Electronic Municipal Market Access System (“*EMMA*”). For further information, see “CONTINUING DISCLOSURE” herein. See also APPENDIX E — “FORM OF CONTINUING DISCLOSURE AGREEMENT.” The Authority has not made and will not make any provision to provide any annual financial statements or other credit information of the Authority or the Obligated Group to investors on a periodic basis.

BONDHOLDERS' RISKS

There are risks associated with the purchase of the Bonds. For a discussion of certain of these risks, see "BONDHOLDERS' RISKS" herein. A prospective owner is advised to read this Official Statement for a discussion of certain risks to Bondholders, which should be considered in connection with an investment in the Bonds. Among other things, careful evaluation should be made of management's assumptions and rationale described in the Financial Feasibility Report and certain factors that may adversely affect the ability of the Obligated Group to generate sufficient revenues to pay expenses of operation, including the principal of, premium, if any, and interest on the Bonds. Careful consideration should be given to these risks and other risks described elsewhere in this Official Statement.

THE AUTHORITY

Under Title 1, Division 7, Chapter 5 of the California Government Code (the "*JPA Act*"), certain California cities, counties and special districts have entered into a joint exercise of powers agreement (the "*JPA Agreement*") forming the Authority for the purpose of exercising the powers common to the members and exercising the additional powers granted to the Authority by the JPA Act and any other applicable provisions of California law. Under the JPA Agreement, the Authority may issue bonds, notes or any other evidence of indebtedness, for any purpose or activity permitted under the JPA Act or any other applicable law.

The Authority may sell and deliver obligations other than the Bonds. These obligations will be secured by instruments separate and apart from the Bond Indenture, the Loan Agreement, the Master Indenture and the Deeds of Trust, and the holders of such other obligations of the Authority will have no claim on the security for the Bonds. Likewise, the Holders of the Bonds will have no claim on the security for such other obligations that may be issued by the Authority.

Neither the Authority nor its independent contractors has furnished, reviewed, investigated or verified the information contained in this Official Statement other than the information contained in this section and the section entitled "LITIGATION — The Authority." The Authority does not and will not in the future monitor the financial condition of the Obligated Group or otherwise monitor payment of the Bonds or compliance with the documents relating thereto. Any commitment or obligation for continuing disclosure with respect to the Bonds or the Obligated Group has been undertaken solely by the Corporation. See "CONTINUING DISCLOSURE" herein.

In connection with the issuance of the Bonds, some or all of the fees or other compensation payable to the Authority, the Authority's financial advisor, Sierra Management Group, LLC, and certain other professionals involved with the offering of the Bonds, is contingent upon the issuance and delivery of the Bonds.

THE BONDS

The following is a summary of certain provisions of the Bonds. Reference is made to the Bonds and to the Bond Indenture for a more detailed description of such provisions. The discussion herein is qualified by such reference. See APPENDIX D — "SUMMARY OF BOND INDENTURE AND LOAN AGREEMENT."

GENERAL

The Bonds will be issued as fully-registered bonds without coupons and will be dated the date of initial delivery. The Bonds will initially be made available to beneficial owners in book-entry form only, in denominations of \$5,000 and any integral multiple thereof (“*Authorized Denominations*”). Interest on the Bonds will be payable on each May 15 and November 15 (each May 15 or November 15 while the Bonds are outstanding an “*Interest Payment Date*”), commencing November 15, 2024. Interest on the Bonds shall be computed upon the basis of a 360-day year consisting of twelve 30-day months. The Bonds will be subject to redemption prior to maturity, as more fully described herein.

Beneficial owners of the Bonds will not receive certificates representing their interests in the Bonds, except as described below. So long as Cede & Co., as nominee of DTC, is the registered owner of the Bonds, the principal thereof and the interest thereon are payable by the Bond Trustee to DTC, which, in turn, will remit such amounts to DTC’s participants for subsequent disbursement to the beneficial owners. Purchasers of such interests will not receive certificates representing their interests in the Bonds except in the event that use of the book-entry system for the Bonds is discontinued as described below. For a description of the method of payment of the principal of, premium, if any, and interest on the Bonds or the redemption price of any Bonds and matters pertaining to transfers and exchanges while in the book-entry system, see the information in APPENDIX G — “BOOK-ENTRY SYSTEM.”

In the event the book-entry system is discontinued, the following provisions would apply. The principal or redemption price of the Bonds shall be payable in lawful money of the United States of America at the Principal Corporate Trust Office of the Bond Trustee to the registered owner or owners of the Bonds on such date. Payment of the interest on any Bond shall be made on each Interest Payment Date to the person whose name appears on the bond registration books of the Bond Trustee as of the Record Date for each such Interest Payment Date by check mailed by first-class mail on each Interest Payment Date to such registered owner at his address as it appears on the registration books maintained by the Bond Trustee or, upon the written request of any registered owner of at least \$1,000,000 in principal amount of Bonds, submitted to the Bond Trustee prior to the Record Date, by wire transfer in immediately available funds to an account within the United States. “*Record Date*” means the first day (whether or not a Business Day) of the month of each Interest Payment Date.

REDEMPTION OF THE BONDS

Optional Redemption. The Bonds maturing on or after November 15, 2032, are subject to redemption prior to their stated maturity on or after November 15, 2031 by the Authority, at the direction of the Corporation, in whole or in part by lot on any date (and if in part, in such order of maturity as the Corporation shall specify or if the Corporation fails to designate such maturities, in inverse order of maturity and within a maturity by lot) at the redemption prices (expressed as percentages of principal amount being redeemed) set forth in the following table together with interest accrued thereon to the date fixed for redemption.

<u>Redemption Dates</u>	<u>Redemption Prices</u>
November 15, 2031 through November 14, 2032	103%
November 15, 2032 through November 14, 2033	102
November 15, 2033 through November 14, 2034	101
November 15, 2034 and thereafter	100

Extraordinary Redemption. The Bonds are also subject to redemption prior to their respective maturity dates as a whole or in part by lot on any date designated by the Corporation at the option of the Authority (which shall be exercised as directed by the Corporation) from moneys required to be applied to the repayment of the Series 2024 Obligation pursuant to the provisions of the Master Indenture relating to the application of insurance proceeds and condemnation awards as a result of damage to, destruction or condemnation of or taking under the power of eminent domain of any of the Facilities of the Obligated Group, at a redemption price equal to the principal amount of the Bonds to be redeemed plus interest accrued with respect thereto to the date fixed for redemption, without premium.

If called for redemption in the events referred to above, such Bonds shall be subject to redemption by the Authority at the direction of the Corporation at any time, in whole or in part, and if in part by maturities and portions of the Bonds designated by the Corporation or, if not so designated, in inverse order of maturity (less than all of a single maturity to be selected by lot using such method as may be designated by the Bond Trustee), at the principal amount thereof plus accrued interest to the redemption date and without premium; *provided, however*, that in no event shall the principal amount of Bonds so redeemed exceed the amount of such net proceeds.

Redemption from Unspent Proceeds. The Bonds are subject to redemption prior to their respective stated maturity dates, at the option of the Authority (which option shall be exercised as directed by the Corporation), in whole, or in part by lot (in such amounts and of such maturities as may be specified by the Corporation, or if the Corporation fails to designate such maturities, in inverse order of maturity, and by lot within a maturity), on any date, upon 25 days prior written notice to the Bond Trustee from the Corporation, from unspent proceeds of the Bonds, at a redemption price equal to the principal amount of the Bonds called for redemption, plus unamortized original issue premium, if any, plus interest accrued thereon to the date fixed for redemption.

Mandatory Redemption. The Bonds maturing on November 15, 2044, are subject to redemption in part prior to their stated maturity. The Bonds are subject to mandatory Bond Sinking Fund redemption prior to maturity, and payable at maturity, in the following amounts on the following dates, at the principal amounts specified below plus accrued interest to the date fixed for redemption, without premium:

Bonds Due November 15, 2044

YEAR (NOVEMBER 15)	PRINCIPAL AMOUNT
2041	\$5,395,000
2042	5,660,000
2043	5,945,000
2044 [†]	6,240,000

[†] Maturity

Purchase in Lieu of Redemption. In lieu of redeeming Bonds, the Bond Trustee may, at the request of the Corporation, use such funds otherwise available under the Bond Indenture for redemption of Bonds to purchase Bonds identified by the Corporation in the open market for cancellation at a price specified by the Corporation not exceeding the then applicable redemption price. In the case of any optional or extraordinary optional redemption or any purchase and cancellation of term Bonds, the Bond Trustee shall apply as a credit against the required Bond Sinking Fund deposits with respect to such term

Bonds the amount of such term Bonds in such order as the Corporation elects in writing prior to such optional or extraordinary optional redemption or purchase and cancellation or, if no election is made, in the inverse order thereof. The Bond Trustee is required to cancel all such Bonds purchased pursuant to the provisions of the Bond Indenture described in this paragraph.

Minimum Redemption Amount. No redemption of less than all of the Bonds at the time outstanding shall be made pursuant to the provisions of the Bond Indenture described under the subheadings “Optional Redemption” and “Extraordinary Optional Redemption” unless (i) the aggregate principal amount of such Bonds to be redeemed is equal to or greater than \$5,000 and (ii) the Bonds are redeemed in Authorized Denominations.

Notice of Redemption. For a description of the giving of notices to beneficial owners while the Bonds are in the book-entry system, see APPENDIX G — “BOOK-ENTRY SYSTEM.” Notice of a call for any redemption shall be given by mailing a copy of such notice of redemption by first class mail, postage prepaid not less than 20 or more than 60 days prior to the redemption date to the registered owners of the Bonds to be redeemed to the address shown on the Bond Register, to the Authority and to each Rating Agency then rating the Bonds; *provided, however*, that failure to give such notice by mailing or to provide such notice to any registered securities depository or a defect in the notice or the mailing as to any Bond will not affect the validity of any proceedings for redemption as to any other Bond with respect to which notice was properly given to the holder thereof. Except for a mandatory Bond Sinking Fund redemption as described above, prior to the date that the redemption notice is first mailed as aforesaid, (a) funds shall be placed with the Bond Trustee to pay the principal of such Bonds, the accrued and unpaid interest thereon to the redemption date and the premium, if any, thereon, or (b) such notice of redemption shall state that any redemption is conditional on such funds being deposited with the Bond Trustee on the redemption date and that failure to make such a deposit shall not constitute an event of default under the Bond Indenture.

If such conditions are not satisfied or such funds are not so deposited by such date, such Bonds shall not be subject to redemption and the holders thereof shall have the same rights as if no such notice had been given. In such event, the Bond Trustee shall promptly give notice thereof to the owners of such Bonds by first class mail, postage prepaid.

REGISTRATION, TRANSFER AND EXCHANGE

For a description of the procedure to transfer beneficial ownership of a Bond while in the book-entry system, see APPENDIX G — “BOOK-ENTRY SYSTEM.” Subject to the limitations described below, the Bonds, if not then in book-entry only registration, are transferable upon surrender thereof at the Principal Office of the Bond Trustee, duly endorsed by, or if accompanied by a written instrument or instruments of transfer in form and with guarantee of signature satisfactory to the Bond Trustee, and duly executed by the registered owner or such owner’s attorney duly authorized in writing. Subject to the limitations described below, any Bond may be exchanged at such times at such Principal Office of the Bond Trustee if accompanied by a written instrument or authorization for exchange in form and with guarantee of signature satisfactory to the Bond Trustee, and duly executed by the registered owner or such owner’s attorney duly authorized in writing. No service charge shall be imposed for any exchange or transfer of Bonds. The Authority and the Bond Trustee may, however, require payment by the person requesting an exchange or transfer of Bonds of a sum sufficient to cover any tax, fee or other governmental charge that may be imposed in relation thereto, except in the case of the issuance of a Bond or Bonds for the unredeemed portion of a Bond surrendered for redemption in part.

The Authority, the Bond Trustee and any paying agent shall not be obligated to transfer or exchange any Bond after notice calling such Bond or portion thereof for redemption has been given as provided in the Bond Indenture, or during the period of 15 days next preceding the mailing of notice of redemption of such Bonds.

ESTIMATED ANNUAL DEBT SERVICE REQUIREMENTS

The following table sets forth, for each Bond Year ending November 15, the estimated amounts required to be made available for the payment of principal due on the Bonds at maturity or by mandatory sinking fund redemption and for the payment of interest on the Bonds. All amounts shown below have been rounded to the nearest whole dollar.

BOND YEAR ENDING NOVEMBER 15,	PRINCIPAL	INTEREST	TOTAL DEBT SERVICE
2024	\$1,210,000	\$644,739	\$1,854,739
2025	2,470,000	4,084,250	6,554,250
2026	2,595,000	3,960,750	6,555,750
2027	2,725,000	3,831,000	6,556,000
2028	2,860,000	3,694,750	6,554,750
2029	3,000,000	3,551,750	6,551,750
2030	3,155,000	3,401,750	6,556,750
2031	3,310,000	3,244,000	6,554,000
2032	3,475,000	3,078,500	6,553,500
2033	3,650,000	2,904,750	6,554,750
2034	3,830,000	2,722,250	6,552,250
2035	4,025,000	2,530,750	6,555,750
2036	4,225,000	2,329,500	6,554,500
2037	4,435,000	2,118,250	6,553,250
2038	4,660,000	1,896,500	6,556,500
2039	4,895,000	1,663,500	6,558,500
2040	5,135,000	1,418,750	6,553,750
2041	5,395,000	1,162,000	6,557,000
2042	5,660,000	892,250	6,552,250
2043	5,945,000	609,250	6,554,250
2044	6,240,000	312,000	6,552,000
	\$82,895,000	\$50,051,239	\$132,946,239

SECURITY AND SOURCE OF PAYMENT FOR THE BONDS

GENERAL

The Bonds are limited obligations of the Authority, payable solely from payments required to be made by the Corporation pursuant to the Loan Agreement in amounts sufficient to pay the principal of, premium, if any, and interest on the Bonds when such becomes due. Under the Bond Indenture, the Authority will assign its right, title and interest in such payments and other assets pledged pursuant to the Bond Indenture and in the Loan Agreement and Series 2024 Obligation to the Bond Trustee (except for certain unassigned rights). See “THE BOND INDENTURE — Pledge and Assignment; Revenue Fund” in APPENDIX D.

THE MASTER INDENTURE AND THE DEEDS OF TRUST

The Master Indenture is intended to provide assurance for the repayment of Obligations entitled to its benefits by imposing financial and operating covenants that restrict the Members of the Obligated Group and by the appointment of the Master Trustee to enforce such covenants for the benefit of the holders of such Obligations. Upon the issuance of the Bonds and the application of the proceeds thereof, the Series 2024 Obligation will be the only Obligation entitled to the benefits of the Master Indenture. The holders of all Obligations entitled to the benefits of, and the security pledged under, the Master Indenture will be on a parity with respect to the benefits of, and the security pledged under, the Master Indenture.

As of the date of issuance of the Bonds, the Corporation, Eskaton-Grass Valley and Eskaton-Roseville will be the only Members of the Obligated Group. Each of the current Members of the Obligated Group and each Obligated Group Member that may be admitted in the future will be jointly and severally liable for the payment for all Obligations entitled to the benefits of the Master Indenture and will be subject to the financial and operating covenants thereunder. See “SUMMARY OF MASTER INDENTURE AND DEEDS OF TRUST — The Obligated Group — Membership in the Obligated Group” and “— Withdrawal from the Obligated Group” in APPENDIX C for a description of the limitations on admission and release of Obligated Group Members.

The Series 2024 Obligation and all Obligations issued under the Master Indenture will be general obligations of the Members of the Obligated Group and will be secured by (i) a security interest in the Gross Revenues of the Obligated Group granted pursuant to the Master Indenture and (ii) a security interest in the Mortgage Property pursuant to the Deeds of Trust.

“*Gross Revenues*” means all receipts, revenues, income and other money received by or on behalf of any Member of the Obligated Group from any source whatsoever, including, but not limited to, (a) revenues derived from the operation and possession of each Member’s Facilities, including without limitation, all accounts, Entrance Fees (earned and unearned), if any, monthly service fees and all other operating and non-operating revenues, (b) gifts, bequests, grants, donations and contributions, exclusive of any gifts, bequests, grants, donations or contributions to the extent specifically restricted by the donor to a particular purpose inconsistent with their use for the payment of Required Payments or for the payment of operating expenses, and (c) revenues derived from (1) condemnation proceeds, (2) any gain on the sale or other disposition of property by a Member, (3) inventory and other tangible and intangible property, (4) private and governmental health care reimbursement programs and agreements, (5) insurance proceeds, (6) contract rights and other rights now or hereafter owned by each Member, and (7) realized investment earnings; and all of the foregoing, whether now existing or hereafter coming into existence and whether now owned or leased or hereafter acquired by a Member.

Each Member covenants and agrees in the Master Indenture that, so long as any Obligation remains Outstanding, all of the Gross Revenues of the Obligated Group shall be deposited as soon as practicable upon receipt in a fund (in one or more accounts at such banking institution or institutions as the Obligated Group Representative shall from time to time designate in writing to the Master Trustee for such purpose (the “*Depository Bank(s)*”)) designated as the “*Gross Revenue Fund*” which the Members shall establish and maintain, subject to the provisions of the next paragraph. Subject only to the provisions of the Master Indenture permitting the application of the Gross Revenue Fund for the purposes and on the terms and conditions set forth in the Master Indenture, each Member has pledged, and, to the extent permitted by law has granted a security interest to the Master Trustee in, the Gross Revenue Fund and all of the Gross Revenues of the Obligated Group to secure the payment of Required Payments and the performance by the Members of their other obligations under the Master Indenture; *provided, however*, that each Member may create, assume or suffer to exist Permitted Encumbrances thereon. Each Member has covenanted to execute, and the Corporation, as the sole Obligated Group Member, will execute in connection with the issuance of the Bonds, a depository account control agreement with each Depository Bank, and shall execute and deliver such other documents as may be necessary in order to perfect or maintain as perfected such security interest or give public notice thereof.

Amounts in the Gross Revenue Fund may be used and withdrawn by any Member at any time for any lawful purpose, except as provided in this paragraph. If any Member is delinquent for more than one Business Day in the payment of any Required Payment with respect to any Obligation, the Master Trustee shall notify the Obligated Group Representative and the Depository Bank(s) of such delinquency, and, unless such Required Payment is paid, or provision for payment is duly made in a manner satisfactory to the Master Trustee in its sole discretion, within five days after receipt of such notice, the Obligated Group Representative or the appropriate Member shall cause the Depository Bank(s) to transfer the Gross Revenue Fund to the name and credit of the Master Trustee or otherwise administer the Gross Revenue Fund as provided in any deposit account control agreement or similar document. The Master Trustee shall continue to hold the Gross Revenue Fund until amounts on deposit in said fund are sufficient to pay in full, or have been used to pay in full, all Required Payments in default and all other Events of Default actually known to a Responsible Officer of the Master Trustee shall have been made good or cured to the satisfaction of the Master Trustee in its sole discretion or provision deemed by the Master Trustee in its sole discretion to be adequate shall have been made therefor, whereupon the Gross Revenue Fund (except for the Gross Revenues required to make such payments or cure such defaults) shall be returned to the name and credit of the appropriate Members. During any period that the Gross Revenue Fund is held in the name and to the credit of the Master Trustee, the Master Trustee shall use and withdraw amounts in said fund from time to time to make Required Payments as such payments become due (whether by maturity, redemption, acceleration or otherwise), and, if such amounts shall not be sufficient to pay in full all such payments due on any date, then to the payment of debt service on Obligations ratably, without any discrimination or preference, and to such other payments in the order which the Master Trustee, in its discretion, shall determine to be in the best interests of the Holders, without discrimination or preference. During any period that the Gross Revenue Fund is held in the name and to the credit of the Master Trustee, the Members shall not be entitled to use or withdraw any of the Gross Revenues of the Obligated Group unless and to the extent that the Master Trustee at its sole discretion so directs for the payment of current or past due operating expenses of the Members; *provided, however*, that the Members shall be entitled to use or withdraw any amounts in the Gross Revenue Fund which do not constitute Gross Revenues of the Obligated Group.

Notwithstanding such security interest in the Obligated Group’s Gross Revenues, the Members of the Obligated Group may sell or otherwise transfer Gross Revenues and create Permitted Encumbrances thereon, in accordance with the provisions of the Master Indenture. See “DEFINITIONS OF CERTAIN TERMS — Permitted Encumbrances” in APPENDIX C. Also see “BONDHOLDERS’ RISKS — Certain Matters Relating to Enforceability of Security Interest in Gross Revenues.”

The Obligations Outstanding from time to time under the Master Indenture are secured by a mortgage and security interest in the Mortgaged Property pledged pursuant to (a) the Deed of Trust with Assignment of Leases and Rents, Security Agreement and Fixture Filing dated as of September 1, 2024 (the “*Corporation Deed of Trust*”), from the Corporation, as grantor, to Fidelity National Title, as deed of trust trustee, for the benefit of the Master Trustee, (b) the Deed of Trust with Assignment of Leases and Rents, Security Agreement and Fixture Filing dated as of September 1, 2024 (the “*Eskaton-Roseville Deed of Trust*”), from Eskaton-Roseville, as grantor, to Fidelity National Title, as deed of trust trustee, for the benefit of the Master Trustee, and (c) the Deed of Trust with Assignment of Leases and Rents, Security Agreement and Fixture Filing dated as of September 1, 2024 (the “*Eskaton-Grass Valley Deed of Trust*” and, together with the Corporation Deed of Trust and the Eskaton-Roseville Deed of Trust, the “*Deeds of Trust*”), from Eskaton-Grass Valley, as grantor, to Fidelity National Title, as deed of trust trustee, for the benefit of the Master Trustee.

The property mortgaged pursuant to the Deeds of Trust (collectively, the “*Mortgaged Property*”) consists of approximately 62 acres of real property upon which the Communities are located and all present and future buildings, fixtures and other improvements located upon such real property. The total Book Value of the Mortgaged Property constitutes approximately 93.5% of the Book Value of all Property, Plant and Equipment of the Obligated Group as of December 31, 2023. There can be no assurance that the Book Value of the Mortgaged Property would be realized upon its disposition or at foreclosure. In the future, the value of the Mortgaged Property could be substantially less than the principal amount of Obligations outstanding under the Master Indenture. In connection with the issuance of the Bonds, the Corporation will deliver a lender’s title insurance policy for the real property, with the Master Trustee being the named insured. The title policy will be in an amount at least equal to the initial aggregate principal amount of the Bonds. See APPENDIX C — “SUMMARY OF MASTER INDENTURE AND DEEDS OF TRUST.” See also “BONDHOLDERS’ RISKS — Title Insurance; Limitations of Remedies under the Deeds of Trust.”

LIMITED LIABILITY OF THE AUTHORITY

NONE OF THE AUTHORITY, ANY AUTHORITY MEMBER OR ANY PERSON EXECUTING THE BONDS IS LIABLE PERSONALLY ON THE BONDS OR SUBJECT TO ANY PERSONAL LIABILITY OR ACCOUNTABILITY BY REASON OF THEIR ISSUANCE. THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY, PAYABLE SOLELY FROM AND SECURED BY THE PLEDGE OF REVENUES AND OTHER ASSETS UNDER THE BOND INDENTURE. NEITHER THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA, NOR ANY OF ITS POLITICAL SUBDIVISIONS SHALL BE DIRECTLY, INDIRECTLY, CONTINGENTLY OR MORALLY OBLIGATED TO USE ANY OTHER MONEYS OR ASSETS TO PAY ALL OR ANY PORTION OF THE DEBT SERVICE DUE ON THE BONDS, TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT. THE BONDS ARE NOT A PLEDGE OF THE FAITH AND CREDIT OF THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA OR ANY OF ITS POLITICAL SUBDIVISIONS, NOR DO THEY CONSTITUTE INDEBTEDNESS WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION. THE AUTHORITY HAS NO TAXING POWER.

CERTAIN COVENANTS OF THE OBLIGATED GROUP UNDER THE MASTER INDENTURE

LIMITATIONS ON ADDITIONAL INDEBTEDNESS AND ON ENCUMBRANCES

The Master Indenture defines Additional Indebtedness as any Indebtedness incurred subsequent to the execution and delivery of the Master Indenture. Pursuant to the Master Indenture, each Member

agrees that it will not incur any Additional Indebtedness except as permitted therein. See APPENDIX C — “SUMMARY OF MASTER INDENTURE AND DEEDS OF TRUST — THE MASTER INDENTURE — Limitations on Additional Indebtedness” for further information about the various incurrence tests.

The Master Indenture also prohibits any Member from creating, assuming or permitting to exist any Lien upon its Gross Revenues or its Property other than Permitted Encumbrances. Further, each Member covenants and agrees in the Master Indenture that, if such a Lien is created or assumed by any Member, the Member will make or cause to be made effective a provision whereby all Obligations will be secured prior to any Indebtedness or other obligation secured by such Lien. See APPENDIX C — “SUMMARY OF MASTER INDENTURE AND DEEDS OF TRUST — DEFINITIONS OF CERTAIN TERMS” for the definitions of Property, Lien and Permitted Encumbrances.

RATES AND CHARGES; DEBT SERVICE COVERAGE

Each Member covenants and agrees in the Master Indenture to operate all of its material Property in the aggregate on a revenue-producing basis and to charge such fees and rates for its facilities and services and to exercise such skill and diligence, including obtaining payment for services provided, as to provide income from its facilities together with other available funds sufficient to pay promptly all payments of principal and interest on its Indebtedness, all expenses of operation, maintenance and repair of its Property and all other payments required to be made by it under the Master Indenture to the extent permitted by law. Each Member further covenants and agrees that it will from time to time as often as necessary and to the extent permitted by law, revise its rates, fees and charges in such manner as may be necessary or proper to comply with the provisions of the Master Indenture summarized under this heading.

Within 150 days after the end of each Fiscal Year commencing with the Fiscal Year ending December 31, 2024, the Obligated Group Representative shall compute the Debt Service Coverage Ratio and promptly furnish to the Required Information Recipients (hereinafter defined) an Officer’s Certificate setting forth the results of such computation. The “*Debt Service Coverage Requirement*” shall be 1.20:1.

If the Debt Service Coverage Ratio of the Obligated Group for any Fiscal Year is less than the Debt Service Coverage Requirement, the Master Trustee shall require the Obligated Group Representative, at the Obligated Group’s expense, to select an Independent Consultant within 30 days following the calculation described in the immediately preceding paragraph to make recommendations with respect to the rates, fees and charges of the Obligated Group and the Obligated Group’s methods of operation and other factors affecting its financial condition in order to increase such Debt Service Coverage Ratio to at least the Debt Service Coverage Requirement for the following Fiscal Year. The Obligated Group shall not be required to engage an Independent Consultant more than one time in any twelve-month period.

For purposes of calculations under these provisions of the Master Indenture, an unrestricted contribution from any Affiliate of any Member of the Obligated Group may, at the sole discretion of the Obligated Group Representative, be treated as Income Available for Debt Service being earned during the period of such calculation so long as the unrestricted contribution is made prior to the date the applicable Officer’s Certificate is required to be delivered with respect to such calculation. If the unrestricted contribution is counted in a period prior to the date of such transfer in accordance with the previous sentence, it shall not be included in the calculation for the period in which such contribution was actually made. Interest and expenses paid from a working capital fund created under a Related Supplement and funded with Entrance Fees shall be excluded from the calculation of Income Available for Debt Service and Annual Debt Service.

If a written report of an Independent Consultant is delivered to the Master Trustee stating that Industry Restrictions have made it impossible for the Debt Service Coverage Requirement for such Fiscal Year to be met, then the Debt Service Coverage Requirement shall be reduced to 1.00:1 for such Fiscal Year.

A copy of the Independent Consultant's report and recommendations, if any, shall be filed with each of the Required Information Recipients within 90 days of engaging the Independent Consultant. Each Member shall follow each recommendation of the Independent Consultant applicable to it to the extent feasible (as determined in the reasonable judgment of the Governing Body of such Member) and permitted by law. These provisions of the Master Indenture shall not be construed to prohibit any Member from serving indigent patients or residents to the extent required for such Member to continue its qualification as a Tax-Exempt Organization or from serving any other class or classes of patients or residents without charge or at reduced rates so long as such service does not prevent the Obligated Group from satisfying the other requirements of the Master Indenture relating to rates and charges and debt service coverage.

The foregoing provisions notwithstanding, if the Debt Service Coverage Ratio of the Obligated Group for any Fiscal Year does not meet the Debt Service Coverage Requirement, the Master Trustee shall not be obligated to require the Obligated Group to engage an Independent Consultant to make such recommendations in certain circumstances described in the Master Indenture.

Notwithstanding any other provisions of the Master Indenture, in the event that any Member of the Obligated Group incurs any Additional Indebtedness for any acquisition, construction, renovation or replacement project or Capital Addition, the debt service requirements on such Additional Indebtedness, and the revenues and expenses relating to the project or Capital Addition financed in whole or in part with the proceeds of such Additional Indebtedness, shall be excluded from the calculation of the Debt Service Coverage Ratio of the Obligated Group for the purposes of complying with the provisions of the Master Indenture summarized under this heading until the first full Fiscal Year following the later of (i) the estimated completion of the acquisition, construction, renovation or replacement project being paid for with the proceeds of such Additional Indebtedness provided that such completion occurs no later than six (6) months following the completion date for such project set forth in the Independent Consultant's report described in (1) below, or (ii) the Fiscal Year in which Stable Occupancy is achieved in the case of revenue producing facilities financed with the proceeds of such Additional Indebtedness, which Stable Occupancy shall be projected in the report of the Independent Consultant referred to in paragraph (1) below to occur no later than during the sixth full Fiscal Year following the incurrence of such Additional Indebtedness (the period commencing on the date of the incurrence of such Additional Indebtedness and ending on the later of (i) or (ii) above is hereinafter referred to as the "*Start-Up Period*"), if the following conditions are met:

(1) there is delivered to the Master Trustee a report or opinion of an Independent Consultant to the effect that the projected Debt Service Coverage Ratio for the first full Fiscal Year following the Start-Up Period will be not less than 1.25:1 after giving effect to the incurrence of such Additional Indebtedness and the application of the proceeds thereof; *provided, however,* that in the event that an Independent Consultant shall deliver a report to the Master Trustee to the effect that Industry Restrictions do not permit or by their application make it impracticable for Members to produce the required ratio, then such ratio shall be reduced to the highest practicable ratio then permitted by such laws or regulations but in no event less than 1.00:1; *provided further, however,* that in the event an Independent Consultant's report is not required to incur such Additional Indebtedness, the Obligated Group may deliver an Officer's

Certificate to the Master Trustee in lieu of the Independent Consultant's report described in this subparagraph (1); and

(2) such Independent Consultant's report or Officer's Certificate demonstrates, or Officer's Certificate certifies, that the interest on such Additional Indebtedness and any projected start-up losses during the Start-Up Period is funded from the proceeds of Additional Indebtedness or other funds designated by the Obligated Group, and continues to be available for such purposes during the Start-Up Period; and

(3) such Independent Consultant's report or Officer's Certificate demonstrates, or Officer's Certificate certifies, that no principal of such Additional Indebtedness shall be payable during the Start-Up Period, excluding any Additional Indebtedness which may become due as the result of the collection of Entrance Fees during the Start-Up Period.

If the conditions of subparagraph (2) or (3) above are not satisfied because interest is not funded through the end of the Start-Up Period or because principal is due by maturity or bond sinking fund redemption prior to the end of the Start-Up Period, the provisions of the Master Indenture summarized under this heading shall apply only during the portion of the Start-Up Period for which interest has been funded and no principal payments are due.

Notwithstanding any other provisions of the Master Indenture, an Event of Default arising from the Debt Service Coverage Ratio shall only occur under the Master Indenture if one or more of the following conditions applies: (1) the Obligated Group fails to achieve a Debt Service Coverage Ratio equal to the Debt Service Coverage Requirement and fails to take all necessary action to comply with the procedures set forth in the Master Indenture for obtaining an Independent Consultant's report and follow all recommendations contained in such report to the extent feasible (as determined by the Governing Body of the Obligated Group Representative) and permitted by law; (2) the Obligated Group fails to achieve a Debt Service Coverage Ratio of at least 1.00:1 for the any Fiscal Year and the Days Cash on Hand of the Obligated Group as of the last day of such Fiscal Year is less than 180 days; or (3) the Obligated Group fails to achieve a Debt Service Coverage Ratio of at least 1.00:1 for two consecutive Fiscal Years.

See APPENDIX C — "SUMMARY OF MASTER INDENTURE AND DEEDS OF TRUST — THE MASTER INDENTURE — Rates and Charges; Debt Service Coverage."

LIQUIDITY COVENANT

The Obligated Group covenants in the Master Indenture that it will calculate the Days Cash on Hand of the Obligated Group as of June 30 and December 31 of each Fiscal Year, commencing with December 31, 2024 (each such date being a "*Liquidity Testing Date*"). The Obligated Group shall include such calculations in the quarterly Officer's Certificates that are delivered for the periods ending on each June 30 and December 31 pursuant to the Master Indenture as described under the heading "CERTAIN COVENANTS OF THE OBLIGATED GROUP UNDER THE MASTER INDENTURE — Reporting Requirements" below.

Each Obligated Group Member is required to conduct its business so that on each Liquidity Testing Date the Obligated Group shall have no less than 120 Days Cash on Hand (the "*Liquidity Requirement*").

Any other provision of the Master Indenture notwithstanding, during any Start-Up Period, if the conditions set forth in the Master Indenture relating to Additional Indebtedness for Capital Additions are satisfied with respect to the calculation of the Debt Service Coverage Ratio of the Obligated Group, the calculation of Days Cash on Hand of the Obligated Group shall exclude all interest requirements in respect of Additional Indebtedness issued for the purpose of any acquisition, construction, renovation or replacement project or Capital Addition to the extent that interest is funded with proceeds of such Additional Indebtedness, and all revenue and expense properly allocable to the independent living units included in such project or Capital Addition in accordance with generally accepted accounting principles.

If the amount of Days Cash on Hand as of any Liquidity Testing Date is less than the Liquidity Requirement, the Obligated Group Representative shall, within 30 days after receipt of the Officer's Certificate disclosing such deficiency, deliver an Officer's Certificate to the Master Trustee setting forth in reasonable detail the reasons for such deficiency and adopting a specific plan setting forth steps to be taken designed to achieve the Liquidity Requirement for future periods.

If the Obligated Group has not raised the level of the Days Cash on Hand to the Liquidity Requirement by the next Liquidity Testing Date following delivery of the Officer's Certificate required in the preceding paragraph, the Obligated Group Representative shall, within 30 days after receipt of the Officer's Certificate disclosing such deficiency, select an Independent Consultant to make recommendations with respect to the rates, fees and charges of the Obligated Group and the Obligated Group's methods of operation and other factors affecting its financial condition in order to increase the Days Cash on Hand to the Liquidity Requirement for future periods. A copy of the Independent Consultant's report and recommendations, if any, shall be filed with each of the Required Information Recipients within 60 days of the date such Independent Consultant is engaged. Each Member of the Obligated Group shall follow each recommendation of the Independent Consultant applicable to it to the extent feasible (as determined in the reasonable judgment of the Governing Body of the Member) and permitted by law.

Notwithstanding any other provision of the Master Indenture, failure of the Obligated Group to achieve the Liquidity Requirement for any Liquidity Testing Date shall not constitute an Event of Default under the Master Indenture if the Obligated Group takes all action necessary to comply with the procedures set forth above for retaining an Independent Consultant to prepare a report and adopting a plan and follows each recommendation contained in such report to the extent feasible (as determined by the Governing Body of the Obligated Group Representative) and permitted by law.

See APPENDIX C — "SUMMARY OF MASTER INDENTURE AND DEEDS OF TRUST — THE MASTER INDENTURE — Liquidity Covenant."

APPROVAL OF CONSULTANTS

If at any time the Obligated Group is required to engage an Independent Consultant as described under the caption "CERTAIN COVENANTS OF THE OBLIGATED GROUP UNDER THE MASTER INDENTURE — Liquidity Covenant" or "— Rates and Charges; Debt Service Coverage" above, the Independent Consultant shall be engaged in the manner set forth below.

Upon selecting an Independent Consultant as required under the Master Indenture, the Obligated Group Representative will notify the Master Trustee of the selection. The Master Trustee shall, as soon as practicable but in no case longer than five Business Days after receipt of notice, notify the holders of the Obligations outstanding of such selection, and the Obligated Group Representative will post a copy of such notice (or cause a copy of such notice to be posted) on EMMA. Such notice shall (i) include the

name of the Independent Consultant and a brief description of the Independent Consultant, (ii) state the reason that the Independent Consultant is being engaged including a description of the covenant(s) of the Master Indenture that require the Independent Consultant to be engaged, and (iii) state that the holder of the Obligation will be deemed to have consented to the selection of the Independent Consultant named in such notice unless such Obligation holder submits an objection to the selected Independent Consultant in writing (in a manner acceptable to the Master Trustee) to the Master Trustee within 30 days of the date that the notice is sent to the Obligation holders. No later than two Business Days after the end of the 30-day objection period, the Master Trustee shall notify the Obligated Group of the number of written objections it has received. If the Holders of two-thirds (66.6%) or more in aggregate principal amount of the outstanding Obligations have consented, or been deemed to have consented by not objecting, to the selection of the Independent Consultant, the Obligated Group Representative shall engage the Independent Consultant within five days of receiving notice of that consent. If the Holders of more than one-third (33.3%) in aggregate principal amount of the Obligations outstanding have objected to the Independent Consultant selected, the Obligated Group Representative shall select another Independent Consultant within 14 days after receiving notice of such objection, which Independent Consultant may be engaged upon compliance with the procedures summarized in this paragraph.

All Independent Consultant reports required under the Master Indenture shall be prepared in accordance with then-effective industry-appropriate standards.

See APPENDIX C — “SUMMARY OF MASTER INDENTURE AND DEEDS OF TRUST — THE MASTER INDENTURE — Approval of Consultants.”

OTHER COVENANTS

In addition to the covenants summarized above, the Master Indenture contains, among other provisions, (a) insurance requirements, (b) covenants with respect to maintenance of each Member’s properties, (c) limitations on Guaranties, (d) prohibitions and limitations on sale, lease or other disposition of each Member’s properties, and (e) prohibitions and limitations on consolidation or merger of a Member and sale or conveyance of all or substantially all of a Member’s property.

See APPENDIX C — “SUMMARY OF MASTER INDENTURE AND DEEDS OF TRUST — THE MASTER INDENTURE” for further information about these and other provisions of the Master Indenture.

REPORTING REQUIREMENTS

The Members covenant in the Master Indenture to keep or cause to be kept proper books of records and accounts in which full, true and correct entries will be made of all dealings or transactions of or in relation to the business and affairs of the Obligated Group in accordance with GAAP consistently applied, except as may be disclosed in the notes to the audited financial statements. To the extent that GAAP would require consolidation of certain financial information of entities which are not Members of the Obligated Group with financial information of one or more Members, consolidating financial statements prepared in accordance with GAAP which include information with respect to entities which are not Members of the Obligated Group may be delivered in satisfaction of the requirements of this provision of the Master Indenture so long as: (i) supplemental information in sufficient detail to separately identify the information with respect to the Members of the Obligated Group is delivered to the Master Trustee with the audited financial statements; (ii) such supplemental information has been subjected to the auditing procedures applied in the audit of the consolidating financial statements delivered to the Master Trustee and, in the opinion of the accountant, is fairly stated in all material respects in relation to the consolidating financial statements taken as a whole; and (iii) such supplemental

information is used for the purposes of the Master Indenture or for any agreement, document or certificate executed and delivered in connection or pursuant to the Master Indenture.

The Members agree in the Master Indenture to provide certain financial and operating information to the Master Trustee, each Related Bond Trustee, each Related Bond Issuer, and EMMA or any other nationally recognized municipal securities information repositories identified by the Securities and Exchange Commission (collectively, the “*Required Information Recipients*”). See APPENDIX C — “SUMMARY OF MASTER INDENTURE AND DEEDS OF TRUST — THE MASTER INDENTURE — Filing of Financial Statements, Reports and Other Information.” In addition to the requirements of the Master Indenture, in connection with the issuance of the Bonds, the Corporation, as Obligated Group Representative, will enter into a Continuing Disclosure Agreement, pursuant to which the Obligated Group Representative will provide or cause to be provided certain annual, quarterly and monthly financial information (much of which is identical to the reporting requirements of the Master Indenture) and notice of certain events. The form of the Continuing Disclosure Agreement is set forth in APPENDIX E hereto. See also “CONTINUING DISCLOSURE” herein.

AMENDMENTS AND SUPPLEMENTS TO THE MASTER INDENTURE AND THE DEEDS OF TRUST

Certain amendments to the Master Indenture and the Deeds of Trust may be made with the consent of the holders of a majority of the aggregate principal amount of the Obligations then outstanding. Such majority may be composed wholly or partially of the holders of the Obligations other than the holder of the Series 2024 Obligation. Additionally, certain amendments can be made without the consent of the holders, as provided in the Master Indenture and the Deeds of Trust. See APPENDIX C — “SUMMARY OF MASTER INDENTURE AND DEEDS OF TRUST — THE MASTER INDENTURE — Supplements and Amendments.”

PLAN OF FINANCING

GENERAL

The Corporation will use the proceeds of the Bonds, together with other available funds (including Obligated Group cash), to (i) finance the costs of capital expenditures at certain of the Obligated Group’s Communities; (ii) refund the Prior Bonds; (iii) pay a swap termination payment; and (iv) pay certain of the costs of issuance of the Bonds and the refunding of the Prior Bonds. See “ESTIMATED SOURCES AND USES OF FUNDS” herein.

REFUNDING OF SERIES 2012 BONDS

The California Statewide Communities Development Authority issued the Series 2012 Bonds for the benefit of the Corporation to pay the costs of certain improvements to the Obligated Group’s communities and refinance certain indebtedness. A portion of the proceeds of the Bonds will be used to redeem the Series 2012 Bonds on the date of issuance of the Bonds.

REFUNDING OF SERIES 2013 BONDS

The ABAG Finance Authority for Nonprofit Corporations issued the Series 2013 Bonds for the benefit of the Corporation to refinance certain indebtedness. A portion of the proceeds of the Bonds will be used to redeem the Series 2013 Bonds on the date of issuance of the Bonds.

REFUNDING OF SERIES 2022 BONDS

The Authority issued the Series 2022 Bonds for the benefit of the Corporation to refinance certain indebtedness. A portion of the proceeds of the Bonds will be used to redeem the Series 2022 Bonds on the date of issuance of the Bonds.

SWAP TERMINATION PAYMENT

To manage the interest rate risk of Eskaton-Roseville's 2006 variable rate bonds (which are no longer outstanding), Eskaton-Roseville entered into a long-term interest rate swap with Morgan Stanley Capital Services, Inc. as counterparty (the "*Interest Rate Swap*"). Eskaton-Roseville terminated the Interest Rate Swap at the time of pricing of the Bonds and paid a swap termination payment of \$1,302,138 using cash on hand.

ESTIMATED SOURCES AND USES OF FUNDS

The following table sets forth the estimated sources and uses of funds related to the Bonds (with all amounts rounded to the nearest dollar).

ESTIMATED SOURCES OF FUNDS

Par Amount of Bonds	\$82,895,000
Original Issue Premium (Discount)	7,912,392
Funds on Deposit for Prior Bonds	10,973,404
Corporation Equity	1,302,138
Total	\$103,082,934

ESTIMATED USES OF FUNDS

Deposit to Project Fund	\$20,000,000
Refunding of the Series 2012 Bonds	26,052,753
Refunding of the Series 2013 Bonds	37,220,161
Refunding of the Series 2022 Bonds	16,805,063
Swap Termination Payment ⁽¹⁾	1,302,138
Costs of Issuance ⁽²⁾	1,702,819
Total	\$103,082,934

⁽¹⁾ Eskaton-Roseville terminated the Interest Rate Swap at the time of pricing of the Bonds.

⁽²⁾ Includes legal, printing, rating agency and Authority's fees and expenses, Underwriter's discount, and other miscellaneous issuance costs.

CONTINUING DISCLOSURE

THE AUTHORITY

Because the Bonds are limited obligations of the Authority, payable solely from amounts received from the Obligated Group, neither financial nor operating data concerning the Authority is material to an evaluation of the offering of the Bonds or to any decision to purchase, hold or sell the Bonds. Accordingly, the Authority is not providing any such information. The Corporation, on behalf of the Obligated Group, has undertaken all responsibilities for any continuing disclosure to holders of the Bonds, as described below, and the Authority shall have no liability to the holders of the Bonds or any

other person with respect to Rule 15c2-12 promulgated by the Securities and Exchange Commission (the “Rule”).

THE OBLIGATED GROUP

Offerings of most municipal securities are subject to the Rule. The Corporation will covenant on behalf of the Obligated Group for the benefit of the holders and Beneficial Owners of the Bonds pursuant to a Continuing Disclosure Agreement (the “*Continuing Disclosure Agreement*”) to be executed and delivered by the Corporation to provide or cause to be provided certain financial information and operating data relating to the Obligated Group on a monthly, quarterly and annual basis and to provide notices of the occurrence of certain enumerated events. See APPENDIX E — “FORM OF CONTINUING DISCLOSURE AGREEMENT.”

In connection with the issuance of the Series 2012 Bonds and the Series 2013 Bonds, the Corporation executed continuing disclosure undertakings similar to the Continuing Disclosure Agreement. During the past five years, the Corporation (a) failed to file the annual operating data for the fiscal year ended December 31, 2022 and the quarterly report for the fiscal quarter ended December 31, 2021 by the required due date, and (b) failed to file a notice regarding a rating downgrade in late 2021. In addition, the operating data for the fiscal year ended December 31, 2022 was not properly attached to all outstanding CUSIPs of the Series 2013 Bonds. The Corporation has engaged U.S. Bank Trust Company, National Association, as dissemination agent, to assist with the required filings under the Continuing Disclosure Agreement.

BONDHOLDERS’ RISKS

Set forth below are certain risk factors that should be considered before any investment in the Bonds is made. Certain risks are inherent in the successful operation of the Communities. This section discusses some of these risks but is not intended to be, and should not be considered, a comprehensive listing of all risks associated with the operation of the Communities or the payment of the Bonds. These risks should be read together with the rest of the Official Statement.

GENERAL

As described herein under the caption “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS,” the principal of and interest on the Bonds, except to the extent that the Bonds will be payable, under certain circumstances, from proceeds of the Bonds, investment earnings thereon, proceeds of insurance, sale or condemnation awards or net amounts by recourse to the Deeds of Trust, are payable solely from amounts payable by the Corporation under the Loan Agreement, from certain funds held under the Bond Indenture and from amounts payable by the Obligated Group Members on the Series 2024 Obligation. No representation or assurance is given or can be made that revenues will be realized by the Obligated Group in amounts sufficient to pay debt service on the Bonds when due and other payments necessary to meet the obligations of the Obligated Group Members. The risk factors discussed below should be considered in evaluating the ability of the Obligated Group to make payments in amounts sufficient to provide for the payment of the principal of, the premium, if any, and interest on the Bonds.

The receipt of future revenues by the Obligated Group will be subject to, among other factors, (a) maintaining high occupancy levels by residents who are able to pay the residency costs and fees; (b) the capabilities of management of the Obligated Group (“*Management*”); (c) the effects of future government regulation of senior living, assisted living, memory care, skilled nursing and extended care

facilities; (d) the policies of any material third-party payors, including government payors (e.g., Medicare or Medicaid); (e) the duration, scope, and aftereffects of a pandemic or other public health emergency and governmental and private responses to such emergency; (f) future economic and other conditions; and (g) increased competition from other senior living providers; all of which are unpredictable. The ability of the Obligated Group to generate future revenues has a direct effect upon the payment of principal of, premium and purchase price, if any, and interest on the Bonds. Neither the Underwriter nor the Authority has made any independent investigation of the extent to which any such factors may have an adverse effect on the revenues of the Obligated Group.

LIMITED OBLIGATIONS

NONE OF THE AUTHORITY, ANY AUTHORITY MEMBER OR ANY PERSON EXECUTING THE BONDS IS LIABLE PERSONALLY ON THE BONDS OR SUBJECT TO ANY PERSONAL LIABILITY OR ACCOUNTABILITY BY REASON OF THEIR ISSUANCE. THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY, PAYABLE SOLELY FROM AND SECURED BY THE PLEDGE OF CERTAIN REVENUES UNDER THE BOND INDENTURE. NEITHER THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA, NOR ANY OF ITS POLITICAL SUBDIVISIONS SHALL BE DIRECTLY, INDIRECTLY, CONTINGENTLY OR MORALLY OBLIGATED TO USE ANY OTHER MONEYS OR ASSETS TO PAY ALL OR ANY PORTION OF THE DEBT SERVICE DUE ON THE BONDS, TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT. THE BONDS ARE NOT A PLEDGE OF THE FAITH AND CREDIT OF THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA OR ANY OF ITS POLITICAL SUBDIVISIONS, NOR DO THEY CONSTITUTE INDEBTEDNESS WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION. THE AUTHORITY HAS NO TAXING POWER.

MANAGEMENT'S FORECAST

Management's financial forecast contained in the Financial Feasibility Report included in APPENDIX H hereto is based upon assumptions made by the Management. As stated in such financial forecast, there will usually be differences between the forecasted and actual results because events and circumstances frequently do not occur as expected, and those differences may be material. In addition, the financial forecast is only for the six years ending December 31, 2029, and consequently does not cover the whole period during which the Bonds may be outstanding. **The Financial Feasibility Report should be read in its entirety, including management's notes and assumptions set forth therein.** See APPENDIX H hereto.

BECAUSE THERE IS NO ASSURANCE THAT ACTUAL EVENTS WILL CORRESPOND WITH THE ASSUMPTIONS MADE, NO GUARANTEE CAN BE MADE THAT MANAGEMENT'S FINANCIAL FORECAST IN THE FINANCIAL FEASIBILITY REPORT WILL CORRESPOND WITH THE RESULTS ACTUALLY ACHIEVED IN THE FUTURE. ACTUAL OPERATING RESULTS MAY BE AFFECTED BY MANY UNCONTROLLABLE FACTORS, INCLUDING BUT NOT LIMITED TO INCREASED COSTS, LOWER THAN ANTICIPATED REVENUES, EMPLOYEE RELATIONS, TAXES, GOVERNMENTAL CONTROLS, CHANGES IN APPLICABLE GOVERNMENTAL REGULATION, CHANGES IN DEMOGRAPHIC TRENDS, CHANGES IN THE SENIOR CARE AND HOUSING AND HEALTH CARE INDUSTRIES, AND GENERAL ECONOMIC CONDITIONS.

PANDEMIC OR OTHER PUBLIC HEALTH EMERGENCY

General. The occurrence of a public health emergency, including a pandemic similar to the COVID-19 pandemic discussed below, and governmental and public responses to such emergency, may directly or indirectly affect the operations and financial condition of senior living facility operations in a multitude of ways. There can be no assurance that a future pandemic or other public health emergency

will not result in material adverse consequences to the operations or financial condition of the Obligated Group. The extent to which business interruption insurance would be available in connection with a pandemic or other public health emergency is fact-dependent and there can be no assurance that any available coverage would be sufficient to cover losses.

COVID-19 Pandemic. The COVID-19 pandemic had significant negative effects on the economy generally as well as direct health care and senior care related consequences. The pandemic resulted in volatility in equity markets and the public markets for the issuance and trading of all securities. The pandemic caused business failures and cutbacks attributable to “social distancing” practices and changes in market behavior, the complete effects of which are still unclear. National, state, and local governmental actions taken during the pandemic, including the passage of laws and regulations, caused substantial changes to the way health care and senior care are provided and how society in general functions and may have long-term consequences for the way health care services are provided generally. The COVID-19 pandemic materially and adversely affected the Obligated Group’s operations and finances, and some negative effects are likely to continue.

GENERAL ECONOMIC CONDITIONS AND FINANCIAL MARKET DISRUPTION

The U.S. economy is unpredictable. Economic downturns and other unfavorable economic conditions have previously impacted the health care and senior care industries and health care and senior care providers’ business and financial condition. If general economic conditions worsen, the Obligated Group may not be able to sustain future revenue levels, and its liquidity and ability to repay outstanding debt, including debt service on the Bonds, may be adversely affected. Broad economic factors—such as inflation, unemployment, instabilities in consumer spending, or instabilities in the housing market—could adversely affect the Obligated Group’s business and its ability to collect outstanding receivables. Other economic conditions that from time to time may adversely affect the Obligated Group’s revenues and expenses, and consequently, its ability to make payments on the Series 2024 Obligation, include but are not limited to: (1) an inability to access financial markets on acceptable terms at a desired time or increased borrowing costs, (2) significant investment portfolio losses, (3) increased business failures and consumer and business bankruptcies, (4) federal and state budget challenges resulting in reduced or delayed federal health care program reimbursement or pension benefit cuts, (5) a reduction in the demand for senior living and care services, (6) increases in lawsuits or increased insurance expenses, (7) a shortage of professional and non-professional personnel or medical supplies, (8) inflation and increased operating costs, (9) a reduction in the receipt of grants and charitable contributions, or (10) increased competition from other senior care communities. Future financial market disruptions cannot be predicted and there can be no assurance that future financial disruptions will not materially or adversely affect the operations and financial condition of the Obligated Group. **The Financial Feasibility Report should be read in its entirety, including Management’s notes and assumptions set forth therein.** See APPENDIX H hereto.

Like the rest of the country, the senior living sector has recently experienced significant increases in costs of food and energy, in addition to associated wage and salary pressures. Management anticipates that inflation, particularly in wages, food, and energy prices, will continue for the foreseeable future. The inability of the Obligated Group to increase fees and charges to keep pace with inflation could adversely affect the financial condition and results of operations of the Obligated Group.

ADDITIONS TO THE OBLIGATED GROUP

Currently, the Corporation, Eskaton-Grass Valley and Eskaton-Roseville are the only Members of the Obligated Group. Upon satisfaction of certain conditions in the Master Indenture, other entities can

become Members of the Obligated Group. See “SUMMARY OF MASTER INDENTURE AND DEEDS OF TRUST — The Obligated Group — Membership in the Obligated Group” in APPENDIX C. Management currently has no plans to add additional Members to the Obligated Group. However, if and when new Members are added, the Obligated Group’s financial situation and operations will likely be altered.

UNCERTAINTY OF REVENUES

Although Management expects that revenues will be adequate to make all scheduled payments under the Loan Agreement (and corresponding payments on the Bonds), a number of factors could decrease revenues. Future economic and other conditions, including those summarized above under “GENERAL ECONOMIC CONDITIONS AND FINANCIAL MARKET DISRUPTION”, may adversely affect revenues and, consequently, the Corporation’s ability to make payments under the Loan Agreement.

FAILURE TO ACHIEVE AND MAINTAIN OCCUPANCY AND TURNOVER

The ability of the Obligated Group to generate sufficient revenues depends in large part on the Obligated Group’s ability to attract sufficient numbers of residents to the Communities in order to maintain substantial occupancy and turnover of occupancy throughout the term of the Bonds. Because occupancy and turnover at the Communities depends upon factors outside the Obligated Group’s control, such as residents’ rights to terminate their contracts with the Obligated Group or residents’ financial condition, the Obligated Group must rely on various assumptions about the Obligated Group’s residents and the market for its services. Where such assumptions prove to be wrong, the Obligated Group’s revenue will be affected. For example, the Obligated Group’s receipt of additional monthly service or entrance fees could be impaired by fewer permanent transfers to higher levels of care at the Communities than anticipated, or a market-induced reduction in the amount of or deferral of the monthly service or entrance fees payable by new residents. Revenues would also be impaired if the Obligated Group is unable to remarket units as they become available. If the Obligated Group fails to maintain occupancy levels and remarket residential living units as they become available, or if there is a reduction in the amount of monthly service or entrance fees received, the Obligated Group may lack sufficient funds to pay debt service on the Bonds. **The Financial Feasibility Report should be read in its entirety, including Management’s notes and assumptions set forth therein.** See APPENDIX H hereto.

COMPETITION

Increased competition from a wide variety of potential sources, including but not limited to other assisted living communities, retirement communities, memory care communities, residential living communities, continuing care retirement communities, life plan communities, skilled nursing facilities, nursing homes, inpatient and outpatient health care facilities, independent living communities, home health agencies and others could adversely affect the utilization and/or revenue of the Obligated Group. Existing and potential competitors may not be subject to various restrictions applicable to the Obligated Group, and competition may, in the future, arise from new sources not currently anticipated or prevalent. Such competition could inhibit the extent to which the Obligated Group will be able to raise charges and maintain or increase admissions. There can be no assurance that additional competing facilities will not be built in the future or that medical and technological advances will not reduce demand for the Obligated Group’s facilities, programs and services.

CHANGES IN CAPABILITIES OF HOME HEALTH CARE TECHNOLOGY

New and changing methods of care delivery, such as web-based home monitoring, telemedicine, mobile health, and smartphone technology, will continue to rapidly change the way in which providers of health services to seniors deliver home health, home care, hospice and other community-based services. These developments will further the ability of the home health, home care, personal care, and hospice industries to care for patients in their homes. The availability of technological advances is expected to increase the ability of seniors to remain in their homes longer than has historically been feasible, which could result in significantly reduced demand for senior living and care facilities. Efforts to reduce hospital readmissions and costs in the overall care continuum will further the use of these new and changing technologies. These changes may allow other companies, including hospitals and other health care organizations that are not currently providing home health, home care, personal care, and hospice care, to expand their services to include home health care, home care, personal care, hospice care, telehealth, or similar services.

REAL ESTATE MARKETS/SALE OF PERSONAL RESIDENCES

During the term of the Bonds, prospective residents of the Communities may have difficulty selling their current homes due to national and local economic conditions impairing the sale of residential real estate and, as a consequence, may not have sufficient assets to pay entrance fees and monthly service fees. This could cause a delay in scheduled occupancy of the Communities or the remarketing of vacated units, or a reduction in the amount or deferral of the monthly service or entrance fees payable, all of which would have an adverse effect on the revenue of the Obligated Group.

FIXED INCOME OF THE ELDERLY

A large percentage of the monthly income of residents and prospective residents of the Communities is fixed income derived from pensions and Social Security. If, due to inflation or otherwise, substantial increases in fees are required to cover increases in operating costs, wages, benefits and other expenses, many residents may have difficulty paying or may be unable to pay such increased fees. Alternatively, any decrease in the amounts paid by a resident's fixed income sources could affect such resident's ability to meet financial obligations. The Obligated Group's inability to collect the full amount of residents' payment obligations may adversely affect the ability of the Obligated Group to make payments with respect to the Bonds.

REDUCED DEMAND

Several factors could, if present, affect demand for services of the Corporation, including: (i) efforts by insurers and governmental agencies to reduce utilization of assisted living, skilled nursing, and long-term care facilities by means such as preventive medicine and home health programs; (ii) increased consumer demand for services at home; (iii) advances in scientific and medical technology; (iv) a decline in the population or a change in the age composition of the population; (v) a decline in the economic conditions of the service areas of the Communities; (vi) an increase in premiums or other disruption in the long-term care insurance market, causing fewer prospective residents to consider the Communities as a retirement option; (vii) governmental, commercial and individual responses to a pandemic or other infectious disease outbreak; and (viii) general disruptions in the health care, long-term care or insurance markets resulting from health care reform efforts or otherwise. **The Financial Feasibility Report should be read in its entirety, including Management's notes and assumptions set forth therein.** See APPENDIX H hereto.

FINANCIAL ASSISTANCE AND OBLIGATION TO RESIDENTS

The Obligated Group only enters into residency agreements with residents whom it judges to be creditworthy. The Obligated Group may provide, but does not guarantee, financial assistance to residents unable to pay the required fees due to circumstances beyond their control and through no fault of their own. Additionally, the Obligated Group may elect, in its sole discretion, to provide the resident with a credit against all or a portion of the fees due. Established criteria will determine an individual's eligibility for the subsidy or credit, and the application and review process will be administered by the Obligated Group. The Obligated Group Members are required by applicable law relating to their status as organizations described under Section 501(c)(3) of the Code to maintain a policy of generally not requiring residents to leave its facilities because of the inability to pay, provided they did not transfer their assets for less than fair market value or otherwise compromise their own financial condition, and to the extent that the Obligated Group Members can subsidize residents without jeopardizing their own financially sound operations. The Obligated Group Members expect to maintain such a policy. Such requirement and policy may require the Obligated Group Members in the future to provide increased financial assistance or absorb greater operating losses. There may be circumstances, however, under which the requirements for greater financial assistance may have a material adverse effect on the financial condition of the Obligated Group.

DISCOUNTING OR REFUNDING OF ENTRANCE FEES

The Obligated Group Members may feel compelled to offer discounts to entrance fees in the future to achieve desired levels of occupancy of the Communities. Certain assumptions regarding the operations of the Communities will be directly affected by the discounting of initial entrance fees. Discounting of entrance fees could significantly affect the cash flow of the Obligated Group and the Obligated Group's ability to redeem the Bonds. Additionally, under certain circumstances, the Obligated Group is obligated to refund a resident's entrance fee. The payment of such refunds could adversely affect the Obligated Group's ability to make payments required by the Loan Agreement and the Series 2024 Obligation.

LONG TERM CARE INSURANCE

Some residents of the Communities may use long-term care insurance to help cover their costs of care. If long-term care insurance premiums rise, or residents otherwise lose their long-term care insurance coverage due to insurance market disruptions or reforms, such residents may have difficulty meeting their financial obligations. The Obligated Group's inability to collect the full amount of residents' payment obligations may adversely affect the ability of the Obligated Group to make payments with respect to the Bonds. The potential for reduced reimbursement rates from government payors (*e.g.*, Medicare) is discussed in detail below under the heading "FEDERAL AND STATE REGULATIONS – *Federal and State Health Care Program Reimbursement Cuts or Delays.*"

UNCERTAINTY OF INVESTMENT INCOME

The investment earnings of, and accumulations in, certain funds established pursuant to the Bond Indenture have been estimated and are based on assumed interest rates. While these assumptions are believed to be reasonable in view of the rates of return presently and previously available on the types of securities in which the Bond Trustee is permitted to invest under the Bond Indenture, there can be no assurance that similar interest rates will be available on such securities in the future, nor can there be any assurance that the estimated earnings will actually be realized.

The Obligated Group has significant holdings in a diversified portfolio of investments. Market fluctuations have affected and will continue to affect the value of those investments and those fluctuations may be material.

PHILANTHROPY

The Obligated Group derives income from unrestricted gifts and donations to supplement operating revenues to finance operations and capital needs. Operating revenue is sufficient to cover operating costs. See APPENDIX B — “AUDITED FINANCIAL STATEMENTS OF ESKATON PROPERTIES, INCORPORATED AND SUBSIDIARIES AS OF AND FOR THE FISCAL YEARS ENDED DECEMBER 31, 2022 AND 2023.” Although Management expects gifts and donations to remain at least at current levels, there can be no assurance that this revenue will not decrease, adversely affecting the financial condition of the Obligated Group.

INCREASES IN COSTS OF CARE AND SERVICES

The cost of providing personal care and health care services, as well as resident activities and programs, may increase due to numerous factors, including increases in the cost of supplies, increases in nurse and other care provider salaries, and shortages in such personnel which may require use of registries or employment agencies.

ADDITIONAL CAPITAL REQUIREMENTS

The Obligated Group’s operations are capital intensive. Economic conditions such as credit market dysfunction and increased regulation of the financial industry could make it more difficult for the Obligated Group to access the capital markets or to otherwise fund capital expenses through borrowings on favorable terms and conditions. Any such limitation could result in delayed or deferred capital expenditures that could be integral to the operations of the Obligated Group.

LABOR COSTS AND RELATIONS; MINIMUM STAFFING REQUIREMENTS

General. The Obligated Group’s workforce includes professional, quasi-professional, technical, clerical, housekeeping, maintenance, dietary and other types of workers. As with all employers, the Obligated Group bears a wide variety of risks in connection with these employees. These risks include strikes (if the Obligated Group’s work force is unionized in the future) and other related work actions, contract disputes, difficulties in recruitment or retention, discrimination claims, personal tort actions, work-related injuries, exposure to hazardous materials, interpersonal torts, risks related to benefit plans, and other risks that may flow from the relationships between employer and employee or between residents and employees. Certain of these risks are not covered by insurance, and certain of them cannot be anticipated or prevented in advance. Such risks, alone or in combination, could have material adverse consequences to the financial condition or operations of the Obligated Group.

Prevailing Wage. The Obligated Group cannot control the prevailing or required minimum wage rates in its service area and any increase in such rates will directly affect the costs of its operations. Effective January 1, 2024, California’s minimum wage for all industries is \$16 per hour for employers with 26 or more employees, among the highest in the country. Minimum wage laws specifically targeting the health care industry may implement a higher prevailing wage for health care workers. Management has examined the effect of California’s current minimum wage laws and does not anticipate that any

currently scheduled minimum wage increases will have a material adverse effect on the financial condition of the Obligated Group.

Collective Bargaining. Employees subject to collective bargaining agreements may include nurses and technical personnel, as well as food service, maintenance, and other personnel. Renegotiation of collective bargaining agreements upon expiration may result in significant cost increases. Employee strikes or other adverse labor actions may have an adverse impact on operations, revenue, and facility reputation. Presently, none of the Obligated Group's employees are represented by labor unions, and Management is not aware of any efforts to organize employees into any collective bargaining groups.

Minimum Staffing Requirements. On April 22, 2024, the Centers for Medicare and Medicaid Services ("CMS") issued the "Medicare and Medicaid Programs: Minimum Staffing Standards for Long-Term Care Facilities and Medicaid Institutional Payment Transparency Reporting" Final Rule (the "Minimum Staffing Rule") that creates new minimum staffing standards for long-term care facilities that participate in the Medicare or Medicaid programs. The Minimum Staffing Rule requires long term facilities, which includes SNFs and nursing facilities, to, among other things: (1) have a Registered Nurse ("RN") onsite 24 hours a day, seven days a week available to provide direct resident care, and (2) provide a minimum of 3.48 hours per resident day of total direct nursing care to residents, of which at least 0.55 hours per resident day of care must be provided by RNs and 2.45 hours per resident day of care provided by nurse aides. Staffing hours per resident day are the total number of hours worked by each type of staff divided by the total number of residents.

CMS acknowledges that it may be challenging for certain facilities to reach these goals, so will phase in the requirements over time (three years for urban facilities and five years for rural facilities). CMS will also allow for temporary hardship exemptions (one year at a time) in limited circumstances where certain criteria are met by the requesting facility. Exemptions will be posted on Medicare.gov Care Compare to ensure current and prospective residents are aware that a facility has levels of staffing lower than the standard. Failure to meet the requirements of the Minimum Staffing Rule could result in fines or penalties, including revocation of licensure and/or certification as a Medicare and Medicaid provider. While Management intends to comply with the Minimum Staffing Rule where required, no assurance can be made that the Obligated Group will be able to comply by the applicable deadlines. Compounding the compliance challenge are general workforce shortages in the senior care industry discussed below.

NATIONWIDE STAFFING SHORTAGE IN SENIOR LIVING FACILITIES

The health care and senior care industries have historically experienced regular turnover in certain health care and dietary personnel, particularly, nurses, nurses' aides, dietary staff and certain housekeeping positions. Staffing shortages may result in increased costs and lost revenues from time to time due to the need to hire temporary nurses or other personnel at higher rates and increased compensation levels, and the inability to operate at full capacity. Currently, a nationwide staffing shortage at both the professional and non-professional level is affecting the senior living sector and is forcing many such facilities to reduce admissions, rely on overtime shifts, increase wages, and hire staff through outside staffing agencies at increased hourly rates. Such increased costs and lost revenues could adversely affect the operations or financial condition of the Obligated Group. There can be no assurance that the Obligated Group will be able to attract enough full- and part-time employees to meet its staffing needs. The ability to maintain adequate staffing has been complicated by a pandemic and related vaccination mandates. Additionally, the federal Minimum Staffing Rule discussed above is expected to exacerbate the staffing shortage on a national level.

SENIOR MANAGEMENT TURNOVER AND SUCCESSION PLANNING

Nonprofit senior living providers nationwide are expecting senior management turnover in the next three to ten years which may make it more difficult to retain members of the Obligated Group's senior management team or to recruit replacements should any members of the Obligated Group's management team retire or otherwise cease employment with the Obligated Group. While the Obligated Group has been able to retain the services of qualified professionals for its senior management team in the past, there can be no guarantee that the Obligated Group will continue to be able to do so. A lack of qualified professionals for its senior management team could adversely affect the operating results of the Obligated Group.

GENERAL RISKS OF SENIOR LIVING FACILITIES

There are many diverse factors not within the Obligated Group's control that have a substantial bearing on the risks generally incident to the operation of the Communities. These factors include generally imposed fiscal policies, adverse use of adjacent or neighboring real estate, the ability to maintain the Communities, community acceptance of the Communities, changes in demand for long-term care services, changes in the number of competing facilities, changes in the costs of operation of the Communities, changes in the laws of the State affecting long term care programs, the limited income of the elderly, changes in the long term care and health care industries, difficulties in or restrictions on the Obligated Group's ability to raise rates charged, general economic conditions and the availability of working capital. In recent years, a significant number of senior living facilities throughout the United States have defaulted on various financing obligations or otherwise have failed to perform as originally expected. There can be no assurance that the Obligated Group will not experience one or more of the adverse factors that caused other senior living facilities to fail. Many other factors may adversely affect the operation of facilities like the Communities and cannot be determined at this time.

PROFESSIONAL LIABILITY CLAIMS AND LIABILITY INSURANCE

In recent years, the number of professional and general liability suits and the dollar amounts of damage recoveries has increased nationwide in the health care and senior care industries, resulting in substantial increases in malpractice insurance premiums, higher deductibles and generally less coverage. Professional liability and other actions alleging wrongful conduct and seeking punitive damages are often filed against health care providers. Insurance does not provide coverage for judgments for punitive damages. Insurers are mandating lower amounts of coverage, requiring greater deductibles, and charging more in premiums. Policies issued may not be renewed or renewable. It is not possible at this time to determine either the extent to which malpractice coverage will continue to be available to the Obligated Group or the premiums at which such coverage can be obtained. Although the Obligated Group currently carries professional liability and general liability insurance that Management considers adequate, the Obligated Group is unable to predict the availability, cost or adequacy of such insurance in the future.

FEDERAL AND STATE BUDGETARY PRESSURES

From time to time, the federal government and many states, including California, may face financial challenges that cause a shortfall between revenue and spending demands. These financial challenges may negatively affect the senior care industry and facility residents in various ways, including, but not limited to, reductions or delays in Medicare or Medicaid reimbursement or pension benefit cuts. Congressional proposals to cap the federal share of Medicaid expenditures or "block grant" the Medicaid program could further shift rising costs to the states, resulting in additional state budget challenges. Additionally, the federal government has created a debt "ceiling" or limit on the amount of debt that may

be issued by the United States Treasury. In the past several years political disputes concerning authorization of a federal debt ceiling increase have led to shutdowns of substantial portions of the federal government and other federal budget authorization delays have occurred. Any failure by Congress to increase the federal debt ceiling may impact the federal government's ability to incur additional debt, pay its existing debt, or to satisfy its obligations relating to the Medicare and Medicaid programs. Management is unable to determine what impact, if any, future federal or state budget challenges may have on the operations and financial condition of the Obligated Group. See also "FEDERAL AND STATE REGULATION — *Federal and State Health Care Program Reimbursement Cuts or Delays*" below.

FEDERAL AND STATE REGULATIONS

Changes in Law and Policies. The operations of senior living providers are subject to federal, state and local laws and regulations, and sanctions imposed under or changes to such laws or regulations could adversely affect the operations or financial results of the Obligated Group. Licensing and certification requirements are subject to change, and there can be no assurance that the Obligated Group will be able to maintain all necessary licenses or certifications, or that it will not incur substantial costs in doing so. Both federal and state regulation relating to senior living providers have been subject to change in the past, and future change can be expected. The effect of such changes may materially adversely affect the operations and financial condition of the Obligated Group. In attempts to limit federal and state expenditures, there have been, and likely there will continue to be, proposals to limit federal health care program payments, including those for care provided by SNFs. Previous federal changes included limitations on payments to SNFs under the Medicare and Medicaid programs and an increased emphasis on cost control. The methods of determining the amount and availability of payments under the Medicaid programs have been subject to a variety of significant changes in the past, and future changes can be expected to occur.

Federal and State Health Care Program Reimbursement Cuts or Delays. Medicare and Medicaid are the commonly used names for reimbursement or payment programs governed by certain provisions of the federal Social Security Act. Medicare is an exclusively federal program and Medicaid is a combined federal and state program. Medicare provides certain health care benefits to beneficiaries who are 65 years of age or older, are disabled, or qualify for the End Stage Renal Disease Program. Medicare Part A covers inpatient hospital services, up to 100 days of certain post-hospital skilled nursing and rehabilitative services, and certain other services, and Medicare Part B covers outpatient services, physician services, medical supplies and durable medical equipment. Medicare Part D provides a prescription drug benefit. Medicaid is designed to pay providers for care given to the medically indigent and others who receive federal aid. Medicaid is funded by federal and state appropriations and administered by the applicable state. CMS administers the Medicare program and works with the states to administer the Medicaid program, as well as other health care programs. Under such programs, participating providers are subject to various regulatory requirements relating thereto, including without limitation limits on reimbursement, anti-fraud and abuse provisions, restrictions on referrals, and various reporting requirements.

The Obligated Group is minimally dependent upon reimbursement from Medicare and Medicaid (known as Medi-Cal in California). For the fiscal years ended December 31, 2023 and 2022, Medicare reimbursement represented approximately 2.59% and 2.34%, respectively, of the Obligated Group's total operating revenues. For the fiscal years ended December 31, 2023 and 2022, Medi-Cal reimbursement represented approximately 0.41% and 0.27%, respectively, of the Obligated Group's total operating revenues. For a description of the Obligated Group's complete payor mix, including Medicare and Medi-Cal reimbursement, see APPENDIX A — "INFORMATION REGARDING THE ESKATON PROPERTIES, INCORPORATED OBLIGATED GROUP — STATISTICAL INFORMATION — Occupancy and Payor Mix."

Due to health care reform as well as continuing political and financial pressures, the legal and regulatory environment surrounding the federal health care programs has been changing and is expected to continue to change. Future changes to the federal health care programs may alter program features including: (1) services eligible for payment; (2) rates of payment; (3) eligibility requirements to participate or qualify for different levels of payment/reimbursement; (4) consequences of violations; (5) rates and requirements relating to additional payments unrelated to services offered to patients; (6) guidelines relating to interactions between the participating health care providers, third party payors and the federal and state governments; and (7) payment methodologies.

The federal and state governments have in the past, and may in the future, make changes to their respective budgets, which budget reductions may include reductions to Medicare or Medicaid. Federal or state budget authorization delays or other challenges may cause Medicare or Medicaid program reimbursements to be paid late. Future federal or state health care reform may involve a realignment of the Medicaid program, such as a cap on the federal share of Medicaid expenditures, or its dissolution. While it is uncertain whether future federal or state budgets or policy changes will result in a decrease in federal health care program reimbursement, any reduction thereof could have a material adverse impact on the revenues of the Obligated Group and the ability to pay the debt service of the Bonds.

Medicare. Unless a specific waiver or pilot program applies, SNF services are covered by the Medicare program only if the patient spends at least three consecutive days as a hospital inpatient for a related condition prior to admission to the SNF and if the patient was admitted to the SNF within 30 days of discharge from a qualifying hospital stay. Medicare Part A reimburses for such post hospital inpatient nursing services provided by the SNF for up to 100 days for each spell of illness, subject to coinsurance and deductible payments from the patient.

Medicare reimburses SNFs pursuant to a prospective payment system (“PPS”). Historically, Medicare PPS payments to SNFs were based upon certain resource utilization group (“RUG”) per diem payment rates developed by CMS that provided various levels of reimbursement based upon a patient case-mix classification system. Effective October 1, 2019 the RUG payment methodology was replaced with a revised payment methodology called the “SNF Patient-Driven Payment Model” (“PDPM”). Reimbursement under the PDPM is determined based on ICD-10 diagnosis codes and patient characteristics and adjusted based on the services rendered in order to account for varying costs throughout the stay. Per CMS, the goals of the PDPM are to tie payment to patient conditions and needs rather than the volume of services and to reduce provider paperwork burdens. There is no assurance that Medicare PPS payments will be sufficient to cover a SNF’s costs. Additionally, Management cannot predict with any reasonable degree of certainty or reliability the nature of any changes to the PDPM payment model or the ultimate effects of any such revised PDPM payment model on the Obligated Group’s operations or financial condition, though revenues may be negatively affected.

All SNFs paid under Medicare’s PPS are subject to the SNF Value-Based Purchasing Program (“SNF VBP Program”) and the SNF Quality Reporting Program (“SNF QRP”). The SNF VBP Program either positively or negatively adjusts a SNF’s reimbursement payments based on its performance on the program’s hospital readmission measure. Under the SNF QRP, SNFs that fail to submit the required quality data to CMS will be subject to a 2% reduction in the otherwise applicable annual market basket percentage update with respect to that fiscal year. Management cannot predict the Obligated Group’s performance under these programs or the corresponding effects on the Obligated Group’s operations or financial condition. See also, “*Industry Trend Toward Alternative Payment Models*” below.

Medicaid. The Medicaid payment system varies by state. While federal law imposes certain basic requirements on the individual Medicaid plans developed by the states, each state has developed its own Medicaid payment system. The methodologies for reimbursing providers and practitioners under

each state's system vary greatly among the individual states. Pursuant to the Medicaid program, the federal government supplements funds provided by the various states for medical assistance to the medically indigent. Payment for such medical and health services is made to providers in an amount determined in accordance with procedures and standards established by state law under federal guidelines. Payment for Medicaid patients is subject to appropriation by the respective state legislatures of sufficient funds to pay the incurred patient obligations.

In California, Medicaid is known as "Medi-Cal" and is administered and supervised by the California Department of Health Care Services. California chose to expand Medi-Cal eligibility limits in accordance with the Affordable Care Act (described below), bringing health care coverage to adults in California (ages 19 up to 65) who earn up to 138 percent of the federal poverty level. This Medicaid expansion has raised concerns about overburdening the State's health care system with a flood of new patients and challenging the financial viability of the program. As discussed above, many states, including California, face budget challenges which may negatively affect the Obligated Group in several ways, including through reductions in Medicaid reimbursement rates. It is not possible to predict what actions will be taken in future years by the State legislature, the Governor or the California Department of Health Care Services to address the Medicaid budget. Additional reductions in the levels and timing of health care provider reimbursement could have a material adverse effect on the Obligated Group.

Health Care Reform. The Patient Protection and Affordable Care Act of 2010 and the Health Care and Education Affordability Reconciliation Act of 2010 (collectively referred to as the "ACA") have significantly changed the United States health care delivery system, addressing almost all aspects of health facility and provider operations, including the delivery of health care services, the financing of health care costs, health care provider reimbursement and the legal obligations of health care providers, insurers, employers and consumers. Key changes include cost containment measures, including new payment models which may result in lower health care provider reimbursement and utilization changes; quality improvement and clinical integration initiatives; fraud and abuse enforcement enhancements; health insurance market reforms; and Medicaid expansion. Additionally, the ACA includes several initiatives that impact SNF reimbursement. Each of these ACA initiatives have required health care providers to assess, and potentially alter, their business strategy and practices. While the ACA may result in many providers receiving reduced payments for care, millions of previously uninsured Americans have obtained health insurance coverage as a result of the ACA. There is no assurance that federal payments made as a result of reimbursement reform measures will be sufficient to cover the Obligated Group's SNF costs.

Due to the controversial nature of health care reform generally, implementation of the ACA has been, and remains, politically controversial. Since its enactment, the ACA has faced a stream of opposition from Republican lawmakers calling for its repeal and/or replacement, along with a string of lawsuits challenging various aspects of the law. To date, the ACA has survived three major Supreme Court challenges and no bills wholly repealing the ACA have passed both chambers of Congress. While the majority of the ACA remains law, new legal or legislative challenges to the ACA may occur in the future which could materially impact the business or financial condition of senior living providers. In particular, a repeal or replacement of the ACA could directly affect the Obligated Group in various ways, including affecting (1) the health insurance coverage and costs provided by the Obligated Group to its employees, (2) Medicare and Medicaid reimbursement, (3) the costs to residents of services provided by the Obligated Group, and (4) the willingness of prospective residents to consider the Communities as a retirement option. Additionally, any legal, legislative, or executive action that significantly changes or disrupts the health care, senior care, or health insurance industries, generally, could have a material adverse effect on the Obligated Group's business or financial condition.

Industry Trend Toward Alternative Payment Models. It is generally expected that alternative payment models that condition reimbursement on patient outcome measures (such as the SNF VBP Program discussed above) will become more common and involve a higher percentage of reimbursement amounts. As discussed above, the ACA contains a number of health care delivery reform measures intended to promote value-based purchasing in the federal health care programs and commercial third-party payors are increasingly implementing value-based purchasing and other alternative payment models. This rapid volume-to-value reimbursement shift within the health care industry could present financial challenges for the Obligated Group and the employed or contracted clinicians with whom the Obligated Group partners to deliver care, particularly to the extent they are unable to meet targeted measures.

Federal and State Fraud and Abuse Laws. Certain federal laws, including the laws commonly known as the Anti-Kickback Statute, the Stark Law and the False Claims Act, seek to protect the federal health care programs from fraud and abuse (collectively, the “*Federal Healthcare Fraud Laws*”). The Federal Healthcare Fraud Laws are complex, heavily enforced and subject to frequent amendment. In addition, *qui tam* or “whistleblower” provisions of the False Claims Act allow private individuals to bring actions on behalf of the government. Violation of the Federal Healthcare Fraud Laws may result in significant financial penalties, fines, exclusion from the federal health care programs and/or criminal liability. In addition, a number of states, including California, have passed health care fraud and abuse laws similar to the Federal Healthcare Fraud Laws, but have expanded the scope of the prohibitions to apply to entities which bill private insurers.

Although the Obligated Group has a compliance program designed to help ensure material compliance with laws, rules and regulations affecting the senior living sector, including the Federal Healthcare Fraud Laws and similar state laws, these policies and procedures may not be wholly effective. If the Obligated Group is alleged or found to have violated such laws, rules or regulations or if government health care program payments are suspended due to an allegation of fraud, the Obligated Group’s operations and financial condition could be materially adversely affected. At the present time, Management is not aware of any pending or threatened claims, investigations or enforcement actions regarding any applicable federal or state statutes which, if determined adversely to the Obligated Group, would have a material adverse effect on the financial condition of the Obligated Group.

Billing Practices. The federal health care programs require that extensive financial information be reported on a periodic basis and in a specific format or content. These requirements are numerous, technical and complex and may not be fully understood or implemented by billing or reporting personnel. With respect to certain types of required information, the False Claims Act may be violated by mere negligence or recklessness in the submission of information to the government even without any specific intent to defraud. New billing systems, new medical procedures and procedures for which there is not clear guidance may all result in liability. Medicare and Medicaid providers are subject to various government reviews, audits and investigations to verify compliance with applicable payment laws and regulations. Government audit contractors conduct extensive reviews of claims data to evaluate appropriateness of claims submitted for payment and may identify overpayments based on coverage requirements, billing and coding rules or other risk areas. Typically, such contractors can also refer suspected violations of law to government authorities. Adverse determinations from such audits, review and investigations can result in criminal or civil liability and may include, for serious or repeated violations, exclusion from participation in the Medicare program. While Management believes that the Obligated Group’s billing practices are consistent with federal health care program criteria, there can be no assurance that fraud and abuse actions will not adversely affect the business of the Obligated Group.

Federal and State Privacy Laws. Specific state and federal laws govern the use and disclosure of confidential patient health information, as well as patients' rights to access and amend their own health information. The Administrative Simplification Requirements of the Health Insurance Portability and Accountability Act of 1996 ("*HIPAA*") established national standards to facilitate the electronic exchange of Protected Health Information ("*PHI*") and to maintain the privacy and security of the PHI. These standards have a major effect on health care providers which transmit PHI in electronic form in connection with HIPAA standard transactions (e.g., health care claims). In particular, HIPAA established standards governing: (1) electronic transactions and code sets; (2) privacy; (3) security; and (4) national identifiers.

In 2009, HIPAA was amended by the Health Information Technology for Economic and Clinical Health ("*HITECH*") Act to impose certain of the HIPAA privacy and security requirements directly upon business associates of covered entities and significantly increase the monetary penalties for violations of HIPAA. Regulations that took effect in late 2009 also require business associates to notify covered entities, who in turn must notify affected individuals and government authorities, of data security breaches involving unsecured PHI. Since the passage of the HITECH Act, enforcement of HIPAA violations has increased.

Two state medical information privacy laws expand California's health care privacy standards and provided new oversight mechanisms and enforcement penalties. These state privacy laws, among other things, penalize unlawful access, use or disclosure of a patient's health care information. State consumer privacy laws may also provide the basis for legal action for privacy and security breaches and, unlike HIPAA, authorize a private right of action. The state privacy laws provide additional sources of potential legal liability for the Obligated Group and compliance with such laws may require the Obligated Group to incur additional costs.

The Obligated Group has developed policies, procedures and practices that Management believes address applicable federal and state privacy and security laws and regulations, but if it was determined that the Obligated Group was not in compliance with such law and regulations, criminal and civil penalties could be imposed.

STATE LICENSURE AND REGULATION OF SENIOR LIVING PROVIDERS

The operations of the Obligated Group are subject to numerous licensing, certification, accreditation, and other governmental requirements that are administered by a variety of federal and state governmental agencies as well as by self-regulatory associations and commercial medical insurance reimbursement programs. These include, but are not limited to, requirements relating to Medicare and Medicaid participation, accrediting organizations, state licensing agencies and private payors. Renewal and continuance of certain of these licenses, certifications, accreditations and approvals are based upon inspections, surveys, audits, investigations or other review, some of which may require or include affirmative action or response by the Obligated Group. An adverse determination could result in a loss, fine or reduction in the Obligated Group's scope of licensure or certification, could adversely affect the Obligated Group's ability to undertake certain expenditures, or could reduce the payment received or require the repayment of the amounts previously remitted. A pandemic may result in increased governmental inspection and survey activity or enhanced penalties. Management currently anticipates no difficulty in renewing or continuing the Obligated Group's currently-held licenses, accreditations, and certifications. It is impossible, however, to predict the effect of future regulation on the operations or financial condition of the Obligated Group.

State Licensure of the Communities. The Obligated Group operates five Communities with varying levels of services as described in APPENDIX A under the heading “INFORMATION REGARDING ESKATON PROPERTIES, INCORPORATED OBLIGATED GROUP — OBLIGATED GROUP COMMUNITIES AND SERVICES.” Depending on the levels of care offered at a Community, such Community may be operated as a life plan community, also known as a continuing care retirement community (“CCRC”) with certification from the California Department of Social Services (“DSS”) and/or may have Residential Care Facility for the Elderly (“RCFE”) licensure from the DSS for assisted living, and/or SNF licensure from the California Department of Public Health (“DPH”) for skilled nursing.

If the Obligated Group fails to meet any of the applicable state statutory or regulatory requirements with respect to CCRCs, RCFEs, or SNFs described below, it could become unable to operate the Communities as described herein and, consequently, the Obligated Group could be unable to meet debt service requirements on the Bonds. State laws and regulations governing such facilities are occasionally amended or reformed by the California legislature, DSS or DPH, as applicable. There is no assurance that future legislation or regulation in California will not have an adverse impact on the ability of the Obligated Group to operate the Communities as expected.

Per the California Health and Safety Code (“*Health and Safety Code*”), an agreement to provide one or more elements of care to an elderly resident for the duration of his or her life or for a term in excess of one year in exchange for the payment of periodic charges is regarded as a “continuing care contract” subject to rules and regulations under the Health and Safety Code. Any facility entering into such continuing care contracts in the state of California are considered CCRCs which must obtain: (i) a license to operate a RCFE from DSS, (ii) where there is a SNF on the premises, a license to operate a SNF from DPH, and (iii) a certificate of authority (“COA”) from DSS to enter into continuing care contracts with residents.

RCFE and SNF Licensure. RCFE licenses renew annually upon payment of renewal fees; however, the license is subject to suspension or revocation on any ground specified in Health and Safety Code Section 1569.50 (violation by the licensee of the RCFE law; aiding, abetting, or permitting violation of the RCFE law; conduct inimical to the health, morals, welfare, or safety of either an individual in or receiving services from the facility or the people of the State of California; the conviction of a licensee, or other person for whom criminal record clearance is required, any time before or during licensure, of a crime as defined in the RCFE law; and engaging in acts of financial malfeasance concerning operation of a facility, including, but not limited to, improper use or embezzlement of client monies and property or fraudulent appropriation for personal gain of facility monies and property, or willful or negligent failure to provide services for the care of clients). DPH inspects SNFs approximately once a year, and facilities failing to meet the state or federal standards are subject to fines or other enforcement actions.

DPH and DSS may deny licensing if either agency is not satisfied with the Obligated Group’s compliance with requirements to operate as a SNF or RCFE, respectively, in the state. In addition, DPH and DSS both have broad remedial powers to intervene in the operation of a provider who fails to comply with applicable regulatory requirements once the provider is licensed and in operation.

CCRC Certificate of Authority. In addition to the licenses described above, continuing care providers are required to obtain a COA from DSS prior to entering into continuing care contracts with residents. A COA may be suspended, conditioned or revoked by DSS if it finds that the continuing care provider has done any of the following: (i) violated the statutes, or the rules and regulations of the Health and Safety Code governing continuing care contracts (Health and Safety Code Sections 1770 *et seq.*) (the “*Continuing Care Law*”); (ii) aided, abetted, or permitted the violation of the Continuing Care Law; (iii) had a license suspended or revoked; (iv) made a material misstatement, misrepresentation, or fraud in

obtaining its licenses, permits, COA; (v) demonstrated a lack of fitness or trustworthiness; (vi) engaged in any fraudulent or dishonest practices or management in the conduct of business; (vii) misappropriated, converted, or withheld moneys; (viii) after request by DSS for an examination, access to records, or information, refused to be examined or otherwise to cooperate; (ix) manifested an unsound financial condition; (x) used methods and practices in the conduct of business so as to render further transactions by the provider hazardous or injurious to the public; (xi) failed to maintain at least the minimum statutory reserves required by the Continuing Care Law; (xii) failed to comply with the requirements of the Continuing Care Law for maintaining escrow accounts for funds; (xiii) failed to file its annual report; (xiv) violated a condition of its permit to accept deposits, COA; (xv) failed to comply with its approved financial and marketing plan or to secure approval of a modified plan; (xvi) materially changed or deviated from an approved plan of operation without the prior consent of DSS; (xvii) failed to fulfill its obligations under continuing care contracts; (xviii) made material misrepresentations to depositors, prospective residents or residents of a continuing care retirement community; (xix) failed to submit proposed changes to continuing care contracts prior to use, or is using a continuing care contract that has not been previously approved by DSS; or (xx) failed to diligently submit materials requested by DSS or required by the Continuing Care Law.

The suspension or revocation of a COA by DSS, or the voluntary return of the COA by a continuing care provider, does not release such provider from the obligations assumed at the time continuing care contracts were executed. In the case of any violation or threatened violation of the Continuing Care Law, DSS may institute a proceeding or may request the Attorney General of the State to institute a proceeding to obtain injunctive or other equitable relief in the superior court in and for the county in which the violation has occurred or will occur, or in which the principal place of business of the continuing care provider is located. If at any time DSS determines that further efforts to rehabilitate the continuing care provider would not be in the best interest of the CCRC residents or prospective residents, or would not be economically feasible, DSS may apply to the court for an order of liquidation and dissolution or may apply for other appropriate relief for dissolving the property and bringing to conclusion its business affairs. Upon issuance of an order directing the liquidation or dissolution of the provider, DSS shall revoke the continuing care provider's COA.

A provider offering a continuing care contract, is required by the Continuing Care Law to maintain at all times qualifying assets ("*Qualifying Assets*") as a liquid reserve in an amount at least equal to the sum of (a) the amount the provider is required to hold as a debt service reserve under Section 1792.3 of the Health and Safety Code (the "*Debt Service Reserve Amount*") and (b) the amount the continuing care provider is required to hold as an operating expense reserve under Section 1792.4 of the Health and Safety Code (the "*Operating Expense Reserve Amount*"). The Debt Service Reserve Amount is the amount equal to the sum of (i) all regular principal and interest payments, and credit enhancement premiums, paid by the CCRC during the immediately preceding fiscal year on account of any fully amortizing long-term debt owed by the CCRC; (ii) facility rental or leasehold payments, and any related payments, paid by the CCRC during the immediately preceding fiscal year; and (iii) all payments paid by the CCRC during the immediately preceding fiscal year on account of any debt that provides for a balloon payment. The Operating Expense Reserve Amount is an amount that equals or exceeds 75 days' net operating expenses, which includes all expenses of the CCRC except (1) interest and credit enhancement expenses factored into the Debt Service Reserve Amount described above, (2) depreciation or amortization expenses, (3) an amount equal to the reimbursement paid to the CCRC during the past 12 months for services to residents other than residents holding continuing care contracts, and (4) extraordinary expenses that DSS determines may be excluded by the Obligated Group. Qualifying Assets are: (1) cash; (2) certificates of deposit and United States Treasury securities with a maturity of five years or less; (3) certain investment securities (as defined in Section 1771(i)(2) of the Health and Safety Code); (4) certain equity securities, including mutual funds (as defined in Section 1771(e)(7) of the Health and Safety Code); and (5) certain lines of credit and letters of credit

meeting the requirements of Section 1792.2(a)(5) of the Health and Safety Code. The CCRC is not required to set aside, deposit into escrow, or otherwise restrict the assets it holds as its liquid reserve, unless DSS expressly requires it to do so because DSS has reason to believe the CCRC is insolvent, in imminent danger of becoming insolvent, in a financially unsound or unsafe condition, or in a condition such that it may otherwise be unable fully to perform its obligations pursuant to continuing care contracts. As of December 31, 2023, the Obligated Group was in compliance with the financial reserve requirements described above with respect to its CCRC Community, Eskaton Village Carmichael.

The Continuing Care Contracts Bureau of DSS reviews each CCRC in the state at least once every three years to augment the Bureau's assessment of the CCRC's financial soundness. The Bureau considers the condition of the CCRC, whether the CCRC is operating in compliance with applicable state law, and whether the CCRC is performing the services specified in its continuing care contracts. Failure to maintain any required financial reserves or to comply with regulatory requirements may result in civil penalties or the suspension or revocation of a CCRC's COA. If DSS believes a CCRC is in imminent danger of becoming insolvent, is in a financially unsound or unsafe condition, or observes other deficiencies as set forth in Section 1793.13 of the Health and Safety Code, DSS may require the CCRC to submit a financial plan and periodic financial reports (collectively, a "*Financial Plan*"). Such Financial Plan must (i) explain how and when the CCRC will remedy the deficiencies identified by DSS, (ii) be approved by DSS, and (iii) be shared with the CCRC's resident council or association and any prospective or incoming residents within certain time periods. Such disclosure requirement may adversely affect occupancy rates.

Additionally, upon certain failures to comply with regulatory requirements, including the CCRC becoming insolvent or unable to perform its contractual obligations, DSS is authorized to petition for the appointment of a court-appointed administrator to rehabilitate the CCRC. In this capacity, the administrator's powers include taking possession of the CCRC's assets and property, dealing with the property in the administrator's name, depositing and investing any of the CCRC's funds, and paying all expenses of the rehabilitation. In the event of a permanent relocation of residents from a CCRC is required due to termination or forfeiture of the CCRC's COA or licenses, certain procedures are required to be followed. These procedures include the establishment of a reserve, trust fund or performance bond in an amount sufficient to cover the cost and ensure the fulfillment the CCRC's statutory obligations, which include the cost of moving residents to other communities and may include additional monetary compensation to the affected residents in certain circumstances.

CCRCs are subject to a statutory limitation on transfer. Pursuant to Sections 1773 and 1789.4 of the Health and Safety Code, a provider may not sell or transfer ownership of a CCRC without the approval of DSS, including the granting of any interest in the facility, such as a mortgage or deed of trust. Pursuant to Health and Safety Code Section 1779.4, as a condition to the receipt of a COA to operate as a CCRC, a provider must also record a "Notice of Statutory Limitation of Transfer" with respect to the real property on which the facility is located, indicating that use and transfer of the property is subject to the conditions and limitations imposed by the Health and Safety Code, which Notice is required to be recorded prior to encumbering the CCRC property with a proposed encumbrance securing financing. The limitations on transfer imposed by the Health and Safety Code Section 1789.4 include approval by DSS following review of an application that identifies the purchaser, the terms of the sale, a plan for ensuring performance of the existing continuing care contract obligations and notice to and acknowledgment by the residents. Further, unless a new provider assumes all of the continuing care obligations of the selling provider at the close of the sale or transfer, the selling provider must set up a trust fund or secure a performance bond to ensure the fulfillment of all of its continuing care contract obligations. The purchaser must also make application for and obtain the appropriate licenses and COA before executing any continuing care contracts or assuming the selling provider's continuing care contracts. See also

APPENDIX A — “INFORMATION REGARDING ESKATON PROPERTIES, INCORPORATED OBLIGATED GROUP — OBLIGATED GROUP COMMUNITIES AND SERVICES – Description of Obligated Group Communities.”

The Obligated Group has obtained all required RCFE licenses, SNF licenses, and/or CCRC COAs from the applicable California regulatory authorities in order to operate the Communities. In the opinion of Management, the Obligated Group operates the Communities in a manner consistent with the Health and Safety Code. To Management’s knowledge, the Obligated Group’s existing RCFE licenses, SNF licenses, and CCRC COAs have never been suspended, conditioned, or revoked. Additionally, the CCRC Community is not currently subject to the Financial Plan requirements described above. There is no guarantee that the Obligated Group’s certificates or licenses to operate the licensed portions of the Communities will not be suspended, conditioned, or revoked in the future.

For more information regarding the types of services offered by the Obligated Group at the Communities, see APPENDIX A — “INFORMATION REGARDING ESKATON PROPERTIES, INCORPORATED OBLIGATED GROUP — OBLIGATED GROUP COMMUNITIES AND SERVICES.”

State Penalties for Significant Patient Care Events. In California, DPH is authorized to issue citations to and impose administrative remedies on SNFs that experience certain significant patient care events that violate State or federal law. In accordance with Sections 1424 and 1424.5 of the Health and Safety Code, a violation is assigned one of several citation classes based on the scope and impact of the incident on patient health and safety. Depending on the citation class, the administrative penalty for such incidents ranges from \$100 to \$100,000.

SNF Quality Assurance Fees. Certain SNFs in California are subject to “quality assurance fees” on skilled nursing services which require payment of a daily fee for each occupied SNF bed. State law, however, includes a waiver which exempts certain types of SNFs, such as SNFs that are components of CCRCs and SNFs operated by the state or another public entity, from the obligation to pay such quality assurance fees. There can be no assurance that any such exemption (which, as presently in effect, exempts the Obligated Group’s only remaining SNF at Eskaton Village Carmichael) will continue in whole or in part, and legislative proposals that contemplate modifying or terminating the scope of the quality assurance fee exemption have been discussed from time to time.

CYBERSECURITY RISKS

Cybersecurity refers to the combination of technologies, processes and procedures established to protect information technology systems and data from unauthorized access, attack, or damage. The Obligated Group relies on its information systems for its business operations and to provide security for processing, transmission and storage of confidential resident and other information, including information relating to health protected by HIPAA. Although the Obligated Group has taken steps to protect the security of its information systems and the data maintained in those systems, it is possible that these security measures will not prevent improper access or disclosure of personally identifiable information. Security breaches, including electronic break-ins, computer viruses, attacks by hackers and similar breaches can create system disruptions or shutdowns or the unauthorized disclosure of confidential information. Cyber-attacks (such as ransomware or malware attacks) targeting health care entities and their third-party service providers have been occurring more frequently, and in some cases, have resulted in the interruption or temporary cessation of services. If protected personal or health information of residents or others is improperly accessed, tampered with or distributed, the Obligated Group may incur significant costs to remediate possible injury to the affected residents or other persons, and the Obligated Group may be subject to sanctions and civil penalties if it is found to be in violation of the privacy or security rules under HIPAA or other similar federal or state laws protecting confidential patient health

information. Any failure to maintain proper functionality and security of information systems could interrupt the Obligated Group's operations, damage its reputation, subject it to liability claims or regulatory penalties and could have a material adverse effect on its operations, financial condition and results of operations. Although the Obligated Group has insurance against some cyber risks and attacks, it may not be sufficient to offset the impact of a material loss event.

AFFILIATION, MERGER, ACQUISITION

The Obligated Group evaluates and may pursue potential acquisition, merger and affiliation candidates as part of the overall strategic planning process. Likewise, the Obligated Group occasionally receives inquiries from, or conducts discussions with, third parties about the potential acquisition of operations. Discussions with respect to affiliation, merger or acquisition are held from time to time with other parties. As a result, it is possible that the current organization and assets of the Obligated Group may change from time to time. Any such changes are subject to compliance with the applicable provisions of the Master Indenture.

RISKS RELATED TO TAX-EXEMPT STATUS

Tax-Exempt Status of the Bonds. The Code imposes a number of requirements that must be satisfied for interest on state and local obligations, such as the Bonds, to be excludable from gross income for federal income tax purposes. These requirements include, among other things, limitations on the use of bond proceeds and facilities financed with bond proceeds, limitations on the investment earnings of bond proceeds prior to expenditure, a requirement that certain investment earnings on bond proceeds be paid periodically to the United States, and a requirement that the Authority file an information report with the IRS. The Authority, the Obligated Group Members and the Bond Trustee have covenanted to comply with these requirements to the extent applicable. Failure to comply with the requirements stated in the Code and related regulations, rulings and policies may result in the treatment of the interest on the Bonds as taxable. Such adverse treatment may be retroactive to the date of issuance. See also, "TAX MATTERS."

IRS officials have recently indicated that more resources will be invested in audits of tax-exempt bonds in the charitable organization sector. The Bonds may be, from time to time, subject to audits by the IRS. Bond Counsel will render an opinion with respect to the tax-exempt status of the Bonds, as described under the caption "TAX MATTERS" below. The opinion of Bond Counsel is not binding on the IRS. There is no assurance that an IRS examination on the Bonds will not adversely affect the market value of the Bonds. See "TAX MATTERS" below.

Proposed Legislation Regarding Limitations or Elimination of Tax-exempt Status of Bonds. Tax legislation, administrative actions taken by tax authorities, or court decisions, whether at the Federal or state level, may adversely affect the tax-exempt status of interest on the Bonds under Federal or state law or otherwise prevent beneficial owners of the Bonds from realizing the full current benefit of the tax status of such interest. In addition, such legislation or actions (whether currently proposed, proposed in the future, or enacted) and such decisions could affect the market price or marketability of the Bonds.

Prospective investors should consult with their tax advisors on the foregoing matters as they consider an investment in the Bonds.

Tax-Exempt Status of the Obligated Group Members. The tax-exempt status of the Bonds depends, among other things, upon maintenance by the Obligated Group Members of their status as organizations described in Section 501(c)(3) of the Code. The maintenance of such status is contingent

on compliance with general rules promulgated in the Code and related regulations regarding the organization and operation of tax-exempt entities, including their operation for charitable and other permissible purposes and their avoidance of transactions that may cause their earnings or assets to inure to the benefit of private individuals. As these general principles were developed primarily for charities that do not conduct large-scale technical operations and business activities, they often do not adequately address the myriad operations and transactions entered into by a modern senior living organization. Although traditional activities of senior living providers have been the subject of interpretations by the IRS in the form of Private Letter Rulings, many activities or categories of activities have not been fully addressed in any official opinion, interpretation or policy of the IRS.

The IRS has issued Revenue Rulings dealing specifically with the manner in which a facility providing residential services to the elderly must operate in order to maintain its exemption under Section 501(c)(3) of the Code. Revenue Ruling 72-124 states that an otherwise qualified organization will qualify for charitable status for purposes of the Code if it operates in a manner designed to satisfy the needs of elderly persons for housing, health care and financial security. The need for housing is generally met if the organization provides residential facilities specifically designed to meet some combination of the physical, emotional, recreational, social, religious and similar needs of elderly persons. The need for health care is generally met if the organization directly provides some form of health care or, in the alternative, makes such care available through continuing arrangements with other organizations, facilities or health personnel. The need for financial security is generally met if two conditions are satisfied: (1) the organization must be committed to an established policy of maintaining in residence any persons who become unable to pay their regular charges, and (2) the organization operates so as to provide its services to the elderly at the lowest feasible cost, taking into account such expenses as the payment of indebtedness, maintenance of adequate reserves, and reserves for physical expansion. Revenue Ruling 79-18 states that a charitable organization providing residential services to the elderly may admit only those tenants who are able to pay full rental charges, *provided* that those charges are set at a level that is within the financial reach of a significant segment of the community's elderly persons and that the organization maintains in residence those tenants who become unable to pay monthly charges. Later rulings clarify that the need to subsidize residents is limited to the extent the provider can provide such subsidies without jeopardizing its own sound financial operations.

If the IRS were to find that an Obligated Group Member has participated in activities in violation of certain regulations or rulings, the Obligated Group Member's tax-exempt status could be in jeopardy. Although the IRS has not frequently revoked the Section 501(c)(3) tax-exempt status of nonprofit senior living corporations, it could do so in the future. Loss of tax-exempt status by an Obligated Group Member potentially could result in loss of tax exemption of all or a portion of the Bonds, and defaults in covenants regarding the Bonds and other outstanding tax-exempt debt and obligations likely would be triggered. Loss of an Obligated Group Member's tax-exempt status also could result in substantial tax liabilities on the income of the Obligated Group Member.

In lieu of revocation of exempt status, the IRS may impose penalty excise taxes on certain "excess benefit transactions" involving Section 501(c)(3) organizations and "disqualified persons." An excess benefit transaction is one in which a disqualified person receives more than fair market value from the exempt organization or pays the exempt organization less than fair market value for property or services, or shares the net revenues of the tax-exempt entity. A disqualified person is a person (or a certain kind of entity) who is in a position to exercise substantial influence over the affairs of the exempt organization during the five years preceding an excess benefit transaction. The statute imposes excise taxes on the disqualified person and any "organization manager" who knowingly participates in an excess benefit transaction. These rules do not penalize the exempt organization itself, so there would be no

direct impact on the Obligated Group Members or the tax status of the Bonds if an excess benefit transaction were subject to IRS enforcement.

It is not possible to predict the scope or effect of future legislative or regulatory actions with respect to taxation of nonprofit corporations. There can be, however, no assurance that future changes in the laws and regulations of the federal, state or local governments, or the interpretation of existing or future laws and regulations will not materially and adversely affect the operations and revenues of the Obligated Group by requiring them to pay income taxes.

Property Taxes. The property taxation to which the Communities are currently subject is limited. However, budgetary pressures on state and local government may lead to increasing pressures for state legislation to amend the property tax statutes to subject to taxation various properties owned by nonprofit organizations or to condition exemption from taxation upon the performance of specific types or level of charitable activity.

In recent years, state, county, and local taxing authorities have been undertaking audits and reviews of the operations of tax-exempt organizations with respect to their property tax exemption for both real and personal property. In some states, including California, these authorities have interpreted the criteria for exemption more narrowly than in the past, resulting in revocation, denial or limitation of exemption. Management expects the majority of the Obligated Group's real and personal property to be exempt from ad valorem property taxes. Investigations or audits could lead to challenges of the property tax exemption that, if successful, could adversely and materially affect the property tax exemption of the Communities.

Intermediate Sanctions. In 1996, the Taxpayers Bill of Rights 2 (the "*Taxpayers Act*") was signed into law. The Taxpayers Act provides the IRS with an "intermediate" tax enforcement tool to combat violations by tax-exempt organizations of the private inurement prohibition of the Code. Prior to the "intermediate sanctions law," the IRS could punish such violations only through revocation of an entity's tax-exempt status.

Intermediate sanctions may be imposed where there is an "Excess Benefit Transaction," defined to include a disqualified person (*i.e.*, an insider) (1) engaging in a non-fair market value transaction with the tax-exempt organization; (2) receiving unreasonable compensation from the tax-exempt organization; or (3) receiving payment in an arrangement that violates the private inurement proscription.

A disqualified person who benefits from an excess benefit transaction will be subject to a "*first tier*" penalty excise tax equal to 25% of the amount of the excess benefit. Organizational managers who participate in an excess benefit transaction knowing it to be improper are subject to a first-tier penalty excise tax of 10% of the amount of the excess benefit, subject to a maximum penalty of \$20,000. A "*second tier*" penalty excise tax of 200% of the amount of the excess benefit may be imposed on the disqualified person (but not the organizational manager) if the excess benefit transaction is not corrected in a specified time period.

CERTAIN MATTERS RELATING TO ENFORCEABILITY OF THE MASTER INDENTURE

The obligation of Members of the Obligated Group under the Series 2024 Obligation will be limited to the same extent as the obligations of debtors typically are affected by bankruptcy, insolvency and the application of general principles of creditors' rights and as additionally described below.

The accounts of the Members of the Obligated Group (including any future Members of the Obligated Group) will be combined for financial reporting purposes and will be used in determining whether various covenants and tests contained in the Master Indenture (including tests relating to the incurrence of Additional Indebtedness) are met, notwithstanding the uncertainties as to the enforceability of certain obligations of the Obligated Group contained in the Master Indenture which bear on the availability of the assets and revenues of the Obligated Group to pay debt service on Obligations, including the Series 2024 Obligation pledged under the Bond Indenture as security for the Bonds. The obligation described herein of the Obligated Group to make payments of debt service on Obligations issued under the Master Indenture (including transfers in connection with voluntary dissolution or liquidation) may not be enforceable to the extent (1) enforceability may be limited by applicable bankruptcy, moratorium, reorganization or similar laws affecting the enforcement of creditors' rights and by general equitable principles and (2) such payments (i) are requested with respect to payments on any Obligations issued by a Member other than the Member from which such payment is requested, issued for a purpose which is not consistent with the charitable purposes of the Member of the Obligated Group from which such payment is requested or issued for the benefit of a Member of the Obligated Group which is not a Tax-Exempt Organization; (ii) are requested to be made from any moneys or assets which are donor-restricted or which are subject to a direct or express trust which does not permit the use of such moneys or assets for such a payment; (iii) would result in the cessation or discontinuation of any material portion of the health care or related services previously provided by the Member of the Obligated Group from which such payment is requested; or (iv) are requested to be made pursuant to any loan violating applicable usury laws. The extent to which the assets of any future Member of the Obligated Group may fall within the categories (ii) and (iii) above with respect to the Series 2024 Obligation cannot now be determined. The amount of such assets which could fall within such categories could be substantial.

A Member of the Obligated Group may not be required to make any payment on any Obligation, or portion thereof, the proceeds of which were not loaned or otherwise disbursed to such Member of the Obligated Group to the extent that such payment would render such Member of the Obligated Group insolvent or which would conflict with or not be permitted by or which is subject to recovery for the benefit of other creditors of such Member of the Obligated Group under applicable laws. There is no clear precedent in the law as to whether such payments from a Member of the Obligated Group in order to pay debt service on the Series 2024 Obligation may be voided by a trustee in bankruptcy in the event of bankruptcy of a Member of the Obligated Group, or by third-party creditors in an action brought pursuant to state fraudulent conveyance statutes. Under the United States Bankruptcy Code, a trustee in bankruptcy and, under state fraudulent conveyance statutes and common law, a creditor of a related guarantor, may avoid any obligation incurred by a related guarantor if, among other bases therefor, (1) the guarantor has not received fair consideration or reasonably equivalent value in exchange for the guaranty and (2) the guaranty renders the guarantor insolvent, as defined in the United States Bankruptcy Code or state fraudulent conveyance statutes, or the guarantor is undercapitalized.

Application by courts of the tests of "insolvency," "reasonably equivalent value" and "fair consideration" has resulted in a conflicting body of case law. It is possible that, in an action to force a Member of the Obligated Group to pay debt service on an Obligation for which it was not the direct beneficiary, a court might not enforce such a payment in the event it is determined that the Member of the Obligated Group is analogous to a guarantor of the debt of the Member of the Obligated Group who directly benefited from the borrowing and that sufficient consideration for the Member of the Obligated Group's guaranty was not received and that the incurrence of such Obligation has rendered or will render the Member of the Obligated Group insolvent.

CERTAIN MATTERS RELATING TO ENFORCEABILITY OF SECURITY INTEREST IN GROSS REVENUES

The effectiveness of the security interest in the Gross Revenues granted in the Master Indenture may be limited by a number of factors, including: (i) the absence of an express provision permitting assignment of receivables owed to the Members of the Obligated Group under their contracts, and present or future prohibitions against assignment contained in any applicable statutes or regulations; (ii) certain judicial decisions which cast doubt upon the right of the Master Trustee, in the event of the bankruptcy of a Member of the Obligated Group, to collect and retain accounts receivable from Medicare, Medicaid and other governmental programs; (iii) commingling of the proceeds of Gross Revenues with other moneys not subject to the security interest in the Gross Revenues; (iv) statutory liens; (v) rights arising in favor of the United States of America or any agency thereof; (vi) constructive trusts, equitable or other rights impressed or conferred by a federal or state court in the exercise of its equitable jurisdiction; (vii) federal bankruptcy laws or state insolvency laws which may affect the enforceability of the mortgage or the security interest in the Gross Revenues of the Members of the Obligated Group which are earned by the Members of the Obligated Group within 90 days, preceding or, in certain circumstances with respect to related corporations, within one year preceding and after any effectual institution of bankruptcy proceedings by or against a Member of the Obligated Group; (viii) rights of third parties in Gross Revenues converted to cash and not in the possession of the Master Trustee; and (ix) claims that might arise if appropriate financing or continuation statements are not filed or other documents, including the depository account control agreement described under the heading “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—The Master Indenture and the Deeds of Trust”, are not executed in accordance with the Uniform Commercial Code of the State as from time to time in effect.

Accounts receivable of the Members of the Obligated Group which constitute Gross Revenues and are pledged as security under the Master Indenture may be sold if such sale is in accordance with the provisions of the Master Indenture. Any lien created under the Master Indenture on such accounts receivable would terminate and be immediately released upon any such sale with respect to any such accounts receivable so sold.

TITLE INSURANCE; LIMITATIONS OF REMEDIES UNDER THE DEEDS OF TRUST

In connection with the issuance of the Bonds, the Obligated Group will deliver a lender’s title insurance policy, which runs to the Master Trustee. The title insurance policy will be in an amount at least equal to the aggregate principal amount of the Bonds. The Obligated Group is not required to obtain an increase in the amount of the policy in connection with the issuance of any additional Obligations subsequent to the issuance of the Series 2024 Obligation, and the title insurance policy will not pay any claim which exceeds the aggregate face amount of the policy.

The practical realization of value from the real property subject to the Deeds of Trust upon any default will depend on the exercise of the remedies specified under the Deeds of Trust, principally, foreclosure. Statutory provisions (such as the federal bankruptcy laws) may have the effect of delaying enforcement of the lien and security interest under the Deeds of Trust upon the occurrence of a default under the Master Indenture.

The real property subject to the Deeds of Trust consists primarily of skilled nursing facilities (nursing homes), assisted living facilities, independent living apartments and related facilities having limited potential uses. If the Master Trustee were to take possession of the property subject to the Deeds of Trust pursuant to exercise of its remedies under the Deeds of Trust, the number of persons who would be interested in purchasing the property likely would be very limited. As a result, the ability of the

Master Trustee to realize value from such property would be limited. Accordingly, upon an Event of Default and foreclosure or similar remedy under the Deeds of Trust, the Master Trustee may not be able to realize an amount sufficient to satisfy all obligations secured by the Deeds of Trust.

AMENDMENTS TO THE DOCUMENTS

Certain amendments to the Bond Indenture and the Loan Agreement may be made without the consent of the owners of the outstanding Bonds under the Bond Indenture and certain amendments may be made with the consent of the owners of a majority of the outstanding Bonds. Such amendments may adversely affect the security of the Bondholders. See APPENDIX D — “SUMMARY OF BOND INDENTURE AND LOAN AGREEMENT — THE BOND INDENTURE — Supplemental Bond Indentures.”

ADDITIONAL DEBT

The Master Indenture permits the Obligated Group to incur Additional Indebtedness that may be equally and ratably secured with the Series 2024 Obligation. Any such additional parity indebtedness would be entitled to share ratably in the security interest with the owners of the Series 2024 Obligation. Any moneys realized from the exercise of remedies in the event of a default by the Obligated Group could reduce the Debt Service Coverage Ratio and could impair the ability of the Obligated Group to maintain its compliance with certain covenants described in APPENDIX C under the caption “SUMMARY OF MASTER INDENTURE AND DEEDS OF TRUST — Rate and Charges; Debt Service Coverage.” There is no assurance that, despite compliance with the conditions upon which Additional Indebtedness may be incurred at the time such debt is created, the ability of the Obligated Group to make the necessary payments to repay the Series 2024 Obligation may not be materially adversely affected upon the incurrence of Additional Indebtedness. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS” herein.

FACTORS THAT COULD AFFECT THE VALIDITY OR VALUE OF THE LIEN AGAINST THE OBLIGATED GROUP’S GROSS REVENUES AND THE ENFORCEABILITY OF THE LOAN AGREEMENT AND LEGAL OPINIONS

The legal right and practical ability of the Bond Trustee to enforce the rights and remedies under the Loan Agreement and of the Master Trustee to enforce the rights and remedies under the Master Indenture may be limited by laws relating to bankruptcy (see “BANKRUPTCY” directly following), insolvency, reorganization, fraudulent conveyance or moratorium and by other similar laws affecting creditors rights. The enforcement of such rights and remedies will also depend upon the exercise of various remedies specified by such documents which may in many instances require judicial actions that are often subject to discretion and delay or that otherwise may not be readily available or may be limited.

In addition, there exists common law authority and certain statutory authority for the ability of the courts to terminate the existence of a nonprofit corporation or undertake supervision of its affairs on various grounds, including a finding that such corporation has insufficient assets to carry out its stated charitable purposes. Such court action may arise on the court’s own motion or pursuant to a petition of the state Attorney General or such other persons who have interests different from those of the general public, pursuant to the common law and statutory power to enforce charitable trusts and to see the application of their funds to their intended charitable uses.

The various legal opinions to be delivered concurrently with the execution and delivery of the Bonds will be qualified as to the enforceability of the various legal instruments by limitations imposed by

State and federal laws, rulings and decisions affecting remedies, and by bankruptcy, reorganization or other laws of general application affecting the enforcement of creditors' rights or the enforceability of certain remedies or document provisions.

BANKRUPTCY

If a Member of the Obligated Group were to file a petition for relief under Title 11 of the United States Code (the "*Bankruptcy Code*"), the filing would operate as an automatic stay of the commencement or continuation of any judicial or other proceeding against such Member and any interest it has in property. If the bankruptcy court so ordered, the Member's property, including its accounts receivable and proceeds thereof, could be used, at least temporarily, for the benefit of the Member's bankruptcy estate despite the claims of its creditors.

In a case under the current Bankruptcy Code, a Member of the Obligated Group could file a plan of reorganization. The plan is the vehicle for satisfying, and provides for the comprehensive treatment of, all claims against such Member and could result in the modification of rights of any class of creditors, secured or unsecured. To confirm a plan of reorganization, with one exception discussed below, it must be approved by the vote of each class of impaired creditors. A class approves a plan if, of those who vote, those holding more than one-half in number and at least two-thirds in amount vote in favor of a plan. Approval by classes of interests requires a vote in favor of the plan by two-thirds in amount. If these levels of votes are attained, those voting against the plan or not voting at all are nonetheless bound by the terms thereof. Other than as provided in the confirmed plan, all claims and interests are discharged and extinguished. If fewer than all of the impaired classes accept the plan, the plan may nevertheless be confirmed by the bankruptcy court and the dissenting claims and interests would be bound thereby. For this to occur, at least one of the impaired classes must vote to accept the plan and the bankruptcy court must determine that the plan does not "discriminate unfairly" and is "fair and equitable" with respect to the nonconsenting class or classes. The Bankruptcy Code establishes different fair and equitable tests for secured claims and interest holders. To be confirmed, the bankruptcy court must also determine that a plan, among other requirements, provides creditors with not less than would be received in the event of liquidation, is proposed in good faith, and that the debtor's performance is feasible.

CERTAIN RISKS ASSOCIATED WITH THE DEEDS OF TRUST

Valuation. There can be no assurance that, if the Obligated Group were to default in making the payments under the Loan Agreement, (i) any part or all of the Communities could be foreclosed upon and sold for an amount sufficient to fully pay the outstanding principal of and interest on the Bonds or (ii) any bid would be received for the Communities and, if received, that such bid would be sufficient to fully pay the outstanding principal of and interest on the Bonds.

Priority of the Liens. The liens created under the Deeds of Trust delivered by the Obligated Group constitute a first lien on and security interest in the Mortgaged Property. The liens are subordinate to and independent of liens for general property taxes, special taxes and assessments. Additional special taxes or assessments may be imposed on the Communities by other public agencies that have jurisdiction over the Mortgaged Property. Such future special taxes or assessments would have priority over the liens created under the Deeds of Trust. Additionally, the Obligated Group may create Permitted Encumbrances which have priority over the liens created under the Deeds of Trust.

Hazardous Substances. While governmental taxes, assessments and charges are common claims against the value of property, other less common claims may be relevant. One of the most serious in terms of the potential reduction in the value that may be realized is a claim with regard to hazardous

substances. In general, the Obligated Group may be required by law to remedy conditions of the Communities relating to release of hazardous substances. The federal Comprehensive Environmental Response, Compensation and Liability Act of 1980, sometimes referred to as “CERCLA” or the “Superfund Act,” is the most well-known and widely applicable of these laws. California laws with regard to hazardous substances are stringent and similar to the federal acts. Under many of these laws, the owner (or operator) is obligated to remedy a hazardous substance condition on property, whether or not the owner (or operator) had or has anything to do with the creation or handling of the hazardous substance. Consequently, if any part of the Communities is affected by a hazardous substance, the marketability and value of the parcel may be reduced by the cost of remedying the condition. Further, such liabilities may arise not simply from the existence of a hazardous substance but from the method of handling the hazardous substance. Any of these circumstances could significantly affect the value of the Mortgaged Property that would be realized upon a delinquency and foreclosure.

Foreclosure. There are two methods of foreclosing on a deed of trust under California law: by nonjudicial sale and by judicial sale. Foreclosure under a deed of trust may be accomplished by a nonjudicial trustee’s sale under the power of sale provision in the deed of trust. Prior to such sale, the trustee must record a notice of default and election to sell and must send a copy to the trustor, any person who has recorded a request for a copy of the notice of default and notice of sale, any successor in interest of the trustor and the beneficiary of any junior deed of trust. Following the lapse of three months after recording the notice of default and election to sell, the trustee may give notice of sale. The notice of sale must be posted in a public place and published once each week throughout a 20-day period prior to the trustee’s sale. Such notice of sale must be posted on the property and must be sent to the trustor, to each person who has requested a copy, to any successor in interest of the trustor and to the beneficiary of any junior deed of trust at least 20 days prior to the sale. The trustor, any successor in interest of the trustor, or any person having a junior lien or encumbrance of record may cure the default during the statutory reinstatement period by paying the entire amount of the debt then due under the terms of the deed of trust and the obligations secured thereby (exclusive of principal due by virtue of acceleration upon default) plus costs and expenses actually incurred in enforcing the obligation and certain statutorily limited attorneys’ and trustee’s fees. In addition, the notice of sale must be recorded with the county recorder at least 14 days prior to the date of sale. Following the sale, neither the trustor nor any junior lien holder has any right of redemption, and the beneficiary may not ordinarily obtain a deficiency judgment against the trustor.

If foreclosure under a deed of trust is sought in the form of a judicial foreclosure, it generally is subject to most of the delays and expenses that occur with other lawsuits. Judicial foreclosure sometimes requires up to several years to complete. The primary advantage of a judicial foreclosure is that the beneficiary is entitled, subject to other limitations, to obtain a deficiency judgment against the trustor to the extent that the amount of the debt is in excess of the fair market value of the property. Following a judicial foreclosure sale, the trustor or its successors in interest may redeem the property for a period of one year (or a period of three months if the entire amount of the debt is bid at the foreclosure sale).

Antideficiency Legislation and Other Limitations on Lenders. The State of California has four principal statutory prohibitions limiting the remedies of a beneficiary under a deed of trust. Two of these prohibitions limit the beneficiary’s right to obtain a deficiency judgment, one being based on the method of foreclosure and the other on the type of debt secured. Under the former, a deficiency judgment ordinarily is barred when the foreclosure is accomplished by means of a nonjudicial trustee’s sale, except where the deed of trust is given to secure the payment of bonds authorized or permitted to be issued by the California Commissioner of Corporations. Under the latter (not intended to be applicable in this situation), a deficiency judgment is barred where a foreclosed deed of trust secures certain purchase money obligations.

Another California statute, commonly known as the “one form of action” rule, requires the beneficiary to exhaust the security under a deed of trust by foreclosure before bringing a personal action against the trustor on the indebtedness. If a court were to hold that this rule was applicable to the Deeds of Trust and the Master Trustee were to file suit to collect the debt under the Master Indenture without seeking first to enforce its remedies under the Deeds of Trust, it might be precluded from thereafter proceeding under the Deeds of Trust to foreclose on the Mortgaged Property.

Another statutory provision limits any deficiency judgment obtained by a beneficiary following a judicial sale to the excess of the outstanding debt above the fair market value of the property at the time of sale. This prevents a beneficiary from obtaining a large deficiency judgment against the debtor as the result of low bids at a judicial sale.

Other statutory provisions (such as the federal bankruptcy laws) may have the effect of delaying enforcement of the liens of the Deeds of Trust in the event of a default by the Obligated Group.

RIGHTS OF RESIDENTS

The Obligated Group Members enter into residency agreements with the residents of their Communities. Although these agreements give to each resident a contractual right to use space and do not grant any ownership rights in the Communities, in the event that either the Bond Trustee or the holders of the Bonds seek to enforce any of the remedies provided by the Bond Indenture upon the occurrence of a default, management is unable to predict the resolution that a court might make of competing claims between the Bond Trustee, the Master Trustee, the Authority or the holders of the Bonds and the residents of the Communities who have fully complied with all the terms and conditions of their Residency Agreements.

The Obligated Group Members may, from time to time, be subject to pressure from organized groups of residents seeking, among other things, to raise the level of services or to maintain the level of facility service fees or other charges without increase. Moreover, the Obligated Group Members may be subject to conflicting pressures from different groups of residents, some of whom may seek an increase in the level of services while others wish to hold down monthly service fees and other charges. No assurance can be given that the Obligated Group will be able to satisfy such resident groups.

ENVIRONMENTAL, OCCUPATIONAL, AND OTHER HEALTH AND SAFETY MATTERS

Health care facilities and retirement communities are subject to a wide variety of federal, state and local environmental, occupational, and other health and safety laws and regulations. Among the types of environmental and occupational safety regulatory requirements faced by such facilities, and by their owners and operators, are: air and water quality control requirements; waste management requirements; specific regulatory requirements applicable to asbestos, medical waste and polychlorinated biphenyls; requirements for providing notice to employees and members of the public about hazardous materials handled by or located at such facilities; requirements for training employees in the proper handling and management of hazardous materials and wastes; and other requirements. Owners and operators of such facilities may be subject to liability for investigating and remedying any hazardous substances that have come to be located on the property, including any such substances that may have migrated off of the property. Practical, financial, and legal risks associated with compliance with environmental and occupational health and safety laws and regulations may result in (1) damage to individuals, property or the environment, (2) the interruption of operations, (3) increased operating costs, (4) legal liability, damages, injunctions, citations or fines, and (5) investigations, administrative proceedings, civil litigation, criminal prosecution, penalties or other governmental agency actions. Such

actions may not be covered by insurance. There is no assurance that the Obligated Group will not encounter such problems in the future and such problems may result in material adverse consequences to the Obligated Group's business or financial condition.

In addition to the environmental, health and safety laws and regulations that typically apply to the Obligated Group, compliance with pandemic-related occupational health and safety laws may increase operating costs or affect the Obligated Group's ability to recruit and retain employees.

Under the federal Comprehensive Environmental Response, Compensation and Liability Act and under comparable California State law, a secured party which takes a deed in lieu of foreclosure, purchases a mortgaged property at a foreclosure sale or operates a mortgaged property may become liable in certain circumstances for the cost of remedial action if hazardous waste or hazardous substances have been released or disposed of on the property. Such remedial action costs could subject the Mortgaged Property to a lien and reduce or eliminate the amounts otherwise available to pay the owners of the Bonds if such remedial action costs were incurred.

NATURAL DISASTERS

The Communities are situated near a region that has experienced significant wildfires in recent years. The occurrence of a significant wildfire in the area, or the occurrence of other natural disasters, including floods, earthquakes and droughts, may damage part or all of the Communities, interrupt utility service to part or all of the Communities or otherwise impair the operation of part or all of the Communities or the generation of revenues from part or all of the Communities beyond existing insurance coverage. No assurance is given as to the continuation of such insurance coverage, which, among other things, may not be available at a reasonable cost in the future. Climate change may increase the frequency or severity of wildfires, significant weather events, or natural disasters. See also, "SEISMIC RISK" below.

SEISMIC RISK

The Communities are situated in an active earthquake zone. A significant earthquake in the region could have a material adverse effect on the Obligated Group and could result in material damage and temporary or permanent cessation of operations at the Communities.

POSSIBLE FUTURE CHANGES TO ACCOUNTING POLICIES AND PROCEDURES

From time to time, accounting policies and procedures change as accounting principles that are generally accepted in the United States change. Such changes may cause a variation in the presentation of the financial information of the Obligated Group. There can be no assurance that any such changes would not have a material adverse impact on the Obligated Group's compliance with certain covenants contained in the Master Indenture.

MARKETABILITY OF THE BONDS

Although the Underwriter intends, but is not obligated, to make a market for the Bonds, there can be no assurance that there will be a secondary market for the Bonds, and the absence of such a market for the Bonds could result in investors not being able to resell the Bonds should they need to or wish to do so.

OTHER POSSIBLE RISK FACTORS

Potential purchasers should also consider the following factors prior to purchasing the Bonds. This list is not, and is not intended to be, all inclusive.

Energy. Changes to the cost and availability of energy could, among other things, affect the cost of utilities of the Obligated Group's facilities and thereby adversely affect the operations of the Obligated Group.

Changes to Federal, State or Local Laws or Regulations. Changes to the laws and regulations affecting the Obligated Group's operations such as reinstatement or establishment of mandatory governmental wage, rent or price controls, or changes in tax, pension, social security or other laws and regulations affecting the provisions of health care, retirement benefits and other services to seniors, could have an adverse effect on the future operating or financial performance of the Obligated Group.

Early Redemption. Purchasers of Bonds, including those who purchase Bonds at prices in excess of their principal amount or who hold Bonds trading at prices in excess of their principal amount, should consider that the Bonds are subject to redemption prior to maturity at a redemption price that may be less than the prices at which such Bonds were purchased or are trading. See "THE BONDS — Redemption of the Bonds."

Forward-Looking Statements. Certain statements contained in this Official Statement do not reflect historical facts but instead are forecasts and "Forward-Looking Statements." No assurance can be given that the future results discussed herein will be achieved, and actual results may differ materially from the forecasts described herein. In this respect, the words "estimate," "forecast," "project," "anticipate," "expect," "intend," "believe" and other similar expressions are intended to identify forward-looking statements. All projections, forecasts, assumptions and other forward-looking statements are expressly qualified in their entirety by the cautionary statements set forth in this Official Statement.

The information and expressions of opinions herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the Obligated Group or any other person described herein since the date thereof.

LITIGATION

THE OBLIGATED GROUP

There is no litigation now pending against any Member of the Obligated Group or, to its knowledge, threatened, restraining or enjoining the issuance, sale, execution or delivery of the Bonds, the Bond Indenture, the Loan Agreement, the Master Indenture, the Deeds of Trust or the Series 2024 Obligation or in any way contesting or affecting the validity of any of these documents or of any proceedings of the Members of the Obligated Group taken with respect to the issuance or sale of, or the pledge or application of any money or security provided for the payment of, the Bonds or the Series 2024 Obligation. There is no litigation or proceeding pending or, to the knowledge of any Member of the Obligated Group, threatened against the Members of the Obligated Group except for (i) litigation being defended by insurance carriers on behalf of such Member of the Obligated Group, the claims in which are entirely within the insurance policy limits of such Member of the Obligated Group, (ii) litigation in which the expected maximum aggregate recovery against such Member of the Obligated Group could be

satisfied from the insurance or the reserves maintained by such Member of the Obligated Group or (iii) claims for damages arising in the ordinary course of their operations, none of which is deemed to be material to the operation or condition, financial or otherwise, of the Obligated Group. There is no litigation pending or, to the knowledge of any Member of the Obligated Group, threatened that might have a material adverse effect upon the operations or financial condition of the Obligated Group.

THE AUTHORITY

To the knowledge of the Authority, there is no material litigation pending or threatened against the Authority concerning the validity of the Bonds or any proceedings of the Authority taken with respect to the issuance thereof.

TAX MATTERS

FEDERAL TAX STATUS

In the opinion of Jones Hall, A Professional Law Corporation, San Francisco, California, Bond Counsel, subject, however to the qualifications set forth below, under existing law, the interest on the Bonds is excluded from gross income for federal income tax purposes and such interest is not an item of tax preference for purposes of the federal alternative minimum tax. Interest on the Bonds may be subject to the corporate alternative minimum tax.

The opinions set forth in the preceding paragraph are subject to the condition that the Authority and the Members of the Obligated Group comply with all requirements of the Internal Revenue Code of 1986, as amended (the “*Tax Code*”) that must be satisfied subsequent to the issuance of the Bonds in order that the interest thereon be, and continue to be, excludable from gross income for federal income tax purposes. The Authority and the Corporation (for itself and the other Members of the Obligated Group) have made certain representations and covenants in order to comply with each such requirement. Inaccuracy of those representations, or failure to comply with certain of those covenants, may cause the inclusion of such interest in gross income for federal income tax purposes, which may be retroactive to the date of issuance of the Bonds.

In addition, Bond Counsel has relied on the opinion of Hefner Law, counsel to the Corporation (“*Corporation Counsel*”) regarding the current qualification of the Corporation and other Members of the Obligated Group as organizations described in Section 501(c)(3) of the Tax Code and other matters. Such opinion is subject to a number of qualifications and limitations. Bond Counsel has also relied upon representations of the Authority and the Corporation concerning the Corporation’s and other Members of the Obligated Group’s “unrelated trade or business” activities as defined in Section 513(a) of the Tax Code. Bond Counsel has not given any opinion or assurance concerning Section 513(a) of the Tax Code and neither Bond Counsel nor Corporation Counsel can give or has given any opinion or assurance about the future activities of the Corporation or other Members of the Obligated Group, or about the effect of future changes in the Tax Code, the applicable regulations, the interpretation thereof or the resulting changes in enforcement thereof by the Internal Revenue Service. Failure of the Corporation and other Members of the Obligated Group to be organized and operated in accordance with the Internal Revenue Service’s requirements for the maintenance of their status as organizations described in Section 501(c)(3) of the Tax Code or to operate the facilities financed or refinanced by the Bonds in a manner that is substantially related to the Corporation’s and other Members of the Obligated Group’s charitable purpose under Section 513(a) of the Tax Code may result in interest on the Bonds being included in federal gross income, possibly from the date of original issuance the Bonds.

TAX TREATMENT OF ORIGINAL ISSUE DISCOUNT AND PREMIUM

If the initial offering price to the public at which a Bond is sold is less than the amount payable at maturity thereof, then such difference constitutes “original issue discount” for purposes of federal income taxes and State of California personal income taxes. If the initial offering price to the public at which a Bond is sold is greater than the amount payable at maturity thereof, then such difference constitutes “bond premium” for purposes of federal income taxes and State of California personal income taxes.

Under the Tax Code, original issue discount is treated as interest excluded from federal gross income and exempt from State of California personal income taxes to the extent properly allocable to each owner thereof subject to the limitations described in the first paragraph of this section. The original issue discount accrues over the term to maturity of the Bond on the basis of a constant interest rate compounded on each interest or principal payment date (with straight-line interpolations between compounding dates). The amount of original issue discount accruing during each period is added to the adjusted basis of such Bonds to determine taxable gain upon disposition (including sale, redemption, or payment on maturity) of such Bond. The Tax Code contains certain provisions relating to the accrual of original issue discount in the case of purchasers of the Bonds who purchase the Bonds after the initial offering of a substantial amount of such maturity. Owners of such Bonds should consult their own tax advisors with respect to the tax consequences of ownership of Bonds with original issue discount, including the treatment of purchasers who do not purchase in the original offering to the public at the first price at which a substantial amount of such Bonds is sold to the public.

Under the Tax Code, bond premium is amortized on an annual basis over the term of the Bond (said term being the shorter of the Bond’s maturity date or its call date). The amount of bond premium amortized each year reduces the adjusted basis of the owner of the Bond for purposes of determining taxable gain or loss upon disposition. The amount of bond premium on a Bond is amortized each year over the term to maturity of the Bond on the basis of a constant interest rate compounded on each interest or principal payment date (with straight-line interpolations between compounding dates). Amortized Bond premium is not deductible for federal income tax purposes. Owners of premium Bonds, including purchasers who do not purchase in the original offering, should consult their own tax advisors with respect to State of California personal income tax and federal income tax consequences of owning such Bonds. Bond Counsel expresses no opinion regarding other federal tax consequences arising with respect to the ownership, sale or disposition of the bonds, or the amount, accrual or receipt of interest on the Bonds.

CALIFORNIA TAX STATUS

In the further opinion of Bond Counsel, interest on the Bonds is exempt from California personal income taxes.

OTHER TAX CONSIDERATIONS

Current and future legislative proposals, if enacted into law, clarification of the Tax Code or court decisions may cause interest on the Bonds to be subject, directly or indirectly, to federal income taxation or to be subject to or exempted from state income taxation, or otherwise prevent beneficial owners from realizing the full current benefit of the tax status of such interest. The introduction or enactment of any such legislative proposals, clarification of the Tax Code or court decisions may also affect the market price for, or marketability of, the Bonds. It cannot be predicted whether or in what form any such proposal might be enacted or whether, if enacted, such legislation would apply to bonds issued prior to enactment.

The opinions expressed by Bond Counsel are based upon existing legislation and regulations as interpreted by relevant judicial and regulatory authorities as of the date of such opinion, and Bond Counsel has expressed no opinion with respect to any proposed legislation or as to the tax treatment of interest on the Bonds, or as to the consequences of owning or receiving interest on the Bonds, as of any future date. Prospective purchasers of the Bonds should consult their own tax advisors regarding any pending or proposed federal or state tax legislation, regulations or litigation, as to which Bond Counsel expresses no opinion.

Owners of the Bonds should also be aware that the ownership or disposition of, or the accrual or receipt of interest on, the Bonds may have federal or state tax consequences other than as described above. Other than as expressly described above, Bond Counsel expresses no opinion regarding other federal or state tax consequences arising with respect to the Bonds, the ownership, sale or disposition of the Bonds, or the amount, accrual or receipt of interest on the Bonds.

LEGALITY

The validity of the Bonds and certain other legal matters are subject to the approving opinion of Jones Hall, a Professional Law Corporation, Bond Counsel, substantially in the form set forth as APPENDIX F. Certain legal matters will be passed upon for the Obligated Group by its counsel, Hefner Law, and for the Authority by its counsel, Jones Hall, a Professional Law Corporation. Certain legal matters will be passed upon for the Underwriter by Chapman and Cutler LLP. None of the counsel mentioned above undertakes any responsibility for the accuracy, completeness or fairness of this Official Statement.

UNDERWRITING

Pursuant to a Bond Purchase Contract among the Underwriter, the Authority and the Corporation, as Obligated Group Representative (the “*Purchase Contract*”), the Underwriter has agreed to purchase the Bonds at an aggregate purchase price of \$89,978,442.20 (representing the aggregate principal amount of the Bonds, plus original issue premium of \$7,912,392.20 and less an Underwriter’s discount of \$828,950.00). Pursuant to the Purchase Contract, the Obligated Group has agreed to indemnify the Underwriter and the Authority against certain liabilities. The Underwriter reserves the right to join with dealers and other underwriters in offering the Bonds to the public. The obligation of the Underwriter to accept delivery of the Bonds is subject to the various conditions of the Purchase Contract.

FINANCIAL STATEMENTS

The consolidated financial statements of Eskaton and Subsidiaries as of and for the fiscal years ended December 31, 2022 and 2023, included in APPENDIX B to this Official Statement have been audited by Moss Adams LLP, independent certified public accountants, as stated in its report appearing therein. Moss Adams LLP has not been engaged to perform, and has not performed, since the date of its report included in APPENDIX B, any procedures on the consolidated financial statements addressed in that report. The consolidated financial statements of Eskaton and Subsidiaries as of and for the fiscal year ended December 31, 2023 are the most recent audited financial statements.

Together, the Corporation, Eskaton-Grass Valley and Eskaton-Roseville (excluding discontinued healthcare operations) represented approximately 64.7% and 65.5% of the total assets of Eskaton and Subsidiaries as of December 31, 2022 and 2023, respectively, and approximately 65.1% and 62.7% of the operating revenues of Eskaton and Subsidiaries for fiscal years 2022 and 2023, respectively.

Certain unaudited summarized financial information of the Obligated Group as of and for the six-month periods ended June 30, 2023 and 2024 is included in APPENDIX A hereto. Such unaudited summarized financial information for the six-month period ended June 30, 2024 is not necessarily indicative of the financial results of the Obligated Group for the fiscal year ending December 31, 2024.

FINANCIAL FEASIBILITY REPORT

Management's financial forecast for the six years ending December 31, 2024 through 2029 included as part of the Financial Feasibility Report included in APPENDIX H hereto, has been examined by Hendrickson Consulting, a financial and management consulting firm specializing in nonprofit retirement and other long-term care organizations, as stated in its report dated August 21, 2024 appearing in APPENDIX H. As stated in the Financial Feasibility Report, there will usually be differences between the forecasted data and actual results because events and circumstances frequently do not occur as expected, and those differences may be material. The Financial Feasibility Report should be read in its entirety, including Management's notes and assumptions set forth therein.

RATING

Fitch, Inc. has assigned its municipal bond rating of "BBB" to the Bonds.

The rating and an explanation of its significance may be obtained from the rating agency furnishing such rating. Such rating reflects only the view of the rating agency. The Corporation has furnished the rating agency with certain information and materials relating to the Bonds that have not been included in this Official Statement. Generally, rating agencies base their ratings on the information and materials so furnished and on investigations, studies, and assumptions by the rating agencies. There is no assurance that a particular rating will be maintained for any given period of time or that it will not be lowered or withdrawn entirely if, in the judgment of the agency originally establishing the rating, circumstances so warrant. Any such change in or withdrawal of such rating could have an adverse effect on the market price of the Bonds.

MISCELLANEOUS

The foregoing and subsequent summaries or descriptions of provisions of the Bonds, the Bond Indenture, the Loan Agreement, the Master Indenture and the Deeds of Trust and all references to other materials not purporting to be quoted in full are only brief outlines of some of the provisions thereof and do not purport to summarize or describe all of the provisions thereof. Reference is made to said documents for full and complete statements of the provisions of such documents. The appendices attached hereto are a part of this Official Statement. Copies, in reasonable quantity, of the Bond Indenture, the Loan Agreement, the Master Indenture and the Deeds of Trust may be obtained during the offering period upon request to the Underwriter and thereafter upon request to the principal corporate trust office of the Bond Trustee.

So far as any statements made in this Official Statement involve matters of opinion or estimates, whether or not expressly stated, they are set forth as such and not as representations of fact, and no representation is made that any of such statements will be realized.

It is anticipated that CUSIP identification numbers will be printed on the Bonds, but neither the failure to print such numbers nor any error in the printing of such numbers shall constitute grounds for a failure or refusal by any purchaser thereof to accept delivery of and payment for any Bonds.

The attached Appendices are integral parts of this Official Statement and must be read together with all of the foregoing statements.

The Obligated Group Representative has reviewed the information contained herein which relates to the Obligated Group and their property and operations and has approved all such information for use within this Official Statement.

The Authority furnished only the information in this Official Statement contained under the captions “THE AUTHORITY” and “LITIGATION — The Authority” and, except for such information, makes no representation or warranty as to the adequacy, completeness or accuracy of this Official Statement.

This Official Statement has been delivered by the Corporation, on behalf of the Obligated Group. This Official Statement is not to be construed as a contract or agreement among any of the Authority, the Corporation or the purchasers or holders of any of the Bonds.

ESKATON PROPERTIES, INCORPORATED, as
Obligated Group Representative

By: /s/ Mark Jenkins
Chief Financial Officer

APPENDIX A

**INFORMATION REGARDING THE
ESKATON PROPERTIES, INCORPORATED OBLIGATED GROUP**

The information contained in this APPENDIX A was provided by the Obligated Group (described herein) and other identified sources of information believed to be reliable.

Certain material included in this APPENDIX A may include forward looking statements. Such statements are generally identifiable by the terminology used, such as “believes,” “anticipates,” “intends,” “scheduled,” “plans,” “expects,” “estimates,” “budget” or other similar words. These statements reflect the current views of management with respect to future events based on certain assumptions and are subject to risks and uncertainties. The Obligated Group has no obligation to publicly update or review any forward looking statement as a result of new information or future events.

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INTRODUCTION

GENERAL

Eskaton, a California nonprofit public benefit corporation (the “Parent”), is a regional aging services provider dedicated to enhancing the lives of older adults throughout Northern California for over 55 years. Eskaton and its related subsidiaries own or manage 25 senior housing communities with living options that include independent living, assisted living, memory care, skilled nursing, and affordable housing. The Parent and its related entities are referred to herein as “Eskaton.”

The following Eskaton entities are the only members of the Obligated Group created under the Master Indenture described in the forepart of this Official Statement (collectively, the “Obligated Group”):

- Eskaton Properties, Incorporated (“EPI”)
- Eskaton Village-Grass Valley (“EVGV” or “Grass Valley”)
- Eskaton Village-Roseville (“EVR” or “Roseville”)

The Members of the Obligated Group are jointly and severally obligated to pay debt service on the 2024 Obligation securing the Series 2024 Bonds and on any additional Obligations issued under the Master Indenture. Together, the Obligated Group Members operate five senior living communities comprised of 393 independent living apartments, 300 assisted living apartments, 85 memory care units and 35 skilled nursing beds. See “INTRODUCTION – The Obligated Group” and “OBLIGATED GROUP COMMUNITIES AND SERVICES” herein.

This APPENDIX A is intended to provide information about the Obligated Group that is not found elsewhere in this Official Statement. For additional information about the Obligated Group, potential investors should refer to the audited financial statements of Eskaton and Subsidiaries as of and for the years ended December 31, 2022 and 2023 that are included in APPENDIX B. Other information is set forth in the Financial Feasibility Study included in this Official Statement as APPENDIX C. The materials included in this APPENDIX A and the other appendices to this Official Statement should be read in their entirety.

For the definitions of terms not defined herein, see the forepart of this Official Statement and APPENDIX C – “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST – DEFINITIONS OF CERTAIN TERMS.”

THE OBLIGATED GROUP

As of the date of issuance of the Series 2024 Bonds, the Obligated Group will consist of the affiliates of Eskaton entities listed below:

Eskaton Properties, Incorporated. EPI owns and operates three retirement communities-Eskaton Village Carmichael, Eskaton Land Park and Eskaton Gold River. EPI also manages provides development and management services for Eskaton’s affordable housing projects and other communities owned by third parties, including O’Connor Woods in Stockton, California.

Eskaton Village-Grass Valley. EVGV operates a retirement community in Grass Valley, California, consisting of 119 combined independent living with services and assisted living apartments and 18 memory care apartments.

Eskaton Village-Roseville. EVR operates a retirement community in Roseville, California, consisting of 72 combined independent living with services and assisted living apartments and 24 memory care apartments.

Each of the members of the Obligated Group is a California nonprofit public benefit corporation and an organization described under Section 501(c)(3) of the Internal Revenue Code of 1986, as amended (the “Tax-Exempt Organization”).

Together, EPI, EVGV and EVR (excluding discontinued healthcare operations) represented approximately 64.7% and 65.8% of the total assets of Eskaton and Subsidiaries as of December 31, 2022 and 2023, respectively, and approximately 65.1% and 62.7% of the operating revenues of Eskaton and Subsidiaries for fiscal years 2022 and 2023, respectively.

The following table is a summary of the Obligated Group’s owned communities (the “Communities”) and current number of beds or apartments:

Community	Location	Approximate Size in Square Feet	Level of Care	Number of Units	Year Constructed
EPI- Owned Communities:					
Eskaton Village Carmichael	Carmichael	445,000	CCRC		1992
			Apartments	201	1992
			Cottages	94	1992
			Assisted Living	37	1992
			Assisted Living Memory Care	20	1999
Eskaton Land Park	Sacramento	91,000	Skilled Nursing	35	1992
			Independent Living with Services	98	1973
Eskaton Gold River	Gold River	83,000	Assisted Living/IL with Services	72	1998
			Assisted Living Memory Care	23	1998
Eskaton Village-Roseville	Roseville	82,000	Assisted Living/IL with Services	72	2007
			Assisted Living Memory Care	24	2007
Eskaton Village-Grass Valley	Grass Valley	135,000	Assisted Living/IL with Services	119	2002
			Assisted Living Memory Care	18	2002

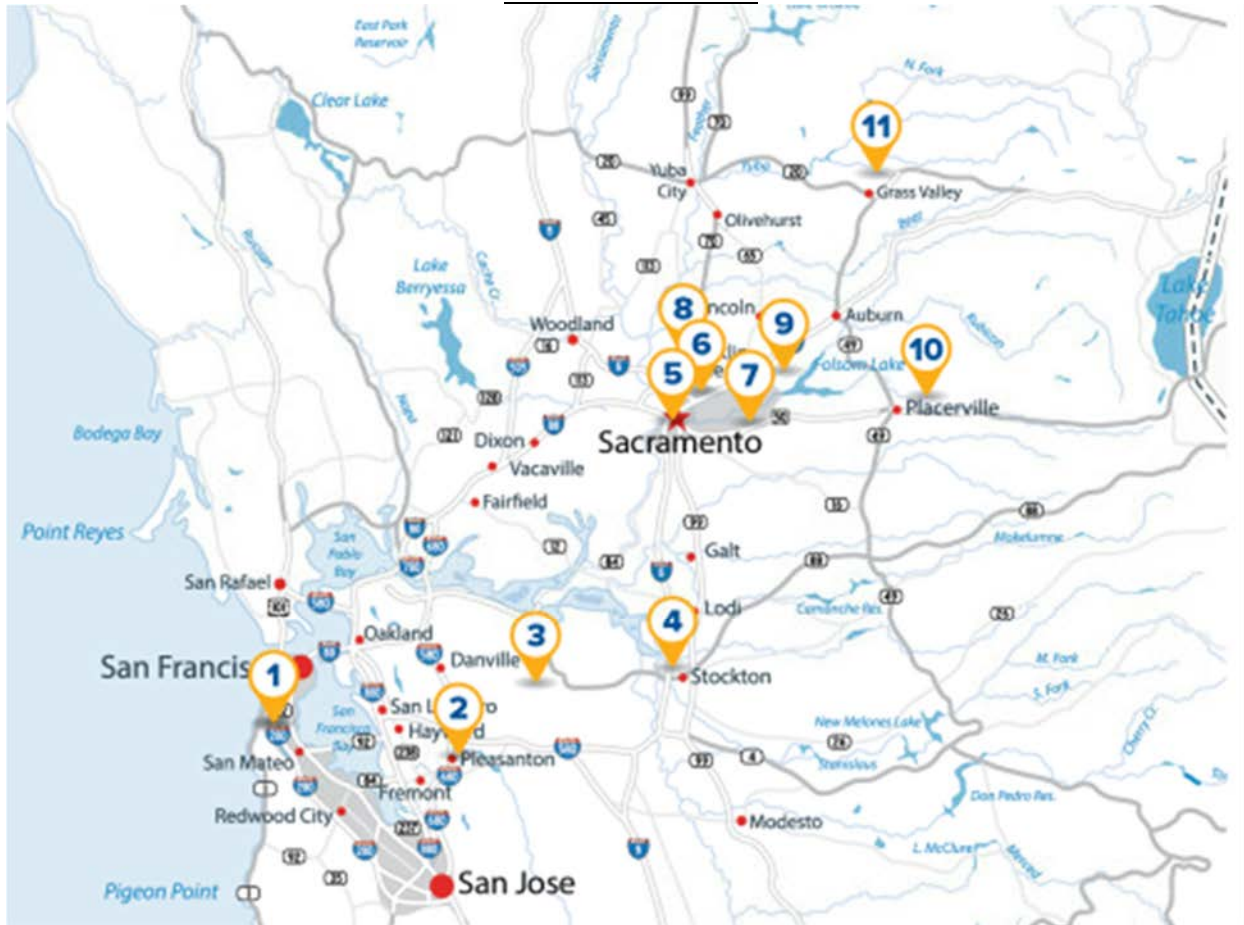
Source: Eskaton.

See “OBLIGATED GROUP COMMUNITIES AND SERVICES” herein.

EPI, EVGV and EVR have jointly and severally agreed (subject to the right of an Obligated Group Member to withdraw from the Obligated Group under certain circumstances) to promptly pay or cause to be paid all Obligations issued under the Master Indenture, including the 2024 Obligation, according to the terms thereof. Other entities may become Members of the Obligated Group, and an Obligated Group Member may withdraw from the Obligated Group, in each case subject to the restrictions contained in the Master Indenture. See “SECURITY FOR THE BONDS” in the forepart of this Official Statement and “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE AND DEEDS OF TRUST—The Master Indenture-The Obligated Group” in APPENDIX C.

ESKATON RESIDENTIAL LIVING LOCATIONS

Northern California



- | | |
|--------------------------------|-----------------------------------|
| 1. The Trousdale – Burlingame | 7. Eskaton Gold River* |
| 2. The Parkview – Pleasanton | 8. Eskaton Village Roseville* |
| 3. The Reutlinger – Danville | 9. Eskaton Granite Bay |
| 4. O'Connor Woods – Stockton | 10. Eskaton Village Placerville |
| 5. Eskaton Land Park* | 11. Eskaton Village Grass Valley* |
| 6. Eskaton Village Carmichael* | |

Obligated Group Community*

Non-obligated Community

Managed Community

HISTORY

The Parent was incorporated in 1967, as a California nonprofit public benefit corporation. Eskaton expanded throughout the 1960s and 1970s, adding skilled nursing facilities and acute care hospitals in California, from Monterey in the south to Mount Shasta in the north, and providing management services to a hospital in Pullman, Washington. During that time, Eskaton also formed a number of separate corporations to build older adult independent housing projects that received funding under the U.S. Department of Housing and Urban Development (“HUD”) Section 202 and 242 programs. Eskaton provided initial seed money, development services and ongoing management services to these projects. As a result of an affiliation and later disaffiliation in the 1980s, Eskaton discontinued its ownership and operation of acute care hospitals. In subsequent corporate reorganizations, other subsidiary and affiliate corporations were formed, including EPI, which received title to and assumed operational responsibilities for most of Eskaton’s communities and programs.

NON-OBLIGATED ESKATON AFFILIATES AND SUBSIDIARIES

The Parent serves as the sole corporate member of EPI, EVGV, EVR and its other nonprofit affiliates, and has corporate offices located in Carmichael, California. In addition, the Parent is the sole stockholder of its for-profit subsidiaries. The Parent sponsors 23 HUD-financed Section 202 and Section 242 older adult affordable housing projects situated throughout northern California (the “Affordable Housing Projects”). In addition, the Parent operates various social responsibility programs, including Live Well at Home.

Neither the Parent nor any affiliate thereof, other than EPI, EVGV and EVR, is a Member of the Obligated Group or is in any way obligated to pay debt service on the Series 2024 Bonds or the 2024 Obligation. Management of the Obligated Group does not intend to alter the composition of the Obligated Group in the immediately foreseeable future.

The following affiliates and subsidiaries of the Parent are not Members of the Obligated Group (“Non-Obligated Entities”):

Eskaton Village-Placerville (“EVP”) is a California nonprofit public benefit corporation and a Tax-Exempt Organization. EVP owns and operates an assisted living community with 64 apartments, including 24 memory care apartments, in Placerville, California.

Eskaton Lodge Granite Bay (“ELGB”) is a California nonprofit public benefit corporation and a Tax-Exempt Organization. ELGB owns and operates a 100 apartment combined independent living with services and assisted living community in Granite Bay, California.

Eskaton FountainWood Lodge (“EFWL”) is a California nonprofit public benefit corporation and a Tax-Exempt Organization which does not have any current operations.

The Reutlinger Community (“TRC”) is a California nonprofit public benefit corporation and a Tax-Exempt Organization. TRC owns and operates a retirement community with 84 assisted living apartments, 20 memory care apartments and 60 skilled nursing beds in Danville, California. TRC receives refundable entrance fees when residents enter into continuing care agreements.

Eskaton Foundation (the “Foundation”) is a California nonprofit public benefit corporation and a Tax-Exempt Organization. The Foundation’s mission is to advance Eskaton’s ability to provide accessible, innovative services for older adults by nurturing a philanthropic environment that fosters volunteer involvement, donor relations and stewardship. As of December 31, 2023, the Foundation had assets of approximately \$5.876 million.

California Healthcare Consultants (“CHC”) is a taxable subsidiary of the Parent. CHC employs the staff of two of EPI’s managed communities, The Parkview in Pleasanton, California and The Trousdale in Burlingame, California.

Livable Design (“LD”) is a taxable subsidiary of the Parent. LD owns a home in Roseville, California which has been leased to a third party.

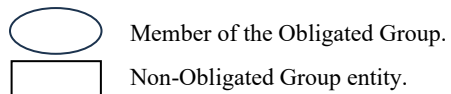
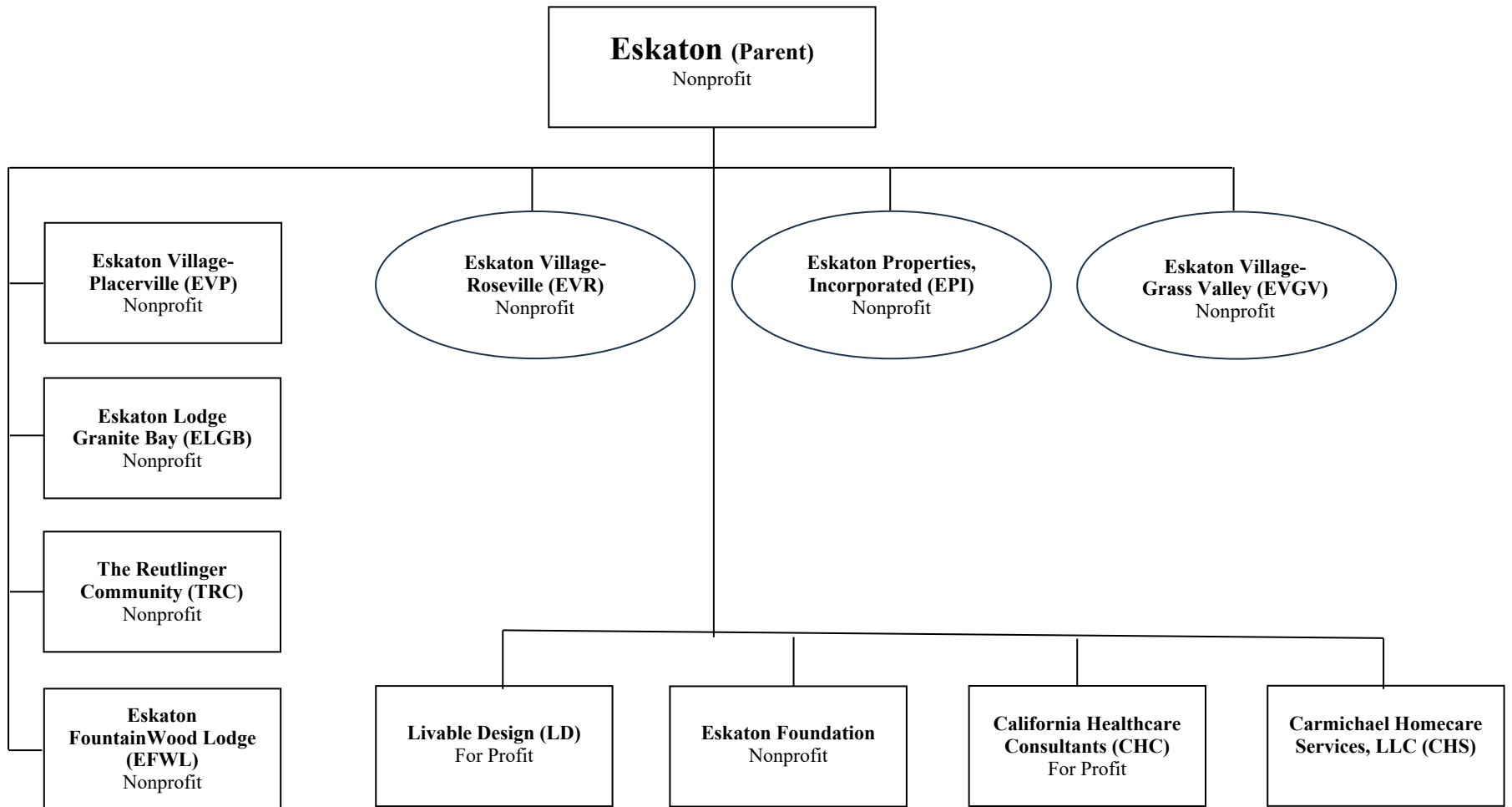
Live Well at Home (“LWH”) is a service owned by the Parent and operated by a third-party that provides a membership concierge service arranging home-based services to older adults in their homes. For a monthly membership fee, members of LWH have access to a concierge that will assist older adults in finding vendors to maintain their homes, identify care and support services, schedule transportation, and coordinate social and volunteer activities. The membership also provides access to a network of vendors that have been vetted by Eskaton and that provide discounted services to members of LWH.

Carmichael Homecare Services, LLC (“CHS”) is a nonprofit limited liability company and subsidiary of the Parent that formerly employed caregiver staff for LWH.

A corporate organization chart for Eskaton is included on the following page.

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ESKATON ORGANIZATION CHART



RECENT DEVELOPMENTS AND STRATEGIC INITIATIVES

On September 29, 2023, EPI finalized the disposition of its three standalone skilled nursing buildings at an agreed-upon purchase price of \$35.6 million, with net cash proceeds of \$34.2 million and a resulting gain on sale of \$26.1 million. Eskaton Care Center Manzanita, Eskaton Care Center Fair Oaks and Eskaton Care Center Greenhaven, which were owned and operated by EPI, are no longer assets owned within the Obligated Group. Net proceeds of \$3.8 million were used to pay a portion of the long-term debt attributed to the three standalone skilled nursing care centers, and the remaining net cash proceeds went to strategic reserves. The decision to dispose of the skilled nursing buildings was many years in the making. Operating margins were declining heading into the COVID-19 pandemic as reimbursement rates did not keep pace with rising operating costs. Provider relief funds from federal and state agencies helped to offset operating shortfalls during the first few years of the pandemic, but those funds were exhausted as the direct and indirect impacts of the pandemic lasted longer than initially expected. For the fiscal year ended December 31, 2022, the debt service coverage ratio of the Obligated Group was 0.58x. The standalone skilled nursing centers were primarily responsible for the debt service coverage ratio falling below the 1.20x requirement of the existing master trust indenture. Those skilled nursing centers struggled to maintain staffing levels and stabilize census due to direct and indirect impacts from COVID-19 and workforce challenges. As a result, management and the Board of Eskaton decided to sell the standalone skilled nursing centers.

Due to increasing operating costs and insufficient revenue from reimbursement rates that failed to keep pace with increasing operating costs, Eskaton closed the Eskaton Home Healthcare operation of EPI. This closure was completed in December 2023. Eskaton still has a strategic focus on home-based services. Eskaton's future around home-based services will focus on expanding strategic partnerships that support people to age well wherever they call home.

Eskaton Cameron Park was an assisted living community located in the Sierra Nevada foothills approximately 35 miles east of Sacramento. In late 2023 Eskaton's leadership team made the strategic decision to close this community and repurpose the building. This decision was made in part due to physical limitations of the property. The property consisted of small studio apartments, and limited amenity space, which made it difficult for it to compete with other properties in the market. Eskaton executed an agreement with the California Department of Forestry and Fire Protection (Cal Fire) on February 13, 2024, for the lease of the real property formerly operated by EPI as a 49-studio assisted living community known as Eskaton Cameron Park. The lease term commenced April 1, 2024, and shall end on March 31, 2034, with monthly rent payments of \$75,000 escalating 2.0% each year of the 10-year term.

Eskaton has a defined benefit cash balance pension plan, the Eskaton Retirement Plan, which was frozen on December 31, 2022. Eskaton is currently in the process of terminating the plan, with completion expected by December 31, 2024. The plan has sufficient assets to cover all outstanding liabilities without any adverse financial impact on the obligated group. As of January 1, 2023, Eskaton transitioned to a 401(k) plan that offers retirement benefits to eligible employees of the obligated group.

After the sale of the standalone skilled nursing communities and other strategic initiatives discussed above, Eskaton management and the Board completed a strategic planning process to help guide the future direction of Eskaton. The strategic plan helped provide a framework to evaluate potential expansion projects at existing campuses and future potential development or acquisition of operations or properties that may become affiliated with or become part of Eskaton or the Obligated Group. Such future transactions may include third-party management contracts, partnerships, joint ventures and other affiliations and business combinations, or the potential disposition of certain existing operations or properties. Evaluation of such

potential strategic initiatives includes assessments of various factors such as financial feasibility, competitive position, scope and location of services, and quality. As a result of any future initiatives, the entities, communities, and assets that make up of the Obligated Group may change from time to time, subject to the provisions in the Master Indenture and other applicable financing documents. It is also possible that any future project, development, acquisition, or affiliation could be undertaken through entities that are not members of the Obligated Group. There are no potential transactions currently under active consideration by the Board.

GOVERNANCE AND MANAGEMENT OF THE OBLIGATED GROUP

The bylaws of EPI, EVGV and EVR each provide that the corporation shall be governed by a Board of Directors (each referred to as a “Board”) consisting of no more than 15 members. Board members are elected by the Parent for staggered three-year terms and may serve up to three consecutive three-year terms. Directors serving as Chair, Vice Chair or past Chair may serve for two additional years for each position or a maximum of six additional years. A one year absence from the Board must occur before a director is again eligible for election to the Board. The President is an ex-officio member of the Board.

The members of the Board of Directors of the Parent also serve as members of the Boards of EPI, EVGV and EVR. The current members of the Boards of Directors of the Parent, EPI, EVGV and EVR and their occupations and offices are as follows:

Name	Occupation	Term Expires
Larry Garcia, Chair	Strategic Advisor, Garcia Performance Solutions (GPS)	2026
Maureen Hewitt, Vice Chair	Healthcare Strategist, Consultant	2030
Nancy Heffernan	Senior Strategist, Lucas Public Affairs	2030
David Lindeman	Director, CITRIS Health	2028
Patricia McFarland	Retired Nurse Assoc., CEO	2024
Sheri Peifer	President & CEO, Eskaton	***
Jordan Rose	Retired Tax Attorney	2029
Mariann Sheldon	CCRC Resident Rep	2029
H. Rao Unnava	Dean, UC Davis School of Business	2033
Amy Yotopoulos	CEO, Avenidas	2026

*** Per the Eskaton bylaws, the CEO term runs concurrent with employment.

The members of the Boards of Directors of the Parent, EPI, EVGV and EVR serve without compensation for their services but do receive reimbursement for out-of-pocket expenses incurred in connection with the performance of their duties.

CONFLICT OF INTEREST

Eskaton conducts annual reviews for potential conflicts of interest in known or potential transactions with members of the Board and its committees or officers. It is the policy of Eskaton that no

such person may participate in the approval of a transaction in which he or she has a financial interest. Management believes that transactions approved in this manner are conducted on an arm's-length basis.

MANAGEMENT

Key management positions and summary biographical information for the officers and members of the management team of the Parent and the Obligated Group are listed below.

Sheri Peifer, President and Chief Executive Officer (age 50). Ms. Peifer joined Eskaton in 2005, and from 2014 to 2022 served as Chief Strategy Officer expanding management services and affiliations, joint ventures, partnerships, marketing and communications. She became President in September 2022 and Chief Executive Officer in September 2023. She is a graduate of the national LeadingAge Leadership Fellow program, based in Washington, D.C., and serves as Chair of the LeadingAge California Board of Directors. Ms. Peifer holds a bachelor of arts from Messiah College and a MS in Gerontology and Education from California State University, Sacramento.

Mark Jenkins, Senior Vice President, Chief Financial Officer (age 42). Mr. Jenkins joined Eskaton in August 2018 after experience as Senior Associate with PricewaterhouseCoopers and then eight years at VSP Vision Care in Sacramento. He is a licensed certified public accountant (inactive). Mr. Jenkins has a finance degree with a concentration in accounting from California State University Sacramento.

Scott Winans, Senior Vice President of Operations (age 60). Mr. Winans joined Eskaton in December 2022 and brings 33 years of executive management experience in the senior housing industry encompassing age-restricted, independent living, assisted living and skilled nursing care. He managed 10 start-up communities and over 17 existing communities concurrently and multiple acquisitions throughout the country. Mr. Winans earned a Bachelor of Science degree from Eastern Illinois University, where he studied Health Care Administration, and obtained his MBA from George Washington University. Mr. Winans is a licensed nursing home administrator (NHA) in Pennsylvania and Florida as well as a preceptor. He is certified as a Retirement Housing Professional (RHP) and has served as an active board member of the American Heart Association and the Alzheimer's Association.

Tom Garberson, General Counsel (age 40). Mr. Garberson joined Eskaton in April 2020 and serves as Eskaton's General Counsel. Previously, he was a partner at Low McKinley Baleria & Salenko, LLP in 2012. As a member of the firm, Tom defended assisted living and skilled nursing facilities, hospitals, and health care professionals in civil cases, professional licensing actions, and appeals. He currently sits on the Senior Citizens' Commission for the city of Davis, California, as an advocate for older adults in the community. Mr. Garberson has a Juris Doctorate from the University of California, Davis, and is currently pursuing an MBA from the University of California, Davis.

Charles Garcia, Chief Information Officer (age 52). Mr. Garcia is Eskaton's Chief Information Officer. Bringing over 26 of experience in the technology sector, he is responsible for the strategic direction and oversight of all Eskaton information technology systems. Mr. Garcia joined Eskaton in April 2002 and has held several other positions including network manager and director of information technology. He holds a bachelor's in information technology. Prior to Eskaton, he worked with several multi-national companies, including Hewlett Packard, 3Com and Northrop Grumman.

OBLIGATED GROUP COMMUNITIES AND SERVICES

Following is a description of the levels of care available at the Obligated Group Communities, a description of the Communities and summaries of their rates and fees.

LEVELS OF CARE

The Obligated Group Communities offer residents a continuum of care options. Each Community offers a different mix of care levels. The following is a summary of the services provided for each level of care.

Independent Living and Independent Living with Services. Independent living is available to residents who do not require assistance with activities of daily living. Eskaton offers independent living with services such as dining, activities, housekeeping and transportation. Additional services such as assistance with grooming, bathing, meal preparation and medication management are available for additional fees. There are no licensing requirements for independent living. The only admission criterion is a minimum age of 60 years. Residents of Eskaton Village Carmichael sign a membership agreement, pay a membership fee and pay a monthly fee. Residents at Eskaton's other independent living communities enter into month to month leases.

Assisted Living. The Obligated Group's assisted living communities provide the independence of a private apartment, plus the assistance needed with activities of daily living. The personal services provided to residents in these communities include bathing, dressing, grooming, medication management, dining, activities, transportation and housekeeping.

Upon entrance, each resident's needs are evaluated and a service plan is developed. Periodically, the plan is reviewed to ensure an appropriate package of services is provided for continued resident success. The admission criteria include a minimum age of 60 years and a health screening.

The assisted living rents are determined based on four levels of care ranging from minimal assistance up to complete dependence on staff for personal care and health care monitoring.

Each of the Obligated Group's assisted living communities has the California Department of Social Services' RCFE license.

Memory Care. The memory care apartments are designed for residents with severe short-term memory loss but who are still active and medically stable. Residents are provided a comfortable setting with customized programs and amenities assuring that enriching activities are available to them. Staff focuses on wellness, nutrition and socialization to enhance the life experience of each resident. Personal caregivers are trained in dementia care with oversight provided by a licensed vocational nurse.

Skilled Nursing. Skilled nursing residents may receive short-term rehabilitative therapy (physical, occupational & speech) or long-term care services. Residents receive 24-hour licensed nursing care performed under the supervision of the medical director. Activities, social services and specialized dietary care are provided on an ongoing basis.

For information on membership fees, rents and monthly fees, see "Obligated Group Fees and Charges" below.

DESCRIPTION OF OBLIGATED GROUP COMMUNITIES

Eskaton Village Carmichael (“EVC”), owned by EPI, is a multilevel community offering independent living, assisted living for those residents needing assistance with two or more activities of daily living, assisted living with memory care, and skilled nursing. EVC is located on a 37-acre parcel of land in Carmichael, California, and has 201 one- and two-bedroom independent living apartments, 94 one-, two- and three-bedroom independent living cottages, 37 assisted living apartments, 20 memory care apartments, 35 skilled nursing beds, and a core building called the “Village Center” for the provision of community services and amenities.

EVC has the following admission criteria: (i) individuals or one person of a couple must be at least 60 years of age and (ii) prospective members must pass both a financial screening and a health screening.

Individuals seeking residence in EVC’s apartments or cottages pay a membership fee and sign a membership agreement that has been approved by the Continuing Care Contracts Branch of the California Department of Social Services. Eskaton offers 90% refundable and traditional amortized contracts. During the first 90 days of occupancy, residents may cancel their membership agreement and receive a full refund of the membership fee. After the 90-day period, for the 90% refundable contracts the resident becomes responsible for reselling the membership. EVC markets and manages the process of reselling memberships on behalf of residents. A resident may resell his or her membership only to another qualified individual as determined by EVC, and EVC receives a transfer fee equal to 10% of the selling resident’s original purchase price, capped at a maximum of 10% of the new sales price. Any appreciation in excess of the selling resident’s original purchase price is shared equally between the selling resident and EVC. Residents or their estate are required to pay monthly fees for their apartment until their membership is sold.

From time to time, EVC may own a membership and be the seller, as opposed to a resident being the seller. When that is the case, EVC receives all proceeds of the new sale, instead of a 10% transfer fee and half of any appreciation. EVC acquires ownership of memberships in one of three ways: residents occasionally donate their membership to EVC as a tax-deductible contribution, EVC occasionally purchases memberships from residents who have not been successful in selling their membership, and EVC regularly takes ownership of traditional memberships upon a resident’s permanent departure from independent living (described below).

EVC also sells traditional memberships with a five-year declining refundability period. Residents are not entitled to resell these memberships. As with standard memberships described above, residents may cancel their membership agreement during the first 90 days of occupancy and receive a full refund of the membership fee. After the 90-day period, the membership fee is refundable proportionally over the five-year refundability period with refunds declining 1.67% per month. After five years, no refund is due to the resident. Upon a resident’s permanent departure from independent living, EVC pays the refund, if any is due, and the membership is returned to EVC’s ownership. As of June 30, 2024, 53 apartments were subject to traditional membership contracts.

In addition to the membership fee, residents of the apartments and cottages are charged monthly service fees, which are used to pay routine operating expenses of EVC. See “Fees and Charges” under this caption.

Residents of the apartments and cottages are transferred to the assisted living and skilled nursing levels of care based on an assessment made by a multidisciplinary team. Additional fees are charged to residents for services rendered in the assisted living and skilled nursing communities, a major portion of which may be defrayed by long-term care insurance.

EPI is obligated to provide future services and the use of the Village Center to the residents. Management has determined that the value of deferred membership fees and future monthly fees exceeds the present value of the net cost of future services and use of the Village Center and, therefore, has not recorded a liability.

The California Department of Social Services requires that EPI determine whether statutory reserves are necessary to ensure that it will be able to fulfill contractual obligations to residents. Management has determined that projected revenues plus liquid assets exceed projected expenditures and, therefore, has no statutory reserve requirement.

EVC is licensed by the California Department of Social Services Continuing Care Contracts Branch for its continuing care retirement community license, the California Department of Public Health for the skilled nursing facility license and the California Department of Social Services for the Residential Care Facility for the Elderly (“RCFE”) license for assisted living.

Eskaton Land Park. Owned by EPI and formerly known as Eskaton Monroe Lodge, Eskaton Land Park is a high-rise complex with 98 apartments in Sacramento, California. This community offers independent living with services. In addition to offering studio, duplex and one-bedroom apartments, Eskaton Land Park provides at least one meal per day to each of the residents. Weekly housekeeping and transportation services, lounges, laundry rooms, a common dining room, and an outdoor spa are all amenities covered by the monthly rent and service fees.

Eskaton Village-Grass Valley. Owned by EVGV and located in Grass Valley, California, Eskaton Village-Grass Valley offers both independent living with services and assisted living. Eskaton Village-Grass Valley has 119 apartments with kitchenettes for independent living with services or assisted living and 18 apartments dedicated to memory care. Eskaton Village-Grass Valley provides three meals per day to each of the residents. Weekly housekeeping and linen service, a dining room, a library, a business center with computers, a living room with fireplace, and a TV theater are all amenities covered by the monthly rent and service fees. Residents also have access to a clubhouse with exercise facilities, a heated indoor pool and warm water spa through a homeowners association that includes Eskaton Village-Grass Valley and the adjacent community of 130 age-restricted patio homes.

Eskaton Village-Roseville. Owned by EVR and located in Roseville, California, Eskaton Village-Roseville offers both independent living with services and assisted living. Eskaton Village-Roseville consists of 72 one-bedroom apartments with kitchenettes for independent living with services or assisted living and a 24-apartment wing for memory care. The common areas of Eskaton Village-Roseville include a large modern kitchen, a large dining room and smaller private dining room, a country kitchen in each wing, a beauty/barber shop, a laundry and activity rooms. Residents also have access to a clubhouse with exercise facilities, a heated indoor pool and warm water spa and a bistro through a homeowners association that includes Eskaton Village-Roseville and the adjacent community of 277 age-restricted patio homes.

Eskaton Gold River. Owned by EPI and located in Gold River, California, Eskaton Gold River offers both independent living with services and assisted living. Eskaton Gold River consists of 72 one-bedroom apartments with kitchenettes for independent living with services or assisted living and a 23-apartment wing for memory care. The common areas of Eskaton Gold River include a large modern kitchen, a large dining room and smaller private dining room, a country kitchen in each wing, a beauty/barber shop, a laundry, activity rooms, park-like grounds and picnic areas. The memory care wing has enhanced security and its own common areas.

FEES AND CHARGES

Eskaton Village Carmichael. The following table summarizes the fees and charges to residents of EVC, EPI's continuing care retirement community, as of January 1, 2024.

Eskaton Village Carmichael – Independent Living

Units	Number of Units	Approximate Square Feet	Suggested Membership Price	(Five Year) Traditional Membership Price	2024 Monthly Fee
Apartments:					
One bedroom, one bath	6	649	\$135,000	\$80,000	\$5,120
One bedroom, one bath	15	662	135,000	80,000	5,120
One bedroom, one bath	1	781	135,000	80,000	5,120
One bedroom, one bath	24	704	140,000	85,000	5,530
One bedroom, one bath	7	733	140,000	85,000	5,530
One bedroom, one bath	8	809	160,000	95,000	5,530
One bedroom, den, 1.5 baths	24	938	175,000	105,000	5,945
Two bedrooms, two baths	21	1,024	185,000	110,000	6,350
Two bedrooms, two baths	29	1,014	190,000	115,000	6,350
Two bedrooms, two baths	11	1,078	190,000	115,000	6,540
Two bedrooms, two baths	11	1,302	300,000	180,000	7,290
Two bedrooms, two baths	13	1,323	305,000	185,000	7,290
Two bedrooms, two baths	1	1,356	315,000	190,000	7,290
Two bedrooms, den, two baths	14	1,356	310,000	187,000	7,290
Two bedrooms, den, two baths	5	1,408	325,000	195,000	7,670
Two bedrooms, den, two baths	<u>11</u>	<u>1,413</u>	<u>325,000</u>	<u>195,000</u>	<u>7,670</u>
	201				
Cottages:					
One bedroom, one bath	5	1,038	\$215,000	\$130,000	\$6,540
Two bedrooms, two baths	42	1,283	300,000	180,000	7,225
Two bedrooms, two baths	7	1,299	400,000	240,000	7,225
Three bedrooms, two baths	19	1,525	485,000	290,000	7,855
Three bedrooms, two baths	16	1,569	485,000	290,000	7,855
Three bedrooms, two baths	<u>5</u>	<u>1,588</u>	<u>500,000</u>	<u>300,000</u>	<u>7,855</u>
	94				
Second person fee					\$1,625

Source: EPI.

As discussed in more detail under “THE OBLIGATED GROUP’S COMMUNITIES AND SERVICES – Description of Obligated Group Communities – Eskaton Village Carmichael,” the membership price is typically negotiated between the prospective resident and the selling resident. EVC receives a transfer fee equal to 10% of the selling resident’s original purchase price, capped at a maximum of 10% of the new sales price if the new sales price is lower than the original sales price. Any appreciation in excess of the selling resident’s original purchase price is shared equally between the selling resident and EVC. If the new sales price is less than the original sales price, EVC is not responsible for the deficiency. Average membership price appreciation on these sales was \$74,000 and \$89,188 in 2022 and 2023, respectively.

As of June 30, 2024, there were approximately 48 potential residents on the waiting list for EVC. The average waiting time for a prospective resident on the waiting list is approximately two years.

**Eskaton Village Carmichael
Assisted Living, Memory Care, Skilled Nursing**

Units	Number of Units	Approximate Square Feet	Monthly Fees	Second Person Fee
Assisted Living ¹				
Studio	29	344	\$7,010	\$1,675-\$3,990
1 Bedroom	8	478	\$8,370	
Memory Care				
Private Studio	20	218	\$9,415 ¹	n/a
Skilled Nursing				
Semi-Private Room	29	228-333	\$493/day	n/a
Private Room	6	163	\$588/day	n/a

¹ Rates shown are for Level 1 services. Higher fees apply for higher levels of care.

Eskaton Land Park. The following chart summarizes the fees for Eskaton Land Park as of January 1, 2024.

Eskaton Land Park

Units	Number of Units	Approximate Square Feet	Monthly Fees	Second Person Fee
Independent Living with Services				
Studio	36	427	\$3,245-\$3,460	\$650
1 Bedroom, 1 Bathroom	40	587	\$4,665-\$4,685	\$650
1 Bedroom, 2 Bathrooms	22	854	\$5,500-\$5,530	\$650

Eskaton Village-Grass Valley. The following chart summarizes the fees for Eskaton Village-Grass Valley as of January 1, 2024.

Eskaton Village-Grass Valley

Units	Number of Units	Approximate Square Feet	Monthly Fees	Second Person Fee
Independent Living with Services ¹				
1 Bedroom, 1 Bathroom	109	390-792	\$5,790-\$6,955	\$1,300
2 Bedrooms, 2 Bathrooms	10	792	\$7,570	\$1,300
Assisted Living ¹				
1 Bedroom, 1 Bathroom	109	390-792	\$6,955-\$8,110 ²	\$1,880 ²
2 Bedrooms, 2 Bathrooms	10	792	\$8,725 ³	\$1,880 ³
Memory Care				
1 Bedroom, 1 Bathroom	18	390	\$8,625 ³	\$1,880 ³

¹ The campus has 119 apartments that can be utilized as independent living apartments or as licensed assisted living apartments.

² Rates shown are for Level 1 services. Monthly fees for Level 2 through Level 4 services range from \$7,740 to \$10,465 per month with second person fees ranging from \$2,665 to \$4,235. Higher fees apply for higher levels of care

³ Rates shown are for Level 1 services. Higher fees apply for higher levels of care.

Eskaton Village-Roseville. The following chart summarizes the fees for Eskaton Village-Roseville as of January 1, 2024.

Eskaton Village-Roseville

Units	Number of Units	Approximate Square Feet	Monthly Fees	Second Person Fee
Independent Living with Services ¹				
1 Bedroom	72	433-587	\$5,240-\$6,340	\$1,225
Assisted Living ¹				
1 Bedroom	72	433-587	\$6,560-\$8,135 ²	\$1,865 ²
Memory Care Studio	24	218	\$9,075 ³	\$1,865 ³

¹ The campus has 72 apartments that can be utilized as independent living apartments or as licensed assisted living apartments.

² Rates shown are for Level 1 services. Monthly fees for Level 2 through Level 4 services range from \$7,325 to \$10,430 per month with second person fees ranging from \$2,630 to \$4,160. Higher fees apply for higher levels of care.

³ Rates shown are for Level 1 services. Higher fees apply for higher levels of care.

Eskaton Gold River. The following chart summarizes the fees for Eskaton Gold River as of January 1, 2024.

Eskaton Gold River

Units	Number of Units	Approximate Square Feet	Monthly Fees	Second Person Fee
Independent Living with Services ¹				
1 Bedroom	55	433-587	\$5,130-\$5,725	\$1,245
Assisted Living ¹				
1 Bedroom	55	433-587	\$6,560-\$8,135 ²	\$1,865 ²
Pre-Memory Care				
1 Bedroom	17	433-587	\$6,860-\$8,435 ³	\$2,015 ³
Memory Care				
1 Bedroom	23	218	\$8,485 ³	\$1,900 ³

¹ The campus has 55 apartments that can be utilized as independent living apartments or as licensed assisted living apartments.

² Rates shown are for Level 1 services. Monthly fees for Level 2 through Level 4 services range from \$7,405 to \$10,670 per month with second person fees ranging from \$2,710 to \$4,400. Higher fees apply for higher levels of care.

³ Rates shown are for Level 1 services. Higher rates apply for higher levels of care.

Competition. For information regarding the service area competition for each of the Obligated Group Communities, see “COMPETITION AND RATES” in this APPENDIX A.

MANAGEMENT SERVICES

In addition to owning and operating senior living communities, Eskaton also provides a wide range of consulting services as well as turnkey operational management and support services to other senior living organizations in Northern California. Eskaton currently provides full management services to four senior living organizations. These contracts provide periodic management fee payments to EPI. Management fees are generally determined by an agreed-upon percentage of gross revenues (as defined in the management

agreement). Certain management contracts also provide for an annual incentive fee to be paid to Eskaton upon achievement of certain metrics identified in the contract. There were no incentive fee amounts recorded for the years ending December 31, 2023 or 2022. Eskaton also provides IT support services to two additional senior living organizations. These services are rendered under multi-year service contracts with a monthly fee. For the fiscal year ended December 31, 2023, management fees were approximately \$3.4 million, or approximately 4% of the revenues of the Obligated Group.

CORPORATE HEADQUARTERS AND OTHER ACTIVITIES

EPI owns a 27,000 square foot administrative center situated on 4.7 acres in Carmichael, California, from which various general administrative, finance, legal, accounting, billing, credit and collection, data processing, human resources and public relations activities are conducted.

EPI owns an approximately 1.7 acre property in the Sierra Nevada foothills approximately 35 miles east of Sacramento. The property is the site of the former Eskaton Cameron Park community, which operated 49 studio assisted living apartments. The property was leased to the California Department of Forestry and Fire Protection for a ten-year term commencing April 1, 2024 with monthly rent of \$75,000 which increases 2% each year for the term of the lease. This property is not subject to any of the Deeds of Trust described in the forepart of this Official Statement.

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STATISTICAL INFORMATION

OCCUPANCY AND PAYOR MIX

The tables below highlight the occupancy and payor mix for the Obligated Group's communities:

Historical Occupancy by Community

Community	Number of Units as of June 30, 2024	2021		2022		2023		Through June 30, 2024		Actual Occupancy at June 30, 2024
		Average Daily Census	Avg. %	Average Daily Census	Avg. %	Average Daily Census	Avg. %	Average Daily Census	Avg. %	
Eskaton Village-Grass Valley	137	123.6	83	128.4	86	129.7	87	131.0	88	90%
Eskaton Land Park	98	92.6	92	97.7	98	95.3	97	94.7	96	94%
Eskaton Gold River	95	59.8	59	70.7	71	83.9	83	91.2	91	87%
Eskaton Cameron Park	N/A (47)	27.7	59	33.4	70	28.8	59	-	-	Closed
Eskaton Village-Roseville	96			88.6	86	94.8	95	94.0	95	89%
Eskaton Village Carmichael (independent living)	295	356.0	97	336.5	92	327.2	90	330.4	91	93%
Eskaton Village Carmichael (assisted living)	37	29.9	79	35.5	93	36.6	95	36.1	93	89%
Eskaton Village Carmichael (memory care)	20	15.2	76	18.3	91	18.1	90	17.8	89	80%
Eskaton Village Carmichael (skilled nursing)	35	28.7	82	29.8	85	32.8	94	29.3	84	97%

Source: Eskaton.

Average Daily Census includes double occupancy. Average Occupancy percentage is based on units occupied and excludes double occupancy.

Eskaton Valley Carmichael Payor Mix Based on Resident Days for Skilled Nursing

Facility	2021	2022	2023	Six Months Ended June 30, 2024
Eskaton Village Carmichael				
Private	24%	25%	16%	17%
Medicare	23	21	19	18
Medi-Cal	6	5	7	10
Managed Care	47	49	58	55
Total	100%	100%	100%	100%

All other communities within the Obligated Group are 100% private pay.

Source: Eskaton.

SELECTED FINANCIAL INFORMATION OF THE OBLIGATED GROUP

The following tables set forth selected financial information of the Obligated Group as of and for the years ended December 31, 2022 and 2023, and as of and for the six months ended June 30, 2023 and 2024. Financial information for the Parent and the other Non-Obligated Entities is not included in the tables set forth below.

The Obligated Group financial information as of and for the years ended December 31, 2022 and 2023 has been derived from the audited financial statements and consolidating schedules of Eskaton and Subsidiaries. The audited financial statements of Eskaton and Subsidiaries for the fiscal years ended December 31, 2022 and 2023, including the 2023 consolidating schedules, audited by Moss Adams LLP, are included as APPENDIX B to this Official Statement. Such financial statements include the Non-Obligated Entities and should be read in their entirety.

The Obligated Group financial information as of and for the six months ended June 30, 2023 and 2024 has been derived from the unaudited financial statements of Eskaton and Subsidiaries prepared by management of the Obligated Group, and does not include all of the information and footnotes required by generally accepted accounting principles for complete financial statements. Operating results for the six-month period ended June 30, 2024 are not necessarily indicative of the results for the full fiscal year ending December 31, 2024.

Eskaton Care Center Manzanita, Eskaton Care Center Fair Oaks and Eskaton Care Center Greenhaven were sold by Eskaton in September 2023. See “RECENT DEVELOPMENTS AND STRATEGIC INITIATIVES” in this Appendix A. For the fiscal years ended December 31, 2022 and December 31, 2023, the operating results for those skilled nursing communities were not included within (loss) income from operations in the audited financial statements set forth in Appendix B hereto nor within operating income (loss) in the summary financial information of the Obligated Group set forth below. The operating results of those discontinued operations are not included in the operating financial information for the six-month periods ended June 30, 2023 and June 30, 2024.

Eskaton Home Healthcare closed in December 2023. See “RECENT DEVELOPMENTS AND STRATEGIC INITIATIVES” in this Appendix A. For the fiscal years ended December 31, 2022 and December 31, 2023, the operating results for Eskaton Home Healthcare were not included within (loss) income from operations in the audited financial statements set forth in Appendix B hereto nor within operating income (loss) in the summary financial information of the Obligated Group set forth below. The operating results of that discontinued operation are not included in the operating financial information for the six-month periods ended June 30, 2023 and June 30, 2024.

See “MANAGEMENT’S DISCUSSION AND ANALYSIS” below for management’s discussion and analysis of the Obligated Group’s finances and results of operations.

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BALANCE SHEET

Obligated Group Balance Sheet
(Dollars in thousands)

	As of December 31,		As of June 30,	
	2022	2023	2023	2024
ASSETS				
CURRENT ASSETS				
Cash and Cash Equivalents	\$10,705	\$12,785	\$5,804	\$7,325
Assets limited as to use, required for current liabilities	534	569	1,979	2,087
Investments	52,193	56,153	43,384	50,680
Accounts receivable, net	8,718	3,918	12,991	1,894
Other receivables	2,245	4,676	3,752	5,317
Inventories	673	175	666	165
Deposits and prepaid expenses	1,059	1,219	2,409	1,499
Due from related parties	9,019	13,695	9,864	16,650
Total Current Assets	85,146	93,190	80,849	85,617
Assets limited as to use, net of amount required for current liabilities	8,056	8,358	8,169	8,446
Property and equipment, net	49,776	49,082	48,893	49,101
Property and equipment of discontinued operations	7,742	-	7,709	-
OTHER ASSETS				
Due from liability insurer	3,214	7,088	3,214	7,088
Associate member/resident/patient deposits	1,634	1,078	1,146	1,171
Funded pension obligation	-	1,435	-	449
Other	4,928	5,395	5,301	5,338
Due from related parties, net of current portion	3,147	3,147	3,147	7,023
Total Other Assets	12,923	18,143	12,808	21,069
Total Assets	\$163,643	\$168,773	\$158,428	\$164,233
LIABILITIES AND NET ASSETS				
CURRENT LIABILITIES				
Current maturities of long-term debt	\$4,673	\$4,642	\$4,673	\$4,642
Current portion of deferred revenue from unamortized CCRC entrance fees	1,344	1,347	1,282	1,310
Deposits on unoccupied units	730	530	760	803
Accounts payable	5,609	2,471	3,411	1,224
Accrued liabilities:				
Payroll and payroll taxes	1,732	2,023	1,647	1,062
Vacation	2,527	1,421	2,535	1,463
Current portion of self-insured workers' compensation	1,516	1,429	2,524	1,416
Self-insured employee health plan	2,823	2,530	2,787	1,981
Interest	501	483	521	478
Other	6,823	8,526	6,551	6,623
Due to related parties	(137)	197	214	172
Total Current Liabilities	28,141	25,599	26,905	21,174
OTHER LIABILITIES				
Self-insured workers' compensation, net of current portion	7,511	6,825	6,494	6,255
Interest rate swap agreements	1,255	1,163	1,176	793
Unfunded pension obligation	1,316	1,268	1,451	372
Professional liability	1,712	1,908	1,712	1,902
Associate member/resident/patient deposits	1,634	1,081	1,146	1,173
Other	80	7	190	179
Total Other Liabilities	13,508	12,252	12,169	10,674
Long-term debt, net of current maturities	84,969	76,637	84,083	75,849
Refundable CCRC entrance fees	30	298	96	389
Deferred revenue from unamortized CCRC entrance fees, net of current portion	7,315	7,382	7,303	6,922
Total Liabilities	133,963	122,168	130,556	115,008
NET ASSETS				
Without donor restrictions	29,673	46,598	27,864	49,217
With donor restrictions	7	7	8	8
Total Net Assets	29,680	46,605	27,872	49,225
Total Liabilities and Net Assets	\$163,643	\$168,773	\$158,428	\$164,233

STATEMENT OF OPERATIONS

Obligated Group Statement of Operations
(Dollars in thousands)

	Year Ended December 31,		Six Months Ended June 30,	
	2022	2023	2023	2024
REVENUE, GAINS, AND OTHER SUPPORT				
Resident service revenue, including amortization of CCRC membership fees	\$66,662	\$71,502	\$35,394	\$36,443
Government grant revenue	10	-	-	-
Other, net	11,339	11,007	4,911	5,417
Total revenues, gains, and other support	<u>78,011</u>	<u>82,509</u>	<u>40,305</u>	<u>41,860</u>
EXPENSES				
Salaries and wages	33,021	36,931	18,461	18,654
Employee benefits	2,551	6,865	4,390	5,402
Professional fees	3,240	5,038	1,328	1,186
Supplies	3,594	3,980	2,003	2,349
Purchased services	9,574	10,474	5,103	4,282
Ancillary costs	727	832	422	405
Utilities	3,803	3,919	1,920	1,938
Insurance and other	4,309	4,056	1,906	1,516
Depreciation	6,806	5,912	3,010	3,003
Interest and amortization	3,976	4,301	2,142	2,086
Total operating expenses	<u>71,601</u>	<u>82,308</u>	<u>40,685</u>	<u>40,821</u>
OPERATING INCOME (LOSS)	<u>6,410</u>	<u>201</u>	<u>(380)</u>	<u>1,039</u>
NONOPERATING REVENUE (EXPENSES)				
Investment income (loss)	(12,002)	6,863	4,245	2,429
Interest rate swap activities	2,040	75	56	374
Loss on early repayment of debt	(138)	-	-	-
Other components of net periodic pension (cost) benefit	(971)	(192)	-	-
Gain (loss) on disposal of property and equipment	-	28	-	(19)
Other	231	258	34	26
Total nonoperating revenue (expenses), net	<u>(10,840)</u>	<u>7,032</u>	<u>4,335</u>	<u>2,810</u>
Excess (Deficiency) of revenues, gains, and other support over expenses	<u><u>\$(4,430)</u></u>	<u><u>\$7,233</u></u>	<u><u>\$3,955</u></u>	<u><u>\$3,849</u></u>
CHANGE IN NET ASSETS WITHOUT DONOR RESTRICTIONS				
Excess (Deficiency) of revenues, gains, and other support over expenses	\$(4,430)	\$7,233	\$3,955	\$3,849
Pension-related changes other than net periodic pension cost	(1,751)	732	-	-
Transfers between related entities	900	383	51	432
Change in net assets without donor restrictions before discontinued operations	<u>\$(5,281)</u>	<u>\$8,348</u>	<u>\$4,006</u>	<u>\$4,281</u>
(Loss) Income from discontinued operations	<u>(15,089)</u>	<u>8,577</u>	<u>(5,814)</u>	<u>(1,661)</u>
Change in net assets without donor restrictions	<u><u>\$(20,370)</u></u>	<u><u>\$16,925</u></u>	<u><u>\$(1,808)</u></u>	<u><u>\$2,620</u></u>

HISTORICAL AND PRO FORMA DEBT SERVICE COVERAGE

The table below sets forth (i) the maximum annual debt service requirement and Debt Service Coverage Ratio for the Obligated Group for the years ended December 31, 2022 and 2023, and for the six months ended June 30, 2023 and 2024, and (ii) the maximum annual debt service requirement and Debt Service Coverage Ratio for the years ended December 31, 2022 and 2023, and for the six months ended June 30, 2023 and 2024, as adjusted on a pro forma basis to reflect the issuance of the Series 2024 Bonds as if the Series 2024 Bonds had been issued on January 1, 2022. Also included is a calculation of the pro forma Maximum Annual Debt Service Ratio assuming issuance of the Bonds.

Debt Service Coverage Ratio for the Obligated Group (Dollars in thousands)

	Year Ended December 31,		Six Months Ended June 30,	
	2022	2023	2023	2024
Gross revenues				
Total operating revenue and other support	\$78,011	\$82,509	\$40,305	\$41,860
Plus investment income	(12,002)	6,863	4,245	2,429
Plus other nonoperating revenue	231	258	34	26
Plus turnover entrance fees	3,436	2,272	672	794
Less amortization of entrance fees	(2,072)	(1,629)	(681)	(1,075)
Less unrealized (gains)/losses on investments	13,406	(6,766)	(5,224)	(2,083)
(A) Total gross revenues	\$81,010	\$83,507	\$39,351	\$41,951
Operating expenses				
Total expenses	\$71,601	\$82,308	\$40,685	\$40,821
Less depreciation	(6,806)	(5,912)	(3,010)	(3,003)
Less interest expense	(3,976)	(4,301)	(2,142)	(2,086)
(B) Total operating expenses	\$60,819	\$72,095	\$35,533	\$35,732
(C) Income Available for Debt Service (A)-(B)	\$20,191	\$11,412	\$3,818	\$6,219
(D) Actual Annual Debt Service	\$9,097	\$8,872	\$4,436	\$4,364
Actual Annual Debt Service Coverage (C)/(D) ⁽¹⁾⁽²⁾	2.22x	1.29x	0.86x	1.43x
(E) Pro Forma Maximum Annual Debt Service ⁽²⁾⁽³⁾	\$6,559	\$6,559	\$3,279	\$3,279
Pro Forma Maximum Annual Debt Service Coverage Ratio (C)/(E) ⁽²⁾⁽³⁾	3.08x	1.74x	1.16x	1.90x

⁽¹⁾ Computation performed in accordance with the requirements of and assumptions set forth in the Master Indenture.

⁽²⁾ Actual annual Debt Service Requirement and Pro Forma Maximum Annual Debt Service for the six months ended June 30, 2023 and 2024 are adjusted to correspond to six months of such debt service computations.

⁽³⁾ Reflects issuance of the Series 2024 Bonds and the application of the proceeds thereof as shown in this Official Statement. Computation performed in accordance with the requirements of and assumptions set forth in the Master Indenture.

DAYS CASH ON HAND

Days Cash on Hand for the Obligated Group (Dollars in thousands)

	Year Ended December 31,		Six Months Ended June 30,	
	2022	2023	2023	2024
Unrestricted cash and investments				
Cash and cash equivalents	\$10,705	\$12,785	\$5,804	\$7,325
Current investments	52,193	56,153	43,384	50,680
(A) Total unrestricted cash and investments	\$62,898	\$68,938	\$49,188	\$58,005
Cash operating expenses				
Total operating expenses	\$71,601	\$82,308	\$40,685	\$40,821
Less depreciation	(6,806)	(5,912)	(3,010)	(3,003)
Plus amortization of bond premiums net of deferred financing costs	40	49	30	30
(B) Total cash operating expenses	\$64,835	\$76,445	\$37,705	\$37,848
(C) Number of Days in Period	365	365	181	182
(D) Daily Cash Expenses (B)/(C)	\$177.63	\$209.44	\$208.31	\$207.96
Days Cash on Hand (A)/(D) ⁽¹⁾	354	329	236	279

⁽¹⁾ Computation performed in accordance with the requirements of the Master Indenture.

MANAGEMENT'S DISCUSSION AND ANALYSIS

RESULTS OF OPERATIONS AND FINANCIAL CONDITION FOR THE SIX MONTHS ENDED JUNE 30, 2024 COMPARED TO THE SIX MONTHS ENDED JUNE 30, 2023

Total operating revenues increased by \$1,555,000 or 3.9%, from \$40,305,000 in 2023 to \$41,860,000 in 2024. Significant differences included the following:

- Resident service revenue increased by \$1,049,000 or 3.0%, from \$35,394,000 in 2023 to \$36,443,000 in 2024. Monthly rate increases averaging over 6% and modest growth in total occupancy (less than 0.8%) contributed to this increase, but those factors were significantly offset by the closure of Eskaton Cameron Park ("ECP"), which had contributed resident service revenue of \$1,413,000 in 2023. If ECP is excluded from the 2023 total, the increase was \$2,462,000 or 7.2%.
- Other revenue increased by \$506,000 or 10.3%, from \$4,911,000 in 2023 to \$5,417,000 in 2024. Significant increases in 2024 include \$670,000 in grant reimbursement revenue, \$246,000 in rent revenue from the ECP lease, and an increase of \$102,000 in member transfer

fees at EVC. These increases were offset by a reduction in membership donation revenue at EVC, which had received \$655,000 in 2023 but has received none in 2024. Occasionally, outgoing residents decide to donate their membership to EVC, and EVC can then resell it to a new resident.

Total operating expenses increased by \$136,000 or 0.3%, from \$40,685,000 in 2023 to \$40,821,000 in 2024. Significant differences included the following:

- Salaries and wages and employee benefits increased by a combined total of \$1,205,000 or 5.3%, from \$22,851,000 in 2023 to \$24,056,000 in 2024. Salaries and wages increased by only \$193,000. This increase was relatively minor due to the closure of ECP, which resulted in a decrease of \$842,000. Aside from the effects of that closure, the increase in salaries and wages was approximately 5.9%, which is in line with expectations in California. Employee benefits grew by \$1,012,000; Eskaton's expense for its self-insured insurance plans (employee health and workers' compensation) has been over \$1 million greater in 2024 as compared to 2023.
- Supplies increased by \$346,000 or 17.3%, from \$2,003,000 in 2023 to \$2,349,000 in 2024. Aside from inflation and the offsetting effect from the closure of ECP, this increase has resulted from EVC terminating its dining services contract in April 2024. EVC now purchases its own food; it was formerly provided by the contractor, whose expense was categorized as a purchased service. EVC has incurred \$535,000 of food expense in 2024.
- Purchased services decreased by \$821,000 or 16.1%, from \$5,103,000 in 2023 to \$4,282,000 in 2024. This decrease is mainly the result of EVC terminating its dining service contract as described above, which has resulted in a reduction amounting to \$817,000.
- Insurance and other decreased by \$390,000 or 20.5%, from \$1,906,000 in 2023 to \$1,516,000 in 2024. The largest factor in this decrease is a \$212,000 reduction in property and liability expense in 2024, due mainly to a larger premium rebate in 2024 on Eskaton's liability insurance policy. Eskaton participates in a risk-retention group for liability insurance and shares in the overall success of the group. Additionally, there has been a decrease of \$49,000 due to the closure of ECP, as well as many other miscellaneous reductions.

RESULTS OF OPERATIONS AND FINANCIAL CONDITION FOR THE YEAR ENDED DECEMBER 31, 2023 COMPARED TO THE YEAR ENDED DECEMBER 31, 2022

Total operating revenues increased by \$4,498,000 or 5.8%, from \$78,011,000 in 2022 to \$82,509,000 in 2023. Significant differences included the following:

- Resident service revenue increased by \$4,840,000 or 7.3%, from \$66,662,000 in 2022 to \$71,502,000 in 2023. Monthly rate increases averaging 7% and modest growth in total occupancy (less than 1%) contributed to this increase.

Total operating expenses increased by \$10,707,000 or 15.0%, from \$71,601,000 in 2022 to \$82,308,000 in 2023. Significant differences included the following:

- Salaries and wages and employee benefits increased by a combined total of \$8,224,000 or 23.1%, from \$35,572,000 in 2022 to \$43,796,000 in 2023. Salaries and wages increased by 11.8%, mainly due to rapid market-based wage growth prevailing in California. Employee

benefits grew by over \$4.3 million from 2022 to 2023. Some of this increase was due to the expected effects of wage growth, but Eskaton's employee health and workers' compensation plans were the main reasons. Eskaton is self-insured on health insurance and workers' compensation claims up to \$175,000 and \$1 million per claim, respectively. The plans experienced an especially positive year in 2022, but that was followed by an unfavorable year in 2023. The swing from positive to negative resulted in a year-over-year expense increase totaling almost \$3.8 million.

- Professional fees increased by \$1,798,000 or 55.5%, from \$3,240,000 in 2022 to \$5,038,000 in 2023. This increase resulted mainly from legal fees and settlements incurred in 2023.
- Supplies increased by \$386,000 or 10.7%, from \$3,594,000 in 2022 to \$3,980,000 in 2023. Overall inflation averaged close to 6% in 2023, and inflation for food (a major expense in senior residential living) averaged more than 8% in the first half of the year.
- Purchased services increased by \$900,000 or 9.4%, from \$9,574,000 in 2022 to \$10,474,000 in 2023. Overall inflation as described above contributed to this increase. Additionally, the Eskaton Village Carmichael CCRC experienced an increase of 15% for its dining services contractor, and over \$150,000 was incurred for the start-up of the new Eskaton Academy employee training program, which was funded by a reimbursement grant.
- Depreciation expense decreased by \$894,000 or 13.1%, from \$6,806,000 in 2022 to \$5,912,000 in 2023. This decrease was mainly due to Eskaton Village Carmichael reaching the end of the original 30-year depreciable building life for its independent living buildings.

ADDITIONAL INFORMATION

EMPLOYEES AND STAFFING

The Obligated Group employed approximately 794 full-time equivalent employees as of June 30, 2024. Management believes its salaries and benefits package is competitive with other comparable employers in the service areas in which it operates. The Obligated Group believes its employee relations are satisfactory, enhanced by emphasis on communications at all levels. Eskaton conducts regular employee satisfaction surveys and invests in a seven-course training skill program series for supervisors and management. The Director of Human Resources and the human resources staff are located at the administrative center in Carmichael, California and serve as resources to the administrators and business office managers at each Obligated Group community. There is currently no known union organizing activity.

SUMMARY OF INSURANCE

The Obligated Group, excluding EVGV, carries building, contents, boiler and machinery, and business interruption insurance on all community building and equipment assets. The property insurance policy is an all-risk policy with a combined limit of \$375 million and a deductible of \$25,000 and is placed with a carrier that is rated A+, XV by A.M. Best. The Obligated Group has selected flood policies where a risk has been identified and does not carry earthquake insurance.

EVGV is insured by the California Fair Plan, with a combined limit of \$20,000,000. This limit is sufficient to cover the amount of bond debt allocated to the property. This limit will be increased as needed equal to the portion of the new debt allocated to EVGV.

Under the comprehensive general/professional liability coverage, the Obligated Group carries \$5 million per occurrence, \$15 million aggregate with a \$10,000 self-insured retention for all locations. The policy is placed with a multi-provider captive insurance company (risk retention group) that is rated A, VII by A.M. Best. The policy is non-assessable and is on a claims made basis. The Obligated Group carries a \$10 million excess liability policy for all locations.

The Obligated Group is self-insured for workers' compensation with a \$1.0 million per claim deductible, and employee health with a \$175,000 per claim deductible. Other insurance maintained by the Obligated Group includes: (1) crime coverage (blanket employee dishonesty, depositor's forgery, computer theft and fund transfer fraud) with limits of \$2 million; (2) automobile liability coverage with a combined single limit of \$2 million per accident; and (3) directors' and officers' coverage with a limit of \$5 million and a \$100,000 deductible, with an excess policy of \$10 million; (4) cyber insurance coverage with a limit of \$3 million.

OPERATING AND CAPITAL PLANNING PROCESS

Annually, the Executive Director at each community is charged with assisting in the preparation of an Operating Budget for their community. In this process, operating expenditures are planned for salaries and benefits and non-salary areas such as insurance, food and supplies, utilities and other items. Rate increases are then determined to provide a reasonable operating margin and sufficient cash flow to meet debt requirements and capital needs. A Capital Budget is prepared each year as part of the planning process by each administrator, including a ranking by priority and is reviewed by a capital planning committee of the Corporation. The various officers of Eskaton then review both the Operating Budget and Capital Budget. The final community plans are reviewed by the Eskaton Management Committee prior to presentation to the Board for final approval.

The Operating and Capital Budgets are monitored on a regular basis. Each month, the Executive Director is provided with a budget variance report that compares actual performance with budgeted performance. Additionally, each Executive Director receives general ledger detail that supports the budget variance report. The Executive Director reviews the information with the Senior Vice President of Operations. Since the Executive Directors are an integral part of the budget preparation process, they are held accountable for explaining any budget variances. Capital Budget spending is monitored by the Chief Financial Officer and reviewed quarterly with the Board.

INVESTMENT POLICY

Eskaton has three investment policies governing its long-term corporate assets, and any corporate assets with a limited investment horizon. All investment policies are approved by the Board and govern the asset allocations, target investment returns, and relevant benchmarks. Asset allocations are generally consistent with 65% equities, 25% fixed income and 10% alternative investments for long-term corporate assets, and 50% equities, 40% fixed income and 10% alternative investments for corporate assets with a limited investment horizon. Gains, dividends and interest from all funds are reinvested as earned. Eskaton does not rely on investment earnings to support operations and instead reinvests earnings to provide sufficient funding for capital replacement, liquidity and growth. All investments are actively managed and overseen by a professional third party investment advisor. Eskaton management meets regularly with the investment advisor and periodically with the investment fund managers.

COMPETITION AND RATES

INDEPENDENT LIVING

University Retirement Community at Davis (“URCAD”) is the nearest continuing care retirement community to EVC, located approximately 30 miles from EVC. Beyond URCAD, the nearest existing continuing care retirement communities are 50 or more miles away in Fairfield, Stockton, Santa Rosa, the San Francisco Bay area, Turlock, Fresno and more distant areas as shown in the following table:

Location	CCRC	Distance from Carmichael (approx.)
Davis	URCAD	30 miles
Fairfield	Paradise Valley	50 miles
Stockton (EPI Managed)	O’Connor Woods	55 miles
Turlock	Covenant Village	85 miles
San Francisco Bay area	Numerous communities	90 or more miles
Santa Rosa	Spring Lake Village	105 miles
Fresno	San Joaquin Gardens	165 miles

Source: EPI.

The following table compares the fees and charges of EVC to those of URCAD and Paradise Valley:

	EVC	URCAD	Paradise Valley
Fee Type	Membership Fee	Entry Fee	Entry Fee
Fee Range	\$80,000 - \$500,000	\$108,000 - \$595,100	\$237,000 - \$625,000
Residence sizes	649 - 1,588 sq. ft.	563 - 1,263 sq. ft.	803 - 2,090 sq. ft.
Monthly fees - one person	\$5,120 - \$7,855	\$4,580 - \$6,836	\$3,677 - \$6,773
Monthly fees - second person	\$1,625	\$1,458	\$2,300

Source: Eskaton.

Amounts as of January 1, 2024.

Eskaton has one independent living with services community in the greater Sacramento area. Eskaton Land Park is a 51-year old building with 98 apartments in the Land Park neighborhood of Sacramento. Key competitors are listed in the table below with fees noted for one-bedroom apartment units, the predominant type of residence in these settings:

Community	One-Bedroom Apartment Monthly Fee[†] - One Person	Residence Type
Eskaton Land Park* Sacramento, California	\$4,665	Independent only
Campus Commons Sacramento, California	\$3,640	Independent only
Greenhaven Place Sacramento, California	\$3,995	Assisted and Independent
River's Edge Sacramento, California	\$5,195	Assisted and Independent

* Community owned and operated by EPI.

[†] Amounts as of January 1, 2024.

Source: Eskaton.

Eskaton has one community offering independent living with services in Grass Valley, California. Key competitors are listed in the table below with fees noted for one-bedroom apartment units, the predominant type of residence in these settings:

Community	Monthly Fee[†] One-Bedroom Apartment or Suite⁽¹⁾
Eskaton Village-Grass Valley Grass Valley, California	\$5,790
Atria Grass Valley Grass Valley, California	\$4,495
Cascades of Grass Valley Grass Valley, California	\$5,770

[†] Amounts as of January 1, 2024.

⁽¹⁾ "Suite" refers to a two-room apartment without a kitchen or kitchenette.

Source: Eskaton.

ASSISTED LIVING AND MEMORY CARE

Assisted Living. The greater Sacramento area has a wide variety of competitors to Eskaton communities, including a large supply of older “dormitory-style” assisted living apartments offering private and semi-private rooms, as well as a significant number of smaller board-and-care homes. National competitors have also infiltrated the market. Larger, newer (or extensively remodeled) facilities offering apartment-style accommodations are fewer in number, but are concentrated in the suburban areas of northeast Sacramento County and south Placer County (Roseville area). Eskaton’s competitors in this category are listed in the following table. Pricing standards vary and many competitors do not include care in their base monthly rate. Eskaton does include care in its base monthly rate and bundles services.

Community	Monthly Fee[†] – Level One Care One-Bedroom Apartment or Suite ⁽¹⁾
Eskaton Village Carmichael* Carmichael, California	\$8,370
Eskaton Gold River* Gold River, California	\$6,560
Eskaton Village-Grass Valley** Grass Valley, California	\$6,955
Eskaton Lodge Granite Bay*** Granite Bay, California	\$8,245
Eskaton Village-Roseville**** Roseville, California	\$6,560
Sonrisa Roseville Roseville, California	\$7,295 + points/care
Wellquest of Granite Bay Granite Bay, California	\$7,295 + points/care
Ponte Palmero Cameron Park, California	\$6,500 + points/care
Sunrise of Fair Oaks Fair Oaks, California	\$5,900 + points/care
The Terraces Roseville, California	\$4,800 + points/care

* Community owned and operated by EPI.

** Community owned and operated by EVGV.

*** Community owned and operated by ELGB.

**** Community owned and operated by EVR.

[†] Amounts as of January 1, 2024.

⁽¹⁾ “Suite” refers to a two-room apartment without a kitchen or kitchenette.

Source: Eskaton.

Memory Care. Some assisted living facilities have been designed specifically for persons with significant cognitive impairment resulting from Alzheimer’s disease, Parkinson’s disease, stroke and other causes. These settings typically offer private rooms or suites in small clusters with common areas that support the particular needs of these individuals. More intensive staffing, specialized staff training, unique activity programming and other factors typically result in higher fees for these services when compared to fees for services for the frail elderly. The Obligated Group’s assisted living communities offering services in this category and their competitors are included in the table below.

Community	Monthly Fee[†] Private Room or Suite	Comments
Eskaton Village Carmichael* Carmichael, California	\$9,415	Part of CCRC Four service levels
Eskaton Gold River* Gold River, California	\$8,485	Four service levels
Eskaton Village-Roseville** Roseville, California	\$9,075	Four service levels
Sonrisa Roseville Roseville, California	\$6,995	Starting rate – plus care
Prairie City Landing Folsom, California	\$6,815	Starting rate – plus care
Wellquest of Granite Bay Granite Bay, California	\$5,195	Starting rate – plus care

* Community owned and operated by EPI.

** Community owned and operated by EVR.

[†] Amounts as of January 1, 2024.

Source: Eskaton.

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APPENDIX B

**AUDITED FINANCIAL STATEMENTS OF
ESKATON PROPERTIES, INCORPORATED AND SUBSIDIARIES
AS OF AND FOR THE FISCAL YEARS ENDED DECEMBER 31, 2022 AND 2023**

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Report of Independent Auditors and
Consolidated Financial Statements with
Supplementary Information

Eskaton and Subsidiaries

December 31, 2023 and 2022



MOSSADAMS

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Report of Independent Auditors

The Board of Directors
Eskaton and Subsidiaries

Report on the Audit of the Financial Statements

Opinion

We have audited the consolidated financial statements of Eskaton and Subsidiaries, which comprise the consolidated balance sheets as of December 31, 2023 and 2022, and the related consolidated statements of operations and changes in net assets, and cash flows for the years then ended, and the related notes to the consolidated financial statements.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of Eskaton and Subsidiaries as of December 31, 2023 and 2022, and the results of their operations and their cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Eskaton and Subsidiaries and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about Eskaton and Subsidiaries' ability to continue as a going concern within one year after the date that the consolidated financial statements are issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Eskaton and Subsidiaries' internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Eskaton and Subsidiaries' ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Other Matter

Our audits were conducted for the purpose of forming an opinion on the consolidated financial statements as a whole. The accompanying consolidating schedules on pages 42 to 54 as of and for the year ended December 31, 2023, for Eskaton and Subsidiaries, Eskaton Properties, Inc., and Eskaton, presented as supplementary information, are presented for purposes of additional analysis and are not a required part of the consolidated financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the consolidated financial statements. The information has been subjected to the auditing procedures applied in the audits of the consolidated financial statements and certain additional procedures, including comparing and reconciling such information directly to the consolidated statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the consolidated financial statements taken as a whole.

The supplementary information – social responsibility on page 55 for the years ended December 31, 2023 and 2022, is presented for the purposes of additional analysis and is not a required part of the consolidated financial statements. Such information has not been subjected to the auditing procedures applied in the audits of the consolidated financial statements, and accordingly, we do not express an opinion or provide any assurance on it.

A handwritten signature in cursive script that reads "Moss Adams LLP".

San Francisco, California
April 19, 2024

Consolidated Financial Statements

Eskaton and Subsidiaries
Consolidated Balance Sheets
December 31, 2023 and 2022
(In Thousands)

	<u>2023</u>	<u>2022</u>
ASSETS		
CURRENT ASSETS		
Cash and cash equivalents	\$ 16,700	\$ 14,497
Assets limited as to use, required for current liabilities	790	739
Investments	57,029	52,193
Accounts receivable, net	6,588	10,387
Other receivables	5,675	3,470
Inventories	247	798
Deposits and prepaid expenses	<u>1,408</u>	<u>1,249</u>
Total current assets	<u>88,437</u>	<u>83,333</u>
ASSETS LIMITED AS TO USE, net of amount required for current liabilities	13,200	13,215
INVESTMENTS	4,015	3,116
PROPERTY AND EQUIPMENT, net	102,385	104,837
NONCURRENT ASSETS OF DISCONTINUED OPERATIONS	-	7,742
OTHER ASSETS		
Due from liability insurer	7,088	3,214
Associate member/resident/patient deposits	1,068	1,639
Funded pension obligation	1,435	-
Other	<u>11,054</u>	<u>10,540</u>
Total other assets	<u>20,645</u>	<u>15,393</u>
Total assets	<u><u>\$ 228,682</u></u>	<u><u>\$ 227,636</u></u>

See accompanying notes.

Eskaton and Subsidiaries
Consolidated Balance Sheets (Continued)
December 31, 2023 and 2022
(In Thousands)

	2023	2022
LIABILITIES AND NET ASSETS		
CURRENT LIABILITIES		
Current maturities of long-term debt	\$ 9,568	\$ 9,872
Current portion of deferred revenue from unamortized CCRC entrance fees	1,347	1,355
Deposits on unoccupied units	536	730
Accounts payable	3,097	6,968
Accrued liabilities:		
Payroll and payroll taxes	2,584	2,669
Vacation	2,382	3,489
Current portion of self-insured workers' compensation	1,429	1,516
Self-insured employee health plan	2,530	2,823
Interest	542	562
Other	8,702	7,012
	<u>32,717</u>	<u>36,996</u>
Total current liabilities		
	<u>32,717</u>	<u>36,996</u>
OTHER LIABILITIES		
Self-insured workers' compensation, net of current portion	6,825	7,511
Interest rate swap agreements	1,163	1,255
Unfunded pension obligation	1,268	1,316
Professional liability	1,908	1,712
Associate member/resident/patient deposits	1,081	1,634
Other	7	87
	<u>12,252</u>	<u>13,515</u>
LONG-TERM DEBT, net of current maturities	94,012	102,819
REFUNDABLE CCRC ENTRANCE FEES	363	160
DEFERRED REVENUE FROM UNAMORTIZED CCRC ENTRANCE FEES, net of current portion	7,382	7,334
	<u>146,726</u>	<u>160,824</u>
Total liabilities		
	<u>146,726</u>	<u>160,824</u>
NET ASSETS		
Without donor restrictions	76,098	60,647
With donor restrictions	5,858	6,165
	<u>81,956</u>	<u>66,812</u>
Total net assets		
	<u>81,956</u>	<u>66,812</u>
Total liabilities and net assets	<u>\$ 228,682</u>	<u>\$ 227,636</u>

See accompanying notes.

Eskaton and Subsidiaries
Consolidated Statements of Operations and Changes in Net Assets
Years Ended December 31, 2023 and 2022
(In Thousands)

	2023	2022
NET ASSETS WITHOUT DONOR RESTRICTIONS		
Revenues, gains, and other support:		
Resident service revenue, including amortization of CCRC membership fees of \$1,696 in 2023, and \$2,117 in 2022	\$ 103,003	\$ 93,824
Home based services	737	820
Government grant revenue	-	10
Other, net	23,908	16,636
Total revenues, gains, and other support	127,648	111,290
Expenses:		
Salaries and wages	61,871	54,812
Employee benefits	14,024	8,638
Professional fees	7,248	6,556
Supplies	5,579	5,152
Purchased services	13,640	9,276
Ancillary costs	2,123	1,043
Utilities	5,474	5,241
Insurance and other	5,578	5,943
Depreciation	8,795	9,664
Interest and amortization	5,165	4,867
Total operating expenses	129,497	111,192
(Loss) income from operations	(1,849)	98
Nonoperating revenue (expenses):		
Investment income (loss)	7,808	(14,410)
Interest rate swap activities	75	2,040
Loss on early repayment of debt	-	(138)
Other components of net periodic pension (cost) benefit	(192)	(971)
Gain on disposal of property and equipment	28	-
Other	272	231
Total nonoperating revenue (expenses), net	7,991	(13,248)
Excess (deficiency) of revenues, gains, and other support over expenses	\$ 6,142	\$ (13,150)

See accompanying notes.

Eskaton and Subsidiaries
Consolidated Statements of Operations and Changes in Net Assets (Continued)
Years Ended December 31, 2023 and 2022
(In Thousands)

	<u>2023</u>	<u>2022</u>
NET ASSETS WITHOUT DONOR RESTRICTIONS		
Excess (deficiency) of revenues, gains, and other support over expenses (page 7)	\$ 6,142	\$ (13,150)
Pension-related changes other than net periodic pension cost	732	(1,751)
Reclassification to net assets with donor restrictions	<u>-</u>	<u>(201)</u>
Change in net assets without donor restrictions before discontinued operations	6,874	(15,102)
Income (loss) from discontinued operations	<u>8,577</u>	<u>(15,089)</u>
Change in net assets without donor restrictions	15,451	(30,191)
NET ASSETS WITHOUT DONOR RESTRICTIONS, beginning of year	<u>60,647</u>	<u>90,838</u>
NET ASSETS WITHOUT DONOR RESTRICTIONS, end of year	<u><u>\$ 76,098</u></u>	<u><u>\$ 60,647</u></u>
NET ASSETS WITH DONOR RESTRICTIONS		
Contributions	\$ 94	\$ 128
Change in assets held in trust by others	61	-
Investment income (loss)	226	(315)
Reclassification from net assets without donor restrictions	-	201
Net assets released from restriction used for operations	<u>(688)</u>	<u>(263)</u>
Change in net assets with donor restrictions	(307)	(249)
NET ASSETS WITH DONOR RESTRICTIONS, beginning of year	<u>6,165</u>	<u>6,414</u>
NET ASSETS WITH DONOR RESTRICTIONS, end of year	<u><u>\$ 5,858</u></u>	<u><u>\$ 6,165</u></u>
CHANGE IN NET ASSETS	\$ 15,144	\$ (30,440)
NET ASSETS, beginning of year	<u>66,812</u>	<u>97,252</u>
NET ASSETS, end of year	<u><u>\$ 81,956</u></u>	<u><u>\$ 66,812</u></u>

See accompanying notes.

Eskaton and Subsidiaries
Consolidated Statements of Cash Flows
Years Ended December 31, 2023 and 2022
(In Thousands)

	2023	2022
CASH FLOWS FROM OPERATING ACTIVITIES		
Change in net assets	\$ 15,144	\$ (30,440)
Adjustments to reconcile change in net assets to net cash used in operating activities:		
Depreciation	9,410	10,484
Amortization of deferred financing costs and premium	(14)	(5)
Amortization of CCRC entrance fees	(1,696)	(2,117)
Net realized and unrealized (gains) losses on assets limited as to use	(376)	647
Net realized and unrealized (gains) losses on investments	(6,413)	15,325
Pension related changes other than net periodic pension cost	(732)	1,751
Change in fair value of interest rate swap agreements	(92)	(2,401)
CCRC resales of nonrefundable contracts	1,070	777
CCRC sales of nonrefundable contracts	660	2,911
CCRC sales of refundable contracts	542	-
Gain on disposal of property and equipment	(26,113)	-
Loss on early repayment of debt	-	259
Changes in operating assets and liabilities:		
Change in receivables	1,594	(2,226)
Change in inventories	551	(42)
Change in deposits and prepaid expenses	(159)	180
Change in other assets	(3,817)	973
Change in accounts payable	(3,868)	3,625
Change in accrued liabilities	(605)	4,378
Change in unfunded pension obligation	(751)	2,060
Change in other liabilities	(440)	(6,275)
Net cash used in operating activities	<u>(16,105)</u>	<u>(136)</u>
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchases of assets limited as to use	(6,450)	(6,308)
Proceeds from sales of assets limited as to use	6,846	6,296
Purchases of investments	(7,514)	(23,691)
Proceeds from sales of investments	8,192	34,464
Expenditures for property and equipment	(7,285)	(6,771)
Proceeds from sale of property and equipment	<u>34,261</u>	<u>3</u>
Net cash provided by investing activities	<u>28,050</u>	<u>3,993</u>

See accompanying notes.

Eskaton and Subsidiaries
Consolidated Statements of Cash Flows (Continued)
Years Ended December 31, 2023 and 2022
(In Thousands)

	<u>2023</u>	<u>2022</u>
CASH FLOWS FROM FINANCING ACTIVITIES		
CCRC contracts refunded	\$ (314)	\$ (147)
Change in deposits on unoccupied units	(194)	(66)
Proceeds from issuance of long-term debt	-	24,108
Principal payments on long-term debt	(9,178)	(28,996)
Payment of debt issuance costs	-	(616)
	<u>(9,686)</u>	<u>(5,717)</u>
Net cash used in financing activities		
	<u>(9,686)</u>	<u>(5,717)</u>
NET INCREASE (DECREASE) IN CASH, CASH EQUIVALENTS, AND RESTRICTED CASH	2,259	(1,860)
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH, beginning of year	<u>16,334</u>	<u>18,194</u>
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH, end of year	<u>\$ 18,593</u>	<u>\$ 16,334</u>
SUPPLEMENTAL DISCLOSURE		
Cash paid for interest	\$ 5,336	\$ 4,948

See accompanying notes.

Eskaton and Subsidiaries

Notes to Consolidated Financial Statements

Note 1 – Organization and Principles of Consolidation

The accompanying consolidated financial statements of Eskaton and Subsidiaries (the Organization or Eskaton) include the following:

Eskaton – Eskaton is a not-for-profit 501(c)(3) California corporation, which was formed in 1968. Eskaton's primary mission is to enhance the quality of life of seniors through innovative health, housing, and social services. Eskaton is the sole corporate member of Eskaton Properties, Inc. (EPI), Eskaton Village-Grass Valley (EVGV), Eskaton Village-Roseville (EVR), Eskaton Village-Placerville (EVP), Eskaton Lodge Granite Bay (ELGB), Eskaton FountainWood Lodge (EFWL), the Reutlinger Community (TRC), and Eskaton Foundation, and the sole stockholder of Livable Design (LD) and California Healthcare Consultants (CHC). Eskaton also operates nonmedical homecare services and various community service programs.

EPI – EPI is a not-for-profit 501(c)(3) California corporation that operates skilled nursing care centers and retirement housing communities, home health services, a continuing care retirement community (CCRC), and a business services group which provides financial and managerial support to all Eskaton operations. EPI also manages and provides support services to retirement housing communities owned by third parties and affordable housing communities that operate as single purpose not-for-profit 501(c)(3) California corporations.

EVGV – EVGV is a not-for-profit 501(c)(3) California corporation that operates a 137-apartment assisted living community in Grass Valley, California.

EVR – EVR is a not-for-profit 501(c)(3) California corporation that operates a 96-apartment assisted living community in Roseville, California.

EVP – EVP is a not-for-profit 501(c)(3) California corporation that operates a 64-apartment assisted living community in Placerville, California.

ELGB – ELGB is a not-for-profit 501(c)(3) California corporation that operates a 100-apartment assisted living community in Granite Bay, California.

EFWL – EFWL is a not-for-profit 501(c)(3) California corporation that operated a 91-apartment assisted living community in Orangevale, California. The property was sold in 2021.

TRC – TRC is a not-for-profit 501(c)(3) California corporation that operates a 60-bed skilled nursing and 116-apartment assisted living community as a CCRC in Danville, California.

Eskaton Foundation – Eskaton Foundation is a not-for-profit 501(c)(3) California corporation whose purpose is to raise funds for the benefit of Eskaton programs.

LD – LD, a C corporation, is a taxable subsidiary of Eskaton, and owns a home in Roseville, California that is rented to the general public.

Eskaton and Subsidiaries

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CHC – CHC, a C corporation, is a taxable subsidiary of Eskaton that leases employees to communities owned by third parties and managed by EPI.

All material intercompany accounts and transactions have been eliminated in consolidation.

EPI, EVGV, and EVR are members of the Eskaton Properties Incorporated Obligated Group (the Obligated Group) according to a Master Indenture of Trust dated July 1, 1999, and various Supplemental Master Indentures dated subsequent to July 1, 1999 (together, the Master Indenture).

On March 19, 2019, Eskaton invested \$3 million in a Program of All-inclusive Care for the Elderly (PACE) partnership with InnovAge and Adventist Health. PACE is an alternative to nursing homes, designed to keep seniors living in their own homes and communities for as long as safely possible. Participants are primarily dually eligible for both Medicare and Medicaid. Eskaton's investment represents a minority interest in the PACE partnership, which is accounted for at cost minus impairment, if any.

On February 20, 2020, Eskaton executed a letter of intent to sell the real property owned by Eskaton FountainWood Lodge, including the 91-bed licensed assisted living and memory care facility, at an agreed-upon sales price of \$7.8 million. The completion of the sale occurred on January 12, 2021. The \$7.8 million sale price was reduced by a seller credit of \$0.8 million and consisted of cash consideration of \$3.1 million and a \$3.9 million promissory note originally scheduled to mature in January 2024; during 2023, a one-year extension was granted to the buyer thereby extending the note maturity to January 2025. Prior to the sale, Eskaton FountainWood Lodge had a loan with Five Star Bank that was scheduled to mature in March 2023. The balance on the loan was paid in full with proceeds from the sale in January 2021.

On September 29, 2023, the real property owned and operated by EPI as three standalone skilled nursing care centers was sold for \$35.6 million, with net cash proceeds of \$34.2 million and a resulting gain on the sale of \$26.1 million, which is recorded within income (loss) from discontinued operations within the accompanying consolidated statements of operations and changes in net assets. Net proceeds of \$3.8 million were used to pay a portion of the long-term debt attributed to the three standalone skilled nursing care centers. Under the terms of the Management and Operations Transfer Agreement executed by both parties, the buyer will operate the three facilities under EPI's existing licenses until licensure can be obtained by the buyer.

On December 15, 2023, EPI ceased operations of its medical homecare service provider, Eskaton Home Healthcare.

On December 27, 2023, EPI ceased operations of Eskaton Lodge Cameron Park.

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Note 2 – Summary of Significant Accounting Policies

Cash and cash equivalents – Cash and cash equivalents include cash in banks and short-term money market accounts. The carrying amounts at face value approximate fair value because of the short maturity of these instruments.

The following table provides a reconciliation of cash, cash equivalents, and restricted cash balances reported within the consolidated balance sheets that sum to the total of the same such amounts shown in the consolidated statements of cash flows as of December 31:

	2023	2022
Cash and cash equivalents	\$ 16,700	\$ 14,497
Restricted cash included in assets limited as to use	1,893	1,837
Total cash, cash equivalents, and restricted cash balances	<u>\$ 18,593</u>	<u>\$ 16,334</u>

Amounts included in restricted cash represent funds required to be set aside by lenders. Such deposits include mortgage insurance premiums, property taxes, and property insurance escrow accounts, as well as other balances required to be held for restrictive covenants, including the requirement to maintain certain deposits with the lender. Certain lenders also hold reserve accounts for capital replacement reserves and residual receipts. All such escrow accounts, reserve accounts, and other amounts reflected as restricted cash are included in assets limited as to use.

Investments – Investments in equity securities with readily determinable fair values, and all investments in debt securities, are reported at fair value. Management has elected to carry alternative investments under the fair value option. Investment income or loss (including realized and unrealized gains and losses on investments, interest, and dividends) is included in the excess (deficiency) of revenues, gains, and other support over expenses.

Assets limited as to use – Assets limited as to use include assets held by trustees or lenders under bond indenture and HUD regulatory agreements, and assets restricted by donors for financial assistance to residents of Eskaton communities. Assets limited as to use are reported at fair value. Amounts required to satisfy obligations classified as current liabilities are reported in current assets in the consolidated balance sheets.

Property and equipment – Property and equipment are stated at cost. The cost of property and equipment purchased in excess of \$2,000 is capitalized. Interest capitalized (net of investment income from bond proceeds) in connection with the construction of plant and equipment is recorded as part of the cost of the constructed asset to which it relates and is amortized over the asset's useful life. Depreciation is computed using the straight-line method based on estimated useful lives of property and equipment as follows:

Land improvements	10–20 years
Buildings and improvements	7–40 years
Equipment	3–20 years

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Gifts of long-lived assets such as land, buildings, or equipment are reported as support without donor restrictions and are excluded from the excess (deficiency) of revenues, gains, and other support over expenses unless explicit donor stipulations specify how the donated assets must be used. Gifts of long-lived assets with explicit restrictions that specify how the assets are to be used and gifts of cash or other assets that must be used to acquire long-lived assets are reported as support with donor restrictions. Expirations of donor restrictions are reported as net assets released from restriction when the donated or acquired long-lived assets are placed in service, absent explicit donor stipulations about how long those long-lived assets must be maintained.

Impairment of long-lived assets and long-lived assets to be disposed of – Long-lived assets and certain identifiable intangibles are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. Recoverability of assets to be held and used is measured by a comparison of the carrying amount of an asset to future net cash flows expected to be generated by the asset. If such assets are considered to be impaired, the impairment to be recognized is measured by the amount by which the carrying amount of the assets exceeds the fair value of the assets. Assets to be disposed of are reported at the lower of the carrying amount or fair value less costs to sell.

Assets available for sale and discontinued operations – An asset purchase agreement was executed on March 24, 2023, for the real property owned and operated by EPI as three standalone skilled nursing care centers. The sale closed on September 28, 2023, for a purchase price of \$35.6 million. As a result, the 2022 consolidated balance sheet has been revised to reflect the net property and equipment of the three standalone skilled nursing care centers as noncurrent assets of discontinued operations, reflecting the held-for-sale status of the assets as of December 31, 2022. Likewise, the 2022 consolidated statement of operations and changes in net assets has been revised to reflect the revenues and expenses of the three standalone skilled nursing care centers, as well as the revenues and expenses of EPI's medical homecare services provider, as income (loss) from discontinued operations. Additional information related to Eskaton's discontinued operations is disclosed in Note 17.

Self-insured employee health and workers' compensation – The provisions for estimated self-insured employee health and workers' compensation include estimates of the ultimate costs for both reported claims and claims incurred but not reported.

Derivative instruments – Eskaton has entered into a swap agreement to manage interest rate risk on its 2006 Bonds; this orphaned swap agreement was transferred to the 2022 Bonds upon refinancing. Swaps are contracts to exchange, for a period of time, the investment performance of one underlying instrument for the investment performance of another instrument without exchanging the instruments themselves. Eskaton entered into this agreement to mitigate cash flow and fair value risks related to changes in interest rates.

Eskaton records in its consolidated balance sheets the estimated fair value of swaps at the consolidated balance sheet date. Because the derivative has not been designated as a hedge for accounting purposes, changes in the fair value of the swap are included in nonoperating revenue (expenses) in the consolidated statements of operations and changes in net assets.

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Deferred financing costs – Deferred financing costs are amortized over the period the obligation is expected to be outstanding or the life of bank direct placement agreements associated with variable rate demand bonds, whichever is shorter. Amortization is calculated using the straight-line method, which approximates the effective interest method. Deferred financing costs are included as a direct reduction of long-term debt. Amortization of deferred financing costs is included as a component of interest and amortization expense in the accompanying consolidated statements of operations and changes in net assets.

Net asset classifications – Net assets and changes therein are classified and reported as follows:

Without donor restrictions – Net assets available for use in general operations and not subject to donor restrictions.

With donor restrictions – Net assets subject to donor-imposed restrictions. Some donor-imposed restrictions are temporary in nature, such as those that will be met by the passage of time or other events specified by the donor. Other donor-imposed restrictions are perpetual in nature, where the donor stipulates that resources be maintained in perpetuity. Donor-imposed restrictions are released when a restriction expires; that is, when the stipulated time has elapsed, when the stated purpose for which the resource was restricted has been fulfilled, or both. Contributions for which restrictions are satisfied in the same period as received are recorded as contributions revenue without donor restrictions.

Endowments – Endowments are contributions whose use by Eskaton has been restricted by donors to be maintained by Eskaton in perpetuity. The Board of Directors has interpreted California's enacted Uniform Prudent Management of Institutional Funds Act ("UPMIFA") as requiring the preservation of the fair value of the original gift as of the gift date of endowments, absent explicit donor stipulations to the contrary. As a result of this interpretation, Eskaton classifies as net assets with donor restrictions (a) the original value of gifts donated, (b) the original value of subsequent gifts, and (c) accumulations to the endowment fund made in accordance with the direction of the applicable donor gift instrument at the time the accumulation is added to the fund. Generally, the donors of these assets permit Eskaton to use all or part of the investment return on these assets and to appropriate for distribution each year 5 percent of its endowment fund's prior year average fair value. Unrealized gains and investment income allocated to the endowment fund are classified as net assets with donor restrictions, as supported by the associated agreements, until those amounts are appropriated for expenditure by Eskaton in a manner consistent with the standard of prudence prescribed by UPMIFA. In the absence of donor stipulations or law to the contrary, losses on the investments of a donor-restricted endowment fund shall reduce net assets with donor restrictions to the extent that donor-imposed restrictions on net appreciation of the fund have not been met before a loss occurs. Any remaining loss shall reduce net assets without donor restrictions.

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Resident service revenue – Eskaton provides senior living services to residents for a stated monthly fee. Eskaton recognizes revenue for housing services under independent living, assisted living, and memory care residency agreements in accordance with the provisions of Accounting Standards Codification (ASC) 606, *Revenue from Contracts with Customers* (ASC 606). Eskaton has determined that the senior living services included under the daily or monthly fee have the same timing and pattern of transfer and are a series of distinct services that are considered one performance obligation which is satisfied over time. In conjunction with its resident services, Eskaton sells CCRC memberships. Revenue associated with these memberships is recognized over the estimated remaining life of the resident.

The following represents resident service revenue disaggregated by service line for the years ended December 31, as this best depicts how the nature, amount, timing, and uncertainty of revenue and cash flows are affected by economic factors:

Year Ended December 31, 2023					
	Assisted Living	Memory Care	Independent Living	CCRC	Total
Resident service revenue	<u>\$ 28,384</u>	<u>\$ 8,830</u>	<u>\$ 10,499</u>	<u>\$ 55,290</u>	<u>\$ 103,003</u>
Year Ended December 31, 2022					
	Assisted Living	Memory Care	Independent Living	CCRC	Total
Resident service revenue	<u>\$ 26,391</u>	<u>\$ 7,986</u>	<u>\$ 9,295</u>	<u>\$ 50,152</u>	<u>\$ 93,824</u>

Included in residential service revenue are net patient service revenues for the skilled nursing services performed at Eskaton's CCRC campuses. These skilled nursing services are performed in exchange for a contractual agreed-upon amount or rate. The transaction price for these services is based on standard charges for goods and services provided, reduced by contractual adjustments provided to third parties, or explicit price concessions. Eskaton determines its estimates for contractual adjustments based on contractual agreements and historical experience. Routine services are treated as a single performance obligation satisfied over time as services are rendered. As such, patient care services represent a bundle of services that are not capable of being distinct. Additionally, there may be ancillary services that are not included in the daily rates for routine services. Ancillary services are treated as separate performance obligations satisfied at a point in time, if and when those services are rendered. Revenue is recognized in the month in which the performance obligations are satisfied. Performance obligations satisfied over time for net patient service revenue are recognized based on actual charges incurred. This method provides a faithful depiction of the transfer of services over the term of the performance obligation based on the inputs needed to satisfy the obligation. Refer to Note 3 for information on third-party payor relationships.

Home based services revenue – Eskaton recognizes revenue for nonmedical homecare services in the period the services are performed at contractual hourly rates.

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Other revenue – Other revenue is derived from management agreements and other ancillary revenues. Eskaton manages certain communities under contracts that provide periodic management fee payments to the Organization. Management fees are generally determined by an agreed-upon percentage of gross revenues (as defined in the management agreement). Certain management contracts also provide for an annual incentive fee to be paid to Eskaton upon achievement of certain metrics identified in the contract. There were no incentive fee amounts recorded for the years ending December 31, 2023 or 2022. Eskaton recognizes revenue for community management services in accordance with the provisions of ASC 606. Although there are various management and operational activities performed by Eskaton under the contracts, the Organization has determined that all community operations management activities are a single performance obligation, which is satisfied over time as the services are rendered. Management fees received from third parties was \$3.4 million and \$3.2 million for the years ended December 31, 2023 and 2022, respectively.

Donated services and materials – A number of volunteers donate significant amounts of time to advance Eskaton's program objectives. No amounts are reported in the accompanying consolidated financial statements for donated services since no objective basis is available to measure the value of such services.

Eskaton records the donation of materials when an objective basis is available to measure the value of those donations and when the materials would be purchased if they were not donated. These amounts are recorded as contribution revenues and as expenses.

Excess (deficiency) of revenues, gains, and other support over expenses – The accompanying consolidated statements of operations and changes in net assets include excess (deficiency) of revenues, gains, and other support over expenses. Changes in net assets without donor restrictions, which are excluded from the excess (deficiency) of revenues, gains, and other support over expenses, include pension-related changes other than net periodic pension cost.

Advertising – Advertising costs are expensed as incurred and included in purchased services expense in the accompanying consolidated statements of operations and changes in net assets. Advertising expense was \$0.7 million and \$1.2 million for the years ended December 31, 2023 and 2022, respectively.

Income taxes – Eskaton, EPI, EVGV, EVR, EVP, ELGB, EFWL, TRC, and Eskaton Foundation are exempt from income taxes under Section 501(a) of the Internal Revenue Code as organizations described in Section 501(c)(3) and applicable state regulations, except for federal and state tax on income resulting from unrelated business income. LD and CHC are taxable entities; however, income taxes for these entities are not significant to the consolidated financial statements.

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ASC 740, *Income Taxes*, prescribes a recognition threshold and measurement attribute for financial statement disclosure of tax positions taken or expected to be taken on a tax return. Recognition of a tax position is determined when it is more likely than not that a tax position will be sustained on examination by the taxing authorities, including resolution of any related appeals or litigation processes. A tax position that meets the more likely than not recognition threshold is measured at the largest amount of benefit that is greater than 50% likely of being realized upon ultimate settlement with a taxing authority. Eskaton recognizes interest and penalties related to income tax matters in operating expenses. As of December 31, 2023 and 2022, there were no such uncertain tax positions.

Use of management's estimates – The preparation of consolidated financial statements in conformity with accounting principles generally accepted in the United States of America (U.S. GAAP) requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the consolidated financial statements, and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates. Accounting estimates include fair value measurements of investments, accounts receivable allowances, useful lives of fixed assets, deferred revenue from unamortized CCRC membership fees, self-insured workers' compensation, self-insured employee health costs, interest rate swap liability, funded and unfunded pension obligation, and professional liability.

Fair value measurements – ASC 820, *Fair Value Measurements* (ASC 820) prescribes fair value measurements and disclosures for financial and nonfinancial assets and liabilities that are recognized or disclosed at fair value in the consolidated financial statements. ASC 820 defines fair value as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. ASC 820 also establishes a framework for measuring fair value and expands disclosures about fair value measurements.

The carrying amounts reported in the consolidated balance sheets for cash and cash equivalents, accounts receivable, other receivables, deposits and prepaid expenses, other assets, and accrued liabilities approximate fair value. The fair values of assets limited as to use, and investments are disclosed in Note 4. The fair values of derivative instruments are disclosed in Note 5.

Reclassifications – Certain prior year amounts were reclassified to conform to the current year presentation.

Recent accounting pronouncements – In June 2016, the Financial Accounting Standards Board (FASB) issued Accounting Standards Update (ASU) 2016-13, *Financial Instruments—Credit Losses (Topic 326): Measurement of Credit Losses on Financial Instruments*, which changed how entities will measure credit losses for most financial assets and certain other instruments. The most significant change in this standard is a shift from the incurred loss model to the expected loss model. Under ASC 326, *Financial Instrument—Credit Losses*, disclosures are required to provide users of the consolidated financial statements with useful information in analyzing an entity's exposure to credit risk and the measurement of credit losses. Financial assets held by Eskaton that are subject to the guidance in ASC 326 were accounts receivable, net and other receivables.

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Eskaton adopted the standard effective January 1, 2023. The impact of the adoption was not significant to the consolidated financial statements and resulted in enhanced disclosures only.

Note 3 – Third-Party Payors

Related to the skilled nursing services provided at its CCRC campuses, Eskaton has agreements with third-party payors that provide for payments to Eskaton at amounts different from its established rates. A summary of the payment arrangements with major third-party payors follows:

Medicare – Skilled nursing services provided to Medicare program beneficiaries are reimbursed under the Prospective Payment System (“PPS”). Eskaton is reimbursed under the PPS system for skilled nursing services on a per diem rate depending on each patient category, which is determined by the Patient Driven Payment Model.

Medi-Cal – Skilled nursing services rendered to Medi-Cal program beneficiaries are reimbursed under prospectively determined per diem or per visit rates. As part of the California Advancing & Innovating Medi-Cal (CalAIM) initiative, the Medi-Cal program transitioned to a Medi-Cal Managed Care model beginning in January 2023, with benefits administered by a defined network of participating managed care plans.

Other – Eskaton has entered into payment agreements with certain commercial insurance carriers, health maintenance organizations, and preferred provider organizations. The basis for payment to Eskaton under these agreements includes prospectively determined daily rates and discounts from established charges.

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Note 4 – Assets Limited as to Use and Investments

Assets limited as to use – The composition of assets limited as to use, stated at fair value, as of December 31 is set forth in the following table (in thousands):

	2023	2022
Required under bond indenture and HUD regulatory agreements for escrow, principal, interest, reserves, and insurance, held by trustee:		
Cash and short-term investments	\$ 1,823	\$ 1,761
U.S. Treasury notes, government securities, and other corporate debt securities	8,402	8,112
	<u>10,225</u>	<u>9,873</u>
Resident assistance and program funds with donor restrictions:		
Cash and short-term investments	70	76
Equity securities	1,161	1,656
Mutual funds	2,534	2,349
	<u>3,765</u>	<u>4,081</u>
	13,990	13,954
Less: current portion	<u>790</u>	<u>739</u>
	<u><u>\$ 13,200</u></u>	<u><u>\$ 13,215</u></u>

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Investments – Investments, at fair value as of December 31 include the following (in thousands):

	2023	2022
Corporate reserves for capital replacement, liquidity, and growth:		
Cash and short-term investments	\$ 4,711	\$ 1,020
U.S. Treasury notes, government securities, and other corporate debt securities	3,148	-
Equity securities	9,488	12,978
Mutual funds	39,682	38,195
	<u>57,029</u>	<u>52,193</u>
Corporate reserves for resident assistance and charitable gift annuities:		
Cash and short-term investments	355	196
U.S. Treasury notes, government securities, and other corporate debt securities	87	134
Equity securities	279	247
Mutual funds	3,294	2,539
	<u>4,015</u>	<u>3,116</u>
	61,044	55,309
Less: current portion	<u>57,029</u>	<u>52,193</u>
	<u><u>\$ 4,015</u></u>	<u><u>\$ 3,116</u></u>

ASC 820 establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (Level 1) and the lowest priority to measurements involving significant unobservable inputs (Level 3). The three levels of the fair value hierarchy are as follows:

Level 1 – Inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities that Eskaton has the ability to access at the measurement date.

Level 2 – Inputs are other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3 – Inputs are unobservable inputs for the asset or liability.

The level in the fair value hierarchy within which a fair value measurement falls is based on the lowest level input that is significant to the fair value measurement, in its entirety.

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The fair values of the financial instruments as of December 31, 2023 and 2022 represent management's best estimates of the amounts that would be received to sell those assets or that would be paid to transfer those liabilities in an orderly transaction between market participants at that date. Those fair value measurements maximize the use of observable inputs. However, in situations where there is little, if any, market activity for the asset or liability at the measurement date, the fair value measurement reflects management's own judgments about the assumptions that market participants would use in pricing the asset or liability. Those judgments are developed by management based on the best information available in the circumstances.

The following methods and assumptions were used to estimate the fair value of each class of financial instruments:

Cash and cash equivalents – The carrying amounts at face value approximate fair value because of the short maturity of these instruments.

Marketable investment securities – Money market funds, common stock, mutual funds, U.S. government securities, U.S. government bonds, and corporate bonds are measured using quoted market prices at the reporting date multiplied by the quantity held.

Investments by level as of December 31 are as follows (in thousands):

	December 31, 2023	Fair Value Measurements at Reporting Date Using		
		Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Investments (including assets limited as to use):				
Cash and cash equivalents	\$ 6,433	\$ 6,433	\$ -	\$ -
Money market funds	526	526	-	-
Common stocks	10,927	10,927	-	-
Mutual funds	45,511	45,511	-	-
U.S. Government securities	4,532	4,532	-	-
U.S. Government bonds	7,105	7,105	-	-
Total investments, at fair value	<u>\$ 75,034</u>	<u>\$ 75,034</u>	<u>\$ -</u>	<u>\$ -</u>

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	December 31, 2022	Fair Value Measurements at Reporting Date Using		
		Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Investments (including assets limited as to use):				
Cash and cash equivalents	\$ 2,575	\$ 2,575	\$ -	\$ -
Money market funds	478	478	-	-
Common stocks	14,881	14,881	-	-
Mutual funds	43,083	43,083	-	-
U.S. Government securities	1,514	1,514	-	-
U.S. Government bonds	5,110	5,110	-	-
Corporate bonds	1,622	1,622	-	-
Total investments, at fair value	<u>\$ 69,263</u>	<u>\$ 69,263</u>	<u>\$ -</u>	<u>\$ -</u>

Eskaton management meets at least quarterly with its investment advisor to review the strategy and the ongoing performance of all investments, including analyzing changes in fair value measurements from period to period.

Investment income, expenses, and gains (losses) for assets limited as to use, cash equivalents, and investments are comprised of the following for the years ended December 31 (in thousands):

	Year Ended December 31, 2023		
	Obligated Group	Nonobligated	Total
Investment income:			
Interest and dividend income	\$ 1,364	\$ 211	\$ 1,575
Realized (losses) gains on sales of securities	(954)	49	(905)
Unrealized gains on trading securities	6,766	928	7,694
	7,176	1,188	8,364
Less: investment expenses	313	17	330
Total investment income	6,863	1,171	8,034
Less: investment income with donor restrictions	-	226	226
Investment income without donor restrictions	<u>\$ 6,863</u>	<u>\$ 945</u>	<u>\$ 7,808</u>

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	Year Ended December 31, 2022		
	Obligated Group	Nonobligated	Total
Investment loss:			
Interest and dividend income	\$ 1,373	\$ 242	\$ 1,615
Realized gains on sales of securities	373	1,866	2,239
Unrealized losses on trading securities	(13,406)	(4,805)	(18,211)
	(11,660)	(2,697)	(14,357)
Less: investment expenses	342	26	368
Total investment loss	(12,002)	(2,723)	(14,725)
Less: investment loss with donor restrictions	-	(315)	(315)
Investment loss without donor restrictions	<u>\$ (12,002)</u>	<u>\$ (2,408)</u>	<u>\$ (14,410)</u>

Note 5 – Derivative Instruments and Hedging Activities

Eskaton has an interest rate swap derivative instrument (“swap”) to manage its exposure on its debt instruments. By using derivative instruments, Eskaton exposes itself to credit risk and termination risk.

Credit risk exists because Eskaton is dependent upon the interest rate swap counterparty to meet its obligations under the agreement. This risk is measured by the cost associated with replacing the agreement, not by the notional amount of the agreement. At inception, the swap’s replacement cost, or fair market value, is close to zero. If interest rates change such that the fair market value of the swap is positive, Eskaton’s exposure to the swap counterparty increases as the cost of replacing the agreement increases. If the fair market value decreases, Eskaton’s exposure to the swap counterparty decreases. Eskaton minimizes the credit risk in derivative instruments by entering into transactions with high-quality counterparties whose credit rating is higher than A2/A.

Termination risk is the risk that a swap will be terminated by the swap counterparty before maturity and Eskaton, due to adverse market conditions, will be forced to make a cash termination payment to the counterparty. The termination risk associated with swaps is managed by establishing and monitoring parameters that limit the market value sensitivity Eskaton is willing to accept. Termination risk is also mitigated by allowing only Eskaton to have voluntary termination rights and allowing the swap counterparty to terminate only under specific ratings downgrade triggers of Eskaton.

The estimated fair values of derivative instruments have been determined using Level 2 inputs including available market information and valuation methodologies. As of December 31, 2023 and 2022, the fair values of these derivatives were recorded in the consolidated balance sheets at net liabilities of \$1.2 million and \$1.3 million, respectively. The credit risk assumption, as required under ASC 820, reduced Eskaton’s interest rate swap liability by \$0.1 million in both 2023 and 2022.

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Interest rate swap agreement for variable-rate debt – Eskaton has issued variable-rate debt to refinance various debt issuances and finance capital improvements. The variable-rate debt obligations expose Eskaton to variability in interest payments due to changes in interest rates. Management believes it is prudent to limit the variability of a portion of its interest payments. To meet this objective, management entered into a swap agreement to manage fluctuations in cash flows resulting from interest rate risk. This swap effectively changed the variable-rate cash flow exposure on the Series 2006 Bonds to approximate fixed-rate cash flows. Upon refinance of the Series 2006 Bonds during 2022, the orphaned swap limits variable-rate cash flow exposure on approximately 60% of the Series 2022 Bond issuance by emulating fixed-rate cash flows on that portion of the debt. Under the terms of the swap, Eskaton makes fixed interest rate payments and receives variable interest rate payments, thereby creating the equivalent of fixed-rate debt. As of December 31, 2023 and 2022, Eskaton was party to a swap agreement with an aggregate notional principal amount of \$15.0 million and \$15.6 million, respectively.

Interest rate swap activities – Interest rate swap activities included in nonoperating revenue (expenses) for the years ended December 31 consist of the following (in thousands):

	2023	2022
Net unrealized gain on interest rate swap agreements	\$ 92	\$ 2,401
Net payments on interest rate swap agreements	(17)	(361)
Total interest rate swap activities	<u>\$ 75</u>	<u>\$ 2,040</u>

Note 6 – Property and Equipment, Net

Property and equipment, net as of December 31 consists of the following (in thousands):

	2023	2022
Land	\$ 23,590	\$ 23,327
Land improvements	21,419	21,250
Buildings and improvements	209,868	204,486
Equipment	<u>31,747</u>	<u>30,801</u>
	286,624	279,864
Accumulated depreciation	<u>(186,279)</u>	<u>(177,515)</u>
	100,345	102,349
Construction in progress	<u>2,040</u>	<u>2,488</u>
Property and equipment, net	<u>\$ 102,385</u>	<u>\$ 104,837</u>

Eskaton and Subsidiaries

Notes to Consolidated Financial Statements

Note 7 – Long-Term Debt, Net

Long-term debt, net as of December 31 consists of the following (in thousands):

	2023	2022
Obligated group:		
Series 2013 Tax-Exempt Fixed-Rate Revenue Bonds (Series 2013 Bonds) due 2035, principal due in annual installments and fixed interest of 2.00% to 5.00% due semi-annually; secured by deeds of trust.	\$ 36,590	\$ 38,250
Series 2012 Tax-Exempt Fixed-Rate Revenue Bonds (Series 2012 Bonds) due 2034, principal due in annual installments and fixed interest of 2.00% to 5.25% due semi-annually; secured by deeds of trust.	25,590	26,815
Series 2022 Tax-Exempt Variable-Rate Revenue and Refunding Bonds (Series 2022 Bonds) due 2029, payments of principal and variable interest due monthly (5.72% at December 31, 2023); held under a bank direct placement agreement; secured by deeds of trust.	17,936	23,446
Nonobligated:		
Note payable to Lument due 2050, principal and interest of 3.07% due in monthly installments of \$53; insured by U.S. Department of Housing and Urban Development under Section 232, pursuant to Section 223(f); secured by deed of trust.	11,585	11,863
Note payable to Lument due 2047, principal and interest of 2.45% due in monthly installments of \$32; insured by U.S. Department of Housing and Urban Development under Section 232, pursuant to Section 223(f); secured by deed of trust.	6,930	7,139
Note payable to First Republic Bank due 2035, principal and interest of 3.85% due in monthly installments of \$40.	4,556	4,852
	103,187	112,365
Unamortized premiums	2,572	2,789
Unamortized deferred financing costs	(2,179)	(2,463)
	103,580	112,691
Less: current maturities, net of premiums and deferred financing costs of \$73 and \$95 in 2023 and 2022, respectively	(9,568)	(9,872)
	<u>\$ 94,012</u>	<u>\$ 102,819</u>

Eskaton and Subsidiaries

Notes to Consolidated Financial Statements

Maturities, excluding unamortized premiums and deferred financing costs, of long-term debt are as follows (in thousands):

Years Ending December 31,

2024	\$ 9,641
2025	5,243
2026	5,465
2027	5,706
2028	5,957
Thereafter	<u>71,175</u>
	<u><u>\$ 103,187</u></u>

The total amount of long-term debt supported by direct placement agreements as of December 31, 2023 and 2022 was approximately \$17.9 million and \$23.4 million, respectively. Eskaton pays fees on its direct placement facility with Truist Commercial Equity, Inc. of 1.501% per annum, plus a percentage of 1-month Secured Overnight Financing Rate (SOFR). These fees are included in interest and amortization expense in the accompanying consolidated statements of operations and changes in net assets.

Interest and amortization expense related to long-term debt for the years ended December 31 comprises the following (in thousands):

	<u>2023</u>	<u>2022</u>
Obligated Group:		
Interest on bonds and notes	\$ 4,110	\$ 3,786
Letter of credit and other financing fees	32	38
Amortization of debt issuance costs	159	152
Nonobligated:		
Interest on bonds and notes	826	853
Amortization of debt issuance costs	<u>38</u>	<u>38</u>
	<u><u>\$ 5,165</u></u>	<u><u>\$ 4,867</u></u>

Eskaton and Subsidiaries

Notes to Consolidated Financial Statements

The Series 2022 Bonds, Series 2013 Bonds, and Series 2012 Bonds are subject to restrictive covenants contained in the Master Indenture. The Series 2022 Bonds are also subject to additional covenants contained in the direct placement agreement with Truist Commercial Equity, Inc. Under the Master Indenture, Eskaton is required to maintain certain deposits with a trustee that are included in assets limited as to use. The Master Indenture and related direct placement agreement also, among other things, require Eskaton to maintain specified debt service coverage ratios and days cash on hand, place limits on Eskaton on the incurrence of additional long-term debt, and require Eskaton to report material adverse changes. Management believes Eskaton was in compliance with the various covenants as of and for the year ended December 31, 2023, with the exception of the debt service coverage ratio covenant associated with the First Republic Bank note payable related to The Reutlinger Community. Eskaton did not seek a waiver from First Republic Bank, and instead paid off the \$4.6 million outstanding note balance on January 5, 2024. EPI funded \$4.0 million of the First Republic Bank loan payoff, and this amount will be repaid to EPI by The Reutlinger Community in \$44 thousand monthly installments of principal and interest at 6.0%, with the final payment due January 2034. Because a waiver was not obtained and full payment of the note payable was imminent, the \$4.6 million outstanding balance on the First Republic Bank note payable has been classified as current maturities of long-term debt in the accompanying consolidated balance sheet as of December 31, 2023.

The notes payable to Lument are also subject to restrictive covenants, including the requirement to maintain certain deposits with the lender. Such deposits include mortgage insurance premiums, property taxes, and property insurance escrow accounts. The lender also holds reserve accounts for capital replacement reserves and residual receipts. All such escrow accounts and reserve accounts are included in assets limited as to use. Disbursements from the reserve accounts for the proper purpose may be made only after receiving consent in writing from the U.S. Secretary of Housing and Urban Development.

The Series 2006 Bonds were held by Compass Mortgage Corporation under a direct placement agreement expiring May 31, 2022. The Series 2008A Bonds were held by U.S. Bank, N.A. under a direct placement agreement expiring December 1, 2025. Both the Series 2006 Bonds and Series 2008A Bonds were refinanced with the Series 2022 Bonds in August 2022. The Series 2022 Bonds are held by Truist Commercial Equity, Inc. under a direct placement agreement expiring August 31, 2029.

Note 8 – Retirement Plans

Eskaton has a defined benefit cash balance pension plan (the “Pension Plan”) whereby, a participant’s monthly rate of retirement benefits shall equal one twelfth of the amount determined in accordance with the Pension Plan provisions. A participant may elect an optional form of benefit, including a single lump-sum payment. The Pension Plan covers all employees of Eskaton, EPI, EVGV, EVR, EVP, ELGB, EFWL, Eskaton Foundation, and LD who have attained the age of 21 after completion of one year of service in which the employee completes 1,000 hours of service. The Pension Plan requires five benefit years to vest.

Eskaton and Subsidiaries

Notes to Consolidated Financial Statements

Eskaton also maintains a Supplemental Executive Retirement Plan (“SERP”) that provides supplemental funds for retirement or death for selected key employees of Eskaton in the event that the Pension Plan benefits of such individuals are less than the specified target. The SERP is a nonqualified plan intended to meet the requirements of an ineligible deferred compensation plan as described in Section 457(f) of the Internal Revenue Code of 1986. The benefit under the SERP is offset by certain portions of the Pension Plan. It is expected over time that the benefits payable from the SERP will be nearly completely offset by the cash balance pension plan.

The Pension Plan was frozen effective December 31, 2022, and management anticipates terminating the plan during 2024, although the actual termination date may extend to a future period. No additional employee service credits will accrue after December 31, 2022, however interest credits will accrue until the plan is formally terminated. Eskaton also intends to modify or replace the SERP at an undetermined future date.

As a replacement for the Pension Plan, Eskaton began offering participation in a 401(k) retirement plan (the “Eskaton 401(k) Plan”) to substantially all employees beginning January 1, 2023. Employees are eligible to participate in the Eskaton 401(k) Plan upon reaching age 18 and 90 days of eligible service. Employee deferral amounts are subject to Internal Revenue Service annual limitations. The Eskaton 401(k) Plan provides for employer matching contributions of up to 4% of employee compensation with immediate vesting.

The following table presents the changes in the benefit obligations, fair value of assets, and funded status of the Pension Plan and SERP as of December 31 (in thousands):

	Eskaton Retirement Plan		SERP	
	2023	2022	2023	2022
Benefit obligation, beginning of year	\$ 32,553	\$ 34,987	\$ 1,143	\$ 2,170
Service cost	-	1,053	35	35
Interest cost	1,446	882	44	52
Benefits paid	(7,472)	(1,879)	(976)	-
Plan amendment	-	394	-	-
Curtailment	-	(542)	-	-
Actuarial (gain) loss	(1,897)	(2,342)	1,022	(1,114)
Benefit obligation, end of year	<u>\$ 24,630</u>	<u>\$ 32,553</u>	<u>\$ 1,268</u>	<u>\$ 1,143</u>
Fair value of assets, beginning of year	\$ 32,380	\$ 39,652	\$ -	\$ -
Return (loss) on plan assets	1,157	(5,393)	-	-
Benefits paid	(7,472)	(1,879)	-	-
Fair value of assets, end of year	<u>\$ 26,065</u>	<u>\$ 32,380</u>	<u>\$ -</u>	<u>\$ -</u>
Funded status at end of year (recognized in unfunded pension obligation and funded pension obligation in the consolidated balance sheets)	<u>\$ 1,435</u>	<u>\$ (173)</u>	<u>\$ (1,268)</u>	<u>\$ (1,143)</u>

Eskaton and Subsidiaries

Notes to Consolidated Financial Statements

The accumulated benefit obligation for the Pension Plan was \$24.6 million and \$32.6 million as of December 31, 2023 and 2022, respectively. For the year ended December 31, 2023, the Pension Plan experienced gains of \$1.9 million and \$2.3 million, respectively, related to changes in the benefit obligation primarily due to changes in interest rates and assumptions pertaining to termination measurements. Termination measurements were applied upon freezing the plan in 2022, and again in 2023 upon Eskaton terminating the employment of several hundred plan participants in conjunction with the sale of its three standalone skilled nursing care centers.

Net periodic benefit cost recognized and other changes in plan assets and benefit obligations, which are excluded from (deficiency) excess of revenues, gains, and other support over expenses, in 2023 and 2022 are as follows (in thousands):

	Eskaton Retirement Plan		SERP	
	2023	2022	2023	2022
Service cost	\$ -	\$ (1,053)	\$ (35)	\$ (35)
Interest cost	(1,446)	(882)	(44)	(52)
Expected return on plan assets	1,367	2,678	-	-
Amortization of prior service cost	-	(614)	-	-
Amortization of net gain (loss)	(100)	(213)	457	336
Curtailment charge	-	(2,224)	-	-
Settlement charge	(1,822)	-	1,396	-
Net periodic benefit cost recognized	(2,001)	(2,308)	1,774	249
Other changes in plan assets and benefit obligations recognized in net assets (deficit) without donor restrictions:				
Net actuarial gain (loss)	1,786	(4,973)	(1,480)	778
Prior service cost	-	220	-	-
Impact of curtailment accounting	-	2,224	-	-
Impact of settlement accounting	1,822	-	(1,396)	-
Total recognized in net assets (deficit) without donor restrictions	3,608	(2,529)	(2,876)	778
Total recognized in net periodic benefit cost and net assets (deficit) without donor restrictions	\$ 1,607	\$ (4,837)	\$ (1,102)	\$ 1,027

Weighted average assumptions used are as follows:

	Eskaton Retirement Plan		SERP	
	2023	2022	2023	2022
Discount rate - benefit obligation	5.74%	5.35%	5.20%	5.35%
Discount rate - benefit cost	5.35%	2.60%	5.35%	2.60%
Expected rate of return on plan assets	4.50%	4.50%	n/a	n/a
Rate of compensation increase	n/a	5.00%	4.00%	4.00%

Eskaton's expected rate of return on plan assets is based on the portfolio as a whole and not on the sum of the returns on individual asset categories. The return is based exclusively on historical returns, without adjustments.

Eskaton and Subsidiaries

Notes to Consolidated Financial Statements

Measurement date – The measurement date used to determine pension benefit measures for the plans is December 31.

Cash flows – Eskaton expects to contribute \$0 to the Pension Plan and \$0.2 million to the SERP during the fiscal year ending December 31, 2024.

The benefits expected to be paid are as follows (in thousands):

<u>Years Ending December 31,</u>	<u>Eskaton Retirement Plan</u>	<u>SERP</u>
2024	\$ 24,631	\$ 116
2025	-	306
2026	-	106
2027	-	115
2028	-	125
2029-2033	-	1,150

The expected benefits are based on the same assumptions used to measure Eskaton's benefit obligation as of December 31, 2023, and include estimated future employee service. The expected pension benefits assume termination of the plan in 2024, although the actual termination date may extend to a future period.

Plan assets – Eskaton's investment policy for the retirement plans state the overall investment objectives of the accounts. It also contains a target asset mix and asset mix restrictions, which in combination with the skills of each investment manager should achieve these objectives.

The objectives of the account are expected to be pursued as a long-term goal designed to maximize the returns without exposure to undue risk. Each investment manager's greatest concern is expected to be the long-term appreciation of the assets and consistency of total portfolio returns. Management expects the account to exceed (net of fees) the composite benchmark relevant to the target asset allocation defined in the investment policy.

Target Asset Mix Table
Overall Portfolio

<u>Asset Class</u>	<u>Minimum Percentage</u>	<u>Target Percentage</u>	<u>Maximum Percentage</u>
Domestic equities	30%	45%	60%
Real estate	0%	5%	10%
International equities	10%	15%	20%
Domestic fixed income	15%	25%	35%
Alternative investments	0%	10%	20%

Eskaton and Subsidiaries

Notes to Consolidated Financial Statements

The asset allocations of plan assets as of December 31 are as follows (in thousands):

	December 31, 2023	Fair Value Measurements at Reporting Date Using		
		Quoted prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Cash	\$ 293	\$ 293	\$ -	\$ -
Mutual funds	1,157	1,157	-	-
U.S. government bonds	24,041	24,041	-	-
Pooled separate account	574	-	574	-
Total assets in the fair value hierarchy	<u>\$ 26,065</u>	<u>\$ 25,491</u>	<u>\$ 574</u>	<u>\$ -</u>

	December 31, 2022	Fair Value Measurements at Reporting Date Using		
		Quoted prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Cash	\$ 2,734	\$ 2,734	\$ -	\$ -
Common stocks	1	1	-	-
U.S. government bonds	29,645	29,645	-	-
Total assets in the fair value hierarchy	<u>\$ 32,380</u>	<u>\$ 32,380</u>	<u>\$ -</u>	<u>\$ -</u>

There were no significant transfers between plan assets with inputs with quoted prices in active markets for identical assets (Level 1) and assets with inputs with significant other observable inputs (Level 2) during the years ended December 31, 2023 and 2022.

Note 9 – Continuing Care Retirement Communities

Eskaton Village Carmichael

Eskaton Village Carmichael (“EVC”) is a licensed continuing care community offering independent living, assisted living for those residents’ needing assistance with two or more of the activities of daily living and residents with cognitive impairments, and skilled nursing for all other residents. EVC is located on a 37-acre parcel of land in Carmichael, California, and consists of the following living units:

Unit Type	Number of Units
Apartments	201
Cottages	94
Assisted living	38
Assisted living - special care unit	20
Skilled nursing	35

Eskaton and Subsidiaries

Notes to Consolidated Financial Statements

Residents of EVC's apartments and cottages pay a membership or entrance fee and sign a membership or residence agreement, which has been approved by the Continuing Care Contracts Branch of the California Department of Social Services. The nonrefundable membership agreement results in a payment to the resident only from reoccupancy proceeds of that apartment or cottage. Residents may resell their membership to another qualified individual, and Eskaton receives a transfer fee of 10% of the original membership fee amount, capped at a maximum of 10% of the new sales price. In addition, appreciation in excess of the original membership fee amount is shared equally between the resident and Eskaton.

The Reutlinger Community

TRC is a 60-bed skilled nursing and 116-unit assisted living and memory care facility in Danville, California. Beginning December 5, 2016, TRC was certified by the State of California Department of Social Services with a provisional license to operate as a CCRC and enter into continuing care contracts with the residents of the community. A permanent license was issued to TRC in 2019.

TRC receives an entrance fee when residents enter into a continuing care agreement. The continuing care agreement is inclusive of care and services, as defined in the agreement. In exchange for a fixed entrance fee and monthly resident service fees, the resident has the right to occupy a unit and continue using the services of the community during his or her lifetime.

CCRC membership and entrance fees provide residents with material rights that are treated as performance obligations satisfied over time as services are rendered. EVC's refundable residence agreement requires an entrance fee, which is deferred and amortized on a straight-line basis over the life expectancy of the residents. Refundable entrance fees totaled \$363 thousand and \$160 thousand as of December 31, 2023 and 2022, respectively.

The change in deferred entrance fees during the years ended December 31, 2023 and 2022, consists of the following activity (in thousands):

	2023	2022
Balance, beginning of year	\$ 8,689	\$ 7,446
New fees received	660	2,911
Appreciation of resale contracts	1,070	777
Amortization of fees	(1,696)	(2,117)
Other	6	(328)
Balance, end of year	<u>\$ 8,729</u>	<u>\$ 8,689</u>

Eskaton and Subsidiaries

Notes to Consolidated Financial Statements

Eskaton is obligated to provide future services and the use of the CCRC communities to residents. Residents are charged monthly maintenance fees, which are used to pay routine operating expenses. Management has determined that the deferred revenue from unamortized membership and entrance fees and future monthly service fees exceeds the present value of the net cost of future services and use of the CCRC communities to be provided to residents as of December 31, 2023 and 2022, discounted at 4.5% for both EVC and TRC. Accordingly, Eskaton has not recorded a liability to provide future services as of December 31, 2023 and 2022.

Note 10 – Self-Insured Employee Health and Workers' Compensation

Eskaton is self-insured for employee health and workers' compensation up to \$175,000 and \$1 million per claim, respectively. Eskaton maintains stop-loss insurance policies for employee health and workers' compensation with a limit of \$0 per claim and statutory limits, respectively. Accruals have been made for estimated liabilities, including estimates for incurred but not reported claims. Eskaton has recorded a liability of \$2.5 million and \$2.8 million as of December 31, 2023 and 2022, respectively, in relation to employee health. Eskaton has recorded a liability of \$8.3 million and \$9.0 million as of December 31, 2023 and 2022, respectively, in relation to workers' compensation. Eskaton is required to participate as a member in the State of California Self-Insurers' Security Fund, a not-for-profit mutual benefit corporation, to secure its liabilities for self-insured workers' compensation. In Eskaton's past experience, no claims have been made against this financial instrument. Management does not expect any material loss to result from this off-balance-sheet instrument because performance is not expected to be required and, therefore, is of the opinion that the fair value of this instrument is zero. Any related insurance recovery receivables are recorded as due from liability insurer in the accompanying consolidated balance sheets.

Note 11 – Professional Liability Insurance

Eskaton maintains claims-made commercial professional liability insurance coverage with California Healthcare Insurance Company covering losses up to \$5 million per claim, annual aggregate of \$15 million, with a \$25,000 deductible per claim. Eskaton also purchases excess professional liability insurance coverage of \$10 million per claim and \$10 million aggregate over the primary insurance coverage limits. Eskaton has recorded a liability of \$1.9 million and \$1.7 million for the tail exposure as of December 31, 2023 and 2022, respectively. In accordance with ASC 954-450, *Health Care Entities—Contingencies*, Eskaton has also recorded a liability of \$7.8 million and \$6.1 million as of December 31, 2023 and 2022, respectively, for estimated claim liabilities insured under its liability policy. \$1.9 million and \$1.7 million are recorded as professional liability and \$7.8 million and \$6.1 million are recorded as other current liabilities in the accompanying consolidated balance sheets as of December 31, 2023 and 2022, respectively. Any related insurance recovery receivables are recorded as due from liability insurer in the accompanying consolidated balance sheets.

Eskaton and Subsidiaries

Notes to Consolidated Financial Statements

Note 12 – Commitments and Contingencies

Various legal settlements were reached that resulted in professional fees expense of \$2.7 million and \$0.3 million in the accompanying consolidated statements of operations and changes in net assets for the years ended December 31, 2023 and 2022, respectively.

Eskaton is a defendant in other various legal actions arising from its normal conduct of business. It is the opinion of Eskaton's management, after consulting with legal counsel, that the outcome of such matters will not have a material adverse effect on the consolidated financial position or results of operations of Eskaton.

Note 13 – Concentrations of Credit Risk

Eskaton's financial instruments that are exposed to concentrations of credit risk consist primarily of bank demand deposits in excess of Federal Deposit Insurance Corporation ("FDIC") and Security Investor Protection Corporation ("SIPC") limits and its accounts receivable.

Eskaton's operating facilities are located primarily in the Sacramento, California, metropolitan area. Eskaton grants credit without collateral to its patients and residents, most of whom are insured under third-party payor agreements.

Accounts receivable, net from patients and third-party payors as of December 31 are as follows (in thousands):

	2023	2022
Medicare	\$ 1,647	\$ 2,058
Medi-Cal	1,693	3,168
Other third-party payors	2,789	3,727
Patients and residents	459	1,434
	<u>\$ 6,588</u>	<u>\$ 10,387</u>

The following represent accounts receivable, net, as of December 31:

	2023	2022	2021
Accounts receivable, net	<u>\$ 6,588</u>	<u>\$ 10,387</u>	<u>\$ 8,128</u>

Eskaton and Subsidiaries

Notes to Consolidated Financial Statements

Note 14 – Natural and Functional Expenses

The consolidated financial statements report certain expense categories that are attributable to more than one service or support function. Therefore, these expenses require an allocation on a reasonable basis that is consistently applied. Costs not directly attributable to a function including depreciation, interest and amortization, and insurance and other are allocated to a function based on a units-of-service basis. Expenses related to providing these services for the years ended December 31, including expenses attributable to discontinued operations of \$54,784,000 and \$60,054,000 for the years ended December 31, 2023 and 2022, respectively, are as follows (in thousands):

Year Ended December 31, 2023							
	Program Services				Support Services		Total
	Health Services	Residential Services	Community Services	Home Based Services	Fundraising	General & Admin	
Salaries and wages	\$ 29,840	\$ 34,483	\$ 198	\$ 2,242	\$ 230	\$ 24,280	\$ 91,273
Employee benefits	8,213	9,951	68	705	89	3,264	22,290
Professional fees	4,608	2,480	-	6	3	4,675	11,772
Supplies	2,505	4,070	-	64	15	1,220	7,874
Purchased services	1,517	8,003	-	-	25	5,262	14,807
Ancillary costs	3,500	353	-	-	-	-	3,853
Utilities	976	3,629	2	67	1	1,715	6,390
Insurance and other	2,520	1,594	39	171	34	6,915	11,273
Depreciation	1,193	7,278	-	-	-	939	9,410
Interest and amortization	329	4,551	-	-	-	459	5,339
Total expenses	<u>\$ 55,201</u>	<u>\$ 76,392</u>	<u>\$ 307</u>	<u>\$ 3,255</u>	<u>\$ 397</u>	<u>\$ 48,729</u>	<u>\$ 184,281</u>

Year Ended December 31, 2022							
	Program Services				Support Services		Total
	Health Services	Residential Services	Community Services	Home Based Services	Fundraising	General & Admin	
Salaries and wages	\$ 31,709	\$ 29,637	\$ 163	\$ 1,970	\$ 173	\$ 20,332	\$ 83,984
Employee benefits	9,495	8,919	67	630	49	(1,379)	17,781
Professional fees	8,190	3,471	-	173	3	1,212	13,049
Supplies	2,627	3,896	-	64	29	991	7,607
Purchased services	1,580	6,925	-	-	23	5,306	13,834
Ancillary costs	2,910	286	-	-	-	-	3,196
Utilities	1,090	3,445	2	64	-	1,726	6,327
Insurance and other	2,554	1,360	44	146	4	5,852	9,960
Depreciation	1,366	7,948	-	-	-	1,170	10,484
Interest and amortization	316	4,237	-	-	-	471	5,024
Total expenses	<u>\$ 61,837</u>	<u>\$ 70,124</u>	<u>\$ 276</u>	<u>\$ 3,047</u>	<u>\$ 281</u>	<u>\$ 35,681</u>	<u>\$ 171,246</u>

Eskaton and Subsidiaries

Notes to Consolidated Financial Statements

Note 15 – Liquidity Disclosure

As of December 31, 2023 and 2022, Eskaton has a working capital surplus of \$55.7 million and \$46.3 million, and average days' cash on hand of 231 and 159 days, respectively.

Financial assets available for general expenditure within one year of the consolidated balance sheet date consist of the following (in thousands) as of December 31:

	2023	2022
Cash and cash equivalents	\$ 16,700	\$ 14,497
Investments	61,044	55,309
Accounts receivable, net	6,588	10,387
Other receivables	5,675	3,470
	<u>\$ 90,007</u>	<u>\$ 83,663</u>

Eskaton manages its liquidity by developing annual operating budgets that provide sufficient funds to support operating expenditures, liabilities, and other obligations. Eskaton's cash needs are expected to be met through operating revenue sources.

Note 16 – Health and Safety Code Section 1790(A)(3) Disclosure

The following disclosure is made pursuant to Section 1790(a)(3) of the California Health and Safety Code: no reserves are being accumulated for identified projects or contingencies.

Note 17 – Discontinued Operations

On September 28, 2023, Eskaton sold the real property owned and operated by EPI as three standalone skilled nursing care centers for \$35.6 million. Additionally, on December 15, 2023, EPI ceased operations of its medical homecare service provider, Eskaton Home Healthcare. Both events represent a strategic shift in Eskaton's operations, with the divestiture of its healthcare businesses creating opportunity for additional investments in the residential hospitality core of Eskaton's business.

Eskaton and Subsidiaries

Notes to Consolidated Financial Statements

The operating results of the divested healthcare businesses are presented separately in the accompanying consolidated statements of operations and changes in net assets as income (loss) from discontinued operations. The major classes of revenues and expenses included in income (loss) from discontinued operations for the years ended December 31 are as follows (in thousands):

	2023	2022
Net patient service revenue	\$ 33,832	\$ 41,753
Home based services	2,986	3,173
Government grant revenue	-	116
Other, net	458	44
Salaries and wages	(29,706)	(29,172)
Employee benefits	(7,962)	(9,143)
Professional fees	(4,524)	(6,493)
Supplies	(2,295)	(2,455)
Purchased services	(1,167)	(4,558)
Ancillary costs	(1,730)	(2,153)
Utilities	(916)	(1,086)
Insurance and other	(5,695)	(4,017)
Depreciation	(615)	(820)
Interest and amortization	(174)	(157)
Gain on sale of skilled nursing care centers	26,085	-
Loss on early repayment of debt	-	(121)
	<u>\$ 8,577</u>	<u>\$ (15,089)</u>

Eskaton and Subsidiaries

Notes to Consolidated Financial Statements

The major classes of assets and liabilities of the three standalone skilled nursing care centers at December 31 are as follows (in thousands):

	2023	2022
Assets:		
Cash and cash equivalents	\$ (79)	\$ 3
Accounts receivable, net	1,740	6,789
Other receivables	273	14
Inventories	-	115
Deposits and prepaid expenses	118	445
Property and equipment, net	210	7,742
Associate member/resident/patient deposits	11	58
	<u>\$ 2,273</u>	<u>\$ 15,166</u>
Total assets		
Liabilities:		
Accounts payable	\$ 33	\$ 2,130
Accrued liabilities:		
Payroll and payroll taxes	725	562
Vacation	-	999
Interest	-	17
Other	1,011	166
Due to related parties	13	11
Associate member/resident/patient deposits	11	58
Long-term debt	-	3,978
	<u>\$ 1,793</u>	<u>\$ 7,921</u>

Current assets and liabilities that were not part of the real property sale were retained by Eskaton and excluded from the noncurrent assets of discontinued operations reported in the accompanying consolidated balance sheet as of December 31, 2022, which reflects the net property and equipment held for sale.

Note 18 – Subsequent Events

Subsequent events are events or transactions that occur after the consolidated balance sheet date, but before consolidated financial statements are issued. Eskaton recognizes in the consolidated financial statements the effects of all subsequent events that provide additional evidence about conditions that existed at the date of the consolidated balance sheet, including the estimates inherent in the process of preparing the consolidated financial statements. Eskaton's consolidated financial statements do not recognize subsequent events that provide evidence about conditions that did not exist at the date of the consolidated balance sheet, but arose after the consolidated balance sheet date and before consolidated financial statements are issued.

Eskaton and Subsidiaries

Notes to Consolidated Financial Statements

Eskaton executed an agreement with the California Department of Forestry and Fire Protection on February 13, 2024, for the lease of the real property formerly operated as Eskaton Lodge Cameron Park. The lease term commenced April 1, 2024, and shall end on March 31, 2034, with monthly rent payments of \$75 thousand escalating 2.0% each year of the 10-year term.

Subsequent events have been evaluated through April 19, 2024, which is the date the consolidated financial statements were issued.

Supplementary Information

Eskaton and Subsidiaries
Consolidating Schedule – Balance Sheet
December 31, 2023
(In Thousands)

	Eskaton Properties Inc.	Eskaton Village Grass Valley	Eskaton Village Roseville	Eskaton Obligated Group Total	Eskaton Obligated Group Adjustments	Eskaton Obligated Group Combined	Eskaton Combined	California Healthcare Consultants	Eskaton Village Placerville	Eskaton Lodge Granite Bay	Eskaton FountainWood Lodge	The Reutlinger Community	Livable Design	Eskaton Foundation	Total	Eliminations	Consolidated
ASSETS																	
CURRENT ASSETS																	
Cash and cash equivalents	\$ 10,493	\$ 503	\$ 1,789	\$ 12,785	\$ -	\$ 12,785	\$ 273	\$ 727	\$ 751	\$ 1,407	\$ -	\$ 660	\$ -	\$ 97	\$ 16,700	\$ -	\$ 16,700
Assets limited as to use, required for current liabilities	412	157	-	569	-	569	-	-	101	120	-	-	-	-	790	-	790
Investments	56,153	-	-	56,153	-	56,153	-	-	-	-	-	876	-	-	57,029	-	57,029
Accounts receivable, net	3,624	83	211	3,918	-	3,918	53	-	9	26	-	2,582	-	-	6,588	-	6,588
Other receivables	4,599	15	62	4,676	-	4,676	2	898	90	2	-	7	-	-	5,675	-	5,675
Inventories	151	13	11	175	-	175	-	-	23	20	-	29	-	-	247	-	247
Deposits and prepaid expenses	1,151	57	11	1,219	-	1,219	10	-	8	55	-	100	7	9	1,408	-	1,408
Due from related parties	14,896	-	-	14,896	(1,201)	13,695	-	-	-	-	-	-	171	44	13,910	(13,824)	86
Total current assets	91,479	828	2,084	94,391	(1,201)	93,190	338	1,625	982	1,630	-	4,254	178	150	102,347	(13,824)	88,523
ASSETS LIMITED AS TO USE, net of amount required for current liabilities	6,292	2,066	-	8,358	-	8,358	-	-	412	665	-	2,054	-	1,711	13,200	-	13,200
INVESTMENTS	-	-	-	-	-	-	-	-	-	-	-	-	-	4,015	4,015	-	4,015
PROPERTY AND EQUIPMENT, net	33,167	4,793	11,199	49,159	(77)	49,082	1,330	-	7,601	8,211	-	35,724	437	-	102,385	-	102,385
OTHER ASSETS																	
Due from liability insurer	7,088	-	-	7,088	-	7,088	-	-	-	-	-	-	-	-	7,088	-	7,088
Associate member/resident/patient deposits	1,078	-	-	1,078	-	1,078	-	-	-	-	-	(10)	-	-	1,068	-	1,068
Funded pension obligation	1,435	-	-	1,435	-	1,435	-	-	-	-	-	-	-	-	1,435	-	1,435
Other	5,395	-	-	5,395	-	5,395	1,284	-	-	-	3,900	1,700	-	-	12,279	(1,225)	11,054
Due from related parties, net of current portion	3,147	-	-	3,147	-	3,147	-	-	-	-	-	-	-	-	3,147	(3,147)	-
Total other assets	57,602	6,859	11,199	75,660	(77)	75,583	2,614	-	8,013	8,876	3,900	39,468	437	5,726	144,617	(4,372)	140,245
Total assets	\$ 149,081	\$ 7,687	\$ 13,283	\$ 170,051	\$ (1,278)	\$ 168,773	\$ 2,952	\$ 1,625	\$ 8,995	\$ 10,506	\$ 3,900	\$ 43,722	\$ 615	\$ 5,876	\$ 246,964	\$ (18,196)	\$ 228,768

Eskaton and Subsidiaries
Consolidating Schedule – Balance Sheet (Continued)
December 31, 2023
(In Thousands)

	Eskaton Properties Inc.	Eskaton Village Grass Valley	Eskaton Village Roseville	Eskaton Obligated Group Total	Eskaton Obligated Group Adjustments	Eskaton Obligated Group Combined	Eskaton Combined	California Healthcare Consultants	Eskaton Village Placerville	Eskaton Lodge Granite Bay	Eskaton FountainWood Lodge	The Reutlinger Community	Livable Design	Eskaton Foundation	Total	Eliminations	Consolidated
LIABILITIES AND NET ASSETS (DEFICIT)																	
CURRENT LIABILITIES																	
Current maturities of long-term debt	\$ 2,624	\$ 920	\$ 1,098	\$ 4,642	\$ -	\$ 4,642	\$ -	\$ -	\$ 205	\$ 272	\$ -	\$ 4,449	\$ -	\$ -	\$ 9,568	\$ -	\$ 9,568
Current portion of deferred revenue from unamortized CCRC entrance fees	1,347	-	-	1,347	-	1,347	-	-	-	-	-	-	-	-	1,347	-	1,347
Deposits on unoccupied units	507	23	-	530	-	530	-	-	-	-	-	-	6	-	536	-	536
Accounts payable	2,254	113	104	2,471	-	2,471	(2)	1	83	116	-	387	-	41	3,097	-	3,097
Accrued liabilities:																	
Payroll and payroll taxes	1,840	156	27	2,023	-	2,023	17	402	12	62	-	68	-	-	2,584	-	2,584
Vacation	1,187	92	142	1,421	-	1,421	49	235	115	93	-	469	-	-	2,382	-	2,382
Current portion of self-insured workers' compensation	1,429	-	-	1,429	-	1,429	-	-	-	-	-	-	-	-	1,429	-	1,429
Self-insured employee health plan	2,530	-	-	2,530	-	2,530	-	-	-	-	-	-	-	-	2,530	-	2,530
Interest	305	113	65	483	-	483	-	-	14	30	-	15	-	-	542	-	542
Other	8,412	63	51	8,526	-	8,526	-	-	40	36	-	33	-	67	8,702	-	8,702
Due to related-parties	196	1	1,201	1,398	(1,201)	197	4,874	988	447	274	1,160	5,454	90	426	13,910	(13,824)	86
Total current liabilities	22,631	1,481	2,688	26,800	(1,201)	25,599	4,938	1,626	916	883	1,160	10,875	96	534	46,627	(13,824)	32,803
OTHER LIABILITIES																	
Self-insured workers' compensation, net of current portion	6,825	-	-	6,825	-	6,825	-	-	-	-	-	-	-	-	6,825	-	6,825
Interest rate swap agreements	-	-	1,163	1,163	-	1,163	-	-	-	-	-	-	-	-	1,163	-	1,163
Unfunded pension obligation	1,268	-	-	1,268	-	1,268	-	-	-	-	-	-	-	-	1,268	-	1,268
Professional liability	1,908	-	-	1,908	-	1,908	-	-	-	-	-	-	-	-	1,908	-	1,908
Associate member/resident/patient deposits	1,078	-	3	1,081	-	1,081	-	-	-	-	-	-	-	-	1,081	-	1,081
Other	7	-	-	7	-	7	-	-	-	-	-	-	-	-	7	-	7
Due to related-parties, net of current portion	-	-	-	-	-	-	-	-	-	-	3,147	-	-	-	3,147	(3,147)	-
	11,086	-	1,166	12,252	-	12,252	-	-	-	-	3,147	-	-	-	15,399	(3,147)	12,252
LONG-TERM DEBT, net of current maturities	46,470	17,963	12,204	76,637	-	76,637	-	-	6,471	10,904	-	-	-	-	94,012	-	94,012
REFUNDABLE CCRC ENTRANCE FEES	298	-	-	298	-	298	-	-	-	-	-	65	-	-	363	-	363
DEFERRED REVENUE FROM UNAMORTIZED CCRC ENTRANCE FEES, net of current portion	7,382	-	-	7,382	-	7,382	-	-	-	-	-	-	-	-	7,382	-	7,382
Total liabilities	87,867	19,444	16,058	123,369	(1,201)	122,168	4,938	1,626	7,387	11,787	4,307	10,940	96	534	163,783	(16,971)	146,812
NET ASSETS (DEFICIT)																	
Net assets (deficit) without donor restrictions	61,207	(11,757)	(2,775)	46,675	(77)	46,598	(1,986)	(1)	1,608	(1,281)	(407)	28,746	519	3,527	77,323	(1,225)	76,098
Net assets with donor restrictions	7	-	-	7	-	7	-	-	-	-	-	4,036	-	1,815	5,858	-	5,858
Total net assets (deficit)	61,214	(11,757)	(2,775)	46,682	(77)	46,605	(1,986)	(1)	1,608	(1,281)	(407)	32,782	519	5,342	83,181	(1,225)	81,956
Total liabilities and net assets (deficit)	\$ 149,081	\$ 7,687	\$ 13,283	\$ 170,051	\$ (1,278)	\$ 168,773	\$ 2,952	\$ 1,625	\$ 8,995	\$ 10,506	\$ 3,900	\$ 43,722	\$ 615	\$ 5,876	\$ 246,964	\$ (18,196)	\$ 228,768

Eskaton and Subsidiaries
Consolidating Schedule – Operations and Changes in Net Assets (Deficit)
Year Ended December 31, 2023
(In Thousands)

	Eskaton Properties Inc.	Eskaton Village Grass Valley	Eskaton Village Roseville	Eskaton Obligated Group Total	Eskaton Obligated Group Adjustments	Eskaton Obligated Group Combined	Eskaton Combined	California Healthcare Consultants	Eskaton Village Placerville	Eskaton Lodge Granite Bay	Eskaton FountainWood Lodge	The Reutlinger Community	Livable Design	Eskaton Foundation	Total	Eliminations	Consolidated
NET ASSETS (DEFICIT) WITHOUT DONOR RESTRICTIONS																	
Revenue, gains, and other support:																	
Resident service revenue, including amortization of CCRC entrance fees	\$ 51,991	\$ 10,494	\$ 9,017	\$ 71,502	\$ -	\$ 71,502	\$ -	\$ -	\$ 5,161	\$ 7,902	\$ -	\$ 18,438	\$ -	\$ -	\$ 103,003	\$ -	\$ 103,003
Home based services	-	-	-	-	-	-	737	-	-	-	-	-	-	-	737	-	737
Other, net	10,955	337	975	12,267	(1,260)	11,007	1	10,903	914	48	-	3,084	23	351	26,331	(2,423)	23,908
Total revenues, gains, and other support	62,946	10,831	9,992	83,769	(1,260)	82,509	738	10,903	6,075	7,950	-	21,522	23	351	130,071	(2,423)	127,648
Expenses:																	
Salaries and wages	29,027	3,519	4,385	36,931	-	36,931	848	8,415	2,907	2,633	-	10,032	-	105	61,871	-	61,871
Employee benefits	4,588	1,105	1,172	6,865	-	6,865	267	2,481	907	808	-	2,662	-	34	14,024	-	14,024
Professional fees	4,183	817	38	5,038	-	5,038	-	-	13	584	-	1,610	-	3	7,248	-	7,248
Supplies	2,403	882	695	3,980	-	3,980	15	-	338	575	-	654	-	17	5,579	-	5,579
Purchased services	9,103	1,479	1,152	11,734	(1,260)	10,474	180	-	685	790	-	3,266	6	18	15,419	(1,779)	13,640
Ancillary costs	737	27	68	832	-	832	-	-	21	34	-	1,236	-	-	2,123	-	2,123
Utilities	2,991	634	294	3,919	-	3,919	6	6	297	320	-	922	3	1	5,474	-	5,474
Insurance and other	3,175	500	381	4,056	-	4,056	155	2	226	309	-	820	14	640	6,222	(644)	5,578
Depreciation	4,505	776	640	5,921	(9)	5,912	21	-	519	695	-	1,606	42	-	8,795	-	8,795
Interest and amortization	2,566	890	845	4,301	-	4,301	-	-	218	451	-	195	-	-	5,165	-	5,165
Total operating expenses	63,278	10,629	9,670	83,577	(1,269)	82,308	1,492	10,904	6,131	7,199	-	23,003	65	818	131,920	(2,423)	129,497
Income (loss) from operations	(332)	202	322	192	9	201	(754)	(1)	(56)	751	-	(1,481)	(42)	(467)	(1,849)	-	(1,849)
Nonoperating revenue (expenses):																	
Investment income (loss)	6,797	71	(5)	6,863	-	6,863	-	-	2	4	-	472	-	467	7,808	-	7,808
Interest rate swap activities	-	-	75	75	-	75	-	-	-	-	-	-	-	-	75	-	75
Other components of net periodic pension (cost) benefit	(192)	-	-	(192)	-	(192)	-	-	-	-	-	-	-	-	(192)	-	(192)
Gain on disposal of property and equipment	28	-	-	28	-	28	-	-	-	-	-	-	-	-	28	-	28
Other	258	-	-	258	-	258	-	-	-	-	-	-	-	14	272	-	272
Total nonoperating revenue (expenses), net	6,891	71	70	7,032	-	7,032	-	-	2	4	-	472	-	481	7,991	-	7,991
Excess (deficiency) of revenues, gains, and other support over expenses	\$ 6,559	\$ 273	\$ 392	\$ 7,224	\$ 9	\$ 7,233	\$ (754)	\$ (1)	\$ (54)	\$ 755	\$ -	\$ (1,009)	\$ (42)	\$ 14	\$ 6,142	\$ -	\$ 6,142

Eskaton and Subsidiaries
Consolidating Schedule – Operations and Changes in Net Assets (Deficit) (Continued)
Year Ended December 31, 2023
(In Thousands)

	Eskaton Properties Inc.	Eskaton Village Grass Valley	Eskaton Village Roseville	Eskaton Obligated Group Total	Eskaton Obligated Group Adjustments	Eskaton Obligated Group Combined	Eskaton Combined	California Healthcare Consultants	Eskaton Village Placerville	Eskaton Lodge Granite Bay	Eskaton FountainWood Lodge	The Reutlinger Community	Livable Design	Eskaton Foundation	Total	Eliminations	Consolidated
NET ASSETS WITHOUT DONOR RESTRICTIONS																	
Excess (deficiency) of revenues, gains, and other support over expenses (page 44)	\$ 6,559	\$ 273	\$ 392	\$ 7,224	\$ 9	\$ 7,233	\$ (754)	\$ (1)	\$ (54)	\$ 755	\$ -	\$ (1,009)	\$ (42)	\$ 14	\$ 6,142	\$ -	\$ 6,142
Pension related changes other than net periodic pension cost	732	-	-	732	-	732	-	-	-	-	-	-	-	-	732	-	732
Transfers between related entities	(194)	577	-	383	-	383	-	-	(308)	(713)	-	-	-	638	-	-	-
Change in net assets (deficit) without donor restrictions before discontinued operations	7,097	850	392	8,339	9	8,348	(754)	(1)	(362)	42	-	(1,009)	(42)	652	6,874	-	6,874
Income (loss) from discontinued operations	8,577	-	-	8,577	-	8,577	-	-	-	-	-	-	-	-	8,577	-	8,577
Change in net assets (deficit) without donor restrictions	15,674	850	392	16,916	9	16,925	(754)	(1)	(362)	42	-	(1,009)	(42)	652	15,451	-	15,451
NET ASSETS (DEFICIT) WITHOUT DONOR RESTRICTIONS, beginning of year	45,533	(12,607)	(3,167)	29,759	(86)	29,673	(1,232)	-	1,970	(1,323)	(407)	29,755	561	2,875	61,872	(1,225)	60,647
NET ASSETS WITHOUT DONOR RESTRICTIONS, end of year	\$ 61,207	\$ (11,757)	\$ (2,775)	\$ 46,675	\$ (77)	\$ 46,598	\$ (1,986)	\$ (1)	\$ 1,608	\$ (1,281)	\$ (407)	\$ 28,746	\$ 519	\$ 3,527	\$ 77,323	\$ (1,225)	\$ 76,098
NET ASSETS WITH DONOR RESTRICTIONS																	
Contributions	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 43	\$ -	\$ 51	\$ 94	\$ -	\$ 94
Change in assets held in trust by others	-	-	-	-	-	-	-	-	-	-	-	47	-	14	61	-	61
Investment income	-	-	-	-	-	-	-	-	-	-	-	-	-	226	226	-	226
Net assets released from restriction used for operations	-	-	-	-	-	-	-	-	-	-	-	(492)	-	(196)	(688)	-	(688)
Change in net assets with donor restrictions	-	-	-	-	-	-	-	-	-	-	-	(402)	-	95	(307)	-	(307)
NET ASSETS WITH DONOR RESTRICTIONS, beginning of year	7	-	-	7	-	7	-	-	-	-	-	4,438	-	1,720	6,165	-	6,165
NET ASSETS WITH DONOR RESTRICTIONS, end of year	\$ 7	\$ -	\$ -	\$ 7	\$ -	\$ 7	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 4,036	\$ -	\$ 1,815	\$ 5,858	\$ -	\$ 5,858
CHANGE IN NET ASSETS (DEFICIT)	\$ 15,674	\$ 850	\$ 392	\$ 16,916	\$ 9	\$ 16,925	\$ (754)	\$ (1)	\$ (362)	\$ 42	\$ -	\$ (1,411)	\$ (42)	\$ 747	\$ 15,144	\$ -	\$ 15,144
NET ASSETS (DEFICIT), beginning of year	45,540	(12,607)	(3,167)	29,766	(86)	29,680	(1,232)	-	1,970	(1,323)	(407)	34,193	561	4,595	68,037	(1,225)	66,812
NET ASSETS (DEFICIT), end of year	\$ 61,214	\$ (11,757)	\$ (2,775)	\$ 46,682	\$ (77)	\$ 46,605	\$ (1,986)	\$ (1)	\$ 1,608	\$ (1,281)	\$ (407)	\$ 32,782	\$ 519	\$ 5,342	\$ 83,181	\$ (1,225)	\$ 81,956

Eskaton and Subsidiaries
Consolidating Schedule – Cash Flows
Year Ended December 31, 2023
(In Thousands)

	Eskaton Properties Inc.	Eskaton Village Grass Valley	Eskaton Village Roseville	Eskaton Obligated Group Total	Eskaton Obligated Group Adjustments	Eskaton Obligated Group Combined	Eskaton Combined	California Healthcare Consultants	Eskaton Village Placerville	Eskaton Lodge Granite Bay	Eskaton FountainWood Lodge	The Reutlinger Community	Livable Design	Eskaton Foundation	Total	Eliminations	Consolidated
CHANGE IN NET ASSETS (DEFICIT)	\$ 15,674	\$ 850	\$ 392	\$ 16,916	\$ 9	\$ 16,925	\$ (754)	\$ (1)	\$ (362)	\$ 42	\$ -	\$ (1,411)	\$ (42)	\$ 747	\$ 15,144	\$ -	\$ 15,144
Adjustments to reconcile change in net assets (deficit) to net cash provided by (used in) operating activities:																	
Depreciation	5,120	776	640	6,536	(9)	6,527	21	-	519	695	-	1,606	42	-	9,410	-	9,410
Amortization of deferred financing costs and premium	(48)	(61)	60	(49)	-	(49)	-	-	11	15	-	9	-	-	(14)	-	(14)
Amortization of CCRC entrance fees	(1,629)	-	-	(1,629)	-	(1,629)	-	-	-	-	-	(67)	-	-	(1,696)	-	(1,696)
Net realized and unrealized gain on assets limited as to use	(147)	(35)	-	(182)	-	(182)	-	-	-	-	-	-	-	(194)	(376)	-	(376)
Net realized and unrealized gain on investments	(5,630)	-	-	(5,630)	-	(5,630)	-	-	-	-	-	(387)	-	(396)	(6,413)	-	(6,413)
Pension related changes other than net periodic pension cost	(732)	-	-	(732)	-	(732)	-	-	-	-	-	-	-	-	(732)	-	(732)
Change in fair value of derivative instruments	-	-	(92)	(92)	-	(92)	-	-	-	-	-	-	-	-	(92)	-	(92)
Transfers between related entities	194	(577)	-	(383)	-	(383)	-	-	308	713	-	-	-	(638)	-	-	-
CCRC resales of nonrefundable contracts	1,070	-	-	1,070	-	1,070	-	-	-	-	-	-	-	-	1,070	-	1,070
CCRC sales of nonrefundable contracts	660	-	-	660	-	660	-	-	-	-	-	-	-	-	660	-	660
CCRC sales of refundable contracts	542	-	-	542	-	542	-	-	-	-	-	-	-	-	542	-	542
(Gain) loss on disposal of property and equipment	(26,113)	-	-	(26,113)	-	(26,113)	-	-	-	-	-	-	-	-	(26,113)	-	(26,113)
Change in operating assets and liabilities:																	
Change in receivables	2,486	21	(138)	2,369	-	2,369	11	170	12	(20)	-	(992)	-	44	1,594	-	1,594
Change in inventories	489	(1)	10	498	-	498	-	-	(3)	(11)	-	67	-	-	551	-	551
Change in deposits and prepaid expenses	(163)	(10)	13	(160)	-	(160)	(6)	-	10	(3)	-	13	(4)	(9)	(159)	-	(159)
Change in other assets	(3,785)	-	-	(3,785)	-	(3,785)	-	-	-	-	-	(32)	-	-	(3,817)	-	(3,817)
Change in accounts payable	(2,925)	(138)	(75)	(3,138)	-	(3,138)	(15)	(12)	(92)	(128)	-	(489)	-	6	(3,868)	-	(3,868)
Change in accrued liabilities	(76)	-	(107)	(185)	-	(185)	6	95	(118)	16	-	(374)	-	(45)	(605)	-	(605)
Change in unfunded pension obligation	(751)	-	-	(751)	-	(751)	-	-	-	-	-	-	-	-	(751)	-	(751)
Change in other liabilities	(409)	(2)	(19)	(430)	-	(430)	-	-	(5)	(2)	-	-	(3)	-	(440)	-	(440)
Net cash provided by (used in) operating activities	(16,175)	823	684	(14,668)	-	(14,668)	(737)	252	280	1,317	-	(2,057)	(7)	(485)	(16,105)	-	(16,105)
Purchases of assets limited as to use	(4,520)	(1,792)	-	(6,312)	-	(6,312)	-	-	-	-	-	-	-	(138)	(6,450)	-	(6,450)
Proceeds from sale of assets limited as to use	4,432	1,773	-	6,205	-	6,205	-	-	-	-	-	433	-	208	6,846	-	6,846
Purchase of investments	(6,314)	-	-	(6,314)	-	(6,314)	-	-	-	-	-	(543)	-	(657)	(7,514)	-	(7,514)
Proceeds from sale of investments	7,984	-	-	7,984	-	7,984	-	-	-	-	-	54	-	154	8,192	-	8,192
Expenditures for property and equipment	(5,386)	(429)	(345)	(6,160)	-	(6,160)	(53)	-	(186)	(444)	-	(443)	1	-	(7,285)	-	(7,285)
Proceeds from disposal of property and equipment	34,261	-	-	34,261	-	34,261	-	-	-	-	-	-	-	-	34,261	-	34,261
Net cash provided by (used in) investing activities	30,457	(448)	(345)	29,664	-	29,664	(53)	-	(186)	(444)	-	(499)	1	(433)	28,050	-	28,050
CCRC contracts refunded	(314)	-	-	(314)	-	(314)	-	-	-	-	-	-	-	-	(314)	-	(314)
Change in deposits on unoccupied units	(196)	(4)	-	(200)	-	(200)	-	-	-	-	-	-	6	-	(194)	-	(194)
Principal payments on long-term debt	(6,475)	(823)	(1,097)	(8,395)	-	(8,395)	-	-	(209)	(277)	-	(297)	-	-	(9,178)	-	(9,178)
Net change in due to/due from related entities	(5,332)	577	796	(3,959)	-	(3,959)	888	355	(199)	(737)	-	2,739	-	913	-	-	-
Net cash provided by (used in) financing activities	(12,317)	(250)	(301)	(12,868)	-	(12,868)	888	355	(408)	(1,014)	-	2,442	6	913	(9,686)	-	(9,686)
NET INCREASE (DECREASE) IN CASH, CASH EQUIVALENTS, AND RESTRICTED CASH	1,965	125	38	2,128	-	2,128	98	607	(314)	(141)	-	(114)	-	(5)	2,259	-	2,259
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH, beginning of year	8,927	504	1,751	11,182	-	11,182	175	120	1,578	2,333	-	793	-	153	16,334	-	16,334
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH, end of year	\$ 10,892	\$ 629	\$ 1,789	\$ 13,310	\$ -	\$ 13,310	\$ 273	\$ 727	\$ 1,264	\$ 2,192	\$ -	\$ 679	\$ -	\$ 148	\$ 18,593	\$ -	\$ 18,593
SUPPLEMENTAL DISCLOSURE																	
Cash paid for interest	\$ 2,794	\$ 950	\$ 764	\$ 4,508	\$ -	\$ 4,508	\$ -	\$ -	\$ 208	\$ 436	\$ -	\$ 184	\$ -	\$ -	\$ 5,336	\$ -	\$ 5,336

Eskaton and Subsidiaries
Eskaton Properties, Inc. Consolidating Schedule – Balance Sheet
December 31, 2023
(In Thousands)

	Home Office	Eskaton Care Center Manzanita	Eskaton Care Center Fair Oaks	Eskaton Care Center Greenhaven	Eskaton Monroe Lodge	Eskaton Lodge Cameron Park	Eskaton Gold River Lodge	Eskaton Home Healthcare	Eskaton Village Carmichael	Eliminations	Eskaton Properties, Inc.
ASSETS											
CURRENT ASSETS											
Cash and cash equivalents	\$ 10,455	\$ (53)	\$ (68)	\$ 42	\$ 112	\$ 1	\$ 1	\$ 1	\$ 2	\$ -	\$ 10,493
Assets limited as to use, required for current liabilities	78	-	-	-	-	-	82	-	252	-	412
Investments	50,571	-	-	-	-	-	-	-	5,582	-	56,153
Accounts receivable, net	-	580	562	598	11	2	68	230	1,573	-	3,624
Other receivables	3,686	72	72	129	4	-	-	-	636	-	4,599
Inventories	60	-	-	-	4	-	15	-	72	-	151
Deposits and prepaid expenses	736	18	16	84	9	6	11	10	261	-	1,151
Due from related parties	14,896	-	-	-	-	-	-	-	-	-	14,896
Total current assets	80,482	617	582	853	140	9	177	241	8,378	-	91,479
ASSETS LIMITED AS TO USE, net of amount required for current liabilities											
PROPERTY AND EQUIPMENT, net	1,023	-	-	-	-	-	1,075	-	4,194	-	6,292
OTHER ASSETS	1,059	-	210	-	2,995	1,970	5,141	16	21,776	-	33,167
Due from liability insurer	7,088	-	-	-	-	-	-	-	-	-	7,088
Associate member/resident/patient deposits	-	11	1	(1)	-	-	-	-	1,067	-	1,078
Funded pension obligation	1,435	-	-	-	-	-	-	-	-	-	1,435
Other	3,822	-	-	-	-	-	-	-	1,573	-	5,395
Due from related parties, net of current portion	3,147	-	-	-	-	-	-	-	-	-	3,147
Total other assets	15,492	11	1	(1)	-	-	-	-	2,640	-	18,143
Total assets	\$ 98,056	\$ 628	\$ 793	\$ 852	\$ 3,135	\$ 1,979	\$ 6,393	\$ 257	\$ 36,988	\$ -	\$ 149,081

Eskaton and Subsidiaries
Eskaton Properties, Inc. Consolidating Schedule – Balance Sheet (Continued)
December 31, 2023
(In Thousands)

	Home Office	Eskaton Care Center Manzanita	Eskaton Care Center Fair Oaks	Eskaton Care Center Greenhaven	Eskaton Monroe Lodge	Eskaton Lodge Cameron Park	Eskaton Gold River Lodge	Eskaton Home Healthcare	Eskaton Village Carmichael	Eliminations	Eskaton Properties, Inc.
LIABILITIES AND NET ASSETS (DEFICIT)											
CURRENT LIABILITIES											
Current maturities of long-term debt	\$ 479	\$ -	\$ -	\$ -	\$ 44	\$ 92	\$ 479	\$ -	\$ 1,530	\$ -	\$ 2,624
Current portion of deferred revenue from unamortized CCRC entrance fees	-	-	-	-	-	-	-	-	1,347	-	1,347
Deposits on unoccupied CCRC units	-	-	-	-	-	-	-	-	507	-	507
Accounts payable	563	3	(3)	33	46	13	62	5	1,532	-	2,254
Accrued liabilities:											
Payroll and payroll taxes	569	13	426	286	32	10	15	212	277	-	1,840
Vacation	588	-	-	-	50	1	101	-	447	-	1,187
Current portion of self-insured workers' compensation	1,429	-	-	-	-	-	-	-	-	-	1,429
Self-insured employee health plan	2,530	-	-	-	-	-	-	-	-	-	2,530
Interest	58	-	-	-	3	6	59	-	179	-	305
Other	7,094	1,001	9	1	119	22	42	4	120	-	8,412
Due to related parties	174	2	8	3	1	-	2	2	4	-	196
Total current liabilities	13,484	1,019	440	323	295	144	760	223	5,943	-	22,631
OTHER LIABILITIES											
Self-insured workers' compensation, net of current portion	6,825	-	-	-	-	-	-	-	-	-	6,825
Unfunded pension obligation	1,268	-	-	-	-	-	-	-	-	-	1,268
Professional liability	1,651	64	89	104	-	-	-	-	-	-	1,908
Associate member/resident/patient deposits	-	11	1	(1)	-	-	-	-	1,067	-	1,078
Other	-	-	-	-	-	-	7	-	-	-	7
	9,744	75	90	103	-	-	7	-	1,067	-	11,086
LONG-TERM DEBT, net of current maturities	9,158	-	-	-	488	1,019	9,347	-	26,458	-	46,470
REFUNDABLE CCRC ENTRANCE FEES	-	-	-	-	-	-	-	-	298	-	298
DEFERRED REVENUE FROM UNAMORTIZED CCRC ENTRANCE FEES, net of current portion	-	-	-	-	-	-	-	-	7,382	-	7,382
Total liabilities	32,386	1,094	530	426	783	1,163	10,114	223	41,148	-	87,867
NET ASSETS (DEFICIT)											
Net assets (deficit) without donor restrictions	65,670	(466)	263	426	2,352	816	(3,721)	34	(4,167)	-	61,207
Net assets with donor restrictions	-	-	-	-	-	-	-	-	7	-	7
Total net assets (deficit)	65,670	(466)	263	426	2,352	816	(3,721)	34	(4,160)	-	61,214
Total liabilities and net assets (deficit)	\$ 98,056	\$ 628	\$ 793	\$ 852	\$ 3,135	\$ 1,979	\$ 6,393	\$ 257	\$ 36,988	\$ -	\$ 149,081

Eskaton and Subsidiaries
Eskaton Properties, Inc. Consolidating Schedule – Operations and Changes in Net Assets (Deficit)
Year Ended December 31, 2023
(In Thousands)

	Home Office	Eskaton Care Center Manzanita	Eskaton Care Center Fair Oaks	Eskaton Care Center Greenhaven	Eskaton Monroe Lodge	Eskaton Lodge Cameron Park	Eskaton Gold River Lodge	Eskaton Home Healthcare	Eskaton Village Carmichael	Eliminations	Eskaton Properties, Inc.
NET ASSETS (DEFICIT) WITHOUT DONOR RESTRICTIONS											
Revenue, gains, and other support:											
Resident service revenue, including amortization of CCRC entrance fees	\$ -	\$ -	\$ -	\$ -	\$ 4,674	\$ 2,464	\$ 8,001	\$ -	\$ 36,852	\$ -	\$ 51,991
Other, net	11,689	-	-	-	193	57	96	-	2,338	(3,418)	10,955
Total revenues, gains, and other support	11,689	-	-	-	4,867	2,521	8,097	-	39,190	(3,418)	62,946
Expenses:											
Salaries and wages	10,630	-	-	-	1,325	1,663	3,312	-	12,097	-	29,027
Employee benefits	(625)	-	-	-	372	514	968	-	3,359	-	4,588
Professional fees	3,271	-	-	-	3	305	405	-	199	-	4,183
Supplies	604	-	-	-	553	261	611	-	374	-	2,403
Purchased services	2,933	-	-	-	581	406	870	-	7,731	(3,418)	9,103
Ancillary costs	-	-	-	-	-	16	22	-	699	-	737
Utilities	208	-	-	-	360	182	322	-	1,919	-	2,991
Insurance and other	964	-	-	-	218	143	294	-	1,556	-	3,175
Depreciation	290	-	-	-	415	253	628	-	2,919	-	4,505
Interest and amortization	460	-	-	-	33	69	463	-	1,541	-	2,566
Total operating expenses	18,735	-	-	-	3,860	3,812	7,895	-	32,394	(3,418)	63,278
Income (loss) from operations	(7,046)	-	-	-	1,007	(1,291)	202	-	6,796	-	(332)
Investment income	5,863	-	-	-	-	-	37	-	897	-	6,797
Other components of net periodic pension cost	(192)	-	-	-	-	-	-	-	-	-	(192)
Gain on disposal of property and equipment	-	-	-	-	-	-	-	-	28	-	28
Other	258	-	-	-	-	-	-	-	-	-	258
Total nonoperating revenue (expenses), net	5,929	-	-	-	-	-	37	-	925	-	6,891
Excess of revenues, gains, and other support over expenses	<u>\$ (1,117)</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 1,007</u>	<u>\$ (1,291)</u>	<u>\$ 239</u>	<u>\$ -</u>	<u>\$ 7,721</u>	<u>\$ -</u>	<u>\$ 6,559</u>

Eskaton and Subsidiaries
Eskaton Properties, Inc. Consolidating Schedule – Operations and Changes in Net Assets (Deficit) (Continued)
Year Ended December 31, 2023
(In Thousands)

	Home Office	Eskaton Care Center Manzanita	Eskaton Care Center Fair Oaks	Eskaton Care Center Greenhaven	Eskaton Monroe Lodge	Eskaton Lodge Cameron Park	Eskaton Gold River Lodge	Eskaton Home Healthcare	Eskaton Village Carmichael	Eliminations	Eskaton Properties, Inc.
NET ASSETS WITHOUT DONOR RESTRICTIONS											
Excess (deficiency) of revenues, gains, and other support over expenses (page 49)	\$ (1,117)	\$ -	\$ -	\$ -	\$ 1,007	\$ (1,291)	\$ 239	\$ -	\$ 7,721	\$ -	\$ 6,559
Income (loss) from discontinued operations	906	2,614	3,059	3,953	-	-	-	(1,955)	-	-	8,577
Pension related changes other than net periodic pension cost	732	-	-	-	-	-	-	-	-	-	732
Transfers between related entities	19,540	(5,378)	(5,979)	(5,291)	(705)	1,415	401	1,382	(5,579)	-	(194)
Change in net assets (deficit) without donor restrictions	20,061	(2,764)	(2,920)	(1,338)	302	124	640	(573)	2,142	-	15,674
NET ASSETS (DEFICIT) WITHOUT DONOR RESTRICTIONS, beginning of year	45,609	2,298	3,183	1,764	2,050	692	(4,361)	607	(6,309)	-	45,533
NET ASSETS (DEFICIT) WITHOUT DONOR RESTRICTIONS, end of year	\$ 65,670	\$ (466)	\$ 263	\$ 426	\$ 2,352	\$ 816	\$ (3,721)	\$ 34	\$ (4,167)	\$ -	\$ 61,207
NET ASSETS WITH DONOR RESTRICTIONS											
Contributions	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Change in net assets with donor restrictions	-	-	-	-	-	-	-	-	-	-	-
NET ASSETS WITH DONOR RESTRICTIONS, beginning of year	-	-	-	-	-	-	-	-	7	-	7
NET ASSETS WITH DONOR RESTRICTIONS, end of year	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	7	\$ -	7
CHANGE IN NET ASSETS (DEFICIT)	\$ 20,061	\$ (2,764)	\$ (2,920)	\$ (1,338)	\$ 302	\$ 124	\$ 640	\$ (573)	\$ 2,142	\$ -	\$ 15,674
NET ASSETS (DEFICIT), beginning of year	45,609	2,298	3,183	1,764	2,050	692	(4,361)	607	(6,302)	-	45,540
NET ASSETS (DEFICIT), end of year	\$ 65,670	\$ (466)	\$ 263	\$ 426	\$ 2,352	\$ 816	\$ (3,721)	\$ 34	\$ (4,160)	\$ -	\$ 61,214

Eskaton and Subsidiaries
Eskaton Properties, Inc. Consolidating Schedule – Cash Flows
Year Ended December 31, 2023
(In Thousands)

	Home Office	Eskaton Care Center Manzanita	Eskaton Care Center Fair Oaks	Eskaton Care Center Greenhaven	Eskaton Monroe Lodge	Eskaton Lodge Cameron Park	Eskaton Gold River Lodge	Eskaton Home Healthcare	Eskaton Village Carmichael	Eliminations	Eskaton Properties, Inc.
CHANGE IN NET ASSETS (DEFICIT)	\$ 20,061	\$ (2,764)	\$ (2,920)	\$ (1,338)	\$ 302	\$ 124	\$ 640	\$ (573)	\$ 2,142	\$ -	\$ 15,674
Adjustments to reconcile change in net assets (deficit) to net cash provided by (used in) operating activities:											
Depreciation	290	156	218	238	415	253	628	3	2,919	-	5,120
Amortization of deferred financing costs and premium	(29)	1	4	5	2	4	(32)	-	(3)	-	(48)
Amortization of CCRC entrance fees	-	-	-	-	-	-	-	-	(1,629)	-	(1,629)
Net realized and unrealized gain on assets limited as to use	(17)	-	-	-	-	-	(18)	-	(112)	-	(147)
Net realized and unrealized gain on investments	(5,075)	-	-	-	-	-	-	-	(555)	-	(5,630)
Pension related changes other than net periodic pension cost	(732)	-	-	-	-	-	-	-	-	-	(732)
Transfers between related entities	(19,540)	5,378	5,979	5,291	705	(1,415)	(401)	(1,382)	5,579	-	194
CCRC resales of nonrefundable contracts	-	-	-	-	-	-	-	-	1,070	-	1,070
CCRC sales of nonrefundable contracts	-	-	-	-	-	-	-	-	660	-	660
CCRC sales of refundable contracts	-	-	-	-	-	-	-	-	542	-	542
(Gain) loss on disposal of property and equipment	-	(6,549)	(9,848)	(9,688)	-	-	-	-	(28)	-	(26,113)
Change in operating assets and liabilities:											
Change in receivables	(2,274)	1,754	2,255	781	6	28	(21)	500	(543)	-	2,486
Change in inventories	318	51	19	45	7	6	(3)	9	37	-	489
Change in deposits and prepaid expenses	(512)	124	186	17	13	28	12	10	(41)	-	(163)
Change in other assets	(4,112)	(3)	5	45	-	-	-	-	280	-	(3,785)
Change in accounts payable	(909)	(567)	(860)	(670)	(203)	(97)	(200)	(15)	596	-	(2,925)
Change in accrued liabilities	(99)	507	(187)	(328)	1	(89)	(116)	70	163	-	(78)
Change in unfunded pension obligation	(751)	-	-	-	-	-	-	-	-	-	(751)
Change in other liabilities	(61)	67	84	59	(1)	-	(7)	-	(550)	-	(409)
Net cash provided by (used in) operating activities	(13,442)	(1,845)	(5,065)	(5,543)	1,247	(1,158)	482	(1,378)	10,527	-	(16,175)
Purchases of assets limited as to use	(888)	-	-	-	-	-	(934)	-	(2,698)	-	(4,520)
Proceeds from sale of assets limited as to use	877	-	-	-	-	-	922	-	2,633	-	4,432
Purchase of investments	(6,032)	-	-	-	-	-	-	-	(282)	-	(6,314)
Proceeds from sale of investments	7,831	-	-	-	-	-	-	-	153	-	7,984
Expenditures for property and equipment	(297)	(698)	(336)	(115)	(498)	(166)	(440)	(4)	(2,832)	-	(5,386)
Proceeds from disposal of property and equipment	-	8,317	12,958	12,958	-	-	-	-	28	-	34,261
Net cash provided by (used in) investing activities	1,491	7,619	12,622	12,843	(498)	(166)	(452)	(4)	(2,998)	-	30,457
CCRC contracts refunded	-	-	-	-	-	-	-	-	(314)	-	(314)
Change in deposits on unoccupied units	-	-	-	-	-	-	-	-	(196)	-	(196)
Principal payments on long-term debt	(434)	(450)	(1,649)	(1,968)	(44)	(91)	(428)	-	(1,411)	-	(6,475)
Net change in due to/due from related entities	14,398	(5,378)	(5,977)	(5,291)	(705)	1,415	402	1,382	(5,578)	-	(5,332)
Net cash provided by (used in) financing activities	13,964	(5,828)	(7,626)	(7,259)	(749)	1,324	(26)	1,382	(7,499)	-	(12,317)
NET INCREASE (DECREASE) IN CASH, CASH EQUIVALENTS, AND RESTRICTED CASH	2,013	(54)	(69)	41	-	-	4	-	30	-	1,965
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH, beginning of year	8,504	1	1	1	112	1	62	1	244	-	8,927
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH, end of year	\$ 10,517	\$ (53)	\$ (68)	\$ 42	\$ 112	\$ 1	\$ 66	\$ 1	\$ 274	\$ -	\$ 10,892

Eskaton and Subsidiaries
Eskaton Consolidating Schedule – Balance Sheet
December 31, 2023
(In Thousands)

	Parent	Adult Day Health Care	Live Well At Home	Eliminations	Eskaton Combined
ASSETS					
CURRENT ASSETS					
Cash and cash equivalents	\$ 47	\$ -	\$ 226	\$ -	\$ 273
Accounts receivable, net	-	-	53	-	53
Other receivables	-	-	2	-	2
Deposits and prepaid expenses	-	-	10	-	10
Total current assets	47	-	291	-	338
PROPERTY AND EQUIPMENT, net	1,263	-	67	-	1,330
OTHER ASSETS	1,284	-	-	-	1,284
	2,547	-	67	-	2,614
Total assets	<u>\$ 2,594</u>	<u>\$ -</u>	<u>\$ 358</u>	<u>\$ -</u>	<u>\$ 2,952</u>
LIABILITIES AND NET ASSETS (DEFICIT)					
CURRENT LIABILITIES					
Accounts payable	\$ -	\$ (5)	\$ 3	\$ -	\$ (2)
Accrued liabilities:					
Payroll and payroll taxes	7	-	10	-	17
Vacation	5	-	44	-	49
Due to related parties	2,415	578	1,881	-	4,874
Total current liabilities	2,427	573	1,938	-	4,938
NET ASSETS (DEFICIT):					
Net assets (deficit) without donor restrictions	167	(573)	(1,580)	-	(1,986)
Total net assets (deficit)	167	(573)	(1,580)	-	(1,986)
Total liabilities and net assets (deficit)	<u>\$ 2,594</u>	<u>\$ -</u>	<u>\$ 358</u>	<u>\$ -</u>	<u>\$ 2,952</u>

Eskaton and Subsidiaries
Eskaton Consolidating Schedule – Operations and Changes in Net Assets
(Deficit)
Year Ended December 31, 2023
(In Thousands)

	Parent	Adult Day Health Care	Live Well At Home	Eliminations	Eskaton Combined
NET ASSETS (DEFICIT) WITHOUT DONOR RESTRICTIONS					
Revenue, gains, and other support:					
Home based services	\$ -	\$ -	\$ 737	\$ -	\$ 737
Other, net	1	-	-	-	1
Total revenues, gains, and other support	1	-	737	-	738
Expenses:					
Salaries and wages	277	-	571	-	848
Employee benefits	95	-	172	-	267
Supplies	12	-	3	-	15
Purchased services	22	-	158	-	180
Utilities	2	-	4	-	6
Insurance and other	73	-	82	-	155
Depreciation	-	-	21	-	21
Total operating expenses	481	-	1,011	-	1,492
CHANGE IN NET ASSETS WITHOUT DONOR RESTRICTIONS	(480)	-	(274)	-	(754)
NET ASSETS (DEFICIT) WITHOUT DONOR RESTRICTIONS, beginning of year	647	(573)	(1,306)	-	(1,232)
NET ASSETS (DEFICIT) WITHOUT DONOR RESTRICTIONS, end of year	\$ 167	\$ (573)	\$ (1,580)	\$ -	\$ (1,986)

Eskaton and Subsidiaries
Eskaton Consolidating Schedule – Cash Flows
Year Ended December 31, 2023
(In Thousands)

	Parent	Adult Day Health Care	Live Well At Home	Eliminations	Eskaton Combined
CHANGE IN NET ASSETS (DEFICIT)	\$ (480)	\$ -	\$ (274)	\$ -	\$ (754)
Adjustments to reconcile change in net assets to net cash used in operating activities:					
Depreciation	-	-	21	-	21
Change in operating assets and liabilities:					
Change in receivables	16	-	(5)	-	11
Change in deposits and prepaid expenses	-	-	(6)	-	(6)
Change in accounts payable	(3)	-	(12)	-	(15)
Change in accrued liabilities	(2)	-	8	-	6
Net cash used in operating activities	(469)	-	(268)	-	(737)
Expenditures for property and equipment	(53)	-	-	-	(53)
Net cash used in investing activities	(53)	-	-	-	(53)
Net change in due to/due from related entities	558	-	330	-	888
Net cash provided by financing activities	558	-	330	-	888
NET INCREASE IN CASH, CASH EQUIVALENTS, AND RESTRICTED CASH	36	-	62	-	98
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH, beginning of year	11	-	164	-	175
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH, end of year	\$ 47	\$ -	\$ 226	\$ -	\$ 273

Eskaton and Subsidiaries

Supplementary Information – Social Responsibility (Unaudited)

Years Ended December 31, 2023 and 2022

Eskaton supports community charitable organizations, and other not-for-profit aging services organizations that provide services to older adults, through financial contributions to those organizations. In addition, Eskaton provides the following community service programs:

Resident Assistance Funds – Eskaton contributes funds to and solicits donations to various resident assistance funds that provide help to older adults who can no longer afford the monthly fees associated with their care and do not have sufficient family resources to cover the full cost of services. Residents are screened based on income and net assets and family resources and eligible residents are provided a monthly assistance stipend to supplement available income as necessary.

Community Outreach (formerly Telephone Reassurance Program) – Eskaton owns and operates a telephone reassurance/home visitor program. The program is provided primarily by volunteers, is free to clients, and includes daily telephone calls and/or weekly home visits to isolated older adults.

Scholarship Commitments – During 2021, Eskaton committed \$250,000 of scholarship funds to local colleges and universities to help develop a diverse workforce in the aging services industry. These scholarships are intended to help support and promote future leaders who are majoring in gerontology and nursing programs. These commitments will be paid over five years, including \$25,000 paid in 2023.

Social Responsibility Costs – The Organization considers the actual costs of charitable community organizations and aging services organization sponsorships, and actual costs, net of any reimbursement, of providing community service programs, to be social responsibility. The level of social responsibility provided for the years ended December 31 is measured as follows (dollar amounts in thousands):

	2023	2022
Community sponsorships	\$ 67	\$ 68
Aging services sponsorships	13	95
Resident Assistance Funds	877	232
Community outreach	482	485
Total	\$ 1,439	\$ 880

Community service program operating statistics:

Resident Assistance Funds:

Months of assistance	137	48
Residents assisted	15	7

Community outreach

Telephone calls	51,744	50,291
Home visits	-	474

APPENDIX C

SUMMARY OF MASTER INDENTURE AND DEEDS OF TRUST

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SUMMARY OF THE MASTER INDENTURE AND DEEDS OF TRUST

The following brief description of the Master Indenture, the First Supplemental Master Indenture, the Series 2024 Obligation and the Deeds of Trust does not purport to be comprehensive or definitive. All of such descriptions are qualified in their entirety by reference to each said document, copies of which are available for review at the offices of the Bond Trustee.

DEFINITIONS OF CERTAIN TERMS

Where used in this Summary of the Master Indenture and Deeds of Trust, capitalized terms defined in this section below have the meanings indicated. If not defined in this section below, capitalized terms used in this Summary have the meanings set forth for such terms in APPENDIX D — “SUMMARY OF BOND INDENTURE AND LOAN AGREEMENT” or the forepart of this Official Statement.

“Accountant” or “accountant” means any firm of regionally-recognized independent certified public accountants selected by the Obligated Group Representative.

“Additional Indebtedness” means any Indebtedness incurred subsequent to the execution and delivery of the Master Indenture.

“Affiliate” means a corporation, partnership, joint venture, association, limited liability company, business trust or similar entity (a) which controls, is controlled by or is under common control with, directly or indirectly, a Member; or (b) a majority of the members of the Directing Body of which are members of the Directing Body of a Member. For the purposes of this definition, “control” means with respect to: (a) a corporation having stock, the ownership, directly or indirectly, of more than 50% of the securities (as defined in Section 2(1) of the Securities Act of 1933) of any class or classes, the holders of which are ordinarily, in the absence of contingencies, entitled to elect a majority of the directors of such corporation; (b) a not for profit corporation not having stock, having the power to elect or appoint, directly or indirectly, a majority of the members of the Directing Body of such corporation; or (c) any other entity, the power to direct the management of such entity through the ownership of at least a majority of its voting securities or the right to designate or elect at least a majority of the members of its Directing Body, by contract or otherwise. For the purposes of this definition, “Directing Body” means with respect to: (a) a corporation having stock, such corporation’s board of directors and the owners, directly or indirectly, of more than 50% of the securities (as defined in Section 2(1) of the Securities Act of 1933) of any class or classes, the holders of which are ordinarily, in the absence of contingencies, entitled to elect a majority of the corporation’s directors (both of which groups shall be considered a Directing Body); (b) a not for profit corporation not having stock, such corporation’s members if the members have complete discretion to elect the corporation’s directors, or the corporation’s directors if the corporation’s members do not have such discretion; and (c) any other entity, its governing board or body. For the purposes of this definition, all references to directors and members shall be deemed to include all entities performing the function of directors or members however denominated.

“Affiliate Related Subordinated Indebtedness” means fees and other amounts due to an Affiliate of a Member for money borrowed, credit extended or services rendered, the payment of which are deferred or not yet payable at the time of calculation and which are subordinate to payments due on all Obligations issued under the Master Indenture in accordance with written agreements between such Affiliates and a Member.

“Annual Debt Service” means for each Fiscal Year the aggregate amount (without duplication) of principal and interest scheduled to become due (either by maturity or by mandatory redemption) and sinking

fund payments required to be paid in that Fiscal Year on all Long-Term Indebtedness, less any amounts on irrevocable deposit in escrow to be applied during that Fiscal Year to pay principal or interest on Long-Term Indebtedness; provided that (i) any annual fees payable in respect of a credit or liquidity facility issued to secure any series of Related Bonds, if any (other than annual fees to be paid from proceeds of a bond issue escrowed for such purpose) shall be included in the determination of Annual Debt Service; (ii) to the extent an Interest Rate Agreement has been entered into in connection with any particular Indebtedness, the actual debt service paid after the effect of payments made to or received from the provider of the Interest Rate Agreement shall be included in the determination of Annual Debt Service; (iii) all payments on Subordinated Indebtedness shall be excluded from Annual Debt Service; (iv) principal of any Indebtedness shall be excluded from the calculation of Annual Debt Service to the extent moneys are on deposit as of the date of calculation in a debt service reserve fund which requires that moneys on deposit in the debt service reserve fund be used to pay such principal in the final year of such Indebtedness; and (v) debt service for Qualifying Intermediate-Term Indebtedness shall be excluded; provided, however, if the Capital Additions financed with such Qualifying Intermediate-Term Indebtedness have not achieved Stable Occupancy within six years after the issuance of such Qualifying Intermediate-Term Indebtedness, the foregoing exclusion shall no longer apply. Whenever the term “Annual Debt Service” is used in the calculation of a Debt Service Coverage Ratio, any Guaranties shall be included only to the extent there was an actual payment on the Guaranty in such Fiscal Year.

“Authorized Representative” means, with respect to each Member, the chairperson of its Governing Body or its president, chief executive officer, chief financial officer or any other person designated an authorized representative of such Member by a Certificate of such Member signed by the chairperson of its Governing Body or its president, chief executive officer or chief financial officer and filed with the Master Trustee.

“Balloon Indebtedness” means Long-Term Indebtedness of a Member, 25% or more of the principal of which becomes due (either by maturity or mandatory redemption) during any period of 12 consecutive months, which portion of the principal is not required by the documents governing such Indebtedness to be amortized by redemption prior to such date.

“Book Value” means, when used in connection with the Property of any Member, the value of such Property, net of accumulated depreciation, as it is carried on the books of such Member and in conformity with GAAP, and when used in connection with the Property of the Obligated Group, means the aggregate of the values so determined with respect to such Property of each Member determined in such a way that no portion of such value of Property of any Member is included more than once.

“Business Day” means a day of the year which is not (a) a Saturday, Sunday or legal holiday on which banking institutions located in the city of the Corporate Trust Office are authorized by law to close or (b) a day on which the New York Stock Exchange is closed.

“Capital Addition” means any additions, improvements, extensions, alterations, relocations, enlargements, expansions, modifications or replacement of or to the Facilities.

“Cash and Liquid Investments” means all unrestricted cash and liquid investment balances, including without limitation, such amounts constituting board designated funds, whether classified as current or noncurrent assets, held by the Obligated Group for any of its corporate purposes or any reserve fund escrow created to satisfy a statutory or regulatory requirement, but excluding amounts drawn under lines of credit and amounts held by the Master Trustee, all as set forth in the most recent financial statements delivered under the Master Indenture. For purposes of calculations under the Master Indenture, (i) an unrestricted contribution from an Affiliate of a Member shall be treated as being made during the period of such calculation so long as the unrestricted contribution is made prior to the date the applicable Officer’s

Certificate is required to be delivered with respect to such calculation and (ii) any amounts on deposit in any debt service reserve held by the Master Trustee or any other debt service reserve fund created under a Related Bond Indenture or other Related Loan Document shall be excluded from the calculation of Cash and Liquid Investments for the purposes of determining the number of Days Cash on Hand of the Obligated Group.

“Certificate,” “Statement,” “Request,” “Consent” or “Order” of any Member or of the Master Trustee means, respectively, a written certificate, statement, request, consent or order signed in the name of such Member by its respective Authorized Representative, or in the name of the Master Trustee by its Responsible Officer. Any such instrument and supporting opinions or certificates, if any, may, but need not, be combined in a single instrument with any other instrument, opinion or certificate and the two or more so combined shall be read and construed as a single instrument. Each such instrument shall include supplemental statements required by the Master Indenture summarized herein under the caption “THE MASTER INDENTURE—GENERAL—Contents of Certificates and Opinions,” if and to the extent required by such section.

“Code” means the Internal Revenue Code of 1986, as in existence on date of the Master Indenture or as thereafter amended, and the regulations issued thereunder, or any successor to the Internal Revenue Code of 1986.

“Completion Indebtedness” means any Long-Term Indebtedness incurred by any Member for the purpose of financing the completion of acquiring, constructing, renovating, refurbishing, equipping or improving any project for which Long-Term Indebtedness has previously been incurred in accordance with the provisions of the Master Indenture.

“Construction Consultant” means the architects, engineers, development consultant, supervising contractors or other qualified consultant selected by the Obligated Group or any Member in connection with the acquisition, installation, improvement or construction of a project or a portion thereof for which Long-Term Indebtedness has previously been incurred in accordance with the provisions of the Master Indenture as identified in an Officer’s Certificate, delivered to the Master Trustee in connection with the issuance of Completion Indebtedness.

“Corporate Trust Office” means the office of the Master Trustee at which its designated corporate trust business is conducted as set forth in the Master Indenture; provided, however, that with respect to payments on the Obligations and any exchange, transfer, or other surrender of the Obligations, the Master Trustee’s Corporate Trust Office will mean the corporate trust operations office of the Master Trustee in Los Angeles, California or such other office or location designated by the Master Trustee by written notice.

“Corporation” means Eskaton Properties, Incorporated, a California nonprofit public benefit corporation duly organized and existing under the laws of the State of California, or any corporation which is the surviving, resulting or transferee corporation in any merger, consolidation or transfer of assets permitted under the Master Indenture.

“Current Value” means the aggregate sum of the Book Value of personal property plus the Fair Market Value of the real property.

“Days Cash on Hand” means the amount determined by dividing (1) the Cash and Liquid Investments of the Obligated Group as of a particular date by (2) the quotient derived by dividing (a) the Obligated Group’s total operating expenses (less depreciation and amortization and other non-cash items, including, without limitation, losses on refinancing of debt, non-cash termination value of Interest Rate Agreements or similar contracts) for the six- or twelve-month period ending on each Liquidity Testing Date,

as shown on the unaudited quarterly or audited financial statements delivered under the Master Indenture by (b) the number of days in such period.

“Debt Service Coverage Ratio” means, for any period of time, the ratio determined by dividing Income Available for Debt Service by Annual Debt Service.

“Debt Service Coverage Requirement” means 1.20:1.

“Deeds of Trust” means, at the time of execution and delivery of the Master Indenture, collectively, the following: (1) Deed of Trust with Assignment of Leases and Rents, Security Agreement and Fixture Filing by the Corporation, in favor of Fidelity National Title, as deed of trust trustee, for the benefit of the Master Trustee; (2) Deed of Trust with Assignment of Leases and Rents, Security Agreement and Fixture Filing by Eskaton-Grass Valley, in favor of Fidelity National Title, as deed of trust trustee, for the benefit of the Master Trustee; and (3) Deed of Trust with Assignment of Leases and Rents, Security Agreement and Fixture Filing by Eskaton-Roseville, in favor of Fidelity National Title, as deed of trust trustee, for the benefit of the Master Trustee.

“Depository Bank” means a banking institution designated in writing to the Master Trustee by the Obligated Group Representative as the location of an account constituting all or a portion of the Gross Revenue Fund pursuant to the Master Indenture.

“EMMA” means the Electronic Municipal Market Access system as described in the Securities Exchange Act of 1934, as amended by Release No. 59062, and maintained by the Municipal Securities Rulemaking Board for purposes of Rule 15c2-12, or any similar system that is acceptable to the Securities and Exchange Commission.

“Entrance Fees” means fees other than security deposits, monthly rentals or monthly service charges paid to a Member by residents or prospective residents of living units for the purpose of obtaining the right to reside in such living units or to obtain one or more parking spaces, including (1) any refundable resident deposits described in any lease, Residency Agreement or similar agreement with respect to those living units or parking spaces and (2) any membership-related fees received by a Member for independent living units at Eskaton Village Carmichael including transfer fees and the Corporation’s share of the appreciation in the value of the membership fee for any unit in excess a prior resident’s membership fee, but shall not include any such amounts held in escrow or otherwise set aside pursuant to the requirements of any such agreement or a reservation agreement prior to the occupancy of the living unit or parking space covered by such lease, Residency Agreement or similar agreement (which amounts shall be included if and when occupancy occurs).

“Environmental Laws” means all federal, state and local environmental, land use, zoning, health, chemical use, safety and sanitation laws, statutes, ordinances and codes relating to the protection of the environment or governing the use, storage, treatment, generation, transportation, processing, handling, production or disposal of Hazardous Substances and the rules, regulations, policies, guidelines, interpretations, decisions, orders and directives of federal, state and local governmental agencies and authorities with respect thereto.

“Escrow Obligations” means: (1) direct obligations of the United States of America (including obligations issued or held in book-entry form on the books of the Department of the Treasury of the United States of America) or obligations the timely payment of the principal of and interest on which are fully guaranteed by the United States of America; (2) obligations, debentures, notes or other evidence of indebtedness issued or guaranteed by any of the following: Banks for Cooperatives, Federal Intermediate Credit Banks, Federal Home Loan Bank System, Export-Import Bank of the United States, Federal

Financing Bank, Federal Land Banks, Government National Mortgage Association, Farmer's Home Administration, Small Business Administration, Federal Home Loan Mortgage Corporation or Federal Housing Administration; (3) certificates which evidence ownership of the right to the payment of the principal of and interest on obligations described in clauses (1) and (2), provided that such obligations are held in the custody of a bank or trust company in a special account separate from the general assets of such custodian; and (4) obligations the interest on which is excluded from gross income for purposes of federal income taxation pursuant to Section 103 of the Code, and the timely payment of the principal of and interest on which is fully provided for by the deposit in trust or escrow of cash or obligations described in clauses (1), (2) or (3).

"Eskaton-Grass Valley" means Eskaton Village-Grass Valley, a California nonprofit public benefit corporation.

"Eskaton-Roseville" means Eskaton Village-Roseville, a California nonprofit public benefit corporation.

"Event of Default" means any of the events described herein under the caption "THE MASTER INDENTURE—DEFAULTS AND REMEDIES—Events of Default."

"Excluded Property" means (i) any assets of "employee pension benefit plans" as defined in the Employee Retirement Income Security Act of 1974, as amended, maintained by or for the benefit of the Obligated Group; (ii) any moneys and securities held as a security deposit, or in a resident trust fund, for any resident of any Facility of a Member; and (iii) any real estate parcels a Member of the Obligated Group may hold temporarily as a convenience to its Affiliates, and the real estate described in Exhibit A to the Master Indenture, as amended as provided in the Master Indenture from time to time, and all improvements, fixtures, tangible personal property and equipment located thereon and used in connection therewith. Except where explicitly set forth in the Master Indenture, Property does not include Excluded Property.

"Extendable Indebtedness" means Indebtedness which is repayable or subject to purchase at the option of the holder thereof prior to its stated maturity, but only to the extent of money available for the repayment or purchase therefor and not more frequently than once every year.

"Facilities" means all land, leasehold interests and buildings and all fixtures and equipment (as defined in the Uniform Commercial Code or equivalent statute in effect in the state where such fixtures or equipment are located) of a Member. Facilities shall not include the land, leasehold interests, buildings, fixtures or equipment constituting Excluded Property.

"Fair Market Value," when used in connection with Property, means the fair market value of such Property as determined by either (1) an appraisal of the portion of such Property which is real property made within three years of the date of determination by a member of the American Institute of Real Estate Appraisers and by an appraisal of the portion of such Property which is not real property made within three years of the date of determination by any expert, provided that any such appraisal shall be performed by a person or firm which (a) is in fact independent, (b) does not have any direct financial interest or any material indirect financial interest in any Member and (c) is not connected with any Member as an officer, employee, promoter, underwriter, trustee, partner, director or person performing similar functions or (2) a bona fide offer for the purchase of such Property made on an arm's length basis within six months of the date of determination as established by an Officer's Certificate.

"Financing" means a borrowing pursuant to any Obligation authorized by the Master Indenture.

“First Supplemental Master Indenture” means the First Supplemental Master Trust Indenture dated as of September 1, 2024, between the Corporation, for itself and as Obligated Group Representative, on behalf of itself, and all Members, and the Master Trustee, supplementing and amending the Master Indenture, and pursuant to which the Series 2024 Obligation will be issued.

“Fiscal Year” means that period adopted by the Obligated Group Representative as its annual accounting period, initially the period from January 1 through December 31 of each year.

“Fitch” means Fitch Ratings Inc., a corporation organized and existing under the laws of the State of New York, its successors and assigns, and if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, “Fitch” shall be deemed to refer to any other nationally recognized securities rating agency designated by the Obligated Group Representative.

“GAAP” means generally accepted accounting principles as of the date of any calculation under the Master Indenture.

“Governing Body” means, when used with respect to any Member, its board of directors, board of trustees, or other board or group of individuals in which all of the powers of such Member are vested except for those powers reserved to the corporate membership thereof by the articles of incorporation or bylaws of such Member.

“Government Issuer” means any municipal corporation, political subdivision, state, territory or possession within the United States, or any constituted authority or agency or instrumentality of any of the foregoing empowered to issue obligations on behalf thereof, which obligations would constitute Related Bonds under the Master Indenture.

“Government Obligations” means (a) United States Government Obligations or (b) evidences of a direct ownership in future interest or principal payments on United States Government Obligations, which obligations are held in a custody account by a custodian pursuant to the terms of a custody agreement.

“Gross Revenue Fund” means the fund by that name established pursuant to the Master Indenture. See “THE MASTER INDENTURE—PLEDGE OF GROSS REVENUES” below.

“Gross Revenues” means all receipts, revenues, income and other money received by or on behalf of any Member of the Obligated Group from any source whatsoever, including, but not limited to, (a) revenues derived from the operation and possession of each Member’s Facilities, including without limitation, all accounts, Entrance Fees (earned and unearned), if any, monthly service fees and all other operating and non-operating revenues, (b) gifts, bequests, grants, donations and contributions, exclusive of any gifts, bequests, grants, donations or contributions to the extent specifically restricted by the donor to a particular purpose inconsistent with their use for the payment of Required Payments or for the payment of operating expenses, and (c) revenues derived from (1) condemnation proceeds, (2) any gain on the sale or other disposition of property by a Member, (3) inventory and other tangible and intangible property, (4) private and governmental health care reimbursement programs and agreements, (5) insurance proceeds, (6) contract rights and other rights now or hereafter owned by each Member, and (7) realized investment earnings; and all of the foregoing, whether now existing or hereafter coming into existence and whether now owned or leased or hereafter acquired by a Member.

“Guaranty” means all loan commitments and all obligations of any Member guaranteeing in any manner whatsoever, whether directly or indirectly, any obligation of any other Person which would, if such other Person were a Member, constitute Indebtedness.

“Hazardous Substances” means any chemical, substance or material classified or designated as hazardous, toxic or radioactive, or other similar term, and on the date of the Master Indenture or as thereafter regulated under any Environmental Law, including without limitation, asbestos, petroleum and hydrocarbon products.

“Holder” means the registered owner of any Obligation issued in registered form or the bearer of any Obligation in coupon form which is not registered or is registered to bearer.

“Income Available for Debt Service” means, with respect to the Obligated Group, as to any period of time, the excess of revenues over expenses (or, in the case of for-profit Members, net income after taxes) of the Obligated Group for such period, to which shall be added depreciation, amortization and interest, all as determined in accordance with GAAP, provided that no such determination shall include any gain or loss resulting from (a) the extinguishment of Indebtedness, (b) any disposition of capital assets not made in the ordinary course of business or any revenue of an Affiliate which is not a Member, (c) any one-time charge in connection with a development project that has been abandoned by the Obligated Group, (d) unrealized gains or losses on securities or any gain or loss resulting from changes in the valuation of Indebtedness, investment securities or any Interest Rate Agreement and any non-cash termination value of any Interest Rate Agreement, (e) the application of changes in accounting principles, (f) any other extraordinary or non-recurring losses or gains, or (g) any other non-cash revenue or expense items. For purposes of this definition, “revenues” shall include (1) resident service revenues, (2) other operating revenues, (3) non-operating revenues or contributions (other than restricted contributions, income derived from the sale or other disposition of assets not in the ordinary course of business or any gain from the extinguishment of debt or other extraordinary item or earnings which constitute funded interest or earnings on amounts which are irrevocably deposited in escrow to pay the principal of or interest on Indebtedness), and (4) Entrance Fees received minus (A) Entrance Fees amortized during such Fiscal Year, (B) Entrance Fees refunded to residents, and (C) Initial Entrance Fees received prior to the repayment of all Qualifying Intermediate-Term Indebtedness. For purposes of this definition, expenses shall not include marketing costs related to a Capital Addition.

“Indebtedness” means, for any Person, (a) all Guaranties by such Person, (b) all liabilities (exclusive of reserves such as those established for deferred taxes or litigation) recorded or required to be recorded as such on the audited financial statements of such Person in accordance with GAAP, and (c) all obligations for the payment of money incurred or assumed by such Person if incurred or assumed primarily to assure the repayment of money borrowed or credit extended, due and payable upon the occurrence of a condition precedent or upon the performance of work, possession of Property as lessee, rendering of services by others or otherwise; provided that Indebtedness shall not include Indebtedness of one Member to another Member, any Guaranty by any Member of Indebtedness of any other Member, the joint and several liability of any Member on Indebtedness issued by another Member, Interest Rate Agreements, operating leases or any obligation to repay moneys deposited by residents or others with a Member as security for or as prepayment of the cost of care or any rights of residents of life care, senior housing or similar facilities to Entrance Fees (whether amortized into income or not), endowment or similar funds deposited by or on behalf of such residents including but not limited to any deferred obligations for the refund or repayment of Entrance Fees, any rent, development, marketing, operating or other fees that have been deferred from the year in which they were originally due as a result of deferral or subordination.

“Independent Consultant” means a firm (but not an individual) which (a) is in fact independent of and has no relationship with a Member other than as provided within the scope of a consulting engagement including, but not limited to, subparagraphs (b) and (c) below, (b) does not have any direct financial interest or any material indirect financial interest in any Member or any Affiliate and (c) is not connected with any Member or any Affiliate as an officer, employee, trustee, partner, director or person performing similar functions, and designated by the Obligated Group Representative, qualified to pass upon questions relating

to the financial affairs of facilities of the type or types operated by the Obligated Group and having skill and experience in the financial affairs of such facilities it being understood that an arm's length contract with a Member for the performance of consulting, accounting, investment banking, underwriting or financial analysis or other services is not regarded as creating any such disqualifying interest or employee relationship.

"Industry Restrictions" means federal, state or other applicable governmental laws or regulations or general industry standards or general industry conditions placing restrictions and limitations on the rates, fees and charges to be fixed, charged and collected by the Members.

"Initial Entrance Fees" means Entrance Fees received upon the initial occupancy of any newly-constructed independent living units of a Member (including any such fees collected for the purpose of obtaining a parking space) not previously Occupied.

"Insurance Consultant" means a person or firm (which may be an insurance broker or agent of a Member) who is not, and no member, director, officer or employee of which is, an officer or employee of any Member or any Affiliate, designated by the Obligated Group Representative and qualified to survey risks and to recommend insurance coverage for senior living facilities, health-related facilities and services and organizations engaged in such operations.

"Interest Rate Agreement" means an interest rate exchange, hedge or similar agreement, expressly identified in an Officer's Certificate delivered to the Master Trustee as being entered into in order to hedge the interest payable on all or a portion of any Indebtedness, which agreement may include, without limitation, an interest rate swap, a forward or futures contract or an option (*e.g.*, a call, put, cap, floor or collar) and which agreement does not constitute an obligation to repay money borrowed, credit extended or the equivalent thereof. An Interest Rate Agreement shall not constitute Indebtedness under the Master Indenture; however, the actual debt service paid after the effect of payments made to or received from the provider of the Interest Rate Agreement shall be taken into account in the calculation of Annual Debt Service as provided in the definition of such term.

"Interim Indebtedness" means Long-Term Indebtedness with a final maturity sixty (60) months or less from the date of incurrence, certified in an Officer's Certificate filed with the Master Trustee to have been incurred in anticipation of refinancing with the proceeds of other Long-Term Indebtedness other than Interim Indebtedness prior to the final maturity thereof.

"Lien" means any mortgage or pledge of, or security interest in, or lien or encumbrance on, any Property, excluding Liens applicable to Property in which any Member has only a leasehold interest unless the Lien is with respect to such leasehold interest.

"Liquidity Requirement" shall have the meaning described herein under the caption "THE MASTER INDENTURE—LIQUIDITY COVENANT."

"Liquidity Testing Date" shall have the meaning described herein under the caption "THE MASTER INDENTURE—LIQUIDITY COVENANT."

"Long-Term Debt Service Coverage Ratio" means, for any period of time, the ratio determined by dividing Income Available for Debt Service by Maximum Annual Debt Service.

"Long-Term Indebtedness" means Indebtedness having an original maturity greater than one year or renewable at the option of a Member for a period greater than one year from the date of original incurrence or issuance thereof unless, by the terms of such Indebtedness, no Indebtedness is permitted to

be outstanding thereunder for a period of at least thirty (30) consecutive days during each calendar year; provided, however, that fees and other amounts due to an Affiliate of a Member for money borrowed, credit extended or services rendered, the payment of which are deferred or not yet payable at the time of calculation and which are subordinate to payments due on all Obligations issued under the Master Indenture in accordance with written agreements between such Affiliate and a Member, shall not be considered Long-Term Indebtedness.

“Master Indenture” means the Amended and Restated Master Trust Indenture, by and among the Corporation, Eskaton-Grass Valley, Eskaton-Roseville, and the Master Trustee, as executed and as it may from time to time be supplemented, modified or amended in accordance with the terms thereof.

“Master Trustee” means U.S. Bank Trust Company, National Association, a national banking association organized and existing under and by virtue of the laws of the United States of America and, subject to the limitations contained in the Master Indenture, any other corporation or association which may be co-trustee with the Master Trustee and any successor or successors to said trustee or co-trustee in the trusts created under the Master Indenture.

“Maximum Annual Debt Service” means the greatest amount of Annual Debt Service becoming due and payable in any Fiscal Year including the Fiscal Year in which the calculation is made or any subsequent Fiscal Year; provided, however, that for the purposes of computing Maximum Annual Debt Service:

(a) There shall be included in the Long-Term Indebtedness of any Member, 20% of the annual principal and interest requirements with respect to the debt of any Person subject to a Guaranty by such Member; provided that, if any Member has been required by reason of its Guaranty to make a payment in respect of another Person’s Indebtedness within the immediately preceding two Fiscal Years, all of the annual principal and interest requirements with respect to the debt subject to the Guaranty shall be included in the Long-Term Indebtedness of such Member.

(b) For any Long-Term Indebtedness for which a binding commitment, letter of credit or other credit arrangement providing for the extension of such Indebtedness beyond its original maturity date exists, the computation of Maximum Annual Debt Service shall, at the option of the Obligated Group Representative, be made on the assumption that such Long-Term Indebtedness will be amortized in accordance with such credit arrangement.

(c) For any Balloon Indebtedness, Put Indebtedness and Interim Indebtedness, the computation of Maximum Annual Debt Service shall, at the option of the Obligated Group Representative, assume that such Long-Term Indebtedness is to be amortized over a period specified by the Obligated Group Representative up to thirty (30) years in duration, beginning on the date of issuance or such earlier date as may be specified by the Obligated Group Representative, assuming level debt service, and a rate of interest equal to the Projected Rate; provided, however, that if the Projected Rate cannot be determined, the rate shall be assumed to be a fixed rate of interest equal to the most recently published MMD Index (or a similar index) plus 100 basis points (1.0%) per annum (or a spread provided by an Independent Consultant which spread will result in an interest rate that is reasonably comparable in the view of the Independent Consultant to the current market rate for other similar indebtedness).

(d) For any Extendable Indebtedness, the computation of Maximum Annual Debt Service shall, at the option of the Obligated Group Representative, assume that such Extendable Indebtedness is to be amortized over the period until its stated maturity, assuming level debt service and a fixed rate of interest equal to the current rate of interest on such Extendable Indebtedness.

(e) If interest on Long-Term Indebtedness is payable pursuant to a variable interest rate formula (including Balloon Indebtedness, Put Indebtedness and Interim Indebtedness, if the Obligated Group Representative does not choose to use paragraph (c) above, and including Extendable Indebtedness, if the Obligated Group Representative does not choose to use paragraph (d) above), the interest rate on such Long-Term Indebtedness for periods when the actual interest rate cannot yet be determined shall be assumed to be a fixed rate of interest equal to, at the option of the Obligated Group Representative, (i) the rate based on any formula or index for such future period provided in the instrument for such Indebtedness determined using then current market information as of the date of computation, (ii) the actual average rate effective for the Indebtedness for the most recent 12-month period, or (iii) the most recently published average of the Securities Industry and Financial Markets Association (SIFMA) Municipal Swap Index over the preceding ten (10) years (or, if unavailable, a similar index), plus the cost of any credit enhancement fees and remarketing fees, if any.

(f) Anything in the Master Indenture to the contrary notwithstanding, any portion of any Indebtedness of any Member for which an Interest Rate Agreement has been obtained by such Member shall be deemed to bear interest for the period of time that such Interest Rate Agreement is in effect at a net rate which takes into account the interest payments made by such Member on such Indebtedness and the payments made or received by such Member on such Interest Rate Agreement; provided that the long-term credit rating of the provider of such Interest Rate Agreement (or any guarantor thereof) is in one of the three highest rating categories of any Rating Agency (without regard to any refinements of gradation of rating category by numerical modifier or otherwise) or is at least as high as that of the Obligated Group.

“Member” means each Person (other than the Master Trustee) that is a signatory to the Master Indenture, together with each other Person which is obligated thereunder, to the extent and in accordance with the provisions described herein under the caption “THE MASTER INDENTURE—THE OBLIGATED GROUP—Membership in the Obligated Group,” from and after the date upon which such Person joins the Obligated Group, but excluding any Person which withdraws from the Obligated Group to the extent and in accordance with the provisions described herein under the caption “THE MASTER INDENTURE—THE OBLIGATED GROUP—Withdrawal from the Obligated Group,” from and after the date of such withdrawal. As of the date of the Master Indenture, the following entities are Members: (1) the Corporation, (2) Eskaton-Grass Valley, and (3) Eskaton-Roseville.

“MMD Index” means the Municipal Market Data “AAA” scale published by Thomson Reuters for the maturity that most closely matches the Indebtedness to which the calculation relates, or if such index is no longer published, any similar index selected by the Obligated Group Representative, published in a nationally recognized financial publication.

“Moody’s” means Moody’s Investors Service, Inc., a corporation organized and existing under the laws of the State of Delaware, its successors and assigns, and, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, “Moody’s” shall be deemed to refer to any other nationally recognized securities rating agency designated by the Obligated Group Representative.

“Non-Recourse Indebtedness” means any Indebtedness the liability for which is effectively limited to Property, Plant and Equipment and the income therefrom, with no recourse, directly or indirectly, to any other Property of any Member.

“Obligated Group” means, collectively, all Members.

“Obligated Group Representative” means the Corporation or such other Member as may have been designated pursuant to written notice to the Master Trustee executed by all of the Members.

“Obligation” means any obligation of the Obligated Group issued under the Master Indenture, as a joint and several obligation of each Member, which may be in any form set forth in a Related Supplement, including, but not limited to, bonds, obligations, debentures, reimbursement agreements, loan agreements or leases. Reference to a “Series of Obligations” or to “Obligations of a Series” means Obligations or series of Obligations issued pursuant to a single Related Supplement.

“Occupied” means (a) with respect to any independent living unit, any unit for which a Residency Agreement has been executed, and the related Entrance Fee has been paid or a promissory note for such Entrance Fee has been executed in accordance with such Residency Agreement, and for which the ongoing monthly service fee is paid, or (b) with respect to any other type of unit/bed, physical possession of such unit/bed by a resident or patient (other than a resident temporarily transferred from another unit/bed within the community) for which daily/monthly fees are currently charged and paid.

“Officer’s Certificate” means a certificate signed by the Authorized Representative of the Obligated Group Representative.

“Opinion of Bond Counsel” means an opinion of nationally recognized municipal bond counsel, which opinion is accepted in the national tax-exempt capital markets as to the issuance and validity of municipal securities and as to the interest paid thereon being excluded from gross income for federal income taxation purposes.

“Opinion of Independent Counsel” means an opinion in writing signed by an attorney or firm of attorneys, duly admitted to practice law before the highest court of any state and, without limitation, may include independent legal counsel for the Obligated Group Representative.

“Outstanding” (a) when used with reference to Indebtedness, means, as of any date of determination, all Indebtedness theretofore issued or incurred and not paid and discharged other than Indebtedness deemed paid and no longer outstanding pursuant to the terms thereof, and (b) when used with reference to Obligations, means, as of any date of determination, all Obligations theretofore issued or incurred and not paid and discharged other than (i) Obligations theretofore cancelled by the Master Trustee or delivered to the Master Trustee for cancellation, (ii) Obligations in lieu of which other Obligations have been authenticated and delivered or have been paid pursuant to the provisions of a Related Supplement regarding mutilated, destroyed, lost or stolen Obligations unless proof satisfactory to the Master Trustee has been received that any such Obligation is held by a bona fide purchaser, and (iii) any Obligation held by any Member; provided, however, that if two or more obligations which constitute Indebtedness represent the same underlying obligation (as when an Obligation secures an issue of Related Bonds and another Obligation secures repayment obligations to a bank under a letter of credit which secures such Related Bonds) for purposes of the various financial covenants contained in the Master Indenture, but only for such purposes, only one of such Obligations shall be deemed Outstanding. Interest Rate Agreements shall not be deemed Outstanding as they are not deemed Indebtedness.

“Permitted Encumbrances” means:

(a) any Lien on the Property of any Member permitted under the provisions of the Master Indenture;

(b) the Deeds of Trust and any other security agreement or document securing the Master Trustee or in connection with the issuance of the Series 2024 Obligation and any other Lien on Property if such Lien equally and ratably secures all of the Obligations and only the Obligations;

(c) sale/saleback or lease/leaseback or similar arrangements in connection with the issuance of Related Bonds; and any leases, licenses or similar rights to use Property whereunder a Member is lessee, licensee or the equivalent thereof upon fair and reasonable terms no less favorable to the lessee or licensee than would be obtained in a comparable arm's-length transaction;

(d) Residency Agreements and leases, licenses or similar use agreements which relate to Property of the Obligated Group which is of a type that is customarily the subject of such leases, licenses or use agreements such as office space for physicians and educational institutions, food service facilities, gift shops, commercial, beauty shop, banking, parking for residents, other similar specialty services, pharmacy and similar departments or employee rental apartments;

(e) Liens arising by reason of good faith deposits by any Member in the ordinary course of business (for other than borrowed money), deposits by any Member to secure public or statutory obligations or deposits to secure, or in lieu of, surety, stay or appeal bonds, and deposits as security for the payment of taxes or assessments or other similar charges;

(f) any Lien arising by reason of deposits with, or the giving of any form of security to, any governmental regulation as a condition to the transaction of any business or the exercise of any privilege or license, or to enable any Member to maintain self-insurance or to participate in any funds established to cover any insurance risks or in connection with worker's compensation, unemployment insurance, pension or profit-sharing plans or other similar social security plans, or to share in the privileges or benefits required for companies participating in such arrangements;

(g) any judgment Lien against any Member so long as such judgment is being contested in good faith and execution thereon is stayed;

(h) rights reserved to or vested in any municipality or public authority by the terms of any right, power, franchise, grant, license, permit or provision of law affecting any Property, to:

(1) terminate such right, power, franchise, grant, license, or permit, provided, that the exercise of such right would not materially impair the use of such Property or materially and adversely affect the value thereof, or

(2) purchase, condemn, appropriate or recapture, or designate a purchaser of, the Property or any portion thereof;

(i) any Liens on any of the Property for taxes, assessments, levies, fees, water and sewer rents, and other governmental and similar charges (including payments in lieu of taxes) and any Liens of mechanics, materialmen, laborers, suppliers or vendors for work or services performed or materials furnished in connection with such Property, which are not due and payable or which are not delinquent or the amount or validity of which are being contested and execution thereon is stayed or, with respect to Liens of mechanics, materialmen, laborers, suppliers or vendors, have been due for less than ninety (90) days;

(j) utility access and other easements, rights-of-way, servitudes, restrictions, oil, gas, or other mineral reservations and other minor defects, encumbrances, and irregularities in the title to any of the Property which do not materially impair the use of such Property or materially and adversely affect the value thereof;

(k) rights reserved to or vested in any municipality or public authority to control or regulate any of the Property or to use such Property in any manner, which rights do not materially impair the use of

such Property or materially and adversely affect the value thereof, to the extent that it affects title to any Property;

(l) landlord's Liens;

(m) Liens on moneys deposited with any Member as security for or as prepayment for the cost of patient or resident care;

(n) Liens on Property received by any Member through gifts, grants or bequests due to restrictions on such gifts, grants or bequests or the income thereon;

(o) Liens on Property due to rights of third-party payors for recoupment of amounts paid to any Member;

(p) purchase money security interest; security interest existing on any of the Property prior to the time of its acquisition through purchase, merger, consolidation or otherwise, or placed upon Property to secure a portion of the purchase price thereof; or any lessee's interest in leases required to be capitalized in accordance with GAAP;

(q) any Lien on Property existing on the date of execution thereof; provided that no such Lien (or the amount of Indebtedness secured thereby) may be increased, extended, renewed or modified to apply to any Property of any Member not subject to such Lien on such date, unless such Lien as so extended, renewed or modified otherwise qualifies as a Permitted Encumbrance thereunder;

(r) Liens on funds or securities posted in a collateral account held by a counterparty to an Interest Rate Agreement, or by a third party custodian therefor;

(s) Liens on Excluded Property;

(t) such Liens, defects, irregularities of title and encroachments on adjoining property as normally exist with respect to property in similar character to the Property involved and which do not materially adversely affect the value of, or materially impair, the Property affected thereby for the purpose for which it was acquired or is held by the owner thereof, including without limitation statutory liens granted to banks or other financial institutions, which liens have not been specifically granted to secure Indebtedness and which do not apply to Property which has been deposited as part of a plan to secure Indebtedness; and

(u) such Liens, covenants, conditions and restrictions, if any, which do not secure Indebtedness and which are other than those of the type referred to above, which (i) in the case of Property owned by the Obligated Group on the date of execution of the Master Indenture, do not and will not, so far as can reasonably be foreseen, materially adversely affect the value of the Property currently affected thereby or materially impair the same, and (ii) in the case of any other Property, do not materially impair or materially interfere with the operation or usefulness thereof for the purpose for which such Property was acquired or is held by a Member.

"Person" means any natural person, firm, joint venture, association, partnership, business trust, corporation, limited liability company, public body, agency or political subdivision thereof or any other similar entity.

"Projected Rate" means the projected yield at par of an obligation as set forth in the report of an Independent Consultant. Such report shall state, at the option of the Obligated Group Representative,

(a) that in determining the Projected Rate such Independent Consultant reviewed the yield evaluations at par of no fewer than three obligations selected by such Independent Consultant, the interest on which is entitled to the exemption from federal income tax afforded by Section 103(a) of the Code or any successor thereto (or, if it is not expected that it will be reasonably possible to issue such tax-exempt obligations, then obligations the interest on which is subject to federal income taxation) which obligations such Independent Consultant states in its report are reasonable comparators for utilizing in developing such Projected Rate and which obligations: (i) were outstanding on a date selected by the Independent Consultant which date so selected occurred during the 90-day period preceding the date of the calculation utilizing the Projected Rate in question, (ii) to the extent practicable, are obligations of Persons engaged in operations similar to those of the Obligated Group and having a credit rating similar to that of the Obligated Group, (iii) are not entitled to the benefits of any credit enhancement, including without limitation any letter or line of credit or insurance policy, and (iv) to the extent practicable, have a remaining term and amortization schedule substantially the same as the obligation with respect to which such Projected Rate is being developed or (b) that such Projected Rate is based on (i) in the case of obligations the interest on which is expected to be entitled to the exemption from federal income tax afforded by Section 103(a) of the Code or any successor thereto, the MMD Index plus 1.0% per annum (or a spread provided by an Independent Consultant which spread will result in a Projected Rate that is reasonably comparable in the view of the Independent Consultant to the current market rate for other similar indebtedness) as published not more than seven Business Days prior to the calculation date, or if the MMD Index is not available, another index plus a spread which index and spread, together, are reasonably comparable in the view of the Independent Consultant to the current market rate for similar tax-exempt indebtedness or (ii) in the case of taxable indebtedness, the rate on U.S. Treasuries with a maturity as close as available to the Indebtedness for which the Projected Rate is being determined plus a spread provided by the Independent Consultant which spread will result in a Projected Rate that is reasonably comparable in the view of the Independent Consultant to the current market rate for other similar taxable indebtedness.

“Property” means any and all rights, titles and interests in and to any and all assets of the Obligated Group, whether real or personal, tangible or intangible and wherever situated, as shown on the most recent audited financial statements for the Obligated Group for the most recent Fiscal Year for which they are available; provided that Property shall not include the Excluded Property.

“Property, Plant and Equipment” means any Property of the Obligated Group which constitutes property, plant and equipment in accordance with GAAP.

“Put Indebtedness” means Long-Term Indebtedness which is (a) payable or required to be purchased or redeemed by or on behalf of the underlying obligor, at the option of the owner thereof, prior to its stated maturity date or (b) payable or required to be purchased or redeemed from the owner by or on behalf of the underlying obligor (other than at the option of the owner) prior to its stated maturity date, other than pursuant to any mandatory sinking fund or other similar fund, other than by reason of an event of taxability with respect to any Related Bond or other than by reason of acceleration upon the occurrence of an Event of Default.

“Qualifying Intermediate-Term Indebtedness” means any Indebtedness that is issued or incurred to finance the expansion of the Facilities or to finance additional Facilities which, in either case, is expected by the Obligated Group to generate Initial Entrance Fees (under Residency Agreements that require or will require deposits of a portion of the applicable Entrance Fee) in an amount not less than 100% of the principal amount of such Qualifying Intermediate-Term Indebtedness, all as certified to the Master Trustee in an Officer’s Certificate.

“Qualified Investments” means and includes, to the extent permitted by applicable law, any of the following:

- (a) Government Obligations;
- (b) debt obligations which are (i) issued by any state or political subdivision thereof or any agency or instrumentality of such state or political subdivision, and (ii) at the time of purchase, rated in one of the two highest rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise) assigned by any Rating Agency;
- (c) any bond, debenture, note, participation certificate or other similar obligation issued by a government sponsored agency (such as the Federal National Mortgage Association, the Federal Home Loan Bank System, the Federal Home Loan Mortgage Corporation or the Federal Farm Credit Bank) which is either (i) at the time of purchase, rated in one of the two highest rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise) assigned by any Rating Agency, or (ii) backed by the full faith and credit of the United States of America;
- (d) U.S. denominated deposit accounts (including but not limited to demand deposits, time deposits, other deposit products, trust funds, trust accounts, interest bearing deposits, overnight deposits and interest bearing money market accounts), certificates of deposit (including but not limited to those placed by a third party pursuant to a separate agreement with the Obligated Group Representative and the Master Trustee) and banker’s acceptances of any bank, trust company, or savings and loan association, including the Master Trustee or its affiliates, which have a rating on their short-term certificates of deposit on the date of purchase in one of the three highest short-term rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise) assigned by any Rating Agency, and which mature not more than 360 days after the date of purchase;
- (e) commercial paper which is rated at the time of purchase in one of the two highest short-term rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise) assigned by any Rating Agency, and which matures not more than 270 days after the date of purchase;
- (f) bonds, notes, debentures or other evidences of indebtedness issued or guaranteed by a corporation which are, at the time of purchase, rated by any Rating Agency in any of the three highest rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise);
- (g) investment agreements with banks that at the time such agreement is executed are rated in one of the two highest rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise) assigned by any Rating Agency or investment agreements with non-bank financial institutions, provided that (1) all of the unsecured, direct long-term debt of either the non-bank financial institution or the related guarantor of such non-bank financial institution is rated by any Rating Agency at the time such agreement is executed in one of the two highest rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise) for obligations of that nature; or (2) if such non-bank financial institution and any related guarantor have no outstanding long-term debt that is rated, all of the short-term debt of either the non-bank financial institution or the related guarantor of such non-bank financial institution is rated by any Rating Agency in one of the two highest rating categories (without regard to any refinement or gradation of the rating category by numerical modifier or otherwise) assigned to short-term indebtedness by any Rating Agency. If such non-bank financial institution and any guarantor do not have any short-term or long-term debt, but do have a rating in one of the two highest rating categories assigned by any Rating Agency (without regard to any refinement

or gradation of rating category by numerical modifier or otherwise), then investment agreements with such non-bank financial institutions will be permitted;

(h) asset-backed securities, commercial mortgage-backed securities, or mortgage-backed securities which are, at the time of purchase, rated by any Rating Agency in any of the two highest rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise);

(i) repurchase agreements with respect to and secured by Government Obligations or by obligations described in clauses (b) and (c) above, which agreements may be entered into with a bank (including without limitation a Related Bond Trustee or the Master Trustee or their affiliates), a trust company, financial services firm or a broker dealer which is a member of the Securities Investors Protection Corporation, provided that (i) the Master Trustee or a custodial agent of the Master Trustee has possession of the collateral and that the collateral is, to the knowledge of the Master Trustee (without investigation), free and clear of third party claims, (ii) a master repurchase agreement or specific written repurchase agreement governs the transaction, (iii) the collateral securities are valued no less frequently than monthly, (iv) the fair market value of the collateral securities in relation to the amount of the repurchase obligation, including principal and interest, is equal to at least 103%, and (v) such obligations must be held (as applicable) in the custody of the Master Trustee or Master Trustee's agent;

(j) investments in a money market mutual fund rated (at the time of purchase) in the highest rating category for this type of investment by any Rating Agency, including those for which the Master Trustee or a Related Bond Trustee or one of their affiliates receives and retains a fee for services provided to the fund, whether as a custodian, transfer agent, investment advisor or otherwise; and

(k) shares in any investment company, money market mutual fund, fixed income mutual fund, exchange traded fund or other collective investment fund registered under the Federal Investment Company Act of 1940, whose shares are registered under the Securities Act of 1933, and whose investments consist solely of Qualified Investments as defined in paragraphs (a) through (j) above, including money market mutual funds from which the Master Trustee, Related Bond Trustee or their affiliates derive a fee for investment advisory, custodial, transfer agency or other services to the fund.

The Master Trustee shall be entitled to assume that any investment which at the time of purchase is a Qualified Investment remains a Qualified Investment thereafter, absent receipt of written notice to the contrary.

For the purposes of this definition, obligations issued or held in the name of the Master Trustee (or in the name of a Government Issuer and payable to the Master Trustee) in book-entry form on the books of the Department of Treasury of the United States shall be deemed to be deposited with the Master Trustee, as applicable.

"Rating Agency" means Moody's, Standard & Poor's or Fitch, and their respective successors and assigns.

"Related Bond Indenture" means any indenture, trust agreement, bond resolution or other comparable instrument pursuant to which a series of Related Bonds are issued or executed and delivered.

"Related Bond Issuer" means the Government Issuer of any issue of Related Bonds, including, without limitation, the California Municipal Finance Authority.

“Related Bond Trustee” means the trustee and its successors in the trusts created under any Related Bond Indenture, and if there is no such trustee, means the Related Bond Issuer.

“Related Bonds” means any revenue bonds, certificates of participation or other obligations issued or executed and delivered by any Government Issuer, pursuant to a single Related Bond Indenture, the proceeds of which are loaned or otherwise made available to the Corporation or a Member in consideration of the execution, authentication and delivery of an Obligation or Obligations to or for the order of such Government Issuer.

“Related Loan Document” means any document or documents (including without limitation any loan agreement, lease, sublease or installment sales contract) pursuant to which any proceeds of any Related Bonds are advanced to any Member (or any Property financed or refinanced with such proceeds is loaned, leased, subleased or sold to a Member).

“Related Supplement” means an indenture supplemental to, and authorized and executed pursuant to the terms of the Master Indenture.

“Required Information Recipients” means the Master Trustee, each Related Bond Trustee, each Related Bond Issuer, and EMMA or any other nationally recognized municipal securities information repositories identified by the Securities and Exchange Commission.

“Required Payment” means any payment whether at maturity, by acceleration, upon proceeding for redemption or otherwise, required to be made by any Member under the Master Indenture, any Related Supplement, any Obligation or otherwise in connection with a Financing, including, but not limited to, the payment of principal, interest and premium and lease payments.

“Residency Agreement” means any written agreement or contract, as amended from time to time, between a Member and a resident or potential resident of a Facility giving the resident certain rights of occupancy in such Facility, including without limitation, independent living units, assisted living units, memory support units, nursing beds or specialty care beds and providing for certain services to such resident including any reservation agreement or other agreement or contract reserving rights of occupancy.

“Responsible Officer” means, with respect to the Master Trustee, the president, any vice president, any assistant vice president, senior associate, associate or any other officer or authorized signatory of the Master Trustee customarily performing functions similar to those performed by the persons above-designated or to whom any corporate trust matter is referred because of such person’s knowledge of and familiarity with the particular subject and responsible for the administration of the Master Indenture.

“Rule 15c2-12” means Rule 15c2-12 of the Securities and Exchange Commission promulgated under the Securities Exchange Act of 1934, as amended, or any subsequent rule replacing such Rule.

“Securities Act of 1933” means the Securities Act of 1933, as amended, or similar legislation subsequently enacted.

“Series 2024 Bond Indenture” means the Bond Trust Indenture, dated as of September 1, 2024, pertaining to the Series 2024 Bonds, by and between the Authority and the Series 2024 Bond Trustee.

“Series 2024 Bonds” means the California Municipal Finance Authority Revenue and Refunding Bonds (Eskaton Properties, Incorporated Obligated Group), Series 2024.

“Series 2024 Obligation” means Obligation No. 1 as defined in the First Supplemental Master Indenture.

“Short-Term Indebtedness” means all Indebtedness having an original maturity less than or equal to one year and not renewable at the option of a Member for a term greater than one year, including any Indebtedness incurred in accordance subparagraph (d) under the caption “THE MASTER INDENTURE—LIMITATIONS ON ADDITIONAL INDEBTEDNESS.”

“Stable Occupancy” means, with respect to any Capital Addition financed with Indebtedness for which the Master Trustee was furnished an Independent Consultant’s report pursuant to the Master Indenture (or, if no Independent Consultant’s report was required by the Master Indenture, an Officer’s Certificate), the percentage of Occupied units or beds in that Capital Addition at the level reflected as substantially at the sustainable capacity for which such Capital Addition was designed or “stabilized occupancy” for that Capital Addition in the Independent Consultant’s report or the Officer’s Certificate.

“Standard & Poor’s” or “S&P” means S&P Global Ratings, a corporation organized and existing under the laws of the State of New York, its successors and assigns, and, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, “Standard & Poor’s” or “S&P” shall be deemed to refer to any other nationally recognized securities rating agency designated by the Obligated Group Representative.

“Start-Up Period” shall have the meaning described herein under the caption “THE MASTER INDENTURE—RATES AND CHARGES; DEBT SERVICE COVERAGE.”

“Subordinated Indebtedness” means (i) Affiliate Related Subordinated Indebtedness, and (ii) Indebtedness incurred by a Member which by its terms is specifically subordinated with respect to any security therefor and with respect to right of payment to all Outstanding Obligations and to all other obligations of a Member not containing such subordination provisions.

“Tax-Exempt Organization” means a Person organized under the laws of the United States of America or any state thereof which is an organization described in Section 501(c)(3) of the Code and exempt from federal income taxation under Section 501(a) of the Code or corresponding provisions of federal income tax laws from time to time in effect.

“Total Operating Revenues” means the sum of total unrestricted operating revenues as shown on the consolidated or combined financial statements of the Obligated Group, determined in accordance with GAAP.

“UCC” means the Uniform Commercial Code in the form enacted in the State of California from time to time.

“United States Government Obligations” means noncallable direct obligations of, or noncallable obligations (which shall not include shares or investments in unit investment trusts or mutual funds) the timely payment of the principal of and interest on which is fully guaranteed by, the United States of America.

THE MASTER INDENTURE

GENERAL

Authorization of Obligations. Each Member under the Master Indenture authorizes to be issued from time to time Obligations or Series of Obligations, without limitation as to amount, except as provided in the Master Indenture or as may be limited by law, and subject to the terms, conditions and limitations established under the Master Indenture and in any Related Supplement. The issuance, authentication and delivery of any Obligations or Series of Obligations is subject to the following specific conditions:

(a) The Obligated Group Representative and the Master Trustee shall have entered into a Related Supplement providing for the terms and conditions of such Obligation(s) and the repayment thereof.

(b) The Master Trustee shall have received an Officer's Certificate to the effect that each Member is in full compliance with all warranties, covenants and agreements set forth in the Master Indenture and in any Related Supplement.

(c) The Master Trustee shall have received an Officer's Certificate to the effect that neither an Event of Default nor any event which with the passage of time or the giving of notice or both would become an Event of Default has occurred or would occur upon issuance of such Obligations or is continuing under the Master Indenture or any Related Supplement.

(d) All requirements and conditions to the issuance of such Obligation(s), if any, set forth in the Master Indenture and the Related Supplement shall have been complied with and satisfied, as set forth in an Officer's Certificate delivered to the Master Trustee.

(e) If such Obligation constitutes Additional Indebtedness, the applicable requirements of the Master Indenture described below under the caption "THE MASTER INDENTURE—LIMITATIONS ON ADDITIONAL INDEBTEDNESS" shall have been satisfied.

(f) An Opinion of Independent Counsel to the effect that registration of the Obligation(s) under the Securities Act of 1933 is not required, or, if such registration is required, that the Obligated Group has complied with all applicable provisions of said Securities Act of 1933 and that all requirements and conditions to the issuance of such Obligation(s) have been complied with and satisfied.

Contents of Certificates and Opinions. Every Certificate or opinion provided in accordance with the Master Indenture shall include (1) a statement that the Person making or giving such Certificate or opinion has read such provision and the definitions of the Master Indenture relating thereto; (2) a brief statement as to the nature and the scope of the examination or investigation upon which the Certificate or opinion is based; (3) a statement that, in the opinion of such Person, he or she has made, or caused to be made, such examination or investigation as is necessary to enable him or her to express an informed opinion with respect to the subject matter referred to in the instrument to which his or her signature is affixed; and (4) a statement as to whether, in the opinion of such Person, such provision has been complied with.

Any such Certificate or opinion made or given by an officer of a Member or the Master Trustee may be based, insofar as it relates to legal, accounting or management matters, upon a Certificate or opinion or representation of counsel, an accountant or Independent Consultant unless such officer knows, or in the exercise of reasonable care should have known, that the Certificate, opinion or representation with respect to the matters upon which such Certificate, opinion or representation may be based, as aforesaid, is erroneous. Any such Certificate, opinion or representation made or given by counsel, an accountant or an Independent Consultant may be based, insofar as it relates to factual matters (with respect to which

information is in the possession of any Member) upon the Certificate or opinion of, or representation by an officer of any Member unless such counsel, accountant or Independent Consultant knows, or in the exercise or reasonable care should have known, that the Certificate, opinion of or representation by such officer, with respect to the factual matters upon which such Person's Certificate or opinion may be based, as aforesaid, is erroneous. The same officer of any Member or the same counsel or accountant or Independent Consultant, as the case may be, need not certify as to all the matters required to be certified under any provision of the Master Indenture, but different officers, counsel, accountants or Independent Consultants may certify as to different matters, respectively.

PAYMENT OF PRINCIPAL AND INTEREST

Under the Master Indenture, each Member jointly and severally covenants and agrees to pay or cause to be paid promptly all Required Payments at the place, on the dates and in the manner provided in the Master Indenture, in any Related Supplement and in the Obligations whether at maturity, upon proceedings for redemption, by acceleration or otherwise, and that each Member shall faithfully observe and perform all of the conditions, covenants and requirements of the Master Indenture, any Related Supplement and any Obligation, and that the time of such payment and performance is of the essence concerning the obligations in the Master Indenture.

The obligation of each Member with respect to Required Payments shall not be abrogated, prejudiced or affected by:

(1) the granting of any extension, waiver or other concession given to any Member by the Master Trustee or any Holder or by any compromise, release, abandonment, variation, relinquishment or renewal of any of the rights of the Master Trustee or any Holder or anything done or omitted or neglected to be done by the Master Trustee or any Holder in exercise of the authority, power and discretion vested in them by the Master Indenture, or by any other dealing or thing which, but for this provision, might operate to abrogate, prejudice or affect such obligation;

(2) the liability of any other Member under the Master Indenture ceasing for any cause whatsoever, including the release of any such Member pursuant to the provisions of the Master Indenture or any Related Supplement from membership in the Obligated Group; or

(3) any Member's becoming incompetent or otherwise failing to become liable as, or losing eligibility to become, a Member with respect to an Obligation.

The obligation of each Member to make Required Payments is a continuing one and is to remain in effect until all Required Payments have been paid in full in accordance with Article VII of the Master Indenture. All moneys from time to time received by the Obligated Group Representative or the Master Trustee to reduce indebtedness on Obligations, whether from or on account of the Members or otherwise, shall be regarded as payments in gross without any right on the part of any one or more of the Members to claim the benefit of any moneys so received until the whole of the amounts owing on Obligations has been paid or satisfied and so that if any Member files bankruptcy, the Obligated Group Representative or the Master Trustee shall be entitled to prove up the total Indebtedness on Obligations Outstanding as to which the liability of such Member has become fixed.

Each such Obligation shall be a primary obligation and shall not be treated as ancillary to or collateral with any other obligation and shall be independent of any other security so that the Obligation of each Member shall be enforceable without first having recourse to any such security or source of payment and without first taking any steps or proceedings against any other Person. The Obligated Group Representative and the Master Trustee, and each of them, are empowered to enforce each such Obligation,

and to enforce the making of Required Payments; and each Member authorizes the Obligated Group Representative and the Master Trustee, and each of them, to enforce or refrain from enforcing any Obligation and to make any arrangement or compromise with any particular Member or Members as the Obligated Group Representative or the Master Trustee may deem appropriate, consistent with the Master Indenture and any Related Supplement, and waives in favor of the Obligated Group Representative and the Master Trustee all rights against the Obligated Group Representative, the Master Trustee and any other Member, insofar as is necessary to give effect to any of the provisions under this caption.

PLEDGE OF GROSS REVENUES

(a) Under the Master Indenture, each Member covenants and agrees that, so long as any Obligation remains Outstanding, all of the Gross Revenues of the Obligated Group shall be deposited as soon as practicable upon receipt in a fund (in one or more accounts at one or more Depository Banks) designated as the "Gross Revenue Fund" which the Members shall establish and maintain, subject to the provisions of paragraph (b) under this caption; provided, that the accounts for which a depository account control agreement is executed at the time of delivery of the Master Indenture shall be deemed to be the Gross Revenue Fund until another account(s) is designated by the Obligated Group Representative. Subject only to the provisions of the Master Indenture permitting the application thereof for the purposes and on the terms and conditions set forth therein, each Member pledges thereby, and to the extent permitted by law, grants a security interest to the Master Trustee in, the Gross Revenue Fund and the proceeds thereof and all of the Gross Revenues of the Obligated Group to secure the payment of Required Payments and the performance by the Members of their other obligations under the Master Indenture; provided, however, that each Member may create, assume or suffer to exist Permitted Encumbrances thereon. Each Member shall execute a depository account control agreement with the Master Trustee and each Depository Bank, and shall execute and deliver such other documents as may be necessary in order to perfect or maintain as perfected such security interest or give public notice thereof.

(b) Amounts in the Gross Revenue Fund may be used and withdrawn by any Member at any time for any lawful purpose, except as provided in the Master Indenture. If any Member is delinquent for more than one (1) Business Day in the payment of any Required Payment with respect to any Obligation issued pursuant to a Related Supplement, the Master Trustee shall notify the Obligated Group Representative and the Depository Bank(s) of such delinquency, and, unless such Required Payment is paid, or provision for payment is duly made in a manner satisfactory to the Master Trustee in its sole discretion, within five (5) days after receipt of such notice, the Obligated Group Representative or the appropriate Member shall cause the Depository Bank(s) to transfer the Gross Revenue Fund to the name and credit of the Master Trustee or otherwise administer the Gross Revenue Fund as provided in any deposit account control agreement or similar document. The Master Trustee shall continue to hold the Gross Revenue Fund until amounts on deposit in said fund are sufficient to pay in full, or have been used to pay in full, all Required Payments in default and all other Events of Default actually known to a Responsible Officer of the Master Trustee shall have been made good or cured to the satisfaction of the Master Trustee in its sole discretion or provision deemed by the Master Trustee in its sole discretion to be adequate shall have been made therefor, whereupon the Gross Revenue Fund (except for the Gross Revenues required to make such payments or cure such defaults) shall be returned to the name and credit of the appropriate Members. During any period that the Gross Revenue Fund is held in the name and to the credit of the Master Trustee, the Master Trustee shall use and withdraw amounts in said fund from time to time to make Required Payments as such payments become due (whether by maturity, redemption, acceleration or otherwise), and, if such amounts shall not be sufficient to pay in full all such payments due on any date, then to the payment of debt service on Obligations ratably, without any discrimination or preference, and to such other payments in the order which the Master Trustee, in its discretion, shall determine to be in the best interests of the Holders, without discrimination or preference. During any period that the Gross Revenue Fund is held in the name and to the credit of the Master Trustee, the Members shall not be entitled

to use or withdraw any of the Gross Revenues of the Obligated Group unless and to the extent that the Master Trustee at its sole discretion so directs for the payment of current or past due operating expenses of the Members; provided, however, that the Members shall be entitled to use or withdraw any amounts in the Gross Revenue Fund which do not constitute Gross Revenues of the Obligated Group. Each Member agrees under the Master Indenture to execute and deliver all instruments as may be required to implement the provisions of the Master Indenture summarized under this caption; and each Member further agrees that a failure to comply with the terms of such provisions shall cause irreparable harm to the Holders and shall entitle the Master Trustee, with or without notice, to take immediate action to compel the specific performance of the obligations of the Members as provided under this caption.

COVENANTS AS TO MAINTENANCE OF PROPERTIES, ETC.

Under the Master Indenture, each Member, respectively, covenants and agrees:

(a) That it will operate and maintain its material Property in accordance with all valid and applicable governmental laws, ordinances, approvals and regulations including, without limitation, such zoning, sanitary, pollution and safety ordinances and laws and such rules and regulations thereunder as may be binding upon it; provided, however, that no Member shall be required to comply with any law, ordinance, approval or regulation as long as it shall in good faith contest the validity thereof. Each Member, respectively, further covenants and agrees under the Master Indenture that it will maintain and operate its material Property and all engines, boilers, pumps, machinery, apparatus, fixtures, fittings and equipment of any kind in or that shall be placed in any building or structure now or thereafter at any time constituting part of its material Property in good repair, working order and condition, and that it will from time to time make or cause to be made all needful and proper replacements, repairs, renewals and improvements so that the operations of such Member will not be materially impaired.

(b) That it will pay and discharge all applicable taxes, assessments, governmental charges of any kind whatsoever, water rates, meter charges and other utility charges which may be or have been assessed or which may have become liens upon the Property and will make such payments or cause such payments to be made, respectively, in due time to prevent any delinquency thereon or any forfeiture or sale of the Property or any part thereof, and, will furnish to the Master Trustee receipts for all such payments; provided, however, that no Member shall be required to pay any tax, assessment, rate or charge as provided in the Master Indenture as long as it shall in good faith contest the validity thereof, provided that such Member shall have set aside reserves with respect thereto that, in the opinion of the Governing Body of the Obligated Group Representative, are adequate.

(c) That it will pay or otherwise satisfy and discharge all of its Obligations and Indebtedness and all demands and claims against it as and when the same become due and payable, other than any thereof (exclusive of the Obligations issued and Outstanding under the Master Indenture) whose validity, amount or collectability is being contested in good faith.

(d) That it will at all times comply with all terms, covenants and provisions of any Lien at such time existing upon its Property or any part thereof or securing any of its Indebtedness noncompliance with which would have a material adverse effect on the operations of the Obligated Group or its Property.

(e) That it will use its best efforts (as long as it is in its best interest and will not materially adversely affect the interests of the Holders) to procure and maintain all permits, licenses and other governmental approvals necessary for the operation of its Property and to maintain its qualification for participation in and payment under private insurance programs having broad application and federal, state and local governmental programs providing for payment or reimbursement for services rendered.

(f) That it will take no action or suffer any action to be taken by others which would result in the interest on any Related Bonds issued as tax-exempt bonds becoming subject to federal income taxation.

(g) A Member is permitted to contract with third parties to assist with the operation, maintenance or management of Property as contemplated by the provisions of the Master Indenture summarized under this caption, including contracting with Affiliates for such purposes.

INSURANCE

Under the Master Indenture, each Member covenants and agrees that it will keep its Property and all of its operations insured at all times and carry and maintain such insurance in amounts which are commercially feasible, customarily carried, subject to customary deductibles, and against such risks as are customarily insured against by other corporations in connection with the ownership and operation of facilities of similar character and size. For the avoidance of doubt, the term Property shall not include Excluded Property.

The Obligated Group Representative is required to employ an Insurance Consultant at least every two years to review the insurance requirements of the Members, unless the Obligated Group is self-insured, in which case an Insurance Consultant must be retained at least annually to review the insurance requirements of the Members. If the Insurance Consultant makes recommendations for the increase of any Members' insurance coverage, the Obligated Group Representative shall increase or cause to be increased such coverage in accordance with such recommendations, subject to a good faith determination of the Governing Body of the Obligated Group Representative that such recommendations, in whole or in part, are in the best interests of the Obligated Group. In lieu of maintaining insurance coverage that the Governing Body of the Obligated Group Representative deems necessary, the Members shall have the right to adopt alternative risk management programs that the Governing Body of the Obligated Group Representative determines to be reasonable and that shall not have a material adverse impact on reimbursement from third party payors; including, without limitation, the right to self-insure in whole or in part individually or in connection with other institutions, to participate in programs of captive insurance companies, to participate with other health care institutions in mutual or other cooperative insurance or other risk management programs, to participate in state or federal insurance programs, to take advantage of state or federal laws in existence on or after the date of the Master Indenture limiting medical and malpractice liability, or to establish or participate in other alternative risk management programs; all as may be approved, in writing, as reasonable and appropriate risk management by the Insurance Consultant and reviewed each year thereafter.

The Master Trustee shall not be responsible for the sufficiency of any insurance required by the Master Indenture or for the obtaining of such insurance and in all events shall be fully protected in accepting payment on account of such insurance or any adjustment, compromise or settlement of any loss agreed to by any Member. The Obligated Group Representative shall cause to be delivered to the Master Trustee on the date the Master Indenture is executed and at least biannually (annually with respect to self-insurance) thereafter, no later than 150 days following the end of the most recent Fiscal Year prior to the date the Certificate is due, an Officer's Certificate stating that the Obligated Group is in compliance with this covenant and that the insurance then being maintained by the Members is customary in the case of corporations that own and operate facilities of similar character and size. The Master Trustee may conclusively rely on such Certificate.

LIMITATIONS ON ENCUMBRANCES

Under the Master Indenture, each Member, respectively, covenants and agrees that it will not create, assume or suffer to exist any Lien upon the Gross Revenues or the Property other than Permitted

Encumbrances. Each Member, respectively, further covenants and agrees under the Master Indenture that, if such a Lien is created or assumed by any Member, it will make or cause to be made effective a provision whereby all Obligations will be secured prior to any Indebtedness or other obligation secured by such Lien. Nothing in the Master Indenture is intended to create an equitable or legal lien or interest on or in the Property other than as provided in the provisions of the Master Indenture summarized herein under “THE MASTER INDENTURE—PLEDGE OF GROSS REVENUES” with respect to Gross Revenues; provided, that the Deeds of Trust create a lien on certain Property in favor of the Master Trustee for the benefit of the Holders of the Obligations.

The paragraph above notwithstanding, a Lien on Property of any Member securing Indebtedness or an Interest Rate Agreement shall be classified a Permitted Encumbrance (as provided in clause (a) of the definition thereof) and therefore be permitted if:

(a) such Lien secures Non-Recourse Indebtedness or such lien is subordinate to any lien granted to the Master Trustee under the Master Indenture or under the Deeds of Trust; or

(b) (1) after giving effect to such Lien and all other Liens classified as Permitted Encumbrances under this subparagraph (b), the Book Value or, at the option of the Obligated Group Representative, the Current Value of the Property of the Obligated Group which is encumbered is not more than 10% of the value of all of the Property of the Obligated Group (calculated on the same basis as the value of the encumbered Property) and (2) the Obligated Group Representative delivers an Officer’s Certificate stating that the conditions described in subparagraph (a) under the caption “THE MASTER INDENTURE—LIMITATIONS ON ADDITIONAL INDEBTEDNESS” below are met for allowing the incurrence of one dollar of additional Long-Term Indebtedness.

LIMITATIONS ON ADDITIONAL INDEBTEDNESS

Under the Master Indenture, each Member, respectively, agrees that it will not incur any Additional Indebtedness except as follows:

(a) Long-Term Indebtedness, provided that:

(1) the Master Trustee receives an Officer’s Certificate certifying that the aggregate principal amount of such Long-Term Indebtedness and all other Outstanding Long-Term Indebtedness incurred pursuant to the provisions of the Master Indenture summarized in this clause (1) does not exceed 10% of the Total Operating Revenues of the Obligated Group for the most recent Fiscal Year for which audited financial statements are available immediately preceding the issuance of such Long-Term Indebtedness (provided that, to the extent Long-Term Indebtedness initially incurred pursuant to this clause subsequently complies with any other incurrence requirement, such Long-Term Indebtedness shall, at the option of the Obligated Group Representative, thereafter not be deemed to be incurred pursuant to this clause); or

(2) the Master Trustee receives an Officer’s Certificate certifying the Long-Term Debt Service Coverage Ratio, taking into account all Outstanding Long-Term Indebtedness and the Long-Term Indebtedness proposed to be incurred as if such Long-Term Indebtedness had been issued at the beginning of the most recent complete Fiscal Year for which audited financial statements are available, is not less than 1.20:1; or

(3) the Master Trustee receives:

(A) an Officer's Certificate certifying that, taking into account all Outstanding Long-Term Indebtedness but not the Long-Term Indebtedness proposed to be incurred, for the most recent Fiscal Year for which audited financial statements are available, the Long-Term Debt Service Coverage Ratio is not less than 1.20:1; and

(B) either

(i) an Officer's Certificate, accompanied by a written report of an Independent Consultant, stating the forecasted Long-Term Debt Service Coverage Ratio, taking into account the Long-Term Indebtedness proposed to be incurred, for (x) in the case of Long-Term Indebtedness to finance capital improvements, the Fiscal Year succeeding the date on which such capital improvements are expected to be in operation, or (y) in the case of Long-Term Indebtedness issued for other purposes than are described in (x), the Fiscal Year succeeding the date on which the proposed Long-Term Indebtedness is to be incurred, is not less than 1.25:1, as shown by forecasted statements of revenues and expenses for such Fiscal Year, accompanied by a statement of the relevant assumptions upon which such forecasted statements are based; or

(ii) an Officer's Certificate stating the forecasted Long-Term Debt Service Coverage Ratio, taking into account the Long-Term Indebtedness proposed to be incurred, for (x) in the case of Long-Term Indebtedness to finance capital improvements, the Fiscal Year succeeding the date on which such capital improvements are expected to be in operation, or (y) in the case of Long-Term Indebtedness issued for other purposes than are described in (x), the Fiscal Year succeeding the date on which the proposed Long-Term Indebtedness is to be incurred, is not less than 1.50:1, as shown by forecasted statements of revenues and expenses for such Fiscal Year, accompanied by a statement of the relevant assumptions upon which such forecasted statements are based; or

(4) the Master Trustee receives an Officer's Certificate, accompanied by the written report of an Independent Consultant, stating the forecasted Long-Term Debt Service Coverage Ratio, taking into account the Long-Term Indebtedness proposed to be incurred, for (A) in the case of Long-Term Indebtedness to finance capital improvements, the Fiscal Year succeeding the date on which such capital improvements are expected to be in operation or (B) in the case of Long-Term Indebtedness issued for other purposes than are described in (A), the Fiscal Year succeeding the date on which the proposed Long-Term Indebtedness is to be incurred, is not less than 1.50:1, as shown by forecasted statements of revenues and expenses for such Fiscal Year, accompanied by a statement of the relevant assumptions upon which such forecasted statements are based.

(b) Completion Indebtedness in an amount up to 10% of the principal amount of the Long-Term Indebtedness incurred for the subject project, if there is delivered to the Master Trustee: (1) a Construction Consultant's certificate to the effect that the Completion Indebtedness proposed to be incurred is (A) necessary to provide a completed and fully equipped facility of the type and scope contemplated at the time the original Long-Term Indebtedness was incurred, (B) necessary to complete the acquisition, construction and/or equipping in accordance with the general plans and specifications for such facility as originally prepared and approved in connection with the incurrence of the Long-Term Indebtedness, and (C) in an amount estimated to be sufficient, together with other identified funds of the relevant Member, to

complete the facility within the parameters described in clauses (A) and (B) above; and (2) an Officer's Certificate stating that the amount of the original Long-Term Indebtedness was expected to provide sufficient funds to complete the subject project, including an explanation outlining the reasoning for such expectation.

(c) Long-Term Indebtedness incurred for the purpose of refunding, refinancing or replacing any Outstanding Long-Term Indebtedness so as to render it no longer Outstanding if the Master Trustee receives an Officer's Certificate to the effect that Maximum Annual Debt Service, taking into account the Long-Term Indebtedness proposed to be incurred, will not be increased by more than 15% as a result of such refunding, refinancing or replacement.

(d) Qualifying Intermediate Term Indebtedness without limit if prior to the incurrence of such Qualifying Intermediate Term Indebtedness there is delivered to the Master Trustee an Officer's Certificate stating that (i) the Obligated Group projects that the principal of such Qualifying Intermediate Term Indebtedness will be paid prior to maturity solely from Initial Entrance Fees expected to be received by the Obligated Group and (ii) the Debt Service Coverage Ratio of the Obligated Group as of the most recent date for which audited financial statements were available was not less than the Debt Service Coverage Requirement.

(e) Short-Term Indebtedness, provided that: (1) such Short-Term Indebtedness is incurred in compliance with subparagraph (a) above, treating such Short-Term Indebtedness for such purposes only as if it were Long-Term Indebtedness; or (2) (A) the total amount of such Short-Term Indebtedness does not exceed 15% of Total Operating Revenues of the Obligated Group for the most recent Fiscal Year for which audited financial statements are available; and (B) in every Fiscal Year, there shall be at least a 30-day period when the balance of such Short-Term Indebtedness is reduced to an amount which shall not exceed 5% of Total Operating Revenues of the Obligated Group for the most recent Fiscal Year for which audited financial statements of the Obligated Group are available.

(f) Subordinated Indebtedness, without limitation.

(g) Balloon Indebtedness, Put Indebtedness or Interim Indebtedness provided that the conditions described in subparagraph (a) above are satisfied with respect to the incurrence of such Balloon Indebtedness, Put Indebtedness or Interim Indebtedness utilizing the assumptions specified in clause (c) of the definition of "Maximum Annual Debt Service" set forth above under the caption "DEFINITION OF CERTAIN TERMS."

(h) Extendable Indebtedness provided that the conditions described in subparagraph (a) above are satisfied with respect to the incurrence of such Extendable Indebtedness utilizing the assumptions specified in clause (d) of the definition of "Maximum Annual Debt Service" set forth above under the caption "DEFINITION OF CERTAIN TERMS."

(i) Reimbursement and other obligations arising under reimbursement agreements relating to letters of credit or similar credit facilities used to secure Indebtedness otherwise permitted under this caption.

(j) Non-Recourse Indebtedness, without limitation.

(k) Indebtedness to fund a Capital Addition if, prior to the incurrence thereof, there is delivered to the Master Trustee (i) an Officer's Certificate certifying that, taking into account all Outstanding Long-Term Indebtedness, but not the Long-Term Indebtedness proposed to be incurred, for the most recent Fiscal Year for which audited financial statements are available, the Long-Term Debt Service Coverage Ratio is

not less than 1.20:1; (ii) a written report of an Independent Consultant (prepared in accordance with industry standards) to the effect that the estimated projected Long-Term Debt Service Coverage Ratio of the Obligated Group will be not less than 1.25:1 for the first full Fiscal Year following the later of (A) the estimated completion of the Capital Addition, or (B) projected achievement of Stable Occupancy of the Capital Addition; provided that the achievement of Stable Occupancy is projected to occur no later than during the sixth full Fiscal Year following the incurrence of such Indebtedness to fund a Capital Addition; and provided further that such report shall include forecasted statements of financial position and statements of operations for such Fiscal Years and a statement of the relevant assumptions upon which such forecasted statements are based, which financial statements must indicate that sufficient revenues and cash flow could be generated to pay the operating expenses of the Obligated Group's proposed and existing facilities and the debt service on the Obligated Group's other existing Indebtedness during such Fiscal Year plus the proposed Long-Term Indebtedness, and (iii) an Officer's Certificate of the Obligated Group Representative dated the date of the incurrence of the Indebtedness to fund such Capital Addition to the effect that (A) the Obligated Group is then in compliance with all covenants in the Master Indenture and no Event of Default or event that with the passage of time or giving of notice would become an Event of Default then exists with respect to the Master Indenture, (B) the obligor has executed and delivered a guaranteed maximum price construction contract, stipulated sum construction contract or such other construction contract that establishes the complete construction cost with respect to the Capital Addition, and (C) all permits required to be obtained for the commencement of construction of the Capital Addition have been obtained or receipt of any such permit will be received prior to such commencement.

LIMITATIONS ON GUARANTIES

Under the Master Indenture, each Member covenants and agrees that it will not enter into, or become liable with respect to, any Guaranty except:

- (a) Guaranties of Indebtedness of another Member;
- (b) Guaranties of Obligations issued under the Master Indenture;
- (c) Guaranties provided that the conditions summarized in subparagraph (a) above under "LIMITATIONS ON ADDITIONAL INDEBTEDNESS" are satisfied with respect to the issuance of such Guaranty utilizing the assumptions specified in clause (a) of the definition of "Maximum Annual Debt Service" set forth above under the caption "DEFINITION OF CERTAIN TERMS;" or
- (d) Guaranties not described in subparagraphs (a), (b) and (c) above, the outstanding aggregate principal amount of which does not exceed \$25,000,000.

RATES AND CHARGES; DEBT SERVICE COVERAGE

See "CERTAIN COVENANTS OF THE OBLIGATED GROUP UNDER THE MASTER INDENTURE – RATES AND CHARGES; DEBT SERVICE COVERAGE" in the front of this Official Statement for a description of the Rate Covenant. Additional information concerning the Rate Covenant is provided below.

Notwithstanding any other provisions of the Master Indenture, in the event that any Member of the Obligated Group incurs any Additional Indebtedness for any acquisition, construction, renovation or replacement project or Capital Addition, the debt service requirements on such Additional Indebtedness, and the revenues and expenses relating to the project or Capital Addition financed in whole or in part with the proceeds of such Additional Indebtedness, shall be excluded from the calculation of the Debt Service Coverage Ratio of the Obligated Group for the purposes of complying with the provisions of the Master

Indenture summarized under this heading until the first full Fiscal Year following the later of (i) the estimated completion of the acquisition, construction, renovation or replacement project being paid for with the proceeds of such Additional Indebtedness provided that such completion occurs no later than six (6) months following the completion date for such project set forth in the Independent Consultant's report described in (1) below, or (ii) the Fiscal Year in which Stable Occupancy is achieved in the case of revenue producing facilities financed with the proceeds of such Additional Indebtedness, which Stable Occupancy shall be projected in the report of the Independent Consultant referred to in paragraph (1) below to occur no later than during the sixth full Fiscal Year following the incurrence of such Additional Indebtedness (the period commencing on the date of the incurrence of such Additional Indebtedness and ending on the later of (i) or (ii) above is hereinafter referred to as the "Start-Up Period"), if the following conditions are met:

(1) there is delivered to the Master Trustee a report or opinion of an Independent Consultant to the effect that the projected Debt Service Coverage Ratio for the first full Fiscal Year following the Start-Up Period will be not less than 1.25:1 after giving effect to the incurrence of such Additional Indebtedness and the application of the proceeds thereof; provided, however, that in the event that an Independent Consultant shall deliver a report to the Master Trustee to the effect that Industry Restrictions do not permit or by their application make it impracticable for Members to produce the required ratio, then such ratio shall be reduced to the highest practicable ratio then permitted by such laws or regulations but in no event less than 1.00:1; provided further, however, that in the event an Independent Consultant's report is not required to incur such Additional Indebtedness, the Obligated Group may deliver an Officer's Certificate to the Master Trustee in lieu of the Independent Consultant's report described in this subparagraph (1); and

(2) such Independent Consultant's report or Officer's Certificate demonstrates, or Officer's Certificate certifies, that the interest on such Additional Indebtedness and any projected start-up losses during the Start-Up Period is funded from the proceeds of Additional Indebtedness or other funds designated by the Obligated Group and continues to be available for such purposes during the Start-Up Period; and

(3) such Independent Consultant's report or Officer's Certificate demonstrates, or Officer's Certificate certifies, that no principal of such Additional Indebtedness shall be payable during the Start-Up Period, excluding any Additional Indebtedness which may become due as the result of the collection of Entrance Fees during the Start-Up Period.

If the conditions of subparagraph (2) or (3) above are not satisfied because interest is not funded through the end of the Start-Up Period or because principal is due by maturity or bond sinking fund redemption prior to the end of the Start-Up Period, the above provisions shall apply only during the portion of the Start-Up Period for which interest has been funded and no principal payments are due.

SALE, LEASE OR OTHER DISPOSITION OF PROPERTY

Under the Master Indenture, each Member agrees that it will not transfer any Property except as permitted in the provisions of the Master Indenture summarized below.

(a) Each Member may sell, lease or otherwise dispose (including without limitation any involuntary disposition) of Property (either real or personal, including cash and investments) to another Member, except that none of the Property financed with the proceeds of any Related Bonds issued as tax-exempt bonds shall be transferred by a Member to any other Member unless the Related Bond Trustee has received an Opinion of Bond Counsel to the effect that such transfer shall not adversely affect the validity of the Related Bonds or any exemption from federal income taxation to which such Related Bonds would otherwise be entitled.

(b) A Member may transfer Property, including but not limited to cash or cash equivalents, if the amount of such Property sold, leased or otherwise disposed of does not, for any consecutive 12-month period, exceed 1% of the total Book Value or the total Current Value (whichever is greater) of all Property of the Obligated Group (as shown on the most recent audited financial statements of the Obligated Group).

(c) A Member may transfer Property, including but not limited to cash or cash equivalents, to an Affiliate if the Property sold, leased or otherwise disposed of, together with transfers under subparagraph (b) above, does not, for any consecutive 12-month period, exceed 3% of the total Book Value or the total Current Value (whichever is greater) of all Property of the Obligated Group (as shown on the most recent audited financial statements of the Obligated Group) and the Debt Service Coverage Ratio was greater than 1.25:1 for the last Fiscal Year for which audited financial statements have been delivered to the Master Trustee, provided that, (i) in calculating the Debt Service Coverage Ratio for purposes of this payment, the Income Available for Debt Service will be reduced by one year's estimated interest earnings attributable to the moneys being transferred using, at the option of the Obligated Group Representative, either (A) the current budgeted investment rate, as certified in an Officer's Certificate, or (B) the actual average investment rate on the transferred funds, as certified in a report of an Independent Consultant as of the end of the last fiscal quarter for which financial statements have been delivered to the Master Trustee as required in the Master Indenture, and (ii) the Obligated Group had not less than 180 Days Cash on Hand after giving effect to the transaction. If the Debt Service Coverage Ratio as calculated above is not less than 1.25:1, then the foregoing percentage of the total Book Value or Current Value (whichever is greater) may be increased as follows under the following conditions:

(1) to 5%, if Days Cash on Hand would not be less than 250 after giving effect to such sale, lease or disposition of assets; or

(2) to 7.5%, if Days Cash on Hand would not be less than 300 after giving effect to such sale, lease or disposition of assets; or

(3) to 10%, if Days Cash on Hand would not be less than 350 after giving effect to such sale, lease or disposition of assets;

(d) A Member may transfer Property, including cash or cash equivalents, to a Person other than a Member or an Affiliate without limitation if:

(1) the transfer is:

(A) in return for other Property of equal or greater value and usefulness; or

(B) in the ordinary course of business upon fair and reasonable terms; or

(2) prior to such sale, lease or other disposition, the Member determines that such Property has, or within the next succeeding 24 calendar months is reasonably expected to, become inadequate, obsolete, worn out, unsuitable, unprofitable, undesirable or unnecessary and the sale, lease or other disposition thereof will not impair the structural soundness, efficiency or economic value of the remaining Property; or

(3) such Property consists solely of assets which are specifically restricted by the donor or grantor to a particular purpose which is inconsistent with their use for payment on the Obligations.

If any Property to be disposed of in accordance with the subparagraphs (b)-(d) above is subject to a Lien, including the Deeds of Trust, the Master Trustee shall, upon the request of the Obligated Group Representative and receipt by the Master Trustee of an Officer's Certificate demonstrating that the requirements of these provisions of the Master Indenture have been satisfied, release such Property from the Lien pursuant to the terms of any documentation creating the Lien.

Nothing in the Master Indenture shall prohibit any Member from making secured or unsecured loans provided that (1) any such loan is evidenced in writing, (2) the Obligated Group Representative reasonably expects such loan to be repaid and (3) such loan bears interest at a reasonable rate of interest as determined in good faith by the Obligated Group Representative.

LIQUIDITY COVENANT

Pursuant to the Master Indenture, the Obligated Group covenants that it will calculate the Days Cash on Hand of the Obligated Group as of June 30 and December 31 of each Fiscal Year, commencing with December 31, 2024 (each such date being a "Liquidity Testing Date"). The Obligated Group shall include such calculations in the quarterly Officer's Certificates that are delivered for the periods ending on each June 30 and December 31 pursuant to the provisions of the Master Indenture summarized below under the caption "THE MASTER INDENTURE— FILING OF FINANCIAL STATEMENTS, REPORTS AND OTHER INFORMATION."

Each Obligated Group Member is required to conduct its business so that on each Liquidity Testing Date the Obligated Group shall have no less than 120 Days Cash on Hand (the "Liquidity Requirement").

Any other provision of the Master Indenture notwithstanding, during any Start-Up Period, if the conditions in the Master Indenture are satisfied with respect to the calculation of the Debt Service Coverage Ratio of the Obligated Group, the calculation of Days Cash on Hand of the Obligated Group will exclude all interest requirements in respect of Additional Indebtedness issued for the purpose of any acquisition, construction, renovation or replacement project or Capital Addition to the extent that interest is funded with proceeds of such Additional Indebtedness, and all revenue and expense properly allocable to the independent living units included in such project or Capital Addition in accordance with GAAP.

If the amount of Days Cash on Hand as of any Liquidity Testing Date is less than the Liquidity Requirement, the Obligated Group Representative shall, within thirty (30) days after receipt of the Officer's Certificate disclosing such deficiency, deliver an Officer's Certificate to the Master Trustee setting forth in reasonable detail the reasons for such deficiency and adopting a specific plan setting forth steps to be taken designed to achieve the Liquidity Requirement for future periods.

If the Obligated Group has not raised the level of the Days Cash on Hand to the Liquidity Requirement by the next Liquidity Testing Date following delivery of the Officer's Certificate required in the preceding paragraph, the Obligated Group Representative shall, within thirty (30) days after receipt of the Officer's Certificate disclosing such deficiency, select (but not engage) an Independent Consultant to make recommendations with respect to the rates, fees and charges of the Obligated Group and the Obligated Group's methods of operation, and other factors affecting its financial condition in order to increase the Days Cash on Hand to the Liquidity Requirement for future periods. Such Independent Consultant selected as required by these provisions of the Master Indenture shall be engaged as set forth under the caption "APPROVAL OF CONSULTANTS" below. A copy of the Independent Consultant's report and recommendations, if any, shall be filed with each of the Required Information Recipients within sixty (60) days of the date such Independent Consultant is engaged as provided under the caption "APPROVAL OF CONSULTANTS" below. The Master Trustee has no duty to review, analyze, verify or determine any Member's compliance with such report and recommendations and shall retain such report and

recommendations solely as a repository for the Holders of the Obligations. Each Member of the Obligated Group shall follow each recommendation of the Independent Consultant applicable to it to the extent feasible (as determined in the reasonable judgment of the Governing Body of the Member) and permitted by law. The Obligated Group shall not be required to engage an Independent Consultant more than one time in any twelve-month period.

Notwithstanding any other provision of the Master Indenture, failure of the Obligated Group to achieve the Liquidity Requirement for any Liquidity Testing Date shall not constitute an Event of Default under the Master Indenture if the Obligated Group takes all action necessary to comply with the procedures set forth above for retaining an Independent Consultant to prepare a report and adopting a plan and follows each recommendation contained in such report to the extent feasible (as determined by the Governing Body of the Obligated Group Representative) and permitted by law.

APPROVAL OF CONSULTANTS

(a) If at any time the Members of the Obligated Group are required to engage an Independent Consultant either under the provisions of the Master Indenture summarized above under the caption “RATES AND CHARGES; DEBT SERVICE COVERAGE” or above under the caption “LIQUIDITY COVENANT”, such Independent Consultant shall be engaged in the manner set forth below.

(b) Upon selecting an Independent Consultant as required by the preceding subparagraph (a), the Obligated Group Representative will notify the Master Trustee of such selection. The Master Trustee shall, as soon as practicable but in no case longer than five (5) Business Days after receipt of notice, notify the Holders of all Obligations outstanding of such selection and the Obligated Group Representative will post a copy of such notice (or cause a copy of such notice to be posted) on EMMA. Such notice will be prepared by the Obligated Group Representative and shall (i) include the name of the Independent Consultant and a brief description of the Independent Consultant, (ii) state the reason that the Independent Consultant is to be engaged including a description of the covenant(s) of the Master Indenture that require the Independent Consultant to be engaged, and (iii) state that the Holder of the Obligation will be deemed to have consented to the selection of the Independent Consultant named in such notice unless such Obligation Holder submits an objection to the selected Independent Consultant in writing (in a manner acceptable to the Master Trustee) to the Master Trustee within thirty (30) days of the date that the notice is sent to the Obligation Holders. No later than two Business Days after the end of the 30-day objection period, the Master Trustee shall notify the Obligated Group of the number of written objections it has received. If the Holders of two-thirds (66.6%) or more in aggregate principal amount of the Outstanding Obligations have consented, or been deemed to have consented by not objecting, to the selection of the Independent Consultant, the Obligated Group Representative shall engage the Independent Consultant within five (5) days of receiving notice of that consent. If the Holders of more than one-third (33.3%) in aggregate principal amount of the Outstanding Obligations have objected to the Independent Consultant selected, the Obligated Group Representative shall select another Independent Consultant within fourteen (14) days after receiving notice of such objection, which Independent Consultant may be engaged upon compliance with the procedures of the provisions summarized under this caption.

All Independent Consultant reports required under the Master Indenture shall be prepared in accordance with then-effective industry-appropriate standards.

(c) When the Master Trustee notifies the Holders of Obligations of such selection, the Master Trustee shall also request any Related Bond Trustee to send a notice containing the information required by subparagraph (b) above to the owners of all of the Related Bonds outstanding. Such Related Bond Trustee shall, as the owner of an Obligation securing such Related Bonds, consent or object to the engagement of the Independent Consultant selected by the Obligated Group Representative in accordance

with the response of the owners of such Related Bonds. Unless contrary provision is made in the Related Bond Indenture, the owner of any Related Bond that has not submitted an objection to the Related Bond Trustee shall be deemed to have consented to the engagement of the selected Independent Consultant. If the owners of two-thirds (66.6%) or more in aggregate Outstanding principal amount of the Related Bonds have consented or been deemed to have consented to the selection of the Independent Consultant, the Related Bond Trustee shall approve the Independent Consultant within five (5) days of receiving notice of that consent. If more than one-third (33.3%) in aggregate Outstanding principal amount of the owners of the Related Bonds have objected to the Independent Consultant selected, the Related Bond Trustee shall reject the Independent Consultant within fourteen (14) days after receiving notice of such objection.

The 30-day notice period described in subparagraph (b) above may be extended by the Master Trustee in order to permit each Related Bond Trustee to give the owners of the Related Bonds thirty (30) days to respond to the notice given by the Related Bond Trustee. By acceptance of an Obligation securing any Related Bonds, the Related Bond Trustee agrees to comply with the provisions of the Master Indenture summarized under this caption.

(d) If an Independent Consultant is required to be engaged under more than one section of the Master Indenture, the requirements of those sections may (but need not be) satisfied through the engagement of a single Independent Consultant under a single engagement in lieu of multiple engagements. Any requirement for an Independent Consultant's report under the Master Indenture may be satisfied by an update of a previous Independent Consultant's report so long as the update when taken together with the previous report satisfies the requirements of the Master Indenture. With respect to the requirement to hire an Independent Consultant under any separate section of the Master Indenture, the Obligated Group shall not be required to engage an Independent Consultant more than one time in any twelve-month period.

(e) An Independent Consultant's report under one section of the Master Indenture may satisfy a requirement for an Independent Consultant's report under another section of the Master Indenture but only if the nature of the Independent Consultant and the substance of the report are sufficient to satisfy that requirement.

CONSOLIDATION, MERGER, SALE OR CONVEYANCE

Each Member agrees that it will not merge into, or consolidate with, one or more corporations which are not Members, or allow one or more of such corporations to merge into it, or sell or convey all or substantially all of its Property to any Person who is not a Member, unless the Obligated Group Representative provides the Master Trustee with an Officer's Certificate or other written evidence that:

(a) Any successor corporation to such Member (including without limitation any purchaser of all or substantially all the Property of such Member) is a Person (other than a natural person) organized and existing under the laws of the United States of America or a state thereof and shall execute and deliver to the Master Trustee an appropriate instrument containing the agreement of such successor to assume, jointly and severally, the due and punctual payment of the principal of, premium, if any, and interest on all Obligations according to their tenor and the due and punctual performance and observance of all the covenants and conditions of the Master Indenture to be kept and performed by such Member;

(b) Immediately after such merger or consolidation, or such sale or conveyance, no Member would be in default in the performance or observance of any covenant or condition of any Related Loan Document or the Master Indenture;

(c) Assuming that any Indebtedness of any successor or acquiring corporation is Indebtedness of such Member and that the revenues and expenses of the Member for such most recent Fiscal Year include

the revenues and expenses of such other corporation (1) immediately after such merger or consolidation, sale or conveyance, the Long-Term Debt Service Coverage Ratio of the Obligated Group for the most recent Fiscal Year for which financial statements that have been reported upon by independent certified public accountants are available, if calculated on a pro forma basis including the effect of such merger or consolidation, sale or conveyance, would have been not less than 1.20:1, or that such pro forma Long-Term Debt Service Coverage Ratio of the Obligated Group is not less than the Long-Term Debt Service Coverage Ratio of the Obligated Group for such Fiscal Year prior to such merger or consolidation, sale or conveyance and (2) immediately after such merger or consolidation, sale or conveyance, the Days Cash on Hand of the Obligated Group as set forth on the most recent quarterly financial statements delivered to the Master Trustee pursuant to the provisions of the Master Indenture summarized under “THE MASTER INDENTURE—FILING OF FINANCIAL STATEMENTS, REPORTS AND OTHER INFORMATION” would be not less than the Liquidity Requirement or that such calculation of Days Cash on Hand of the Obligated Group is greater than such calculation would be immediately prior to such merger or consolidation, sale or conveyance;

(d) If all amounts due or to become due on all Related Bonds have not been fully paid to the holders thereof or fully provided for, there shall be delivered to the Master Trustee an Opinion of Bond Counsel to the effect that under then existing law the consummation of such merger, consolidation, sale or conveyance would not adversely affect the validity of such Related Bonds or the exemption otherwise available from federal or state income taxation of interest payable on such Related Bonds; and

(e) If any Related Bonds were rated by a Rating Agency (based on the credit of the Obligated Group without regard to any credit enhancement) prior to such merger, consolidation, sale or conveyance, written evidence that (i) after such merger, consolidation, sale or conveyance, all Related Bonds will have a rating of at least “BBB-“ (or an equivalent rating) from at least one Rating Agency, or (ii) in the event that prior to such merger, consolidation, sale or conveyance, any Related Bonds had a credit rating below “BBB-“ (or its equivalent), the rating on such Related Bonds will not be lowered or withdrawn from the rating (taking into account any refinement or gradation of rating category by numerical modifier or otherwise, but without regard to any rating outlooks) in effect prior to the merger, consolidation, sale or conveyance.

In case of any such consolidation, merger, sale or conveyance and upon any such assumption by the successor corporation, such successor corporation shall succeed to and be substituted for its predecessor, with the same effect as if it had been named under the Master Indenture as such Member. Each successor, assignee, surviving, resulting or transferee corporation of a Member must agree to become, and satisfy the conditions of the Master Indenture summarized under “THE MASTER INDENTURE—THE OBLIGATED GROUP” to becoming, a Member of the Obligated Group prior to any such succession, assignment or other change in such Member’s corporate status. Any successor corporation to such Member thereupon may cause to be signed and may issue in its own name Obligations under the Master Indenture and the predecessor corporation shall be released from its obligations under the Master Indenture and under any Obligations, if such predecessor corporation shall have conveyed all Property owned by it (or all such Property shall be deemed conveyed by operation of law) to such successor corporation. All Obligations so issued by such successor corporation under the Master Indenture shall in all respects have the same legal rank and benefit under the Master Indenture as Obligations theretofore or thereafter issued in accordance with the terms of the Master Indenture as though all of such Obligations had been issued under the Master Indenture by such prior Member without any such consolidation, merger, sale or conveyance having occurred.

In case of any such consolidation, merger, sale or conveyance, such changes in phraseology and form (but not in substance) may be made in Obligations thereafter to be issued as may be appropriate.

The Master Trustee may rely upon an Officer's Certificate of the Obligated Group Representative or an Opinion of Independent Counsel as conclusive evidence that any such consolidation, merger, sale or conveyance, and any such assumption, complies with the provisions summarized under this caption and that it is proper for the Master Trustee under the provisions of the Master Indenture to join in the execution of any instrument required to be executed and delivered thereby.

FILING OF FINANCIAL STATEMENTS, REPORTS AND OTHER INFORMATION

(a) Under the Master Indenture, the Members covenant that they will keep or cause to be kept proper books of records and accounts in which full, true and correct entries will be made of all dealings or transactions of or in relation to the business and affairs of the Obligated Group in accordance with GAAP consistently applied except as may be disclosed in the notes to the audited financial statements referred to in subparagraph (b) below. To the extent that GAAP would require consolidation of certain financial information of entities which are not Members of the Obligated Group with financial information of one or more Members, consolidating financial statements prepared in accordance with GAAP which include information with respect to entities which are not Members of the Obligated Group may be delivered in satisfaction of the requirements summarized under this caption so long as: (1) supplemental information in sufficient detail to separately identify the information with respect to the Members of the Obligated Group is delivered to the Master Trustee with the audited financial statements; (2) such supplemental information has been subjected to the auditing procedures applied in the audit of the consolidating financial statements delivered to the Master Trustee and, in the opinion of the accountant, is fairly stated in all material respects in relation to the consolidating financial statements taken as a whole; and (3) such supplemental information is used for the purposes of the Master Indenture or for any agreement, document or certificate executed and delivered in connection or pursuant thereto.

(b) The Obligated Group Representative will furnish or cause to be furnished to the Required Information Recipients the following:

(1) Within 45 days of the end of each fiscal quarter for the first three quarters of each fiscal year and within 60 days of the end of the fourth quarter of each fiscal year, commencing with the fiscal quarter ending September 30, 2024 (A) fiscal year to date unaudited financial statements of the Obligated Group, including a statement of operations, statement of changes in net assets and a statement of cash flows of the Obligated Group during such period and a statement of financial position as of the end of each such fiscal quarter, (B) a calculation of Days Cash on Hand as of the last day of each fiscal quarter, and a calculation of the Debt Service Coverage Ratio for the fiscal quarter on a rolling twelve-month basis, (C) information with respect to occupancy and marketing/reservation levels of all of the facilities operated by the Obligated Group by level of care, and (D) an Officer's Certificate of the Obligated Group Representative stating that the Obligated Group is in compliance with all of the terms, provisions and conditions of the Master Indenture or if not, specifying all such defaults and the nature thereof, in each case prepared in reasonable detail and certified, subject to year-end adjustment, by an officer of the Obligated Group Representative.

(2) If the Debt Service Coverage Ratio of the Obligated Group for any Fiscal Year is less than 1.00:1, the Obligated Group will deliver the financial information and the calculations described in paragraph (1) above on a monthly basis, with the Debt Service Coverage Ratio calculated on a year-to-date basis each month, within 45 days of the end of each month until the Debt Service Coverage Ratio of the Obligated Group is at least 1.00:1.

(3) Within 150 days of the end of each Fiscal Year commencing with the Fiscal Year ending December 31, 2024, an annual financial report of the Obligated Group audited by a firm

of certified public accountants, including a statement of financial position as of the end of such Fiscal Year and a statement of operations, statement of changes in net assets and statement of cash flows for such Fiscal Year, showing in each case in comparative form the financial figures for the preceding Fiscal Year or a written explanation detailing the reasons that comparative financial figures cannot be prepared (the annual financial report may include combined or combining schedules as required by GAAP), together with a separate written statement of the accountants auditing such report containing (A) calculations of the Obligated Group's Debt Service Coverage Ratio for said Fiscal Year and of the Obligated Group's Days Cash on Hand as of the last day of such Fiscal Year and (B) a statement to the effect that, in connection with their audit, such accountants have obtained no knowledge that would cause them to believe the Obligated Group has failed to comply with the terms, covenants, provisions or conditions of Article III of the Master Indenture insofar as such default relates to accounting matters, or if such accountants shall have obtained knowledge of any such default, they shall disclose the default or defaults and the nature thereof in a statement to the Master Trustee which statement shall comply with any applicable reporting standards promulgated by the American Institute of Certified Public Accountants (but such accountants shall not be liable directly or indirectly to anyone for failure to obtain knowledge of any default); provided that the statement referenced in clause (B) above shall not be required if such accountants state in writing that such statement is either not permitted by, or not consistent with customary practice under, the reporting standards promulgated by the American Institute of Certified Public Accountants or the Financial Accounting Standards Board.

(4) On or before the date of delivery of the financial reports referred to in paragraph (3) above, an Officer's Certificate of the Obligated Group Representative (A) stating that the Obligated Group is in compliance with all of the terms, provisions and conditions of the Master Indenture or if not, specifying all such defaults and the nature thereof and (B) including a management's discussion and analysis of results.

(5) Within 60 days of the end of each Fiscal Year, commencing with the Fiscal Year ending December 31, 2024, the Obligated Group Representative shall deliver a summary of the operating and capital budgets for the Fiscal Year then started.

(6) At any time during the Fiscal Year, copies of any correspondence to or from the Internal Revenue Service questioning or contesting the status of a Member as an organization described in Section 501(c)(3) of the Code or with respect to the tax-exempt status of any Related Bonds the interest on which is excludable from the gross income of the owners thereof for federal income tax purposes, promptly upon receipt.

(c) The Obligated Group Representative shall furnish, or cause to be furnished to the Master Trustee or any Related Bond Trustee, such additional information as the Master Trustee or any Related Bond Trustee may reasonably request concerning any Member in order to enable the Master Trustee or such Related Bond Trustee to determine whether the covenants, terms and provisions of the Master Indenture have been complied with by the Members, and for that purpose all pertinent books, documents and vouchers relating to the business, affairs and Property (other than patient, donor and personnel records) of the Members shall, to the extent permitted by law, at all times during regular business hours, after reasonable notice unless an Event of Default has occurred and is continuing hereunder, be open to the inspection of such accountant or other agent (who may make copies of all or any part thereof) as shall from time to time be designated by the Master Trustee or such Related Bond Trustee.

(d) Under the Master Indenture, the Members also agree that, within ten (10) days after its receipt thereof, the Obligated Group Representative will file with each Required Information Recipient a copy of each Independent Consultant's final report or a summary thereof (which may be redacted to exclude

confidential competitive information) or counsel's opinion required to be prepared under the terms of the Master Indenture.

(e) The Obligated Group Representative shall give prompt written notice of a change of accountants by the Obligated Group due to the resignation of the accountants (a change of accountants in the ordinary course of business is not subject to this reporting requirement) to the Master Trustee and each Related Bond Trustee. The notice shall state (1) the effective date of such change; (2) whether there were any unresolved disagreements with the former accountants on any matter of accounting principles or practices, financial statement disclosure, or auditing scope or procedure, which the accountants claimed would have caused them to refer to the disagreement in a report on the disputed matter, if it was not resolved to their satisfaction; and (3) such additional information relating thereto as such Related Bond Trustee or the Master Trustee may reasonably request.

(f) Without limiting the foregoing, each Member will permit, upon reasonable notice, the Master Trustee or any Related Bond Trustee (or such persons as they may designate) to visit and inspect, at the expense of such Person, its Property and to discuss the affairs, finances and accounts of the Obligated Group with its officers and independent accountants, all at such reasonable times and locations and as often as the Master Trustee or the Related Bond Trustee may reasonably desire, provided that the Master Trustee or the Related Bond Trustee shall have no duty to visit or inspect.

(g) The Obligated Group Representative may designate a different Fiscal Year for the Members of the Obligated Group by delivering a notice to the Master Trustee designating the first and last day of such new Fiscal Year and whether or not there will be any interim fiscal period (the "Interim Period") of a duration of greater than or less than twelve (12) months preceding such new Fiscal Year. The Members covenant under the Master Indenture that they will furnish to the Master Trustee and each Related Bond Trustee, as soon as practicable after they are available, but in no event more than 150 days after the last day of such Interim Period, a financial report for such Interim Period certified by a firm of independent certified public accountants selected by the Obligated Group Representative covering the operations of the Obligated Group for such Interim Period and containing a combined statement of financial position as of the end of such Interim Period and a combined statement of operations, statement of changes in net assets and statement of cash flows for such Interim Period, showing in each case in comparative form the financial figures for the comparable period in the preceding Fiscal Year, together with a separate written statement of the accountants preparing such report containing (A) a calculation of the Obligated Group's Debt Service Coverage Ratio for the Interim Period and (B) a statement to the effect that, in connection with the preparation of their report, such accountants have obtained no knowledge that would cause them to believe the Obligated Group has failed to comply with the terms, covenants, provisions or conditions of Article III of the Master Indenture insofar as such default relates to accounting matters, or if such accountants shall have obtained knowledge of any such default or defaults, they shall disclose in such statement the default or defaults and the nature thereof (but such accountants shall not be liable directly or indirectly to anyone for failure to obtain knowledge of any default); provided that the statement referenced in clause (B) above shall not be required if such accountants state in writing that such statement is either not permitted by, or not consistent with customary practice under, the reporting standards promulgated by the American Institute of Certified Public Accountants or the Financial Accounting Standards Board.

(h) Notwithstanding any other provisions of the Master Indenture requiring certain financial and operating information or Independent Consultant reports to Required Information Recipients, the failure by the Obligated Group to provide such information to EMMA will not constitute an Event of Default under the Master Indenture.

THE OBLIGATED GROUP

Membership in the Obligated Group. Additional Members may be added to the Obligated Group from time to time, provided that prior to such addition, the Master Trustee receives:

(a) a copy of a resolution of the proposed new Member which authorizes the execution and delivery of the Master Indenture or a Related Supplement and compliance with the terms of the Master Indenture;

(b) a Related Supplement pursuant to which the proposed new Member: (1) agrees to become a Member; (2) agrees to be bound by the terms and restrictions imposed by the Master Indenture and Indebtedness represented by the Obligations; (3) irrevocably appoints the Obligated Group Representative as its agent and attorney-in-fact and grants to the Obligated Group Representative full power to execute Related Supplements authorizing the issuance of Obligations or Series of Obligations; and (4) designates any Property as Excluded Property pursuant to the terms of the Master Indenture;

(c) an Opinion of Independent Counsel to the proposed new Member, which opinion states that the proposed new Member has taken all necessary action to become a Member, and upon execution of a Related Supplement, such proposed new Member will be bound by the terms of the Master Indenture and to the effect that (i) the instrument described in paragraph (b) above has been duly authorized, executed and delivered and constitutes a legal, valid and binding agreement of such proposed new Member, enforceable in accordance with its terms, subject to customary exceptions for bankruptcy, insolvency and other laws generally affecting enforcement of creditors' rights and application of general principles of equity and (ii) the addition of such proposed new Member to the Obligated Group will not adversely affect the status as a Tax-Exempt Organization of any Member which otherwise has such status;

(d) an Officer's Certificate showing that the Obligated Group could issue at least one dollar of Long-Term Indebtedness under subparagraphs (a)(2), (a)(3) or (a)(4) under the caption "LIMITATIONS ON ADDITIONAL INDEBTEDNESS" above immediately following the addition of such Member to the Obligated Group; or (ii) demonstrating that an Event of Default under the Master Indenture will be cured if the new Member becomes a Member of the Obligated Group; or (iii) demonstrating (A) that the Long-Term Debt Service Coverage Ratio of the Obligated Group for each of the two most recent Fiscal Years for which audited financial statements are available would have been equal to or greater than 1.20:1 assuming entry of the new Member occurred at the beginning of the first of such two most recent Fiscal Years, and (B) that immediately after the addition of such Member to the Obligated Group, the Obligated Group would be in compliance with the provisions summarized above under the caption "LIQUIDITY COVENANT" or would have a greater number of Days Cash on Hand than immediately prior to the addition of such Member to the Obligated Group based on the most recent quarterly financial statements delivered to the Master Trustee pursuant to the provisions of the Master Indenture;

(e) an Opinion of Bond Counsel to the effect that the addition of such Member (i) under then existing law, would not adversely affect the validity of any Related Bond or any exemption from federal or state income taxation of interest payable on such Related Bond otherwise entitled to such exemption; and (ii) will not cause the Master Indenture or the Obligations issued thereunder to be subject to registration under federal securities laws or the Trust Indenture Act of 1939, as amended (or that any such registration, if required, has occurred);

(f) an Officer's Certificate to the effect that no Member, immediately after the addition of such new Member, would be in default in the performance or observance of any covenant or condition of the Master Indenture;

(g) if any Related Bonds were rated by a Rating Agency (based on the credit of the Obligated Group and without regard to any credit enhancement) prior to the proposed new Member becoming a Member of the Obligated Group, written evidence from such Rating Agency that (i) after such proposed new Member becomes a Member, all Related Bonds will have a rating of at least “BBB-“ (or an equivalent rating) from at least one Rating Agency or (ii) in the event that prior to the proposed new Member entering the Obligated Group, any Related Bonds had a credit rating below “BBB-“ (or its equivalent), the rating on such Related Bonds will not be lowered or withdrawn from the rating (taking into account any refinement or gradation of rating category by numerical modifier or otherwise, but without regard to any rating outlooks) in effect prior to the proposed new Member entering the Obligated Group; and

(h) such additional documentation as may be required by the Related Supplements.

Withdrawal From the Obligated Group. Any Member may withdraw from the Obligated Group, and be released from further liability or obligation under the provisions of the Master Indenture, provided that prior to such withdrawal, the Master Trustee receives:

(a) an Officer’s Certificate stating that immediately following withdrawal of such Member, no Member would be in default in the performance or observance of any covenant or condition of the Master Indenture;

(b) an Officer’s Certificate stating that such Member is not a party to any Related Loan Documents with respect to Related Bonds which remain Outstanding;

(c) an Officer’s Certificate (i) showing that the Obligated Group could issue at least one dollar of Long-Term Indebtedness under subparagraphs (a)(2), (a)(3) or (a)(4) under the caption “LIMITATIONS ON ADDITIONAL INDEBTEDNESS” above immediately following the withdrawal of such Member from the Obligated Group; or (ii) demonstrating that an Event of Default under the Master Indenture will be cured if the Member withdraws from the Obligated Group; or (iii) demonstrating (A) that the Long-Term Debt Service Coverage Ratio of the Obligated Group for each of the two most recent Fiscal Years for which audited financial statements are available would have been equal to or greater than 1.20:1 assuming withdrawal of such Member occurred at the beginning of the first of such two most recent Fiscal Years, and (B) that immediately after the withdrawal of such Member from the Obligated Group, the Obligated Group would be in compliance with the provisions summarized above under the caption “LIQUIDITY COVENANT” or would have a greater number of Days Cash on Hand than immediately prior to the withdrawal of such Member from the Obligated Group based on the most recently quarterly financial statements delivered to the Master Trustee pursuant to the provisions of the Master Indenture summarized under the caption “THE MASTER INDENTURE—FILING OF FINANCIAL STATEMENTS, REPORTS AND OTHER INFORMATION;”

(d) an Opinion of Bond Counsel to the effect that the withdrawal of such Member, under then existing law, would not adversely affect the validity of any Related Bond or any exemption from federal or state income taxation of interest payable on such Related Bond to which such Related Bond would otherwise be entitled;

(e) prior to such cessation there is delivered to the Master Trustee an Opinion of Independent Counsel to the effect that the cessation by such Member of its status as a Member will not adversely affect the status as a Tax-Exempt Organization of any Member which otherwise has such status; and

(f) if any Related Bonds were rated by a Rating Agency (based on the credit of the Obligated Group and without regard to any credit enhancement) prior to the Member withdrawing from the Obligated Group, evidence from such Rating Agency that (i) after such Member withdraws from the Obligated Group, all Related Bonds will have a rating of at least “BBB-“ (or an equivalent rating) from at least one Rating

Agency or (ii) in the event that prior to the Member withdrawing from the Obligated Group, any Related Bonds had a credit rating below “BBB-“ (or its equivalent), the rating on such Related Bonds will not be lowered or withdrawn from the rating (taking into account any refinement or gradation of rating category by numerical modifier or otherwise, but without regard to any rating outlooks) in effect prior to the Member withdrawing from the Obligated Group.

INSURANCE AND CONDEMNATION PROCEEDS

Subject to the next paragraph, the net proceeds of any insurance, condemnation award or sale under threat of condemnation in an amount more than \$7,000,000 or 3% of the Obligated Group’s assets (calculated on the basis of the Book Value of the assets shown on the asset side of the balance sheet in the combined financial statements of the Obligated Group for the most recent Fiscal Year next preceding the date of receipt of such insurance proceeds, condemnation award or payment in lieu of condemnation for which combined financial statements reported on by independent certified public accountants are available or, if the Obligated Group Representative so elects, on the basis of Current Value), whichever is greater, shall, at the option of the Obligated Group Representative:

(a) Be deposited with the Master Trustee in a segregated account to be created by the Master Trustee under the Master Indenture upon receipt of such proceeds from the Obligated Group Representative to apply to the prepayment or redemption of Obligations outstanding; or

(b) Be applied by the Obligated Group to repair, renovate or rebuild the facilities subject to the payment; or

(c) Be applied for any other legitimate purpose, in the sole discretion of the Obligated Group Representative; or

(d) Be applied in any combination of (a), (b) or (c) above.

Notwithstanding the foregoing, in the case of the damage or destruction of at least two-thirds (2/3) of the Book Value of the facilities of the Obligated Group as a result of fire or other casualty, any related proceeds shall be applied pursuant to the Deeds of Trust in accordance with subsection (a) or (b) above or any combination of (a) or (b). The Obligated Group Representative shall notify the Master Trustee of its chosen option via an Officer’s Certificate delivered to the Master Trustee.

Any Member may make agreements and covenants with the holder of any Indebtedness which is incurred in compliance with the provisions of the Master Indenture and which is secured by a Permitted Encumbrance with respect to the application or use to be made of insurance proceeds or condemnation awards which may be received in connection with Property which is subject to such Permitted Encumbrance.

Funds held in any account established by the Master Trustee under these provisions of the Master Indenture may be invested in Qualified Investments as directed by the Obligated Group Representative.

ADDITIONS TO EXCLUDED PROPERTY

Exhibit A to the Master Indenture (Description of Excluded Property) may be amended to include additional real property acquired by a Member subsequent to the effective date of the Master Indenture and all improvements, fixtures, tangible personal property and equipment located thereon and used in connection therewith upon the receipt by the Master Trustee of an Officer’s Certificate of such Member stating that (1) such Property is not property upon which a material or integral part of the primary operations

of any Member is conducted and (2) the total value of such Property included on Exhibit A does not exceed 10% of the total value of Property of the Obligated Group (calculated on the basis of the Book Value of the assets shown on the asset side of the balance sheet in the combined financial statements of the Obligated Group for the most recent Fiscal Year next preceding the date of such amendment to Exhibit A for which combined financial statements reported on by independent certified public accountants are available or, if the Obligated Group Representative so elects, on the basis of Current Value).

DEFAULTS AND REMEDIES

Events of Default. Each of the following events is an Event of Default under the Master Indenture:

(a) Failure on the part of the Obligated Group to make due and punctual payment of the principal of, redemption premium, if any, or interest on an Obligation.

(b) Failure of any Member to duly observe and perform any other covenant or agreement under the Master Indenture (including covenants or agreements contained in any Obligation) for a period of 60 days after the date on which written notice of such failure, requiring the same to be remedied, shall have been given to the Obligated Group Representative by the Master Trustee or to the Obligated Group Representative and the Master Trustee by the Holders of 25% in aggregate principal amount of Outstanding Obligations; provided that, if in the judgment of the Master Trustee, such default cannot with due diligence and dispatch be wholly cured so that such failure no longer constitutes an “Event of Default” under the Master Indenture within 60 days but can be wholly cured, the failure of the Member to remedy such default within such 60-day period shall not constitute an Event of Default under the Master Indenture if the Member shall immediately upon receipt of such notice commence with due diligence and dispatch the curing of such default, and, having so commenced the curing of such default shall thereafter prosecute and complete the same with due diligence and dispatch within 365 days of the date of delivery of such default notice.

(c) Default by any Member in the payment of any Indebtedness for borrowed moneys (other than an Obligation), whether such Indebtedness exists on, or shall be created after, the date of the Master Indenture, and any period of grace with respect thereto shall have expired, or an event of default, as defined in any mortgage, indenture or instrument, under which there may be secured or evidenced any Indebtedness, whether such Indebtedness exists on, or shall be created after, the date of the Master Indenture, shall occur; provided, however, that such default shall not constitute an Event of Default within the meaning of this section if within 60 days, or within the time allowed for service of a responsive pleading if any proceeding to enforce payment of the Indebtedness is commenced, (1) any Member in good faith commences proceedings to contest the existence or payment of such Indebtedness, and (2) sufficient moneys are escrowed with a bank or trust company or a bond is posted for the payment of such Indebtedness.

(d) Entry by a court having jurisdiction of a decree or order for (1) relief with respect to any Member in an involuntary case under any applicable federal or state bankruptcy, insolvency or other similar law in effect on or after the date of the Master Indenture, or (2) appointment of a receiver, liquidator, assignee, custodian, trustee, sequestrator (or similar official) for any Member or for any substantial part of the property of any Member, or (3) winding up or liquidation of its affairs, and such decree or order shall remain unstayed and in effect for a period of 60 consecutive days.

(e) Occurrence of the following actions of any Member: (1) commencement of a voluntary case under any applicable federal or state bankruptcy, insolvency or other similar law in effect on or after the date of the Master Indenture, or (2) consent to the entry of an order for relief in an involuntary case under any such law, or (3) consent to the appointment of or taking possession by a receiver, liquidator, assignee, trustee, custodian, sequestrator (or similar official) of any Member or for any substantial part of

its property, or (4) making any general assignment for the benefit of creditors, or (5) failure to generally pay its debts as they become due, or (6) taking any corporate action in furtherance of the foregoing.

(f) An event of default shall exist under any Related Bond Indenture or under the Deeds of Trust.

Acceleration; Annulment of Acceleration. Upon the occurrence and during the continuation of an Event of Default, the Master Trustee may and, upon (a) the written request of the Holders of not less than 25% in aggregate principal amount of Outstanding Obligations or of any Holder if an Event of Default under clause (a) of the section immediately above entitled “Events of Default” has occurred or (b) the acceleration of any Obligation pursuant to the terms of the Related Supplement under which such Obligation was issued, shall, by notice to the Members, declare all Outstanding Obligations immediately due and payable. Upon such declaration of acceleration, all Outstanding Obligations shall become and be immediately due and payable. If the terms of any Related Supplement give a Person the right to consent to acceleration of the Obligations issued pursuant to such Related Supplement, the Obligations issued pursuant to such Related Supplement may not be accelerated by the Master Trustee unless such consent is properly obtained pursuant to the terms of such Related Supplement. In the event of acceleration, an amount equal to the aggregate principal amount of all Outstanding Obligations, plus all interest accrued thereon and, to the extent permitted by applicable law, which accrues on such principal and interest to the date of payment, shall be due and payable on the Obligations.

At any time after the Master Trustee has declared the principal of the Obligations to be due and payable, and before the entry of final judgment or decree in any suit, action or proceeding instituted on account of an Event of Default, the Master Trustee may annul such declaration and its consequences if: (1) the Obligated Group has paid or caused to be paid (or deposited with the Master Trustee moneys sufficient to pay) all payments then due on all Outstanding Obligations (other than the principal or other payments then due only because of such declaration); (2) the Obligated Group has paid (or caused to be paid or deposited with the Master Trustee) moneys sufficient to pay the charges, compensation, expenses, disbursements, advances and liabilities of the Master Trustee and any paying agents; (3) the Obligated Group has paid all other amounts then payable by the Obligated Group under the Master Indenture (or a sum sufficient to pay the same shall have been deposited with the Master Trustee); and (4) every Event of Default (other than a default in the payment of the principal or other payments of such Obligations then due only because of such declaration) shall have been remedied.

No such annulment shall extend to or affect any subsequent Event of Default or impair any right consequent thereon.

Additional Remedies and Enforcement of Remedies. Upon the occurrence and continuance of any Event of Default, the Master Indenture provides that the Master Trustee may, and upon the request of (a) the Holders of not less than 25% in aggregate principal amount of the Obligations Outstanding, (b) any Holder which, pursuant to a Related Supplement, is given the right to require the Master Trustee to institute actions pursuant to this paragraph, or (c) any Holder if an Event of Default under clause (a) of the section above entitled “Events of Default” has occurred, shall upon the indemnification of the Master Trustee to its satisfaction therefor, proceed forthwith to protect and enforce its rights and the rights of the Holders under the Master Indenture by such suits, actions or proceedings as the Master Trustee, being advised by its counsel, shall deem expedient, including but not limited to:

(1) Enforcement of the right of the Holders to collect and enforce the payment of amounts due or becoming due under the Obligations and exercise of the Master Trustee’s rights under the Master Indenture to direct the transfer of the Gross Revenue Fund to the Master Trustee

and to hold and use the same in accordance with the provisions of the Master Indenture summarized above under the caption "PLEDGE OF GROSS REVENUES";

- (2) Suit upon all or any part of the Obligations;
- (3) Civil action to require any Person holding moneys, documents or other property pledged to secure payment of amounts due or to become due on the Obligations to account as if it were the trustee of an express trust for the Holders of Obligations;
- (4) Civil action to enjoin any acts or things, which may be unlawful or in violation of the rights of the Holders of Obligations;
- (5) Enforcement of any right or remedy provided in the Deeds of Trust; and
- (6) Enforcement of any other right or remedy of the Holders conferred under the Master Indenture or by law.

Regardless of the happening of an Event of Default, the Master Trustee shall, if requested in writing by the Holders of not less than 25% in aggregate principal amount of the Obligations then Outstanding and upon being indemnified to its satisfaction therefor, institute and maintain such suits and proceedings as it may be advised shall be necessary or expedient (A) to prevent any impairment of the security under the Master Indenture by any acts which may be unlawful or in violation thereof, or (B) to preserve or protect the interests of the Holders. However, the Master Trustee shall not comply with any such request or institute and maintain any such suits or proceedings that are in conflict with any applicable law or the provisions of the Master Indenture or that, in the sole judgment of the Master Trustee, is unduly prejudicial to the interest of the Holders of Obligations not making such request.

Nothing in the Master Indenture, including the provisions summarized below under the caption "Holders' Control of Proceedings," shall be deemed to authorize the Master Trustee to authorize or consent to or accept or adopt on behalf of any Holder any plan of reorganization, arrangement, adjustment, or composition affecting the Obligations or the rights of any Holder thereof, or to authorize the Master Trustee to vote in respect of the claim of any Holder in any such proceeding without the approval of the Holders so affected.

Notwithstanding anything contained in the Master Indenture or in the Deeds of Trust to the contrary, upon the occurrence and continuance of an Event of Default, before taking any foreclosure action or any action which may subject the Master Trustee to liability under any Environmental Law, the Master Trustee may require that a satisfactory indemnity bond, indemnity or environmental impairment insurance be furnished for the payment or reimbursement of all expenses to which it may be put and to protect it against all liability resulting from any claims, judgments, damages, losses, penalties, fines, liabilities (including strict liability) and expenses which may result from such foreclosure or other action. The term "Environmental Laws" shall mean all federal, state and local environmental, land use, zoning, health, chemical use, safety and sanitation laws, statutes, ordinances and codes relating to the protection of the environment or governing the use, storage, treatment, generation, transportation, processing, handling, production or disposal of Hazardous Substances and the rules, regulations, policies, guidelines, interpretations, decisions, orders and directives of federal, state and local governmental agencies and authorities with respect thereto. The term "Hazardous Substances" shall mean any chemical, substance or material classified or designated as hazardous, toxic or radioactive, or other similar term, and now or hereafter regulated under any Environmental Law, including without limitation, asbestos, petroleum and hydrocarbon products. The Master Trustee shall not be required to take any foreclosure action if the

approval of a government regulator shall be a condition precedent to taking such action, and such approval cannot be obtained.

Notwithstanding anything contained in the Master Indenture or in the Deeds of Trust to the contrary, the Master Trustee shall not be required to enter, take possession of, or take any other action whatsoever with respect to the failure to initiate foreclosure proceedings with respect to the property subject to the Deeds of Trust unless the Master Trustee is satisfied that the Master Trustee will not be subject to any liability under any Environmental Laws whatsoever relating to the presence, use, management, disposal or contamination by any Hazardous Substances of any kind whatsoever or is satisfactorily indemnified therefor.

Notwithstanding any provision contained in the Master Indenture, or in any Deed of Trust, Related Bond Indenture or Supplemental Master Indenture, the rights of residents under their Residency Agreements shall continue to be honored and fulfilled in accordance with their terms and provisions by the Master Trustee, Holders, receivers or any other Person exercising such remedies. Other than the obligations contained in such Residency Agreements, no signor thereof shall have any additional liabilities or duties to the Master Trustee, Holders, receivers or any other Person exercising remedies under the Master Indenture.

Application of Revenues and Other Moneys After Default. During the continuance of an Event of Default, all moneys received by the Master Trustee pursuant to any right given or action taken under the provisions of the Master Indenture, after payment of the costs and expenses of any action, proceeding or the like resulting in the collection of such moneys and payment of the fees, costs, expenses, advances and all other amounts owed to the Master Trustee, shall be applied as follows:

(a) If the Master Trustee has not declared the principal of all Outstanding Obligations due and payable:

First: To the payment of all installments of interest then due on the Obligations in the order of their due dates, and, if the amount available is not sufficient to pay in full all installments due on the same date, then to the payment thereof ratably, according to the amounts of interest due on such date, without any discrimination or preference; and

Second: To the payment of the unpaid installments of principal then due on the Obligations, whether at maturity or by call for redemption, in the order of their due dates, and, if the amount available is not sufficient to pay in full all installments due on the same date, then to the payment thereof ratably, according to the amounts of principal due on such date, to the Persons entitled thereto, without any discrimination or preference.

(b) If the Master Trustee has declared all Outstanding Obligations due and payable (and has not annulled such declaration under the terms of the Master Indenture), to the payment of the principal and interest then due and unpaid upon the Obligations and, if the amount available is not sufficient to pay in full the whole amount then due and unpaid, then to the payment thereof ratably, without preference or priority of principal over interest, of interest over principal, of any installment over any other installment, or of any Obligation over any other Obligation, according to the amounts due, without any discrimination or preference.

Such moneys shall be applied by the Master Trustee as it shall determine, having due regard for the amount of moneys available for application and the likelihood of additional moneys becoming available in the future. Whenever the Master Trustee shall apply such moneys, it shall fix the date upon which such application is to be made and upon such date interest on the amounts of principal to be paid on such dates shall cease to accrue. The Master Trustee shall give such notices as it may deem appropriate of the deposit

with it of any such moneys and of the fixing of any such date. The Master Trustee shall not be required to make payment to the Holder of any unpaid Obligation until such Obligation (and all unmatured coupons, if any) is presented to the Master Trustee for appropriate endorsement of any partial payment or for cancellation if fully paid.

Whenever all Obligations have been paid under the terms of the provisions of the Master Indenture summarized under this caption and all expenses and charges of the Master Trustee have been paid, any balance remaining shall be paid to the Person entitled to receive such balance. If no other Person shall be entitled thereto, then the balance shall be paid to the Members, their successors, or as a court of competent jurisdiction may direct.

Master Trustee to Represent Holders. Under the Master Indenture, the Master Trustee is irrevocably appointed (and the successive respective Holders of the Obligations, by taking and holding the same, shall be conclusively deemed to have so appointed the Master Trustee) as trustee and true and lawful attorney-in-fact of the Holders of the Obligations for the purpose of exercising and prosecuting on their behalf such rights and remedies as may be available to such Holders under the provisions of the Master Indenture, the Obligations, any Related Supplement, and applicable provisions of any other law. In addition to the provisions of the Master Indenture summarized above under the caption “THE MASTER INDENTURE—EVENTS OF DEFAULTS—Additional Remedies and Enforcement of Remedies,” upon the occurrence and continuance of an Event of Default or other occasion giving rise to a right in the Master Trustee to represent the Holders, the Master Trustee may, and upon the written direction of the Holders of not less than 25% in aggregate principal amount of the Obligations then Outstanding, and upon being indemnified to its satisfaction therefor, shall, proceed to protect or enforce its rights or the rights of such Holders by such appropriate action, suit, mandamus or other proceedings as it shall deem most effectual to protect and enforce any such right, at law or in equity, either for the specific performance of any covenant or agreement contained in the Master Indenture, or in aid of the execution of any power granted in the Master Indenture, or for the enforcement of any other appropriate legal or equitable right or remedy vested in the Master Trustee or in such Holders under the Master Indenture, the Obligations, any Related Supplement, or any other law; and upon instituting such proceeding, the Master Trustee shall be entitled, as a matter of right, to the appointment of a receiver of the assets pledged under the Master Indenture, pending such proceedings. All rights of action under the Master Indenture, the Obligations or Related Supplement, or otherwise may be prosecuted and enforced by the Master Trustee without the possession of any of the Obligations or the production thereof in any proceeding relating thereto, and any such suit, action or proceeding instituted by the Master Trustee shall be brought in the name of the Master Trustee for the benefit and protection of all the Holders of such Obligations, subject to the provisions of the Master Indenture.

Holders’ Control of Proceedings. If an Event of Default shall have occurred and be continuing, notwithstanding anything in the Master Indenture to the contrary, the Holders of at least a majority in aggregate principal amount of Obligations then Outstanding shall have the right, at any time, by any instrument in writing executed and delivered to the Master Trustee, to direct the method and place of conducting any proceeding to be taken in connection with the enforcement of the terms and conditions of the Master Indenture or for the appointment of a receiver or any other proceedings under the Master Indenture. However, the Master Trustee shall not follow any such direction that is in conflict with any applicable law or the provisions thereof or, in the sole judgment of the Master Trustee (which judgment the Master Trustee has no obligation to make), is unduly prejudicial to the interest of Holders not joining in such direction. Nothing in this paragraph shall impair the right of the Master Trustee in its discretion to take any other action authorized by the Master Indenture that it may deem proper and which is not inconsistent with such direction by Holders. Nothing in the Master Indenture shall affect or impair the rights of any Holder to enforce the payment of principal of, interest on and other amounts due under the

Obligation held by such Holder or any agreement or instrument secured by such Obligation, by suit or other action available pursuant thereto or in law or in equity.

Termination of Proceedings. Pursuant to the Master Indenture, in case any proceeding taken by the Master Trustee on account of an Event of Default is discontinued or abandoned for any reason or is determined adversely to the Master Trustee or to the Holders, then the Members, the Master Trustee and the Holders shall be restored to their former positions and rights thereunder, and all rights, remedies and powers of the Master Trustee and the Holders shall continue as if no such proceeding had been taken.

Waiver of Event of Default. No delay or omission of the Master Trustee or of any Holder to exercise any right or power accruing upon any Event of Default shall impair any such right or power or shall be construed to be a waiver of or acquiescence to any such Event of Default. Every power and remedy given to the Master Trustee and the Holders under the caption entitled “THE MASTER INDENTURE—DEFAULTS AND REMEDIES” may be exercised from time to time and as often as may be deemed expedient by them. The Master Trustee may waive any Event of Default under the Master Indenture which in its opinion shall have been remedied before the entry of final judgment or decree in any suit, action or proceeding instituted by it under the provisions of the Master Indenture, or before the completion of the enforcement of any other remedy thereunder. Notwithstanding anything contained in the Master Indenture to the contrary, upon the written request of the Holders of at least a majority of the aggregate principal amount of Obligations then Outstanding, the Master Trustee shall waive any Event of Default under the Master Indenture and its consequences; provided, however, that, except under the circumstances set forth in the second paragraph of “THE MASTER INDENTURE—DEFAULTS AND REMEDIES—Acceleration; Annulment of Acceleration,” a default in the payment of the principal of, premium, if any, or interest on any Obligation when due may not be waived without the written consent of the Holders of all Outstanding Obligations.

If the Master Trustee waives an Event of Default under the Master Indenture, the Members, the Master Trustee and the Holders shall be restored to their former positions and rights. No such waiver shall extend to, or impair any right with respect to any other Event of Default.

Notice of Default. Within ten days after the Master Trustee has actual knowledge or has received written notice of the occurrence of an Event of Default, the Master Trustee shall mail to all Holders notice of such Event of Default, unless such Event of Default shall have been cured before the giving of such notice, subject to conditions set forth in the Master Indenture. For the purposes of the provisions of the Master Indenture summarized in this paragraph, the term “Event of Default” is defined to be the events specified in subparagraphs (a)-(f) above under the heading “THE MASTER INDENTURE—DEFAULTS AND REMEDIES—Events of Default,” not including any periods of grace provided for in subparagraphs (b), (c) and (d) thereof, respectively, and irrespective of the giving of written notice specified in such subparagraph (b)). Except in the case of default in the payment of the principal of or premium, if any, or interest on any of the Obligations and the Events of Default specified in subparagraphs (d) and (e) under the heading “THE MASTER INDENTURE—DEFAULTS AND REMEDIES—Events of Default,” the Master Trustee shall be protected in withholding such notice if and so long as the Master Trustee in good faith determines that the withholding of such notice is in the best interests of the Holders.

RELATED BOND TRUSTEE OR BONDHOLDERS DEEMED TO BE OBLIGATION HOLDERS

For the purposes of the Master Indenture, unless a Related Bond Trustee elects to the contrary or contrary provision is made in a Related Bond Indenture, each Related Bond Trustee shall be deemed the holder of the Obligation or Obligations pledged to secure the Related Bonds with respect to which such Related Bond Trustee is acting as trustee. If such a Related Bond Trustee so elects or the Related Bond

Indenture so provides, the holders of each series of Related Bonds shall be deemed the Holders of the Obligations to the extent of the principal amount of the Obligations to which their bonds relate.

REMOVAL AND RESIGNATION OF THE MASTER TRUSTEE

The Master Trustee may be removed at any time by an instrument or instruments in writing signed by the Holders of not less than a majority of the principal amount of Obligations then Outstanding or, unless an Event of Default has occurred and is then continuing, the Obligated Group Representative.

The Master Trustee may at any time resign by giving written notice of such resignation to the Obligated Group Representative and by giving the Holders of all Obligations then Outstanding notice of such resignation by mail at the addresses shown on the registration books maintained by the Master Trustee.

No such resignation or removal shall become effective unless and until a successor Master Trustee has been appointed and has assumed the trusts created in the Master Indenture. Written notice of removal shall be given to the Members and to each Holder at the address then reflected on the books of the Master Trustee. A successor Master Trustee may be appointed at the direction of the Holders of not less than a majority in aggregate principal amount of Obligations Outstanding, or, if the Master Trustee has resigned or has been removed by the Obligated Group Representative, by the Obligated Group Representative. If a successor Master Trustee has not been appointed and qualified within 60 days of the date notice of resignation or removal is given, the Master Trustee, any Member or any Holder may apply, at the expense of the Obligated Group, to any court of competent jurisdiction for the appointment of an interim successor Master Trustee to act until such time as a permanent successor is appointed.

Unless otherwise ordered by a court or regulatory body having competent jurisdiction, or unless required by law, any successor Master Trustee shall be a trust company or bank having the powers of a trust company as to trusts, qualified to do and doing trust business in one or more states of the United States of America and having an officially reported combined capital, surplus, undivided profits and reserves (or if the Master Trustee is a subsidiary of such financial institution, the parent institution shall satisfy these requirements) aggregating at least \$50,000,000, if there is such an institution willing, qualified and able to accept the trust upon reasonable or customary terms.

Every successor Master Trustee howsoever appointed under the Master Indenture shall execute, acknowledge and deliver to its predecessor and also to each Member an instrument in writing, accepting such appointment. Upon the delivery of such acceptance, such successor Master Trustee shall, without further action, become fully vested with all the rights, immunities, powers, trusts, duties and obligations of its predecessor. The predecessor Master Trustee shall execute and deliver an instrument transferring to such successor Master Trustee all the rights, powers and trusts of such predecessor Master Trustee. The predecessor Master Trustee shall execute any and all documents necessary or appropriate to convey all interest it may have to the successor Master Trustee. The predecessor Master Trustee shall, upon payment of all amounts due it hereunder, promptly deliver all records relating to the trust or copies thereof and communicate all material information it may have obtained concerning the trust to the successor Master Trustee.

Each successor Master Trustee, not later than 10 days after its assumption of the duties under the Master Indenture, shall mail a notice of such assumption to each Holder.

SUPPLEMENTS AND AMENDMENTS

Supplements Not Requiring Consent of Holders. The Obligated Group Representative, acting for itself and as agent for each Member, and the Master Trustee may, without the consent of or notice to any

of the Holders, enter into one or more Related Supplements, one or more amendments to the Deeds of Trust or one or more amendments to any depository account control agreement for one or more of the following purposes: (a) to cure any ambiguity or formal defect or omission in the Master Indenture, in any of the Deeds of Trust or in any depository account control agreement; (b) to correct or supplement any provision of the Master Indenture, in any of the Deeds of Trust, or in any depository account control agreement which may be inconsistent with any other provision therein, or to make any other provisions with respect to matters or questions arising thereunder and which shall not materially and adversely affect the interests of the Holders. (c) to grant or confer ratably upon all of the Holders any additional rights, remedies, powers or authority, or to add to the covenants of and restrictions on the Members; (d) to qualify the Master Indenture under the Trust Indenture Act of 1939, as amended, or corresponding provisions of federal laws from time to time in effect; (e) to create and provide for the issuance of an Obligation or Series of Obligations as permitted thereunder; (f) to obligate a successor to any Member as permitted in the Master Indenture; (g) to add a new Member or have a Member withdraw as permitted in the Master Indenture; (h) to provide for the release in accordance with the provisions of the Master Indenture or of the Deeds of Trust of any Property subject to the lien of such Deeds of Trust; or (i) to amend any provision of the Master Indenture after a change in GAAP as permitted therein.

Supplements Requiring Consent of Holders.

(a) Other than Related Supplements and amendments to the Deeds or Trust or any depository account control agreement referred to under the caption above and subject to the terms and provisions and limitations contained in the Master Indenture, the Holders of not less than a majority in aggregate principal amount of the Outstanding Obligations shall have the right to consent to and approve the execution by the Obligated Group Representative, acting for itself and as agent for each Member, and the Master Trustee of such Related Supplements and amendments to the Deeds of Trust or any depository account control agreement as shall be deemed necessary and desirable for the purpose of modifying, altering, amending, adding to or rescinding, in any particular, any of the terms or provisions contained therein. No Related Supplement shall be permitted, however, which would: (1) extend the stated maturity of or time for paying interest on any Obligation or reduce the principal amount of or the redemption premium or rate of interest or method of calculating interest payable on any Obligation without the consent of the Holder of such Obligation; (2) modify, alter, amend, add to or rescind any of the terms or provisions of the Master Indenture summarized under the heading “THE MASTER INDENTURE—DEFAULTS AND REMEDIES,” so as to affect the right of the Holders of any Obligations in default as to payment to compel the Master Trustee to declare the principal of all Obligations to be due and payable, without the consent of the Holders of all Obligations then Outstanding; or (3) reduce the aggregate principal amount of Obligations then Outstanding (the consent of the Holders of which is required to authorize such Related Supplement) without the consent of the Holders of all Obligations then Outstanding.

(b) The Master Trustee may execute a Related Supplement or an amendment to the Deeds of Trust or any depository account control agreement (in substantially the form delivered to it as described below) without liability or responsibility to any Holder (whether or not such Holder has consented to the execution of such Related Supplement or amendment to the Deeds of Trust or any depository account control agreement) if the Master Trustee receives: (1) a Request of the Obligated Group Representative to enter into such Related Supplement or amendment to the Deeds of Trust or depository account control agreement; (2) a certified copy of the resolution of the Governing Body of the Obligated Group Representative approving the execution of such Related Supplement or amendment to the Deeds of Trust or depository account control agreement; (3) the proposed Related Supplement or amendment to the Deeds of Trust or depository account control agreement; and (4) an instrument or instruments executed by the Holders of not less than the aggregate principal amount or number of Obligations specified in subparagraph (a) above for the Related Supplement or amendment to the Deeds of Trust or depository account control agreement in question which instrument or instruments shall refer to the proposed Related

Supplement or amendment to the Deeds of Trust or depository account control agreement and shall specifically consent to and approve the execution thereof in substantially the form of the copy thereof as on file with the Master Trustee.

(c) Any such consent shall be binding upon the Holder of the Obligation giving such consent and upon any subsequent Holder of such Obligation and of any Obligation issued in exchange therefor (whether or not such subsequent Holder thereof has notice thereof), unless such consent is revoked in writing by the Holder of such Obligation giving such consent or by a subsequent Holder thereof by filing with the Master Trustee, prior to the execution by the Master Trustee of such Related Supplement or amendment to the Deeds of Trust or depository account control agreement, such revocation and, if such Obligation or Obligations are transferable by delivery, proof that such Obligations are held by the signer of such revocation. At any time after the Holders of the required principal amount or number of Obligations shall have filed their consents to the Related Supplement or amendment to the Deeds of Trust or depository account control agreement, the Master Trustee shall make and file with the Obligated Group Representative a written statement to that effect. Such written statement shall be conclusive that such consents have been so filed.

(d) If the Holders of the required principal amount or number of the Outstanding Obligations shall have consented to and approved the execution of such Related Supplement or amendment to the Deeds of Trust or depository account control agreement, no Holder of any Obligation shall have any right to object to the execution thereof, or to object to any of the terms and provisions contained therein or the operation thereof, or to question the propriety of the execution thereof, or to enjoin or restrain the Master Trustee or the Obligated Group Representative from executing the same or from taking any action pursuant to the provisions thereof.

SATISFACTION AND DISCHARGE OF MASTER INDENTURE

Pursuant to the Master Indenture, if (a) the Members shall deliver to the Master Trustee for cancellation all Obligations previously authenticated (other than any Obligations which shall have been mutilated, destroyed, lost or stolen and which shall have been replaced or paid as provided in any Related Supplement) and not cancelled, (b) payment of all Obligations not previously cancelled or delivered to the Master Trustee for cancellation has been made in full, (c) all Obligations that have not become due and payable and have not been cancelled or delivered to the Master Trustee for cancellation shall be deemed to have been paid and discharged pursuant to the terms of the Related Supplement under which such Obligations were issued, or (d) the Members shall deposit with the Master Trustee (or with a bank or trust company pursuant to an agreement between a Member and such bank or trust company) as cash or Escrow Obligations or both, sufficient to pay at maturity or upon redemption all Obligations not previously cancelled or delivered to the Master Trustee for cancellation, including without limitation principal and interest due or to become due to such date of maturity or redemption date, as the case may be, and if in any case the Members shall also pay or cause to be paid all other sums payable under the Master Indenture by the Members, then the Master Indenture and Deeds of Trust shall cease to be of further effect, and the Master Trustee, on demand of the Members and at the cost and expense of the Members, shall execute proper instruments acknowledging satisfaction of and discharging the Master Indenture and Deeds of Trust. The Members shall cause a report to be prepared by a firm nationally recognized for providing verification services regarding the sufficiency of funds for such discharge and satisfaction, upon which report the Master Trustee may rely.

THE FIRST SUPPLEMENTAL MASTER INDENTURE AND THE SERIES 2024 OBLIGATION

INTRODUCTION

The following is a summary of certain provisions of the First Supplemental Master Indenture and the Series 2024 Obligation. This summary does not purport to be comprehensive or definitive, and reference is hereby made to the full text of the First Supplemental Master Indenture and the Series 2024 Obligation for the complete details thereof.

CREATION OF SERIES 2024 OBLIGATION

The First Supplemental Master Indenture creates the Series 2024 Obligation as the joint and several Obligations of the Obligated Group. The Series 2024 Obligation is created thereby as a single registered Obligation without coupons in the principal amount of the Series 2024 Bonds, payable to the Bond Trustee, or its successor.

SECURITY FOR SERIES 2024 OBLIGATION

To secure the obligations of the Obligated Group under the Master Indenture and under each Outstanding Obligation, including without limitation, the Series 2024 Obligation, *pari passu*, pursuant to the Master Indenture, each current Member has granted (and each future Member will grant) to the Master Trustee, a security interest in the Gross Revenues, on the terms and subject to the conditions set forth in the Master Indenture.

THE DEEDS OF TRUST

INTRODUCTION

The following is a summary of certain provisions of the Deeds of Trust. This summary does not purport to be comprehensive or definitive, and reference is hereby made to the full text of the Deeds of Trust for the complete details thereof. As used herein, "Trustor" means the Corporation, Eskaton-Grass Valley or Eskaton-Roseville, as applicable, "Trustee" means Fidelity National Title Insurance Company, as trustee for the benefit of the Master Trustee under the Master Indenture, and "Beneficiary" means the Master Trustee and any successors thereto as trustee under the Master Indenture. The Deeds of Trust contain substantially similar provisions so they are summarized collectively herein. Each reference to "Deed of Trust" below shall apply to the Corporation Deed of Trust, the Eskaton-Grass Valley Deed of Trust or the Eskaton-Roseville Deed of Trust, as applicable.

GRANT IN TRUST

The Trustor irrevocably grants, transfers and absolutely, unconditionally, and irrevocably assigns to the Trustee, in trust, with power of sale and right of entry and possession, all of that certain real property ("Land") situated in the State of California, and more particularly described in Exhibit A to the Deed of Trust and made a part thereof, all right, title and interest that the Trustor may hereafter acquire in the Land, together with all of the following, whether presently owned or hereafter acquired:

a. All buildings, structures, improvements, fixtures, equipment and appurtenances now and hereafter owned, constructed, located, erected, installed or affixed by or on behalf of the Trustor upon or appurtenant to the Land and all replacements and substitutions therefor ("Facilities");

b. All appurtenances, improvements, easements, pipes, transmission lines or wires and other rights used in connection with the Land or as a means of access thereto, whether now or hereafter owned or constructed or placed upon or in the Land or Facilities ("Appurtenances");

c. All machinery, equipment, goods and other personal property of the Trustor, whether moveable or not, if the same is (a) now owned or hereafter acquired by the Trustor, (b) now or hereafter located at or used in connection with the Facilities or Appurtenances or (c) financed with the proceeds of the Related Bonds (as that term is defined in the Master Indenture) and all improvements, restorations, replacements, repairs, additions, accessions or substitutions thereto or therefor, including, without limitation, all building materials and supplies, machinery, equipment, material, furnishings and appliances for generation or distribution of air, water, heat, electricity, light, fuel or refrigeration, for purposes of ventilation, sanitation or drainage, for exclusion of vermin or insects, for removal or disposal of dust, refuse or garbage; all elevators, awnings, window coverings, floor covering, cabinets; all fixed equipment now or hereafter installed in the Land or Facilities which are essential elements of the Facilities and are necessary for their operation and use; the products and proceeds from any and all such property; all the estate, interest, right, title, property or other claim or demand of every nature whatsoever, in and to such property, including specifically, but without limitation, all deposits made with or other security given to utility companies by the Trustor with respect to such property and claims or demands relating to insurance or condemnation awards which the Trustor now has or may hereafter acquire ("Equipment");

d. All leases, residence agreements, subleases, management agreements, development agreements, construction contracts and architectural agreements with respect to the Land, Facilities, Appurtenances and Equipment ("Leases");

e. All rentals or other payments which may now or hereafter accrue or otherwise become payable under the Leases to or for the benefit of the Trustor together with all other income, rents, revenues, issues, profits, reserves, and royalties produced by the Land, Facilities, Appurtenances and Equipment or by all management or service contracts or other contracts affecting the Property (as hereinafter defined), including but not limited to security deposits (collectively the “Rents”);

f. All earnings, products, damages, indemnifications, insurance proceeds and any other proceeds from any and all of such Land, Facilities, Appurtenances, Equipment, Leases and Rents including specifically, but without limitation, all deposits made with or other security given to utility companies and claims or demands relating to insurance or condemnation awards which the Trustor now has or may hereafter acquire, including all advance payments of insurance premiums made by the Trustor with respect thereto (“Proceeds”);

g. Gross Revenues (as that term is defined in the Master Indenture) received in any period by the Obligated Group (as that term is defined in the Master Indenture) (other than the proceeds of borrowing) including, but without limiting the generality of the foregoing, (a) gross revenues derived from its or their operation of the facilities owned and operated by one or more Members (as that term is defined in the Master Indenture); (b) gifts, grants, bequests, donations and contributions exclusive of any gifts, grants, bequests, donations and contributions to the extent specifically restricted by the donor to a particular purpose inconsistent with their use for the payment of principal of, redemption premium, if any, and interest on Indebtedness (as that term is defined in the Master Indenture) or for the payment of operating expenses; (c) all of the following and proceeds derived therefrom: (1) insurance, except to the extent the use thereof is otherwise permitted for use other than for the payment of principal of, redemption premium, if any, and interest on Indebtedness or for the payment of operating expenses by the Master Indenture; (2) accounts receivable; (3) securities and other investments; (4) inventory and other tangible and intangible property; (5) contract rights and other rights and assets now or hereafter owned, held or possessed by or on behalf of any Member; and (6) rentals received from the lease of office space; and (d) proceeds of entrance fees, net of refunds;

h. All accounts, accounts receivable and other rights to payment of money or other value now owned or hereafter acquired by the Trustor, whether due or to become due and whether or not earned by performance (“Accounts”), including without limitation the following: (1) Any and all Accounts arising from any source, including without limitation operations of the Trustor or its agents at the Facilities or any other facility or office; and (2) Any and all Accounts accruing from the operation of the Trustor’s continuing care retirement communities and health care facilities, and any other programs run by and operations of the Trustor or its agents; “Accounts” covered by the Deed of Trust shall include without limitation accounts, chattel paper, deposit accounts and instruments as defined by the California Uniform Commercial Code, and any amounts receivable from third-party payors (including insurance companies, Medicare and Medicaid unless otherwise prohibited by law) in connection with the foregoing;

i. All right, title and interest of the Trustor in all the Trustor’s inventory, raw materials, work in process, finished goods and goods held for sale or furnished under contracts of service, and all returned and repossessed goods, and all goods covered by documents of title, including warehouse receipts, bills of lading and all other documents of every type covering all or any part of the Property (as defined below), now owned or hereafter acquired, whether held by the Trustor or any third party, which is located on, appurtenant to, relating to, or used by or useful in connection with the Property (“Inventory”);

j. All right, title and interest of the Trustor in and to all plans, specifications contracts (including without limitation the architect’s contract and the construction contract for the Facilities to be built on the Land), permits, approvals, licenses, rights to develop (including without limitation any and all subdivision approvals, whether preliminary or definitive), site plan approvals, equipment leases, service

contracts and agreements, of whatever nature or type, which now or may in the future pertain to, relate to, affect or be used in connection with, the Property, including without limitation any of the foregoing necessary or convenient to the operation, maintenance and management of the Property (hereinafter collectively referred to as the “Approvals”); and

k. All general intangibles of the Trustor (“Intangibles”).

All of the above referenced Land, Facilities, Appurtenances, Equipment, Leases, Rents, Proceeds, Gross Revenues, Accounts, Inventory, Approvals and Intangibles, as conveyed by the Deed of Trust to the Trustee or made subject to the security interest therein described are collectively referred to as the “Property.”

The Trustor agrees to collect or cause to be collected with all due dispatch, all Gross Revenues (as that term is defined in the Master Indenture) and to deposit, or cause to be deposited, in the Gross Revenue Fund (as that term is defined in the Master Indenture) held by the Trustor all Gross Revenues as provided in the Master Indenture.

The Trustor warrants and agrees that as of the date of recording of the Deed of Trust it has not entered into any sales agreement, option, assignment, sublease, pledge, mortgage, deed of trust, financing statement, security agreement or any other arrangement regarding the Property apart from the transactions referenced in or secured by the Deed of Trust and has not nor will execute any document or instrument referring to or covering the Property, or any part thereof, and no such documents or instruments are on file, recorded or in effect in any public office, other than Permitted Encumbrances (as that term is defined in the Master Indenture), and agrees that the Property is, and shall be, kept free from any lien, security interest, encumbrance or any other interest other than Permitted Encumbrances.

OBLIGATIONS; PLEDGE OF PERSONAL PROPERTY; SECURITY AGREEMENT AND FIXTURE FILING

The foregoing grant is made to secure the payment and performance of each and every obligation, covenant and agreement of Trustor contained in or arising under all Obligations under the Master Indenture and as supplemented and amended from time to time; and payment and performance of each and every obligation, covenant and agreement arising under or contained in the Deed of Trust. The foregoing obligations are sometimes referred to collectively as the “Secured Obligations.”

The Deed of Trust also constitutes a security agreement and the Trustor pledges and grants to the Beneficiary a security interest to secure the Secured Obligations in and to all of the Property not constituting real property under the laws of the State of California (“Personal Property”), whether Trustor now holds or hereafter obtains an interest in such Personal Property, and all the proceeds or products thereof, including but not limited to all of those items listed in Exhibit B to the Deed of Trust.

Upon an Event of Default (as defined below), the Beneficiary is entitled to exercise with respect to all such Personal Property collateral all of the rights and remedies set forth in the Deed of Trust and in the Master Indenture, or otherwise afforded to a secured party upon a debtor’s default under the terms of Article 9 of the California Uniform Commercial Code or otherwise in accordance with applicable law, any or all of which may be pursued and exercised concurrently, consecutively, alternatively or otherwise. The Trustor will execute one or more supplemental security agreements and financing statements as the Beneficiary may from time to time require, covering any property now or hereafter constituting a portion of the Property securing the Secured Obligations and such financing statements and other and further assurances as the Beneficiary may request to perfect or evidence the security interest created in the Deed of Trust (which shall cover all proceeds and products of collateral), including, but not limited to, UCC-1 Financing Statements which shall contain the description of collateral attached as Exhibit B to the Deed of Trust and

UCC Continuation Statements. Without limiting the generality of the foregoing, the Trustor shall cause to be filed and given appropriate continuation statements and notices during the period ninety (90) days preceding each fifth anniversary of the execution and delivery of the Deed of Trust unless the Trustor provides to the Beneficiary, no later than the fifth day next preceding each such fifth anniversary, an Opinion of Counsel to the effect that no continuation statements need be filed in order to maintain the perfection of such security interest until the next succeeding fifth anniversary of the execution and delivery of the Deed of Trust.

The Trustor will pay all costs of filing any financing, continuation or termination statements with respect to the security interest created by the Deed of Trust; and the Beneficiary is appointed the Trustor's attorney-in-fact to do, at the Beneficiary's option and at the Trustor's expense, all acts and things which the Beneficiary may deem necessary to perfect and continue perfected the security interest created by the Deed of Trust and to protect the Property. The Beneficiary may execute, sign, endorse, transfer or deliver, in the name of the Trustor, notes, checks, drafts or other instruments for the payment of money and receipts, certificates of origin, certificates of title, applications for certificates of title, or any other documents necessary to evidence, perfect or realize upon the security interests and secured indebtedness created or secured by the Deed of Trust. This authority shall be considered a power coupled with an interest and shall be irrevocable until all of the Secured Obligations shall have been paid in full.

Trustor agrees to not change its name or principal place of business without giving the Beneficiary at least thirty (30) days' prior written notice thereof, which notice shall be accompanied by new financing statements executed by the Trustor in the same form as the financing statements delivered to the Beneficiary on the date of the Deed of Trust except for the change of name and/or address. Without limiting the foregoing, the Trustor irrevocably appoints the Beneficiary and each of its officers attorneys-in-fact for the Trustor to execute, deliver and file such instruments for and on behalf of the Trustor. Notwithstanding any release of any or all of that property included in the Property which is deemed "real property", any proceedings to foreclose the Deed of Trust or its satisfaction of record, the terms of the Deed of Trust shall survive as a security agreement with respect to the security interest created by the Deed of Trust and referred to above until the repayment or satisfaction in full of the Secured Obligations. The Trustor agrees to not move its chief executive office or its principal place of business or operations except to such new location as the Trustor may establish by providing written notice to the California Municipal Finance Authority ("Authority") and the Beneficiary as provided in the Deed of Trust. The originals of all documents evidencing any portion of the Property and the only original books of account and records of the Trustor relating thereto are, and will continue to be, kept at such chief executive office.

The Deed of Trust also shall constitute a Uniform Commercial Code financing statement ("Fixture Filing") for all Personal Property now or hereafter so affixed by or on behalf of the Trustor to the Land so that such Personal Property becomes a fixture.

ASSIGNMENT OF LEASES AND RENTS

Under the Deed of Trust, the Trustor absolutely, unconditionally, and irrevocably assigns to the Beneficiary the Leases and Rents. The Beneficiary authorizes the Trustor, prior to an Event of Default, to collect and use all such Rents as they become due and payable and to exercise all rights under the Leases if not otherwise restricted under the Master Indenture. The foregoing assignment shall not impose upon the Beneficiary any duty to produce Rents from the Property or cause the Beneficiary to be a "mortgagee in possession" for any purpose. Upon an Event of Default, the Trustor's right to collect and use the Rents shall automatically terminate without notice and the Beneficiary shall be entitled to collect and use all such Rents.

Except as otherwise permitted under the Master Indenture, the Trustor agrees that it will not amend, modify, change or waive, or consent to any amendment, modification, change or waiver of, any term or provision of the Leases without the prior written consent of the Beneficiary.

The Trustor agrees that it will take all steps and do all things necessary to keep and maintain the Leases in full force and effect and will enforce or cause to be enforced all and singular the provisions thereof, and bring and prosecute or cause to be prosecuted any and all suits, actions and proceedings necessary to enforce compliance with all of the terms, provisions and covenants thereof. If, in the reasonable opinion of the Beneficiary, the Trustor has failed, or is about to fail, to take suitable action to enforce the Leases or any guaranty thereof or to first preserve any rights or remedies thereunder, the Beneficiary, after giving five (5) days' written notice to the Trustor, may, but is not required to, take such action as it shall deem appropriate, in its own name or in the name of the Trustor for the use and benefit of the Beneficiary, to enforce the Leases and to preserve any rights or remedies thereunder, and all costs and expenses incurred by the Beneficiary in taking any such action shall be payable on demand and shall constitute part of the secured indebtedness under the Deed of Trust.

EVENTS OF DEFAULT; ACCELERATION

Any one or more of the following events shall constitute an event of default under the Deed of Trust (an "Event of Default"):

- a. failure to pay when due and payable any installment of interest or principal on all Obligations created under the Master Indenture, or in the payment of any other sum which is payable under the Master Indenture, or the Deed of Trust, as and when the same shall become due and payable as further described in the Master Indenture, or the Deed of Trust; or
- b. the occurrence of an "Event of Default" as defined in the Master Indenture; or
- c. if the Trustor violates any provision of Section 7 or Section 8 of the Deed of Trust; or
- d. if the Trustor defaults in the due observance or performance of or compliance with any of the provisions, warranties, covenants, promises, agreements, terms or conditions to be observed, performed, or complied with by the Trustor, as contained in the Deed of Trust, other than those referred to in paragraphs (a), (b) and (c) inclusive, and such default shall continue uncured for a period of fifteen (15) days after written notice thereof to the Trustor except that in the case of a default under this paragraph (d) which cannot with due diligence be cured within such period of fifteen (15) days, the time within which Trustor may cure the same shall be extended for such period as may be reasonably necessary in the Beneficiary's discretion to cure the same with due diligence (but in no event more than 90 days), provided the Trustor commences within such fifteen (15) days, proceeds diligently to cure the same and delivers a report to the Related Bond Trustee (as that term is defined in the Master Indenture) at least once every thirty (30) days setting forth the status of its attempt to cure such Event of Default.

Upon the occurrence of any Event of Default, the Beneficiary shall have the option of declaring the unpaid balance owing under the Master Indenture and any other sums secured by the Deed of Trust immediately due and payable as provided in the Master Indenture.

COVENANTS OF THE TRUSTOR

For the purpose of protecting and preserving the security of the Deed of Trust, the Trustor promises and agrees to do the following:

a. to take all action necessary to keep the Property at all times entirely free of dry rot, fungus, termites, beetles and all other wood-boring, wood-eating, harmful or destructive insects, and in all respects properly to care for and keep all of the Property, including all buildings, structures and other improvements, in good condition and repair;

b. not to remove, demolish or substantially alter (except such alterations as may be required by laws, ordinances or regulations) any of the Facilities except as contemplated by the construction contracts pertaining to the Property; provided, however, that the Trustor may make such proper replacements, repairs, renewals, removals and alterations as it shall in good faith reasonably determine are necessary or advisable to maintain or enhance the efficiency and value of the security created by the Deed of Trust;

c. to complete promptly and in good and businesslike manner any building or other improvements which may be constructed on the Land pursuant to the construction contracts pertaining to the Property, to promptly restore in like manner (to the extent permitted by law) any Facilities which may be damaged or destroyed thereon, and to pay when due all claims for labor performed and materials furnished therefor, provided that the Trustor shall not be required to pay any such claim if it shall in good faith contest the validity thereof and, if so contested, shall provide for the payment thereof in a manner reasonably satisfactory to the Beneficiary, provided that the validity of any claim may be contested only if (i) no lien or encumbrance will attach to the Property, (ii) no civil or criminal liability will arise as a result of the non-payment thereof and (iii) there will be no harm to the lien of the Deed of Trust or the interest of the Trustee and the Beneficiary thereunder;

d. to comply with all laws, ordinances, regulations, conditions and restrictions now or hereafter affecting the Property or any part thereof or requiring any alterations or improvements to be made thereon;

e. not to commit or permit any waste, and not to permit any deterioration, of the Property;

f. not to commit, suffer or permit any act to be done in or upon the Property in violation of any law or ordinance if such act might have consequences that would materially and adversely affect the financial condition, assets, properties or operation of the Trustor;

g. to provide and maintain hazard and other insurance as required by the Master Indenture, and to deliver duplicate originals or certified copies of the policies of said insurance to the Trustee upon its request. If the Trustee shall acquire title to the Property either by virtue of a deed in lieu of foreclosure, foreclosure, pursuant to proceedings under the Master Indenture, or the Deed of Trust or otherwise, then all of the Trustor's estate, right, title and interest in and to all such policies, including unearned premiums thereon and the proceeds thereof, shall vest in the Trustee and/or the Beneficiary. If the Trustor shall fail to procure, pay for and deliver to the Trustee and/or the Beneficiary any policy or policies of insurance and/or renewals thereof as required hereunder and by the Master Indenture, the Trustee and/or the Beneficiary may at its option, but shall be under no obligation to do so, effect such insurance and pay the premiums therefor, and the Trustor will repay to the Trustee and/or the Beneficiary on demand any premiums so paid, with interest thereon at the rate set forth therein, and the same shall be secured by the Deed of Trust;

h. to appear in, defend and indemnify and hold harmless the Trustee and the Beneficiary from and against any action or proceeding affecting or purporting to affect the security of the Deed of Trust, any additional or other security for any of the obligations secured by the Deed of Trust, or the interest, rights, powers, or duties of the Trustee or the Beneficiary hereunder, it being agreed, however, that in the case of an action or proceeding against the Trustee or the Beneficiary said Trustee or Beneficiary, at its option, may appear in and defend any such action or proceeding and, in addition, it being agreed that the Trustee

or Beneficiary may commence any action or proceeding deemed necessary by it to perfect, maintain or protect such interest, rights, powers or duties, all in such manner and to such extent as it may determine in its sole discretion to be appropriate, and the Trustee or Beneficiary is authorized to pay, purchase or compromise on behalf of the Trustor any encumbrance or claim which in its judgment appears or purports to affect the security of the Deed of Trust or to be superior to the Deed of Trust; to pay all costs and expenses, including costs of evidence of title and attorney's fees in a reasonable sum, in any above described action or proceedings in which the Beneficiary or the Trustee may appear;

i. to pay, and submit to the Beneficiary, at least five (5) days before default or delinquency, a receipt or other evidence of payment, or certified copy thereof, evidencing payment of all taxes, assessments and all other impositions of whatever nature affecting the Property, and any accrued interest, cost or penalty thereon, provided that the Trustor shall not be required to pay any such tax or assessment if it shall in good faith contest the validity thereof and, if so contested, shall provide for the payment thereof in a manner reasonably satisfactory to the Trustee, provided that the validity of any tax, assessment or imposition and the foreclosure or enforcement of any lien that may attach as a result thereof may be contested only if (i) no civil or criminal liability will arise from the nonpayment thereof and (ii) there will be no harm to the lien of the Deed of Trust or the interest of the Trustee and the Beneficiary hereunder;

j. to pay when due all encumbrances (including any debt secured by deed of trust), ground rents, liens or charges, with interest, on the Property or any part thereof which appear to be prior or superior to the Deed of Trust, and to pay immediately and in full all such encumbrances, rents, liens or charges, if any, which may now be due or payable; provided that the Trustor shall not be required to pay any such encumbrances, rent, lien or charge if it shall in good faith contest the validity thereof and, if so contested, (i) shall provide for the payment thereof in manner satisfactory to the Beneficiary and (ii) there will be no harm to the lien of the Deed of Trust or the interest of the Trustee and the Beneficiary thereunder;

k. to pay when due all costs, fees and expenses of these trusts, including costs of evidence of title and the Trustee's fees in connection with sale, whether completed or not, which amounts shall become due upon delivery to the Trustee of declaration of default and demand for sale, as provided in the Deed of Trust; and

l. to pay immediately and without demand all reasonable and necessary sums expended or expense incurred by the Trustee or by the Beneficiary to enforce the terms of the Master Indenture, including attorneys' fees, under any of the terms of the Deed of Trust, with interest from date of expenditure at the rate of ten percent (10%) per annum.

In addition to the foregoing, the Trustor makes the following additional covenants:

Payment of Obligations. The Trustor shall pay to the Beneficiary the principal, and premium, if any, of and the interest on the entire unpaid principal indebtedness of all Obligations and the other amounts required to be paid pursuant thereto, including all sums now or hereafter due the Holders (as that term is defined in the Master Indenture) under the terms of the Deed of Trust and of the Master Indenture, together with all interest thereon, punctually as and when the same shall become due by the terms of the Master Indenture and of the Deed of Trust, time being of the essence. The Trustor will observe and perform all of the terms, provisions, conditions, covenants and agreements on the part of the Trustor to be observed and performed under the Master Indenture.

Title of Trustor. The Trustor warrants and covenants that it has good and marketable fee simple title in the Land and good and marketable title to the remainder of the Property; and it is lawfully authorized to mortgage and encumber the Property and that it has not created and will not create any liens or encumbrances on the Property other than the Deed of Trust and the Permitted Encumbrances. The Trustor

covenants to warrant and defend the title to the Property unto the Trustee and the Beneficiary against all persons and all claims of every kind or nature other than the Permitted Encumbrances.

Alterations, Additions, Removals. Except as provided in the Master Indenture, the Trustor will not make any structural alterations or any additions to the Property or cause or permit any building, structure or improvement or other property now or hereafter covered by the lien of the Deed of Trust and comprising part of the Property to be removed, or demolished in whole or in part, or any Personal Property comprising part of the Property to be removed, severed or destroyed, without the prior written consent of the Beneficiary. All alterations and additions approved by the Beneficiary shall become part of the Property subject to the lien of the Deed of Trust.

Repairs and Maintenance. Throughout the term of the Deed of Trust, the Trustor, at its sole cost and expense, will take good care of the Property and the sidewalks, curbs and vaults, if any, adjoining the Property and will keep the same in good order and condition, and make all necessary repairs thereto, interior and exterior, structural and non-structural, ordinary and extraordinary, and unforeseen and foreseen. All repairs made by the Trustor shall be equal in quality and class to the original work. The necessity for and adequacy of repairs to the buildings and improvements pursuant to the Deed of Trust shall be measured by the standard which is appropriate for structures of similar construction and class, provided that the Trustor shall in any event make all repairs necessary to avoid any structural damage or injury to the buildings and improvements to keep the buildings and improvements in a proper condition for their intended uses. All proceeds of condemnation or insurance shall be applied pursuant to the Master Indenture.

No Transfer of Property. Unless the Beneficiary shall have consented in writing, the Trustor shall not by deed, mortgage, pledge, lease, easement or other instrument, grant, mortgage, pledge, lease, convey, assign, devise or otherwise transfer all or any part of the Property or any interest therein, directly or indirectly, other than a lease, conveyance, assignment or transfer permitted under the terms of the Master Indenture, nor shall the Trustor suffer or permit the same by execution sale or operation of law or otherwise.

No Set-Offs. The Trustor represents to the Beneficiary that it has no knowledge of any set-offs, recoupments, counterclaims or defenses to the principal indebtedness secured by the Deed of Trust, or to any part thereof, or the interest thereon, either at law or in equity. The Trustor, within three (3) days upon written request by the Beneficiary, will furnish a duly acknowledged written statement in form satisfactory to the Beneficiary stating either that the Trustor knows of no set-offs, recoupments or defenses existing against the Secured Obligations or, if such set-offs, recoupments, counterclaims or defenses are alleged to exist, the nature and extent thereof.

Change in Tax Status. In the event of the passage after the date of the Deed of Trust of any law of the State of California, or any other governmental entity, changing in any way the laws now in force for the taxation of mortgages, deeds of trust or debts secured thereby, for state or local purposes, or the manner of the operation of any such taxes, so as to affect the interest of the Trustee or the Beneficiary, then and in such event, the Trustor shall bear and pay the full amount of such taxes, provided that if for any reason payment by the Trustor of any such new or additional taxes would be unlawful or if the payment thereof would constitute usury or render the loan or indebtedness secured by the Deed of Trust wholly or partially usurious under any of the terms or provisions of the Master Indenture, all Obligations created thereunder, or the Deed of Trust, or otherwise, the Trustee or the Beneficiary may, at the their option, declare the whole sum secured by the Deed of Trust, with interest thereon, to be due and payable sixty (60) days after notice thereof, or the Trustee or the Beneficiary may, at the their option, pay that amount or portion of such taxes as renders the loan or indebtedness secured by the Deed of Trust unlawful or usurious, in which event the Trustor shall concurrently therewith pay the remaining lawful and nonusurious portion or balance of said taxes.

Further Action By Trustor. The Trustor shall at its expense promptly upon request of the Beneficiary do all acts and things, including but not limited to the execution of any further assurances deemed necessary by the Beneficiary to establish, confirm, maintain and continue the lien created and intended to be created by the Deed of Trust, all assignments made or intended to be made pursuant to the Deed of Trust and all other rights and benefits conferred or intended to be conferred on the Beneficiary by the Deed of Trust, and the Trustor shall pay all costs incurred by the Beneficiary and the Trustee in connection therewith, including all filing and recording costs, costs of searches, and reasonable attorneys' fees incurred by the Beneficiary and the Trustee.

Protection of Mortgage Lien. The Trustor will promptly perform and observe, or cause to be performed and observed, all of the terms, covenants and conditions of all instruments of record affecting the Property, non-compliance with which may affect the security of the Deed of Trust, or which may impose any duty or obligation upon the Trustor or any sublessee or other occupant of the Property or any part thereof, non-compliance with which may affect the security of the Deed of Trust, and the Trustor shall do or cause to be done all things necessary to preserve intact and unimpaired any and all easements, appurtenances and other interests and rights in favor of or constituting any portion of the Property.

Payment of Liens. Trustor shall pay, when the same shall become due and payable, all lawful claims and demands of mechanics, materialmen, laborers and others which, if unpaid, might result in or permit the creation of a lien on the Property or any part thereof. If the Trustor shall fail to make the payments required by the previous sentence, the Beneficiary may at its option, but shall be under no obligation to do so, pay such claims and demands and the Trustor will repay to the Beneficiary on demand any amount so paid by the Beneficiary, with interest therein set forth therein, and the same shall be secured by the Deed of Trust.

CONVEYANCE, EASEMENTS, SUBORDINATION, RELEASES

To the extent permitted under the Master Indenture, at any time, or from time to time, without liability therefor and without notice, upon written request by the Beneficiary or Trustor, upon presentation of the Deed of Trust, and without affecting the liability of any person for payment of the indebtedness secured by the Deed of Trust or the effect of the Deed of Trust upon the remainder of the Property, the Trustee shall reconvey all or any part of the Property, consent in writing to the making of any map or plat thereof, execute releases, join in granting any easement thereon, or join in any extension agreement or any agreement subordinating the lien or charge of the Deed of Trust.

ENTRY, POSSESSION, OPERATION OF PROPERTY

Upon an Event of Default or should the Trustor fail or refuse to make any payment or to do any act which it is obligated thereunder to make or do, at the time and in the manner provided in the Deed of Trust, then the Trustee or the Beneficiary, in its sole discretion, without notice to or demand upon the Trustor and without releasing the Trustor from any obligation of the Deed of Trust, is authorized to do and may do any of the following:

- (1) make any such payment or do any such act in such manner and to such extent as it may deem necessary to protect the security of the Deed of Trust, the Trustee and the Beneficiary being authorized to enter upon the Property for such purposes;

- (2) pay, purchase, contest or compromise any claim, debt, lien, charge or encumbrance which in the judgment of the Trustee or the Beneficiary may affect or appear to affect the security of the Deed of Trust, the interest of the Beneficiary or the rights, powers or duties of the Trustee or the Beneficiary hereunder; or

(3) either by itself or by its agents appointed by it for that purpose, enter into and upon and take and hold possession of any or all of the Property, exclude the Trustor and all other persons therefrom, and operate, construct and manage the Property, and rent and lease the same and collect any and all Gross Revenues, rents, issues, income and profits therefrom, and from time to time apply the same or accumulate the same for application, in such order and manner as the Trustee or the Beneficiary in its sole discretion shall consider advisable, to the following: costs of collecting the same, including the Trustee's reasonable fees in so doing; the necessary and proper costs of upkeep, maintenance, repair, and operation of the Property; the repayment of any sums theretofore or thereafter advanced pursuant to the terms of the Deed of Trust; the interest and principal then due or next to become due upon any indebtedness secured by the Deed of Trust; and the taxes and assessments upon the Property then due or next to become due.

The collection or receipt of Rents from the Property or Gross Revenues by the Trustee or the Beneficiary after declaration of default and election to cause the Property to be sold under and pursuant to the terms of the Deed of Trust shall not affect or impair such default or declaration of default or election to cause the Property to be sold or any sale proceedings predicated thereon, but such proceedings may be conducted and sale effected notwithstanding the receipt or collection of any such Rents or Gross Revenues. Any such Rents or Gross Revenues in the possession of the Trustee or the Beneficiary at the time of sale and not theretofore applied as provided in the Deed of Trust, shall be applied in the same manner and for the same purposes as the proceeds of the sale.

The Trustee and the Beneficiary shall not be under any obligation to make any of the payments or do any of the acts above mentioned, but, upon election so to do, employment of an attorney is authorized and payment of such attorney's fees and costs and all other necessary expenditures is secured by the Deed of Trust.

POWER OF SALE

Should an Event of Default have occurred and be continuing, the Trustee, upon written request by the Beneficiary, shall provide and record such notices of default and of the election to cause the Property or any part of it to be sold as are required by law.

The Trustee, upon written request by the Beneficiary, from time to time before the Trustee's sale, may rescind any such notice of default and of election to cause to be sold the Property and may execute a written notice of such a rescission, which notice, when recorded, shall also constitute a cancellation of any prior declaration of default and demand for sale. The exercise of such right of rescission shall not constitute a waiver of any breach or default then existing or subsequently occurring or impair the right of the Beneficiary to execute and deliver to the Trustee, as above provided, other requests for notices of default and of election to cause to be sold the Property to satisfy the obligations of the Deed of Trust, nor otherwise affect any provision, covenant or condition of the Deed of Trust or any of the rights, obligations or remedies of the parties hereunder.

Not less than the time then required by law having elapsed after recordation of notice of default, without demand on the Trustor, the Trustee, having first given notice of sale as then required by law, shall sell the Property in the manner provided by law at the time and place of sale fixed by it in the notice of sale, provided that the Trustee may postpone sale of all or any portion of the Property in the manner provided by law. In case of any sale under the Deed of Trust, the Property (and Trustor's interests therein) may be sold in one parcel and as an entirety or in such parcels (or interests), manner or order as the Beneficiary in its sole discretion may elect.

The Trustee shall deliver to the purchaser its deed conveying the property so sold, but without any covenant or warranty, express or implied, and the recitals in such deed of any matters or facts affecting the

regularity or validity of the sale shall be conclusive proof of the truthfulness thereof. Also, such deed shall be conclusive against all persons as to all matters or facts therein recited. Any person, including the Trustor, the Trustee and the Beneficiary, may purchase at such sale.

The Trustee shall apply the proceeds of any such sale to payment of: (1) all costs, fees, charges and expenses of the Trustee and of these trusts, and fees and costs of any attorneys employed by the Trustee or the Beneficiary pursuant to the provisions of the Deed of Trust; (2) the Trustee's fees in connection with the sale, and all expenses of sale, including the cost of procuring evidence of title in connection with the sale proceedings and revenue stamps on the Trustee's deed; and (3) all other sums secured by the Deed of Trust, including interest on each of the foregoing items, all in such manner and order of priority or preference as the Beneficiary may in its sole and absolute discretion direct. The remainder, if any, of such proceeds, shall be paid to the person or persons legally entitled thereto, upon proof satisfactory to the Trustee of such right.

ADDITIONAL REMEDY PROVISIONS

Other Remedies. In addition to the rights and remedies set forth in or arising under the Deed of Trust, upon an Event of Default, the Trustee and the Beneficiary shall be entitled to exercise any and all other rights and remedies under the Master Indenture and at law or in equity.

Receivership. The Beneficiary shall be entitled to the appointment of a receiver without the necessity of proving either the inadequacy of the security or the insolvency of the Trustor or any other person who may be legally or equitably liable to pay moneys secured by the Deed of Trust and the Trustor and each such person shall be deemed to have waived such proof and to have consented to the appointment of such receiver. The receiver shall have the power to use all materials on or near the Property which are the property of the Trustor in the completion of the Facilities, and the Trustor agrees to pay the receiver all sums expended in good faith by the receiver in the management, operation or completion, and in addition thereto, the Trustor agrees to reimburse the receiver for the costs of services rendered by consultants, advisors, accountants, managers and others retained by the receiver in connection with said completion and operation. The foregoing shall be deemed to authorize, but not obligate, the receiver to do all such things in connection with the management and operation of the Facilities and completion of the construction as it, in its sole discretion, upon the direction of the Master Trustee, deems advisable, including without limitation the right to make any payments with respect to any obligation of the Trustor or any other person in connection with the construction to be performed hereunder, to make additions and changes in the plans and specifications, to employ contractors, subcontractors and agents, to pay, settle or compromise existing bills and claims which are or may be liens against the Property or may be necessary or desirable for the completion of the Facilities or the clearance of title, to purchase and maintain insurance, including title insurance, and to take any and all such action, either in its own name or in the name of the Trustor, to lease or license the Property to others, in whole or in part subject to the Master Indenture; and the Trustor appoints the receiver and its agents its irrevocable attorney-in-fact, coupled with an interest, with full power of substitution, to act in its name in connection with the foregoing. Said attorney-in-fact shall also have power to prosecute and defend all actions or proceedings in connection with the construction of the Facilities and to take such action and require such performance as is deemed necessary. In the event that the receiver takes possession of the Property and assumes control of such construction as aforesaid, it shall not be obligated to continue such construction longer than the receiver or the Master Trustee shall see fit and may and shall, upon the direction of the Master Trustee, in its sole discretion, thereafter at any time abandon such construction and refuse to make further payments for the account of the Trustor, whether or not the Facilities have been completed. The receiver may also, and shall, upon the direction of the Master Trustee, demolish any improvements which have been constructed as part of the Facilities on the Property, either in whole or in part.

Remedies Cumulative. Each right and remedy of the Beneficiary and/or the Trustee provided for in the Deed of Trust shall be cumulative and shall be in addition to every other right or remedy provided for in the Deed of Trust and the Master Indenture or now or hereafter existing at law, or in equity or by statute or otherwise.

Advances by Trustee or the Beneficiary. The Trustee or the Beneficiary may, but is not obligated to, pay any sum or perform any other obligation for the account of the Trustor which the Trustor has failed to pay or perform, and sums so spent by the Trustee or the Beneficiary shall be added to the Secured Obligations, and shall bear interest from the date of advance by the Trustee or the Beneficiary at the annual rate of interest set forth in the Deed of Trust. Nothing contained in the Deed of Trust or in the Master Indenture shall be deemed to give the Trustor any cause of action against the Beneficiary, the Trustee, the Related Bond Trustee, or the Holders for failure to cure or perform any obligation of the Trustor thereunder or in the Master Indenture.

No Waiver Implied. Any failure, forbearance or delay by the Trustee or the Beneficiary in insisting upon the strict performance by the Trustor of any of the terms, covenants, agreements, conditions and provisions of the Deed of Trust shall not be deemed to be a waiver of any of the terms, covenants, agreements, conditions and provisions of the Deed of Trust, and the Trustee and the Beneficiary notwithstanding any such failure, forbearance or delay shall have the right thereafter to insist upon the strict performance by the Trustor of any and all of the terms, covenants, agreements, conditions, and provisions of the Deed of Trust to be performed by the Trustor. Neither the Trustor, nor any other person now or hereafter obligated for the payment of the whole or any part of the sums now or hereafter secured by the Deed of Trust shall be relieved of such obligation by reason of the failure of the Trustee or the Beneficiary to comply with any request of the Trustor or of any other person so obligated to take action to foreclose the Deed of Trust or otherwise enforce any of the provisions of the Deed of Trust or of any obligations secured by the Deed of Trust, or by reason of the release, regardless of consideration, of the whole or any part of the security held for the indebtedness secured by the Deed of Trust, or by reason of any agreement or stipulation between any subsequent owner or owners of the Property and the Trustee or the Beneficiary extending the time of payment or modifying the terms of any or all Obligations or the Deed of Trust without first having obtained the consent of the Trustor or such other person, and in the latter event, the Trustor and all such other persons shall continue to be liable to make such payments according to the terms of any such agreement or extension or modification unless expressly released and discharged in writing by the Beneficiary. Regardless of consideration, and without the necessity for any notice to or consent by the holder of any subordinate lien on the Property, the Beneficiary may release the obligation of anyone at any time liable for any of the indebtedness secured by the Deed of Trust or any part of the security held for the indebtedness and may extend the time for payment or otherwise grant indulgences, modify the terms of the Obligations or the Deed of Trust, or all of them, without, as to the security or the remainder thereof, in any way impairing or affecting the lien of the Deed of Trust or the priority of such lien, as security for the payment of the indebtedness as it may be so extended or modified, over any subordinate lien. For the payment of the indebtedness secured by the Deed of Trust the Trustee and the Beneficiary may resort to any other security therefor held by the Trustee or the Beneficiary in such order and manner as the Trustee or the Beneficiary may elect.

AMENDMENTS

The Deed of Trust may be amended, changed, modified or terminated at any time by the written consent of the Beneficiary and the Trustor.

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APPENDIX D

SUMMARY OF BOND INDENTURE AND LOAN AGREEMENT

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SUMMARY OF BOND INDENTURE AND LOAN AGREEMENT

The following brief description of the Bond Indenture and the Loan Agreement does not purport to be comprehensive or definitive. All of such descriptions are qualified in their entirety by reference to each said document, copies of which are available for review at the offices of the Bond Trustee.

DEFINITIONS OF CERTAIN TERMS

Where used in this Summary of Bond Indenture and Loan Agreement, capitalized terms defined in this section below have the meanings indicated. If not defined in this section below, capitalized terms used in this Summary have the meanings set forth for such terms in APPENDIX C — “SUMMARY OF MASTER INDENTURE AND DEEDS OF TRUST” or the forepart of this Official Statement.

“*Act*” or “*JPA Act*” means the Joint Exercise of Powers Act, constituting Chapter 5 of Division 7 of Title 1 of the Government Code of the State of California, as now in effect and as it may from time to time hereafter be amended or supplemented.

“*Authority*” means the California Municipal Finance Authority, or its successors and assigns.

“*Authority Members*” means counties of Placer and Sacramento and the City of Grass Valley, each being a member of the Authority.

“*Authorized Denominations*” means denominations of \$5,000 and any integral multiple thereof.

“*Authorized Representative*” has the meaning set forth in the Master Indenture.

“*Authorized Signatory*” means the Executive Director, any member of the Board of the Authority and any other person as may be designated and authorized to sign on behalf of the Authority pursuant to a resolution adopted thereby.

“*Bond Counsel*” means (a) Jones Hall, A Professional Law Corporation or (b) any other nationally recognized municipal bond counsel acceptable to the Authority.

“*Bond Financed Property*” means any and all property financed or refinanced with the proceeds of the Bonds.

“*Bond Indenture*” means the Bond Trust Indenture, dated as of September 1, 2024 between the Authority and the Bond Trustee, as it may from time to time be amended or supplemented.

“*Bond Register*” means the registration books of the Authority kept by the Bond Trustee to evidence the registration and transfer of Bonds.

“*Bond Sinking Fund*” means the fund by that name created under the Bond Indenture to which amounts are to be deposited in accordance with the Bond Indenture.

“*Bond Trustee*” means U.S. Bank Trust Company, National Association, or any successor trustee under the Bond Indenture.

“*Bond Year*” means any 12-month period beginning November 15 of a calendar year and ending November 14 of the next succeeding year.

“*Bondholder*,” “*Holder*” or “*Owner of the Bonds*” means the registered owner of any Bond and does not mean any beneficial owner of a Bond whether through a book-entry system or otherwise.

“*Bonds*” or “*Series 2024 Bonds*” means the California Municipal Finance Authority Revenue and Refunding Bonds (Eskaton Properties, Incorporated Obligated Group), Series 2024, initially authorized to be issued by the Authority pursuant to the terms and conditions of the Bond Indenture.

“*Business Day*” means a day which is not (a) a Saturday, Sunday or legal holiday on which banking organizations in the State of New York or the city in which the Principal Office of the Bond Trustee is located are authorized by law to close and on which such entity is in fact closed or (b) a day on which the New York Stock Exchange is closed.

“*Closing Date*” means the date of initial issuance and delivery of the Bonds.

“*Code*” means the Internal Revenue Code of 1986, as amended, or any corresponding provision of any future laws of the United States of America relating to federal income taxation, and except as otherwise provided in the Bond Indenture or required by the context of the Bond Indenture, includes interpretations thereof contained or set forth in the applicable regulations of the Department of the Treasury (including applicable final regulations or temporary regulations), the applicable rulings of the Internal Revenue Service (including published Revenue Rulings and private letter rulings) and applicable court decisions.

“*Corporation*” means Eskaton Properties, Incorporated, a California nonprofit public benefit corporation, and its successors and assigns and any surviving, resulting or transferee corporation.

“*Costs of Issuance*” or “*Issuance Costs*” means all costs and expenses of issuance of the Bonds, including, but not limited to: (i) underwriter’s discount and counsel fees; (ii) counsel fees, including, without limitation, Bond Counsel, and special tax counsel fees, as well as counsel fees for the Authority or the Corporation; (iii) fees and expenses of the Authority, including the authority’s initial bond administration fee; (iv) financial advisor fees; (v) rating agency fees; (vi) trustee fees and trustee counsel fees; (vii) paying agent and certifying and authenticating agent fees related to issuance of the Bonds; (viii) accounting fees and expenses; (ix) printing costs of the Bonds and of the preliminary and final official statement; (x) publication costs associated with the financing proceedings; (xi) costs of any credit enhancement of the Bonds; and (xii) any other fees or costs deemed issuance costs for purposes of the Act and by Section 1.150-1(b) of the Income Tax Regulations.

“*Defaulted Interest*” means interest on any Bond which is payable but not duly paid on the date due.

“*Defeasance Obligations*” means noncallable direct obligations of, or noncallable obligations (which shall not include shares or investments in unit investment trusts or mutual funds) the timely payment of the principal of and interest on which is fully guaranteed by, the United States of America.

“*DTC*” means The Depository Trust Company.

“*Environmental Regulations*” means any federal, state or local law, statute, code, ordinance, regulation, requirement or rule relating to dangerous, toxic or hazardous pollutants, Hazardous Substances or chemical waste, materials or substances.

“*Event of Default*” means any occurrence or event defined as such below.

“*Expense Fund*” means the fund by that name created and held by the Bond Trustee under the Bond Indenture.

“*Facilities*” has the meaning set forth in the Master Indenture.

“*Fitch*” means Fitch, Inc., a corporation organized and existing under the laws of the State of Delaware, its successors and assigns, and, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, any other nationally recognized securities rating agency designated by the Authority at the written direction of the Corporation, with written notice to the Authority and the Bond Trustee.

“*501(c)(3) Organization*” means an organization described in Section 501(c)(3) of the Code.

“*First Supplemental Master Indenture*” means the First Supplemental Master Trust Indenture dated as of September 1, 2024, between the Corporation, as Obligated Group Representative on behalf of the Obligated Group Members, and the Master Trustee pursuant to which the Series 2024 Obligation is issued.

“*Fund*” means any of the funds established pursuant to the Bond Indenture.

“*Governing Body*” means the board of directors, the board of trustees or similar group in which the right to exercise the powers of corporate directors or trustees is vested.

“*Government Issuer*” means any municipal corporation, political subdivision, state, territory or possession within the United States, or any constituted authority or agency or instrumentality of any of the foregoing empowered to issue obligations on behalf thereof, which obligations would constitute Related Bonds under the Master Trust Indenture.

“*Government Obligations*” means (a) Defeasance Obligations or (b) evidences of a direct ownership in future interest or principal payments on Defeasance Obligations, which Defeasance Obligations are held in a custodial account by a custodian satisfactory to the Bond Trustee pursuant to the terms of a custody agreement, and which are rated “AAA” by S&P or Moody’s.

“*Hazardous Substances*” means (a) any oil, flammable substance, explosives, radioactive materials, hazardous wastes or substances, toxic wastes or substances or any other wastes, materials or pollutants which (i) pose a hazard to the Project or to persons on or about the Project or (ii) cause the Project to be in violation of any Environmental Regulation; (b) asbestos in any form which is or could become friable, urea formaldehyde foam insulation, transformers or other equipment which contain dielectric fluid containing levels of polychlorinated biphenyls, or radon gas; (c) any chemical, material or substance defined as or included in the definition of “waste,” “hazardous substances,” “hazardous wastes,” “hazardous materials,” “extremely hazardous waste,” “restricted hazardous waste,” or “toxic substances” or words of similar import under any Environmental Regulation including, but not limited to, the Comprehensive Environmental Response, Compensation and Liability Act (“CERCLA”), 42 USC §§ 9601 et seq.; the Resource Conservation and Recovery Act (“RCRA”), 42 USC §§ 6901 et seq.; the Hazardous Materials Transportation Act, 49 USC §§ 1801 et seq.; the Federal Water Pollution Control Act, 33 USC §§ 1251 et seq.; the California Hazardous Waste Control Law (“HWCL”), Cal. Health & Safety Code §§ 25100 et seq.; the Hazardous Substance Account Act (“HSAA”), Cal. Health & Safety Code §§ 25300 et seq.; the Underground Storage of Hazardous Substances Act, Cal. Health & Safety Code §§ 25280 et seq.; the Porter-Cologne Water Quality Control Act (the “Porter-Cologne Act”), Cal. Water Code §§ 13000 et seq., the Safe Drinking Water and Toxic Enforcement Act of 1986 (Proposition 65); and Title 22 of the California Code of Regulations, Division 4, Chapter 30; (d) any other chemical, material or substance, exposure to which is

prohibited, limited or regulated by any governmental authority or agency or may or could pose a hazard to the health and safety of the occupants of the Project or the owners and/or occupants of property adjacent to or surrounding the Project, or any other person coming upon the Project or adjacent property; or (e) any other chemical, materials or substance which may or could pose a hazard to the environment.

“Immediate Notice” means notice by telephone, email transmission or telecopier to such address as the addressee shall have provided in writing, promptly followed by written notice by first class mail, postage prepaid; provided, however, that if any Person required to give an Immediate Notice shall not have been provided with the necessary information as to the telephone, email transmission or telecopier number of an addressee, Immediate Notice shall mean written notice by first class mail, postage prepaid.

“Independent Counsel” means an attorney duly admitted to practice law before the highest court of any state and, without limitation, may include independent legal counsel for the Corporation, any other Obligated Group Member, the Authority, the Master Trustee or the Bond Trustee.

“Interest Fund” means the fund by that name created under the Bond Indenture.

“Interest Payment Date” means each May 15 or November 15, commencing November 15, 2024, while the Bonds are Outstanding.

“Letter of Representations” means the Blanket Letter of Representations from the California Municipal Finance Authority to DTC.

“Loan Agreement” means that certain Loan Agreement dated as of September 1, 2024 between the Corporation and the Authority, as it may from time to time be amended or supplemented.

“Master Indenture” means the Amended and Restated Master Trust Indenture dated as of September 1, 2024, as supplemented and amended to date (including by the First Supplemental Master Indenture) and as supplemented or amended in accordance with the terms thereof, among the Corporation, the other Obligated Group Members named therein, and the Master Trustee.

“Master Trustee” means U.S. Bank Trust Company, National Association, or any successor trustee under the Master Indenture.

“Moody’s” means Moody’s Investors Service, Inc., a corporation organized and existing under the laws of the State of Delaware, its successors and their assigns, or, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, any other nationally recognized securities rating agency designated by the Authority at the written direction of the Corporation, with written notice to the Authority and the Bond Trustee.

“Obligated Group Members” or *“Members of the Obligated Group”* means any person which has executed the Master Indenture or any supplements thereto and thereby has become contractually obligated to comply with the provisions of the Master Indenture and has not withdrawn as a Member of the Obligated Group pursuant to the provisions of the Master Indenture. As of the Closing Date, the Members are: (a) the Corporation, (b) Eskaton Village-Grass Valley, a nonprofit public benefit corporation organized under the laws of the State of California, and (c) Eskaton Village-Roseville, a nonprofit public benefit corporation organized under the laws of the State of California.

“Obligations” means the Series 2024 Obligation and any other Obligations issued under the Master Indenture, as defined therein.

“Officer’s Certificate” means a certificate signed, in the case of a certificate delivered by a corporation, by its President, Vice President, Chief Financial Officer, Secretary or any other officer authorized to sign by resolution of the Governing Body of such corporation or, in the case of a certificate delivered by any other Person, the chief executive or chief financial officer of such other Person, in either case whose authority to execute such Certificate shall be evidenced to the satisfaction of the Bond Trustee.

“Official Statement” means an official statement prepared in connection with the issuance and sale of the Bonds.

“Opinion of Bond Counsel” means an unqualified Opinion of Counsel, which shall be Bond Counsel, containing the opinion specifically required by the provisions of the Bond Indenture, which Opinion may be based upon a ruling or rulings of the Internal Revenue Service, and may include any exceptions contained in the Opinion of Bond Counsel delivered upon original issuance of the Bonds.

“Opinion of Counsel” means a written opinion of counsel who is acceptable to the Authority in form and substance acceptable to the Authority and the Bond Trustee.

“Outstanding Bonds” or *“Bonds outstanding”* means all Bonds which have been duly authenticated and delivered by the Bond Trustee under the Bond Indenture, except:

(a) Bonds canceled after purchase in the open market or because of payment at or redemption prior to maturity;

(b) Bonds for the payment or redemption of which cash or Defeasance Obligations shall have been theretofore deposited with the Bond Trustee (whether upon or prior to the maturity or redemption date of any such Bonds) in accordance with the Bond Indenture; provided that if such Bonds are to be redeemed prior to the maturity thereof, notice of such redemption shall have been given or arrangements satisfactory to the Bond Trustee shall have been made therefor, or waiver of such notice satisfactory in form to the Bond Trustee shall have been filed with the Bond Trustee; and

(c) Bonds in lieu of which others have been authenticated under the Bond Indenture.

For certain purposes more fully described in the Bond Indenture, Bonds which are owned or held by a Obligated Group Member shall be disregarded and deemed not to be Outstanding under the Bond Indenture.

“Paying Agent” means the bank or banks, if any, designated pursuant to the Bond Indenture to receive and disburse the principal of and interest on the Bonds, or designated pursuant to the Master Indenture to receive and disburse the principal of and interest on any Obligations.

“Person” means any natural person, firm, joint venture, association, partnership, business trust, corporation, public body, agency or political subdivision thereof or any other similar entity.

“Principal Office” means, when used with respect to the Bond Trustee, the corporate trust office of the Bond Trustee identified as such for the performance of the functions in question, and, when used with respect to any other entity, means the principal office of such entity or such other office of such entity as may be designated by that entity in writing to the Bond Trustee, except that with respect to presentation of Bonds for payment or for registration of transfer and exchange such term shall mean the office or agency of the Bond Trustee at which, at any particular time, its corporate trust agency business shall be conducted.

“*Prior Bonds*” means, collectively, the Authority’s \$24,109,000 Revenue and Refunding Bonds, Series 2022 (Eskaton Properties, Incorporated), the California Statewide Communities Development Authority \$38,695,000 Revenue Bonds (Eskaton Properties, Incorporated Obligated Group), Series 2012, and the ABAG Finance Authority for Nonprofit Corporations \$51,875,000 Revenue Refunding Bonds (Eskaton Properties, Incorporated Obligated Group) Series 2013.

“*Proceeds*” means the first offering price of the Bonds.

“*Project*” means, collectively, the 2024 Project and the Prior Projects, as such terms are defined and described in the Tax Certificate.

“*Purchase Contract*” means a Bond Purchase Contract, among B.C. Ziegler and Company, the Authority and the Corporation, on behalf of itself and as Obligated Group Representative on behalf of the other Obligated Group Members, providing for the sale of the Bonds.

“*Qualified Investments*” means and includes, to the extent permitted by applicable law, any of the following:

- (a) Government Obligations;
- (b) debt obligations which are (i) issued by any state or political subdivision thereof or any agency or instrumentality of such state or political subdivision, and (ii) at the time of purchase, rated in one of the two highest rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise) assigned by any Rating Agency;
- (c) any bond, debenture, note, participation certificate or other similar obligation issued by a government sponsored agency (such as the Federal National Mortgage Association, the Federal Home Loan Bank System, the Federal Home Loan Mortgage Corporation or the Federal Farm Credit Bank) which is either (i) at the time of purchase, rated in one of the two highest rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise) assigned by any Rating Agency, or (ii) backed by the full faith and credit of the United States of America;
- (d) U.S. denominated deposit accounts (including but not limited to demand deposits, time deposits, other deposit products, trust funds, trust accounts, interest bearing deposits, overnight deposits and interest bearing money market accounts), certificates of deposit (including but not limited to those placed by a third party pursuant to a separate agreement with the Obligated Group Representative and the Bond Trustee) and banker’s acceptances of any bank, trust company, or savings and loan association, including the Bond Trustee or its affiliates, which have a rating on their short-term certificates of deposit on the date of purchase in one of the three highest short-term rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise) assigned by any Rating Agency, and which mature not more than 360 days after the date of purchase;
- (e) commercial paper which is rated at the time of purchase in one of the two highest short-term rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise) assigned by any Rating Agency, and which matures not more than 270 days after the date of purchase;
- (f) bonds, notes, debentures or other evidences of indebtedness issued or guaranteed by a corporation which are, at the time of purchase, rated by any Rating Agency in any of the three highest rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise);

(g) investment agreements with banks that at the time such agreement is executed are rated in one of the two highest rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise) assigned by any Rating Agency or investment agreements with non-bank financial institutions, provided that (1) all of the unsecured, direct long-term debt of either the non-bank financial institution or the related guarantor of such non-bank financial institution is rated by any Rating Agency at the time such agreement is executed in one of the two highest rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise) for obligations of that nature; or (2) if such non-bank financial institution and any related guarantor have no outstanding long-term debt that is rated, all of the short-term debt of either the non-bank financial institution or the related guarantor of such non-bank financial institution is rated by any Rating Agency in one of the two highest rating categories (without regard to any refinement or gradation of the rating category by numerical modifier or otherwise) assigned to short-term indebtedness by any Rating Agency. If such non-bank financial institution and any guarantor do not have any short-term or long-term debt, but do have a rating in one of the two highest rating categories assigned by any Rating Agency (without regard to any refinement or gradation of rating category by numerical modifier or otherwise), then investment agreements with such non-bank financial institutions will be permitted;

(h) asset-backed securities, commercial mortgage-backed securities, or mortgage-backed securities which are, at the time of purchase, rated by any Rating Agency in any of the two highest rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise);

(i) repurchase agreements with respect to and secured by Government Obligations or by obligations described in clauses (b) and (c) above, which agreements may be entered into with a bank (including without limitation the Bond Trustee or its affiliates), a trust company, financial services firm or a broker dealer which is a member of the Securities Investors Protection Corporation, provided that (i) the Bond Trustee or a custodial agent of the Bond Trustee has possession of the collateral and that the collateral is, to the knowledge of the Bond Trustee (without investigation), free and clear of third party claims, (ii) a master repurchase agreement or specific written repurchase agreement governs the transaction, (iii) the collateral securities are valued no less frequently than monthly, (iv) the fair market value of the collateral securities in relation to the amount of the repurchase obligation, including principal and interest, is equal to at least 103%, and (v) such obligations must be held (as applicable) in the custody of the Bond Trustee or Bond Trustee's agent;

(j) investments in a money market mutual fund rated (at the time of purchase) in the highest rating category for this type of investment by any Rating Agency, including those for which the Bond Trustee or its affiliates receives and retains a fee for services provided to the fund, whether as a custodian, transfer agent, investment advisor or otherwise; and

(k) shares in any investment company, money market mutual fund, fixed income mutual fund, exchange traded fund or other collective investment fund registered under the Federal Investment Company Act of 1940, whose shares are registered under the Securities Act of 1933, and whose investments consist solely of Qualified Investments as defined in paragraphs (a) through (j) above, including money market mutual funds from which the Bond Trustee or its affiliates derive a fee for investment advisory, custodial, transfer agency or other services to the fund.

The Bond Trustee shall be entitled to assume that any investment which at the time of purchase is a Qualified Investment remains a Qualified Investment thereafter, absent receipt of written notice to the contrary.

For the purposes of this definition, obligations issued or held in the name of the Bond Trustee (or in the name of a Government Issuer and payable to the Bond Trustee) in book-entry form on the books of the Department of Treasury of the United States shall be deemed to be deposited with the Bond Trustee, as applicable.

“Rating Agencies” means Moody’s, Fitch or S&P, and their respective successors and assigns.

“Rating Category” means one of the general rating categories of the Rating Agencies without regard to any refinement or gradation of such rating category by numerical modifier or otherwise.

“Rebate Fund” means the fund by that name established pursuant to the Bond Indenture.

“Record Date” means the first day (whether or not a Business Day) of the month of each Interest Payment Date.

“Redemption Fund” means the fund by that name created under the Bond Indenture.

“Redemption Price” means, with respect to any Bond (or portion thereof), the price to be paid upon redemption as set forth under the heading “THE BONDS – Redemption of the Bonds” in this Official Statement.

“Registrar” means the Bond Trustee, as keeper of the Bond Register.

“Revenue Fund” means the fund by that name created and held by the Bond Trustee the Bond Indenture.

“S&P” means S&P Global Ratings, a corporation organized and existing under the laws of the State of New York, its successors and assigns, and, if such entity shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, any other nationally recognized securities rating agency designated by the Authority at the written direction of the Corporation, with written notice to the Authority and the Bond Trustee.

“Securities Depository” means DTC and its successors and assigns or if (i) the then-Securities Depository resigns from its functions as depository of the Bonds or (ii) the Authority discontinues use of the then-Securities Depository pursuant to the Bond Indenture, any other securities depository which is selected by the Authority at the request of the Corporation.

“Series 2024 Obligation” means Obligation No. 1 of the Corporation in substantially the form attached to the First Supplemental Master Indenture.

“Special Record Date” means the date fixed by the Bond Trustee pursuant to the Bond Indenture for the payment of Defaulted Interest.

“State” means the State of California.

“Tax Certificate” means the Tax Exemption Certificate and Agreement signed by the Corporation, the Authority and the Bond Trustee concurrently with the issuance of the Bonds.

“Tax-Exempt Organization” means any governmental person as defined by Section 1.141-1(b) of the Income Tax Regulations, or a Person organized under the laws of the United States of America or any state thereof which is (a) an organization described in Section 501(c)(3) of the Code or is treated as an

organization described in Section 501(c)(3) of the Code and is not a private foundation under Section 509(a) of the Code, and (b) exempt from federal income taxes under Section 501(a) of the Code, or corresponding provisions of federal income tax laws from time to time in effect, except for income from an unrelated trade or business as defined in Section 513(a) of the Code.

“Unassigned Rights” means the Authority’s right to receive payment of its fees and expenses, the Authority’s rights to indemnification under the Loan Agreement, the Authority’s right to execute and deliver supplements and amendments to the Loan Agreement, the Authority’s rights to receive notices hereunder and under the Loan Agreement and the Authority’s rights to give consents and make certain appointments hereunder and under the Loan Agreement.

“Unrelated Trade or Business” means an activity which constitutes an “unrelated trade or business” within the meaning of Section 513(a) of the Code without regard to whether such activity results in unrelated trade or business income subject to taxation under Section 512(a) of the Code.

“Written Request” means with reference to the Authority, a request in writing signed by an Authorized Signatory of the Authority and with reference to the any Member of the Obligated Group means a request in writing signed by an Authorized Representative of such Obligated Group Member or the Corporation, or any other officers designated by the Authority or such Obligated Group Member or the Corporation, as the case may be.

THE BOND INDENTURE

DEFAULTED INTEREST

Defaulted Interest with respect to any Bond shall cease to be payable to the Holder of such Bond on the relevant Record Date and shall be payable to the Holder in whose name such Bond is registered at the close of business of the Bond Trustee on the Special Record Date for the payment of such Defaulted Interest, which shall be fixed in the following manner. The Corporation shall notify the Bond Trustee in writing of the amount of Defaulted Interest proposed to be paid on each Bond and the date of the proposed payment (which date shall be such as will enable the Bond Trustee to comply with the next sentence hereof), and at the same time the Corporation shall deposit with the Bond Trustee an amount of money equal to the aggregate amount proposed to be paid in respect of such Defaulted Interest or shall make arrangements satisfactory to the Bond Trustee for such deposit prior to the date of the proposed payment, such money when deposited to be held in trust for the benefit of the holders of the Bonds entitled to such Defaulted Interest as provided in this Section. Following receipt of such funds the Bond Trustee shall fix a Special Record Date for the payment of such Defaulted Interest which shall be not more than 15 nor less than 10 days prior to the date of the proposed payment and not less than 10 days after the receipt by the Bond Trustee of the notice of the proposed payment. The Bond Trustee shall promptly notify the Corporation of such Special Record Date and, in the name and at the expense of the Corporation, shall cause notice of the proposed payment of such Defaulted Interest and the Special Record Date therefor to be mailed, first class postage prepaid, to each holder of a Bond at the address of such holder as it appears on the registration books kept by the Bond Trustee not less than 10 days prior to such Special Record Date. Such Defaulted Interest shall be paid to the holders of the Bonds on which such Defaulted Interest is to be paid in whose names such Bonds are registered on such Special Record Date.

PAYMENTS AND NOTICES TO CEDE & CO.

Notwithstanding any other provision of the Bond Indenture to the contrary, so long as any Bond is registered in the name of Cede & Co., as nominee of DTC, all payments with respect to principal of, premium, if any, and interest on such Bond and all notices with respect to such Bond shall be made and given, respectively, in the manner provided in the Letter of Representations. The Bond Trustee shall request in each notice sent to Cede & Co. pursuant to the terms of the Bond Indenture that Cede & Co. forward or cause to be forwarded such notice to the DTC Participants.

EXPENSE FUND AND PROJECT FUND

The Bond Trustee shall establish a separate fund to be known as the “Expense Fund,” and an initial deposit to the credit of the Expense Fund will be made in accordance with the Bond Indenture. Amounts on deposit in the Expense Fund shall be disbursed upon the receipt by the Bond Trustee of a requisition signed by an Authorized Representative in the form set forth in Exhibit B of the Bond Indenture for the payment of Costs of Issuance. At such time as the Bond Trustee is furnished with a Written Request of the Corporation stating that all Costs of Issuance have been paid, and in no event later than November 15, 2024, the Bond Trustee shall transfer any moneys remaining in the Expense Fund to the Revenue Fund and the Bond Trustee shall close the Expense Fund. Each such requisition shall be sufficient to evidence to the Bond Trustee the facts stated therein and the Bond Trustee shall have no duty to confirm the accuracy of such facts. In each such requisition, the Authorized Representative of the Corporation shall certify that the requested disbursement for Costs of Issuance of the Bonds, when added to all disbursements from the Expense Fund for Costs of Issuance under previous requisitions, will not result in more than two percent (2%) of the proceeds of the Bonds having been drawn from the Expense Fund or otherwise used to pay Costs of Issuance of the Bonds. In the event a disbursement from the Expense Fund is made which is not consistent with that certification of the Corporation, the Corporation will promptly repay to the Bond Trustee for deposit in the Expense Fund such amount as may be necessary for the certification made by the Corporation in the requisition to be accurate.

The Bond Trustee shall establish, maintain and hold in trust a separate fund designated as the “Project Fund.” The moneys in the Project Fund shall be used to pay the costs of the 2024 Project. Before any payment from the Project Fund shall be made, the Corporation shall file or cause to be filed with the Bond Trustee a requisition signed by an Authorized Representative in the form of Exhibit C of the Bond Indenture. Upon receipt of each such requisition, the Bond Trustee shall pay the amount set forth in such requisition as directed by the terms thereof out of the Project Fund. The Bond Trustee need not make any such payment if it has received notice of any lien, right to lien or attachment upon, or claim affecting the right to receive payment of, any of the moneys to be paid, which has not been released or will not be released simultaneously with such payment. The Bond Trustee shall not be responsible for the accuracy or correctness of any such requisition.

When the Project shall have been completed, there shall be delivered to the Bond Trustee by the Corporation a completion certificate signed by an Authorized Representative of the Corporation stating the fact and date of such completion and stating that all of the costs thereof have been determined and paid (or that all of such costs have been paid less specified claims which are subject to dispute and for which a retention in the Project Fund is to be maintained in the full amount of such claims until such dispute is resolved), in the form of Exhibit D of the Bond Indenture. Upon the receipt of such certificate, the Bond Trustee shall, as directed by said certificate, transfer any remaining balance in the Project Fund to the Redemption Fund. Upon such transfer and the final disbursement of any remaining funds, the Project Fund shall be closed.

PLEDGE AND ASSIGNMENT; REVENUE FUND

The Bonds and all payments to be made by the Authority thereon and into the various funds established under the Bond Indenture are not general obligations of the Authority but are limited obligations payable solely from (i) payments or prepayments under the Loan Agreement pledged hereunder (other than Unassigned Rights), (ii) payments or prepayments upon the Series 2024 Obligation, (iii) certain moneys and investments held by the Bond Trustee hereunder and (iv) in certain circumstances provided in the Bond Indenture, proceeds from insurance and condemnation awards or sales consummated under threat of condemnation.

The Authority shall establish with the Bond Trustee and maintain so long as any of the Bonds are outstanding a separate fund to be known as the "Revenue Fund." All payments upon the Series 2024 Obligation and all payments under the Loan Agreement, as and when received by the Bond Trustee, shall be deposited in the Revenue Fund and shall be held therein until disbursed as provided in the Bond Indenture. Pursuant to the assignment and pledge of payments upon the Series 2024 Obligation set forth in the granting clauses contained in the Bond Indenture, the Authority will direct the Corporation to make payments under the Loan Agreement and upon the Series 2024 Obligation directly to the Bond Trustee when and as the same become due and payable by the Corporation under the terms of the Loan Agreement and such the Series 2024 Obligation.

If on the date any payment under the Loan Agreement or upon the Series 2024 Obligation pledged hereunder is due, the Bond Trustee has not received such payment, the Bond Trustee shall request the Master Trustee to give immediate telephonic notice promptly confirmed in writing to each Obligated Group Member and the Corporation of the nonpayment.

On or before the tenth (10th) day of each month, commencing October 10, 2024, the Bond Trustee shall transfer from the Revenue Fund and deposit into the following respective funds the following amounts, in the following order of priority, the requirements of each such fund (including the making up of any deficiencies in any such fund resulting from lack of funds sufficient to make any earlier required deposit) at the time of deposit to be satisfied before any transfer is made to any fund subsequent in priority:

First: to the Interest Fund, one-sixth of the aggregate amount of interest becoming due and payable during the next succeeding six months on all Bonds then Outstanding, until the balance in the Interest Fund is equal to said aggregate amount of interest; provided, however, that from the date of delivery of the Bonds until the first Interest Payment Date with respect to the Bonds (if less than six months), transfers to the Interest Fund shall be sufficient on a monthly pro rata basis to pay the interest becoming due and payable on said Interest Payment Date;

Second: to the Bond Sinking Fund, one-twelfth of the aggregate amount of principal becoming due and payable by maturity and mandatory Bond Sinking Fund redemption during the next succeeding twelve months on all Bonds then Outstanding, until the balance in the Bond Sinking Fund is equal to said aggregate amount of principal and mandatory Bond Sinking Fund redemption payments; provided, however, that from the date of delivery of the Bonds until the first principal or mandatory Bond Sinking Fund redemption payment date with respect to the Bonds (if less than twelve months), transfers to the Bond Sinking Fund shall be sufficient on a monthly pro rata basis to pay the principal or mandatory Bond Sinking Fund redemption payments becoming due and payable on said principal or mandatory Bond Sinking Fund redemption payment date;

Third: to the Rebate Fund, such amounts as are required to be deposited therein by the Bond Indenture (including the Tax Certificate).

Any moneys remaining in the Revenue Fund after the foregoing transfers shall be transferred to the Corporation. The Interest Fund, Bond Sinking Fund, Redemption Fund and Rebate Fund will be administered by the Bond Trustee in accordance with the Bond Indenture.

INVESTMENT OF FUNDS

Upon receipt of a Written Request of the Corporation filed with the Bond Trustee, moneys in the Revenue Fund, Interest Fund, Bond Sinking Fund, Redemption Fund and Expense Fund shall remain invested, to the extent possible, at all times until the moneys therein are required to be used and shall be invested in Qualified Investments. If the Corporation fails to file such a Written Request with the Bond Trustee, moneys in such funds shall be invested in Qualified Investments described in paragraph (iii) of the definition thereof; provided, however, that any such investment shall be made by the Bond Trustee only if, prior to the date on which such investment is to be made, the Bond Trustee shall have received a Written Request of the Corporation specifying a specific money market fund and, if no such Written Request of the Corporation is so received, the Bond Trustee shall hold such moneys uninvested. Such investments shall be made so as to mature on or prior to the date or dates that moneys therefrom are anticipated to be required. The Bond Trustee, when authorized by the Corporation, may trade with itself in the purchase and sale of securities for such investment; provided, however, that in no case shall investments be otherwise than in accordance with the investment limitations contained in the Bond Indenture. The Corporation shall be responsible for all Written Requests complying with the requirements of the Tax Certificate. The Bond Trustee shall not be liable or responsible for any loss resulting from any such investments. Any purchase or sale of securities may be accomplished through the Bond Trustee's bond department.

All income derived from the investment of moneys on deposit in any such funds shall be deposited, on the second Business Day of each month, in the following funds, in the order listed: (1) the Rebate Fund to the extent required by the Bond Indenture; (2) the Bond Sinking Fund and the Interest Fund (in that order), to the extent, with respect to the Bond Sinking Fund, of the amount required to be deposited in the Bond Sinking Fund to make the next required principal payment on the Bonds if such payment is scheduled to occur within 13 months of such transfer and to the extent, with respect to the Interest Fund, of the amounts which the Bond Trustee estimates based on the then current interest rate of the Bonds will be required to be deposited in the Interest Fund necessary to make any interest payments on the Bonds occurring within 13 months of such transfer; and (3) the balance, if any, in the Redemption Fund.

REDEMPTION

See "THE BONDS – REDEMPTION OF THE BONDS" in the front of this Official Statement for a description of the Bond redemption terms. Additional information concerning redemption is provided below.

CERTAIN COVENANTS OF THE AUTHORITY

Payment on Bonds. Subject to the limited source of payment referred to below, the Authority covenants that it will promptly pay the principal of, premium, if any, and interest on every Bond issued under the Bond Indenture at the place, on the dates and in the manner provided in the Bond Indenture and in said Bonds according to the true intent and meaning thereof. The principal of, and interest, Redemption Price and premium, if any, on the Bonds are payable solely from (i) payments under the Loan Agreement (except for Unassigned Rights), (ii) payments or prepayments by the Corporation or any other Obligated Group Member upon the Series 2024 Obligation, (iii) certain funds held by the Bond Trustee under the Bond Indenture, (iv) under certain circumstances, certain proceeds of insurance, condemnation awards or sales consummated under threat of condemnation, (v) income from investment of any of the foregoing, and (vi) any other sources provided to the Bond Trustee by the Corporation, as described in the Bond Indenture.

Such the Series 2024 Obligation, Loan Agreement (other than Unassigned Rights) and payments thereon are specifically assigned and pledged to the payment of the Bonds in the manner and to the extent specified in the Bond Indenture, and nothing in the Bonds or in the Bond Indenture shall be considered as assigning or pledging any funds or assets of the Authority (except the moneys, the Series 2024 Obligation and the Loan Agreement (other than Unassigned Rights) pledged under the Bond Indenture and then only to the extent therein provided).

Performance of Covenants. The Authority covenants that it will faithfully perform on its part at all times any and all covenants, undertakings, stipulations and provisions contained in the Bond Indenture, in any and every Bond executed, authenticated and delivered under the Bond Indenture and in all of its proceedings pertaining thereto; provided, however, that except for the matters set forth in any documents relating to payment of the Bonds, the Authority shall not be obligated to take any action or execute any instrument pursuant to any provision of the Bond Indenture until it shall have been requested to do so by the Corporation or by the Bond Trustee, or shall have received the instrument to be executed and at the option of the Authority shall have received from the party requesting such action or execution assurance satisfactory to the Authority that the Authority shall be reimbursed for its reasonable expenses, including legal counsel fees, incurred or to be incurred in connection with taking such action or executing such instrument. The Authority covenants that it is duly authorized under the Constitution and the laws of the State, including particularly the Act to issue the Bonds authorized by the Bond Indenture and to execute the Bond Indenture, to grant the security interest provided in the Bond Indenture, to assign and pledge the Loan Agreement and the Series 2024 Obligation (except as otherwise provided in the Bond Indenture) and to assign and pledge the amounts thereby assigned and pledged in the manner and to the extent set forth in the Bond Indenture, that all action on its part for the issuance of the Bonds and the execution and delivery of the Bond Indenture has been duly and effectively taken, and that the Bonds in the hands of the owners thereof are and will be valid and enforceable obligations of the Authority according to the terms thereof and hereof. Anything contained in the Bond Indenture to the contrary notwithstanding, it is understood that none of the covenants of the Authority contained in the Bond Indenture are intended to create a general or primary obligation of the Authority.

Ownership; Instruments of Further Assurance. The Authority represents that it lawfully owns the Series 2024 Obligation and that the pledge and assignment thereof and the assignment of the Loan Agreement to the Bond Trustee made by the Bond Indenture are valid and lawful. The Authority covenants that it will defend its title to the Series 2024 Obligation and its interest in the Loan Agreement and the assignment thereof to the Bond Trustee, for the benefit of the holders and owners of the Bonds, against the claims and demands of all persons whomsoever. The Authority covenants that it will do, execute, acknowledge and deliver or cause to be done, executed, acknowledged and delivered, such indentures supplemental hereto and such further acts, instruments and transfers as the Bond Trustee may reasonably require for the better assuring, transferring, mortgaging, conveying, pledging, assigning and confirming unto the Bond Trustee, the Series 2024 Obligation, the Loan Agreement and all payments thereon and thereunder (except for Unassigned Rights) pledged under the Bond Indenture to the payment of the principal of, premium, if any, and interest on the Bonds.

Recording and Filing. In order to perfect the security interest of the Bond Trustee in the Trust Estate and to perfect the security interest in the Series 2024 Obligation pledged hereunder, the Authority, to the extent permitted by law, will execute such security agreements or financing statements, naming the Bond Trustee as assignee and pledgee of the Trust Estate assigned and pledged under the Bond Indenture for the payment of the principal of, premium, if any, and interest on the Bonds and as otherwise provided in the Bond Indenture, and the Corporation will cause the same to be duly filed and recorded, as the case may be, in the appropriate State and county offices as required by the provisions of the Uniform Commercial Code or other similar law as adopted in the State, as from time to time amended. To continue the security interest evidenced by such security agreements or financing statements, the Corporation shall file and record

or cause to be filed and recorded such necessary continuation statements or supplements thereto and other instruments from time to time as may be required pursuant to the provisions of the said Uniform Commercial Code or other similar law to fully preserve and protect the security interest of the Bond Trustee in the Trust Estate and to perfect the security interest in the Series 2024 Obligation pledged hereunder. The Authority, to the extent permitted by law, at the expense of the Corporation, shall execute and cause to be executed any and all further instruments as shall be reasonably required by the Bond Trustee for such protection and perfection of the interests of the Bond Trustee or the registered owners, and the Bond Trustee or the Corporation, as the case may be, shall file and refile or cause to be filed and refiled such instruments which shall be necessary to preserve and perfect the lien of the Bond Indenture upon the Trust Estate until the principal of, premium, if any, and interest on the Bonds issued hereunder shall have been paid or provision for their payment shall be made as provided in the Bond Indenture.

Bond Register. The Bond Trustee will keep or cause to be kept at its Principal Office sufficient books for the registration and transfer of the Bonds, which shall at all times be open to inspection during regular business hours by the Authority upon reasonable notice; and, upon presentation for such purpose, the Bond Trustee shall, under such reasonable regulations as it may prescribe, register or transfer or cause to be registered or transferred, on such books, Bonds as provided in the Bond Indenture.

Rights under the Loan Agreement. The Authority agrees that the Bond Trustee in its own name or in the name of the Authority may enforce all rights of the Authority and all obligations of the Corporation under and pursuant to the Loan Agreement and any obligation of any Obligated Group Member under the Series 2024 Obligation for and on behalf of the Bondholders (other than Unassigned Rights), whether or not the Authority is in default hereunder. Notwithstanding anything to the contrary in the Bond Indenture, the Authority shall have no obligation to and instead the Bond Trustee may, without further direction from the Authority, take any and all steps, actions and proceedings, to enforce any or all rights of the Authority (other than Unassigned Rights) under the Bond Indenture or the Loan Agreement, including, without limitation, the rights to enforce the remedies upon the occurrence and continuation of an Event of Default and the obligations of the Corporation under the Loan Agreement.

Additional Paying Agents. Initially, the Bond Trustee shall be the Paying Agent. The Authority with the consent of the Corporation (which consent shall not unreasonably be withheld) may cause the necessary arrangements to be made through the Bond Trustee and to be thereafter continued for the designation of alternate Paying Agents, if any, and for the making available of funds hereunder for the payment of such of the Bonds as shall be presented when due at the principal corporate trust office of the Bond Trustee, or its successor in trust hereunder, or at the Principal Office of said alternate Paying Agents. Any Paying Agent designated hereunder shall be in full compliance with the provisions of the Bond Indenture.

Tax Covenants. The Authority covenants to and for the benefit of the purchasers and owners of the Bonds from time to time outstanding that so long as any of the Bonds remain outstanding, it will comply with the tax covenants set forth in the Bond Indenture and Tax Certificate.

EVENTS OF DEFAULT; ACCELERATION AND OTHER REMEDIES

Each of the following events is declared an “event of default” under the Bond Indenture, that is to say, if:

(a) payment of any installment of interest payable on any of the Bonds shall not be made when the same shall become due and payable; or

(b) payment of the principal or the premium, if any, payable on any of the Bonds shall not be made when the same shall become due and payable, either at Maturity, by proceedings for redemption, upon acceleration, through failure to make any payment to any fund hereunder or otherwise; or

(c) any event of default as defined in the Loan Agreement or the provisions of the Master Indenture summarized under the heading “APPENDIX C – SUMMARY OF MASTER INDENTURE AND DEEDS OF TRUST – The Master Indenture – Defaults and Remedies – Events of Default” shall occur as a result of which the Authority or the Bond Trustee is entitled under the Loan Agreement to request that the Master Trustee declare the Series 2024 Obligation to be immediately due and payable or such event of default shall be continuing from and after the date on which the Master Trustee is entitled under the Master Indenture to declare any Obligation immediately due and payable, or the Master Trustee shall declare any Obligation declare the loan to be immediately due and payable; or

(d) the Authority shall default in the due and punctual performance of any other of the covenants, conditions, agreements and provisions contained in the Bonds or in the Bond Indenture or any agreement supplemental hereto to be performed on the part of the Authority, and such default shall continue for the period of 30 days after written notice specifying such default and requiring the same to be remedied shall have been given to the Authority and the Corporation by the Bond Trustee; provided that the Bond Trustee may give such notice in its discretion and shall give such notice at the written request of the holders of not less than 25% in aggregate principal amount of the Bonds then outstanding hereunder; provided further that if such default cannot with due diligence and dispatch be wholly cured within 30 days but can be wholly cured, the failure of the Authority to remedy such default within such 30-day period shall not constitute a default hereunder if the Authority shall immediately upon receipt of such notice commence with due diligence and dispatch the curing of such default and, having so commenced the curing of such default, shall thereafter prosecute and complete the same with due diligence and dispatch and the same shall in all events be cured within 60 days after written notice thereof from the Bond Trustee to the Corporation. If on the date payment of principal of or interest on any Bonds is due, sufficient moneys are not available to make such payment, the Bond Trustee shall give telephonic notice, confirmed in writing, of such insufficiency to the Corporation.

The Bond Trustee shall give the Corporation Immediate Notice of any failure of the Corporation to pay any installment of interest, principal or premium on the Series 2024 Obligation or any other payment required by the Loan Agreement when the same shall become due and payable, whether upon a scheduled Interest Payment Date, at Maturity, upon any date fixed for prepayment, by acceleration or otherwise.

Upon the happening of any event of default specified in paragraph (c) or (d) and the continuance of the same for the period, if any, specified in said paragraphs, the Bond Trustee as the assignee of the Authority may, upon the happening of an event of default specified in paragraph (a) or (b), and without any action on the part of the Bondholders, or upon the happening and continuance of any other event of default (other than those specified in paragraph (a) or (b) and with the written request of the holders of not less than 25% in aggregate principal amount of the Bonds then outstanding under the Bond Indenture (exclusive of Bonds then owned by the Corporation, the Authority or an affiliate), except as provided in the Bond Indenture, the Bond Trustee as assignee of the Authority shall, by notice in writing delivered to the Authority, declare the entire principal amount of the Bonds then outstanding hereunder and the interest accrued thereon, immediately due and payable, and the entire principal and interest shall thereupon become and be immediately due and payable, subject, however, to the provisions of the Bond Indenture with respect to waivers of events of default. The Bond Trustee shall give notice thereof by first class mail, postage prepaid, to all owners of outstanding Bonds, the Authority and the Corporation; provided, however, that the giving of such notice shall not be considered a precondition to the Bond Trustee declaring the entire principal amount of the Bonds then outstanding and the interest thereon immediately due and payable. Interest shall cease to accrue upon declaration of acceleration.

Upon the occurrence of any event of default the Bond Trustee may, with the written consent of not less than 25% in aggregate principal amount of the Bonds, and shall, upon being indemnified to its satisfaction, at the direction of not less than 25% in aggregate principal amount of the Bonds, pursue any available remedy, including a suit at law or in equity to: (a) enforce the payment of the principal of, premium, if any, and interest on the Bonds outstanding hereunder, (b) by mandamus, or other suit, action or proceeding at law or in equity, enforce all rights of the owners under, and require the Authority or the Corporation to carry out any agreements with or for the benefit of the owners of Bonds and to perform its or their duties under, the Act, the Series 2024 Obligation, the Loan Agreement and the Bond Indenture, provided that any such remedy may be taken only to the extent permitted under the applicable provisions of the Loan Agreement or the Bond Indenture, as the case may be; (c) bring suit upon the Bonds; or (d) by action or suit in equity to enjoin any acts or things which may be unlawful or in violation of the rights of the owners of Bonds.

If an Event of Default shall have occurred, and if the Bond Trustee shall have been requested to do so by the owners of not less than 25% in aggregate principal amount of Bonds then outstanding and the Bond Trustee shall have been indemnified as provided in the Bond Indenture, the Bond Trustee shall be obligated to exercise such one or more of the rights and powers conferred by this Section as the Bond Trustee shall deem most expedient in the interests of the owners of Bonds; provided, however, that the Bond Trustee shall have the right to decline to comply with any such request or direction if the Bond Trustee shall be advised by counsel (who may be its own counsel) that the action so requested may not lawfully be taken or the Bond Trustee in good faith shall determine that such action would be unjustly prejudicial to the holders of Bonds not parties to such request.

No remedy by the terms of the Bond Indenture conferred upon or reserved to the Bond Trustee (or to the holders of Bonds) is intended to be exclusive of any other remedy, but each and every such remedy shall be cumulative and shall be in addition to any other remedy given to the Bond Trustee or the holders of Bonds hereunder now or hereafter existing at law or in equity or by statute.

No delay or omission to exercise any right or power accruing upon any default or Event of Default shall impair any such right or power or shall be construed to be a waiver of any such default or Event of Default, or acquiescence therein; and every such right and power may be exercised from time to time and as often as may be deemed expedient.

No waiver of any default or Event of Default hereunder, whether by the Bond Trustee or by the holders of Bonds, shall extend to or shall affect any subsequent default or Event of Default or shall impair any rights or remedies consequent thereon.

When the Bond Trustee incurs expenses or renders services after the occurrence of an act of bankruptcy with respect to the Authority, the Corporation or any other Member of the Obligated Group, such expenses and the compensation for such services are intended to constitute expenses of administration under any federal or state bankruptcy, insolvency, arrangement, moratorium, reorganization or other debtor relief law.

All moneys received by the Bond Trustee or by any receiver pursuant to any right given or action taken under the event-of-default provisions of the Master Indenture and any other funds then held shall, after payment to the Bond Trustee of the cost and expenses of the proceedings resulting in the collection of such moneys and of the fees of, and the expenses, liabilities and advances incurred or made by the Bond Trustee which are outstanding at the request or with the concurrence of the Bond Trustee, be deposited in the Revenue Fund and all moneys (other than moneys for the payment of Bonds which have previously matured or otherwise become payable prior to such Event of Default or for the payment of interest which

became due prior to such Event of Default) in the Funds maintained by the Bond Trustee shall be applied as set forth in the Bond Indenture.

THE BOND TRUSTEE

The Bond Trustee agrees to act as Bond Trustee, Paying Agent and Registrar hereunder and accepts and agrees to execute the trusts imposed upon it by the Bond Indenture, but only upon the terms and conditions set forth in the Bond Indenture. The Bond Trustee, prior to the occurrence of an Event of Default and after the curing of all Events of Default which may have occurred, undertakes to perform such duties and only such duties as are specifically set forth in the Bond Indenture, and no implied covenants or obligations should be read into the Bond Indenture against the Bond Trustee. If any Event of Default under the Bond Indenture shall have occurred and be continuing, the Bond Trustee shall exercise such of the rights and powers vested in it by the Bond Indenture and shall use the same degree of care as a prudent person would exercise or use in the circumstances in the conduct of such prudent person's own affairs. The Bond Trustee agrees to perform such trusts only upon and subject to the expressed terms and conditions of the Bond Indenture.

If a default occurs of which the Bond Trustee is by the Bond Indenture required to take notice or if notice of default be given, then the Bond Trustee shall give written notice thereof by mail to the last known owners of all Bonds then outstanding shown by the Bond Register. If a default occurs pursuant to certain provisions of the Bond Indenture, the Bond Trustee shall give Immediate Notice to the Owners of all Bonds. If any other default occurs, the Bond Trustee shall give written notice to the owners of all Bonds within five days of the Bond Trustee's knowledge thereof.

Any corporation or association into which the Bond Trustee may be converted or merged, or with which it may be consolidated, or to which it may sell or transfer its corporate trust business as a whole or substantially as a whole, or any corporation or association resulting from any such conversion, sale, merger, consolidation or transfer to which it is a party, provided such corporation or association is otherwise eligible under Section 806, shall be and become successor Bond Trustee hereunder, vested with all of the title to the whole property or trust estate and all the trusts, powers, discretions, immunities, privileges and all other matters as was its predecessor, without the execution or filing of any instrument or any further act, deed or conveyance on the part of any of the parties hereto, anything in the Bond Indenture to the contrary notwithstanding.

There shall at all times be a Bond Trustee under the Bond Indenture which shall be a bank, national banking association or trust company within California organized under the laws of the United States of America or the State, authorized to exercise corporate trust powers, subject to supervision or examination by federal or state authorities, and having a reported combined capital and surplus of not less than \$100,000,000 or, alternatively a liability policy having the type of coverage and in an amount acceptable to the Authority and the Corporation. The Bond Trustee must also have an operations group of at least four experienced trust officers, with primary responsibility for municipal bond issues. The Bond Trustee must also administer at least 25 municipal bond indentures aggregating at least \$250,000,000. If at any time the Bond Trustee shall cease to be eligible in accordance with the provisions of this Section, it shall resign immediately in the manner provided in the Bond Indenture. No resignation or removal of the Bond Trustee and no appointment of a successor Bond Trustee shall become effective until all outstanding fees and expenses of the prior Bond Trustee have been paid or provided for and the successor Bond Trustee has accepted its appointment under the Bond Indenture.

The Bond Indenture has provisions regarding resignation, removal and appointment of successor bond trustees.

SUPPLEMENTAL BOND INDENTURES

Supplements Not Requiring Consent of Holders. Subject to the limitation set forth below, the Authority and the Bond Trustee may, without the consent of, or notice to, any of the Bondholders, enter into an indenture or indentures supplemental to the Bond Indenture, as shall not be inconsistent with the terms and provisions of the Bond Indenture, for any one or more of the following purposes:

- (a) to cure any ambiguity or formal defect or omission in the Bond Indenture;
- (b) to grant to or confer upon the Bond Trustee for the benefit of the Bondholders any additional rights, remedies, powers or authority that may lawfully be granted to or conferred upon the Bondholders and the Bond Trustee, or either of them;
- (c) to assign and pledge under the Bond Indenture additional revenues, properties or collateral;
- (d) to evidence the appointment of a separate co-bond trustee or the succession of a new bond trustee hereunder;
- (e) to permit the qualification of the Bond Indenture under the Trust Indenture Act of 1939, as then amended, or any similar federal statute hereafter in effect or to permit the qualification of the Bonds for sale under the securities laws of any state of the United States;
- (f) to permit the issuance of coupon bonds hereunder and to permit the exchange of Bonds from registered form to coupon form and vice versa;
- (g) to provide for the refunding or advance refunding of any Bonds, including providing for the establishment and administration of an escrow fund and the taking of related action in connection therewith;
- (h) to the extent necessary, as evidenced by an Opinion of Bond Counsel, to preserve the exclusion of interest on the Bonds outstanding from gross income for the federal income tax purposes; and
- (i) to make any other change that, in the judgment of the Bond Trustee, does not materially adversely affect the rights of any Bondholders.

The Authority and the Bond Trustee may not enter into a bond indenture or indentures supplemental to the Bond Indenture pursuant to paragraph (f) unless they shall have received an Opinion of Bond Counsel to the effect that entry into such indenture and the issuance of coupon Bonds pursuant thereto is permitted under the Bond Indenture and will not, in and of itself, adversely affect the validity or enforceability of the Bonds or result in the inclusion of interest on the Bonds in gross income for federal income tax purposes. The Bond Trustee may decline in its discretion to enter into an indenture supplemental to the Bond Indenture pursuant to the other subparagraphs above unless it receives such an Opinion of Bond Counsel.

If at any time the Authority or the Bond Trustee proposes to enter into an indenture supplemental to the Bond Indenture pursuant to the foregoing, the Bond Trustee shall cause notice of the proposed execution of such supplemental indenture to be given to any Rating Agency then maintaining a rating on any of the Bonds in the manner provided in the Bond Indenture at least 10 days prior to the execution of such supplemental indenture, which notice shall include a copy of the proposed supplemental indenture.

Supplements Requiring Consent of Holders. In addition to supplemental indentures described above and subject to the terms and provisions contained in the Bond Indenture, and not otherwise, the holders of not less than a majority in aggregate principal amount of the Bonds which are outstanding hereunder at the time of the execution of such indenture or supplemental indenture, shall have the right, from time to time, anything contained in the Bond Indenture to the contrary notwithstanding, to consent to and approve the execution by the Authority and the Bond Trustee of such other indenture or indentures supplemental hereto as shall be deemed necessary and desirable by the Authority for the purpose of modifying, altering, amending, adding to or rescinding, in any particular, any of the terms or provisions contained in the Bond Indenture or in any supplemental indenture; provided, however, that nothing contained in this section or in the section described above shall permit, or be construed as permitting, a supplemental indenture to effect: (a) an extension of the stated maturity or reduction in the principal amount of, or reduction in the rate or extension of the time of paying of interest on, or reduction of any premium payable on the redemption of, any Bonds, without the consent of the holders of such Bonds; (b) a reduction in the amount or extension of the time of any payment required to be made to or from the Interest Fund or the Bond Sinking Fund; (c) the creation of any lien prior to or on a parity with the lien of the Bond Indenture on the property described in the Granting Clauses of the Bond Indenture or the deprivation of any Bondholder of the lien created by the Bond Indenture on such property, without the consent of the holders of all the Bonds at the time outstanding; (d) a reduction in the aforesaid aggregate principal amount of Bonds the holders of which are required to consent to any such supplemental indenture, without the consent of the holders of all the Bonds at the time outstanding which would be affected by the action to be taken; or (e) a modification of the rights, duties or immunities of the Bond Trustee, without the written consent of the Bond Trustee.

If at any time the Authority shall request the Bond Trustee to enter into any such supplemental indenture for any of the purposes of this Section, the Bond Trustee shall, upon being satisfactorily indemnified with respect to expenses, cause notice of the proposed execution of such supplemental indenture to be mailed to each holder of Bonds as shown on the registration books of the Bond Trustee. Such notice shall briefly set forth the nature of the proposed supplemental indenture and shall state that copies thereof are on file at the Principal Office of the Bond Trustee for inspection by all Bondholders. The Bond Trustee shall not, however, be subject to any liability to any Bondholder by reason of its failure to mail such notice, and any such failure shall not affect the validity of such supplemental indenture when consented to and approved as provided in this Section. If the holders of the requisite principal amount of Bonds which are outstanding hereunder at the time of the execution of any such supplemental indenture shall have consented to and approved the execution thereof as provided in the Bond Indenture, no holder of any Bond shall have any right to object to any of the terms and provisions contained therein, or the operation thereof, or in any manner to question the propriety of the execution thereof, or to enjoin or restrain the Bond Trustee or the Authority from executing the same or from taking any action pursuant to the provisions thereof. Upon the execution of any such supplemental indenture as in this Section permitted and provided, the Bond Indenture shall be and be deemed to be modified and amended in accordance therewith.

If at any time the Authority or the Bond Trustee proposes to enter into an indenture supplemental to the Bond Indenture pursuant to the foregoing, the Bond Trustee shall cause notice of the proposed execution of such supplemental indenture to be given to any Rating Agency then maintaining a rating on any of the Bonds in the manner provided in the Bond Indenture at least 10 days prior to the execution of such supplemental indenture, which notice shall include a copy of the proposed supplemental indenture.

Anything in the Bond Indenture to the contrary notwithstanding, so long as Members of the Obligated Group are not in default under the Master Indenture and the Corporation is not in default under the Loan Agreement, a supplemental indenture shall not become effective unless and until the Corporation shall have consented in writing to the execution and delivery of such supplemental indenture. In this regard, the Bond Trustee shall cause notice of the proposed execution and delivery of any such supplemental

indenture to which the Corporation has not already consented, together with a copy of the proposed supplemental indenture and a written consent form to be signed by the Corporation, to be mailed by first class mail to the Corporation at least 30 days prior to the proposed date of execution and delivery of any such supplemental indenture.

AMENDMENTS TO THE LOAN AGREEMENT

The Authority, the Corporation and the Bond Trustee may, without the consent of or notice to the holders of the Bonds, consent to any amendment, change or modification of the Loan Agreement as may be required (i) by the provisions of the Bond Indenture or the Loan Agreement, (ii) for the purpose of curing any ambiguity or formal defect or omission, (iii) in connection with any other change therein which, in the judgment of the Bond Trustee, does not materially adversely affect the rights of the Bond Trustee or the holders of the Bonds, the Authority, or the Corporation, or (iv) as evidenced by an Opinion of Bond Counsel, to preserve the exclusion of interest on the Bonds outstanding from gross income for federal income tax purposes, provided, however, that nothing in the foregoing shall permit, or be construed as permitting, any amendment, change or modification of the Loan Agreement that may result in anything described in the lettered clauses of the provisions above relating to supplemental bond indentures requiring Bondholder consent, without the consent of each Bondholder affected. In addition, subject to the terms and provisions contained in the Bond Indenture, the Bond Trustee may grant such waivers of compliance by the Corporation with the provisions of the Loan Agreement as to which the Bond Trustee may deem necessary or desirable to effectuate the purposes of the intent of the Loan Agreement and which, in the opinion of the Bond Trustee, do not have a material adverse effect upon the interests of the Bondholders, provided that the Bond Trustee shall file with the Authority any and all such waivers granted by the Bond Trustee within three Business Days thereof.

Except for the amendments, changes or modifications described above, neither the Authority, the Corporation nor the Bond Trustee shall consent to any other amendment, change or modification of the Loan Agreement without the written approval or consent, given and procured as in this Section provided, of the holders of not less than a majority in aggregate principal amount of the Bonds which are outstanding hereunder at the time of execution of any such amendment, change or modification; provided, however, that nothing in this paragraph shall permit, or be construed as permitting, any amendment, change or modification of the Loan Agreement that may result in any amendment, change or modification described in the lettered clauses of the provisions above relating to supplemental bond indentures requiring Bondholder consent without the consent of each Bondholder affected. If at any time the Authority and the Corporation shall request the consent of the Bond Trustee to any such proposed amendment, change or modification of a Loan Agreement, the Bond Trustee shall, upon being satisfactorily indemnified with respect to expenses, cause notice of such proposed amendment, change or modification to be given in the same manner as provided by the provisions above relating to supplemental bond indentures requiring Bondholder consent with respect to supplemental indentures. Such notice shall briefly set forth the nature of such proposed amendment, change or modification and shall state that copies of the instrument embodying the same are on file at the Principal Office of the Bond Trustee for inspection by all Bondholders. The Bond Trustee shall not, however, be subject to any liability to any Bondholder by reason of its failure to give such notice, and any such failure shall not affect the validity of such amendment, change or modification when consented to and approved as provided in this Section. If the holders of the requisite principal amount of Bonds which are outstanding hereunder at the time of the execution of any such amendment, change or modification shall have consented to and approved the execution thereof as provided in the Bond Indenture, no holder of any Bond shall have any right to object to any of the terms and provisions contained therein, or the operation thereof, or in any manner to question the propriety of the execution thereof, or to enjoin or restrain the Bond Trustee or the Authority from executing the same or from taking any action pursuant to the provisions thereof.

If at any time the Corporation or the Authority proposes to enter into a supplemental Loan, the Bond Trustee shall cause notice of the proposed execution of such supplemental indenture to be given to any Rating Agency then maintaining a rating on any of the Bonds in the manner provided in the Bond Indenture at least 10 days prior to the execution of such supplemental loan agreement, which notice shall include a copy of the proposed supplemental loan agreement.

DEFEASANCE

If the Authority shall pay or provide for the payment of the entire indebtedness on all Bonds (including for the purposes hereof, Bonds held by the Corporation) outstanding in any one or more of the following ways: (a) by paying or causing to be paid the principal of (including redemption premium, if any) and interest on all Bonds outstanding, as and when the same become due and payable; (b) by depositing with the Bond Trustee, in trust, at or before maturity, moneys in an amount sufficient to pay or redeem (when redeemable) all Bonds outstanding (including the payment of premium, if any, and interest payable on such Bonds to the maturity or redemption date thereof), provided that such moneys, if invested, shall be invested in Defeasance Obligations which are not prepayable or callable prior to, but mature on a date on or prior to the date the moneys therefrom are anticipated to be required in an amount, without consideration of any income or increment to accrue thereon, sufficient to pay or redeem (when redeemable) and discharge the indebtedness on all Bonds outstanding at or before their respective maturity dates; it being understood that the investment income on such Defeasance Obligations may be used for any other purpose under the Act; (c) by delivering to the Bond Trustee, for cancellation by it, all Bonds outstanding; or (d) by depositing with the Bond Trustee, in trust, Defeasance Obligations which are not prepayable or callable prior to, but mature on a date on or prior to the date the moneys therefrom are anticipated to be required in such amount as the Bond Trustee shall determine (based upon a verification report as set forth below) will, together with the income or increment to accrue thereon, without consideration of any reinvestment thereof, and any uninvested cash, be fully sufficient to pay or redeem (when redeemable) and discharge the indebtedness on all Bonds outstanding at or before their respective maturity dates; provided that the Bond Trustee shall be permitted to rely upon an accountant's verification report as conclusive evidence of the sufficiency of the amount of such deposit, and if the Authority and the Corporation shall pay or cause to be paid all other sums payable hereunder by the Authority and all sums payable under the Bond Indenture and the estate and rights granted hereunder shall cease, determine, and become null and void, and thereupon the Bond Trustee shall, upon Written Request of the Authority, and upon receipt by the Bond Trustee of an Officer's Certificate of the Corporation and an opinion of Independent Counsel, each addressed to the Authority and the Bond Trustee, each stating that in the opinion of the signers all conditions precedent to the satisfaction and discharge of the Bond Indenture have been complied with, forthwith execute proper instruments acknowledging satisfaction of and discharging the Bond Indenture, the Loan Agreement and all financing statements filed in connection therewith, other than the liens on and financing statements filed in connection with such liens on the Defeasance Obligations deposited pursuant to the foregoing.

The satisfaction and discharge of the Bond Indenture shall be without prejudice to the rights of the Bond Trustee to charge and be reimbursed by the Authority and the Corporation for any expenditures which it may thereafter incur in connection herewith.

Any moneys, funds, securities, or other property remaining on deposit in the Revenue Fund, Interest Fund, Bond Sinking Fund, Redemption Fund, Expense Fund or in any other fund or investment under the Bond Indenture (other than said Defeasance Obligations or other moneys deposited in trust as above provided and other than amounts on deposit in the Rebate Fund) shall, upon the full satisfaction of the Bond Indenture, forthwith be transferred, paid over and distributed to the Corporation immediately preceding such satisfaction, as their respective interests may appear.

The Authority, the Corporation or any other Obligated Group Member may at any time surrender to the Bond Trustee for cancellation by it any Bonds previously authenticated and delivered, which the Authority or the Members of the Obligated Group may have acquired in any manner whatsoever, and such Bonds, upon such surrender and cancellation, shall be deemed to be paid and retired.

In addition, if any Bonds are defeased pursuant to subsection (b) or (d) above, the Corporation shall also deliver or cause to be delivered the following to the Bond Trustee: (i) a report of an independent firm of nationally recognized certified public accountants or such other accountant verifying the sufficiency of the escrow established to pay the Bonds in full on the maturity or redemption date (a "Verification"); (ii) an escrow deposit agreement; (iii) an opinion of Bond Counsel to the effect that the Bonds are no longer "Outstanding" under the Bond Indenture; and (iv) a certificate of discharge of the Bond Trustee with respect to the Bonds. Each Verification and opinion of Bond Counsel shall be acceptable in form and substance, and addressed, to the Authority and the Bond Trustee.

UNCLAIMED MONEYS

Any moneys deposited with the Bond Trustee by the Authority, in accordance with the terms and conditions of the Bond Indenture, in order to redeem or pay any Bond in accordance with the provisions of the Bond Indenture which remain unclaimed by the holders of such Bond for two years (or, if less, one day before such money would escheat to the State under then applicable State law) after the final maturity of all Bonds issued hereunder or the redemption date of all the Bonds, as the case may be, shall, if the Authority is not at the time, to the knowledge of the Bond Trustee, in default with respect to any of the terms and conditions of the Bond Indenture or the Bonds, be repaid by the Bond Trustee to the Authority; and thereafter the holders of the Bond shall be entitled to look only to the Authority for payment thereof.

THE LOAN AGREEMENT

INTRODUCTION

The following is a summary of certain provisions of the Loan Agreement. This summary does not purport to be comprehensive or definitive, and reference is hereby made to the full text of the Loan Agreement for the complete details thereof.

PROJECT DOCUMENTS; NO LIENS OPINION

On or before the Closing Date, the Corporation will deliver to the Authority copies of the following: the Tax Certificate, and all material licenses and permits to operate the existing Facilities of the Obligated Group Members (the “Project Documents”). The Authority may waive its right to receive copies of any or all of the Project Documents.

On or prior to the Closing Date, the Corporation, at its own cost and expense, will deliver to the Authority an opinion of Independent Counsel, which Independent Counsel and opinion, including without limitation, the scope, form, substance and other aspects thereof, are acceptable to the Authority, to the effect that all liens on the existing Property of the Obligated Group Members constitute Permitted Encumbrances. Such opinion may be based upon (i) a title insurance policy or commitment with respect to the Bond Financed Property, (ii) surveys of such real property, (iii) a certificate of officers of the Corporation dated as of the Closing Date with respect to (a) easements or claims of easements not shown in the public records, (b) any lien or right to lien not shown by the public records, and (c) any factual matters which Independent Counsel deems appropriate, including but not limited to whether any title matters constitute Permitted Encumbrances, and (iv) searches of financing statements or written reports from the Secretary of State regarding Uniform Commercial Code filings.

INVESTMENT OF FUNDS

The Corporation covenants and agrees that moneys on deposit in the Revenue Fund, Interest Fund, Bond Sinking Fund, Redemption Fund, Project Fund and Expense Fund under the Bond Indenture shall at all times be invested by the Bond Trustee in Qualified Investments in accordance with the Corporation’s instructions and that the Corporation will take all actions necessary, including, without limitation, providing the Bond Trustee with all necessary directions, to assure that such moneys are continuously invested in accordance with the provisions of the Bond Indenture and the Tax Certificate. The Corporation further covenants and agrees that it will not take any action or fail to take any action, including without limitation any action with respect to the investment of the proceeds of any Series 2024 Bonds (regardless of the source or whether or not held under the Bond Indenture), with respect to any other moneys or securities deposited with the Bond Trustee pursuant to the Bond Indenture, with respect to the payments derived from the Series 2024 Obligation pledged under the Bond Indenture or from the Master Indenture or the Loan Agreement, with respect to the purchase of other Authority obligations or with respect to any actions or payments required under the Tax Certificate which may result in constituting the Series 2024 Bonds “arbitrage bonds” within the meaning of such term as used in Section 148 of the Code. The Corporation covenants that neither it nor any related person to it, as defined in Sections 144(a)(3) and 147(a) of the Code, shall, pursuant to an arrangement, formal or informal, purchase obligations of the Authority in an amount related to the amount of the Series 2024 Obligation delivered in connection with the transaction contemplated thereby.

ISSUANCE OF BONDS BY THE AUTHORITY

The Corporation agrees that the proceeds of the Series 2024 Bonds being loaned to the Corporation as evidenced by the Series 2024 Obligation shall be deposited with the Bond Trustee and applied as provided in the Bond Indenture.

The Corporation agrees that payment of the principal of, the redemption premium, if any, and the interest on the Series 2024 Bonds shall be made in accordance with the provisions of the Bond Indenture and the Loan Agreement and that the Loan Agreement and payments to be made thereunder and thereon (excluding Unassigned Rights) and the Series 2024 Obligation shall be assigned and pledged to the Bond Trustee to secure the payment of the Series 2024 Bonds. The foregoing notwithstanding, the Corporation agrees that the moneys and securities, if any, on deposit in the Rebate Fund are not part of the “*trust estate*” and are not available to make payments of principal of, premium, if any, and interest on the Series 2024 Bonds.

The Corporation agrees that the Series 2024 Obligation and the Loan Agreement, and all of the rights, interests, powers, privileges and benefits accruing to or vested in the Authority under the Series 2024 Obligation and the Loan Agreement (except Unassigned Rights), may be protected and enforced in conformity with the Bond Indenture and may be thereby assigned by the Authority to the Bond Trustee as additional security for the Series 2024 Bonds and may be exercised, protected and enforced for or on behalf of the Bondholders in conformity with the provisions of the Loan Agreement, the Master Indenture and the Bond Indenture. The Corporation further agrees that in protecting and enforcing such interests, powers, privileges and benefits under the Series 2024 Obligation and the Loan Agreement, the Bond Trustee shall be entitled to all of the rights, immunities, indemnities and protections under the Bond Indenture as if expressly set forth therein.

OBLIGATION PAYMENTS; FUND DEPOSITS; PREPAYMENTS AND OTHER PAYMENTS

The Corporation covenants and agrees to make the following payments hereunder or in respect of the Series 2024 Obligation, as the case may be, directly to the Bond Trustee for deposit into the Revenue Fund established by the Bond Indenture, on the following dates:

Interest: On or before the tenth (10th) day of each month, commencing on the 10th day of the month following the Closing Date, one-sixth of the aggregate amount of interest becoming due and payable during the next succeeding six months on the Series 2024 Obligation then Outstanding, until the balance in the Interest Fund is equal to said aggregate amount of interest; *provided, however,* that from the date of delivery of the Series 2024 Obligation until the first Interest Payment Date with respect thereto (if less than six months), transfers shall be sufficient on a monthly pro rata basis to pay the interest becoming due and payable on said Interest Payment Date; *provided, further, however,* that the Corporation may be entitled to certain credits on such payments as permitted under the Loan Agreement.

Principal: On or before the tenth (10th) day of each month, commencing on the 10th day of the month following the Closing Date, one-twelfth of the aggregate amount of principal becoming due and payable by maturity and mandatory sinking fund redemption during the next succeeding twelve months on the Series 2024 Obligation then Outstanding, until the balance in the Bond Sinking Fund is equal to said aggregate amount of principal and mandatory Bond Sinking Fund redemption payments; *provided, however,* that from the date of delivery of the Series 2024 Obligation until the first principal or mandatory Bond Sinking Fund redemption payment date with respect to the Series 2024 Obligation (if less than twelve months), transfers shall be sufficient on a monthly pro rata basis to pay the principal or mandatory Bond Sinking Fund redemption payments

becoming due and payable on said principal or mandatory Bond Sinking Fund redemption payment date; *provided, further, however*, that the Corporation may be entitled to certain credits on such payments as permitted under the Loan Agreement.

Rebate: At such times as required by the Bond Indenture, such amounts as are required to be deposited to the Rebate Fund by the Bond Indenture (including the Tax Certificate).

The Corporation shall be permitted to prepay the Series 2024 Obligation to the extent and in the manner permitted for prepayment of the Series 2024 Bonds by the Bond Indenture. If such prepayment is made in compliance with the terms of the Master Indenture, the Authority agrees to accept prepayment of the Series 2024 Obligation to the extent required to provide for a permitted prepayment of the Series 2024 Bonds. The Corporation shall also make “Additional Payments” to the Authority under the Loan Agreement.

COVENANTS RELATING TO THE USE AND OPERATION OF THE BOND-FINANCED PROPERTY

The Corporation agrees that it will not permit any of the Bond Financed Property to be used (i) by any Person in an “unrelated trade or business” (as defined in Section 513(a) of the Code) of the Corporation (without regard to whether such activity results in unrelated trade or business income subject to taxation under Section 512(a) of the Code), or (ii) by any Person who is not a Tax-Exempt Organization, in either case in such manner or to such extent as would result in the loss of tax exemption of interest, if any, on the Series 2024 Bonds otherwise afforded under Section 103(a) of the Code.

The Corporation further agrees that it will not use or permit to be used any of the Bond Financed Property: (i) primarily for sectarian instruction or study or as a place of devotional activities or religious worship or as a facility used primarily in connection with any part of the program of a school or department of divinity for any religious denomination or the training of ministers, priests, nuns, rabbis or other similar persons in the field of religion or (ii) in a manner which is prohibited by the Establishment of Religion Clause of the First Amendment to the Constitution of the United States of America and the decisions of the United States Supreme Court interpreting the same or by any comparable provisions of the Constitution of the State and decisions of the Supreme Court of the State interpreting the same.

CERTAIN COVENANTS OF THE CORPORATION

As long as any Series 2024 Bonds are outstanding, the Corporation will maintain its existence, not dissolve, liquidate or otherwise dispose of all or substantially all of its assets, and not consolidate with or merge into another corporation or permit one or more other corporations to consolidate with or merge into it. Any dissolution, liquidation, disposition, consolidation or merger shall be subject to the following conditions:

(a) the Corporation provides a certificate to the Authority and the Bond Trustee, in form and substance reasonably satisfactory to such parties, to the effect that no event of default exists hereunder or under the Bond Indenture and that no event of default will be caused by the dissolution, liquidation, disposition, consolidation or merger;

(b) the entity surviving the dissolution, liquidation, disposition, consolidation or merger assumes in writing and without condition or qualification the obligations of the Corporation under the Loan Agreement, the Tax Certificate and the Master Indenture (or any replacement master trust indenture), as applicable;

(c) the Corporation or the entity surviving the dissolution, liquidation, disposition, consolidation or merger, within ten (10) days after execution thereof, furnishes to the Authority and the Bond Trustee a true and complete copy of the instrument of dissolution, liquidation, disposition, consolidation or merger;

(d) neither the validity nor the enforceability of the Series 2024 Bonds or the Bond Indenture is adversely affected by the dissolution, liquidation, disposition, consolidation or merger;

(e) the dissolution, liquidation, disposition, consolidation or merger will not adversely affect any exemption from federal income taxation to which interest on the Series 2024 Bonds would otherwise be entitled; and

(f) (i) neither the validity or enforceability of the Loan Agreement, the Master Indenture (or any replacement master trust indenture) or the Tax Certificate, as applicable, will be adversely affected by the dissolution, liquidation, disposition, consolidation or merger and (ii) the provisions of the Act, the Bond Indenture, the Loan Agreement, the Master Indenture (or any replacement master trust indenture) and the Tax Certificate, as applicable, are complied with concerning the dissolution, liquidation, disposition, consolidation or merger.

As of the effective date of the dissolution, liquidation, disposition, consolidation or merger, the Corporation (at its cost) shall furnish to the Authority and the Bond Trustee (i) an Opinion of Bond Counsel, in form and substance satisfactory to the Authority, as to items (d) and (e) above, and (ii) an Opinion of Counsel, in form and substance satisfactory to the Authority, as to the legal, valid and binding nature of item (c) above.

The Corporation will not act or fail to act in any other manner which would adversely affect any exemption from federal income taxation of the interest earned by the owners of the Series 2024 Bonds to which such Series 2024 Bonds would otherwise be entitled.

The Corporation warrants, on behalf of itself and the Obligated Group Members, that their facilities have or are expected to obtain in due course all material state and local licenses required for the operation thereof. Each Member of the Obligated Group will obtain and maintain or cause to be obtained and maintained all such licenses required for the operation of their facilities and will use their best efforts to obtain and maintain or cause to be obtained and maintained such licensure, so long as it is in the best interests of the Obligated Group Members and the Bondholders, as determined by the governing bodies of the Obligated Group Members.

The Corporation will comply with and carry out all of the provisions of the Continuing Disclosure Agreement executed in connection with the Series 2024 Bonds (the “*Continuing Disclosure Agreement*”). Notwithstanding any other provision of the Loan Agreement or any other documents executed by the Corporation in connection with the issuance of the Bonds, failure of the Corporation to comply with the Continuing Disclosure Agreement shall not be considered an Event of Default under the Loan Agreement or any other documents executed by the Corporation in connection with the issuance of the Bonds; however, any owner or Beneficial Owner may take such actions as may be necessary and appropriate, including seeking specific performance by court order, to cause the Corporation to comply with its obligations under the foregoing. For purposes of this paragraph, “Beneficial Owner” shall have the meaning assigned thereto in the Continuing Disclosure Agreement.

EVENTS OF DEFAULT; REMEDIES

The occurrence and continuance of any of the following events constitute an “event of default”:

(a) failure of the Corporation to pay any installment of principal, interest or premium on the Series 2024 Obligation or any other payment required with respect to principal and interest on the Series 2024 Bonds when the same shall become due and payable, whether upon a scheduled Interest Payment Date, at maturity, upon any date fixed for prepayment or purchase or by acceleration or otherwise and the continuance of such failure for five days; or

(b) failure by the Corporation to perform or comply with any of the covenants, conditions or provisions of the Loan Agreement or of the Tax Certificate and failure to remedy such default within 30 days after notice thereof from the Authority or the Bond Trustee to the Corporation; *provided, however*, that if failure to comply with or perform such covenants, conditions or provisions cannot be remedied within 30 days, but can be remedied, no “event of default” shall be deemed to have occurred or to exist if the Authority shall consent to the Corporation commencing corrective action and the Corporation diligently pursues such corrective action until they have complied with or performed such covenants, conditions or provisions within a period of 60 days after the initial notice provided by the Authority or the Bond Trustee; or

(c) if any representation or warranty made by the Corporation in the Loan Agreement or in any statement or certificate furnished to the Authority or the Bond Trustee or the purchaser of any Bonds in connection with the sale of Bonds or furnished by the Corporation pursuant hereto including, without limitation, statements in any official statement, proves untrue in any material respect as of the date of the issuance or making thereof and shall not be made good within 60 days after notice thereof to the Corporation by the Authority or the Bond Trustee; *provided, however*, that if such default cannot be remedied within 60 days, but can be remedied, no “event of default” shall be deemed to have occurred or to exist if the Authority in its sole discretion, shall consent to the Corporation commencing corrective action and the Corporation diligently pursues such corrective action until such default has been cured; or

(d) any event of default shall occur under the Master Indenture which would permit the acceleration of any Obligation; or

(e) if the Corporation admits insolvency or bankruptcy or its inability to pay its debts as they mature, or is generally not paying its debts as such debts become due, or makes an assignment for the benefit of creditors or applies for or consents to the appointment of a trustee, custodian or receiver for the Corporation or for the major part of its Property; or

(f) if a trustee, custodian or receiver is appointed for the Corporation or for the major part of its Property and is not discharged within 60 days after such appointment; or

(g) if bankruptcy, reorganization, arrangement, insolvency or liquidation proceedings, proceedings under Title 11 of the United States Code, as amended, or other proceedings for relief under any bankruptcy law or similar law for the relief of debtors are instituted by or against the Corporation (other than bankruptcy proceedings instituted by the Corporation against third parties), and if instituted against the Corporation are allowed against the Corporation or are consented to or are not dismissed, stayed or otherwise nullified within 60 days after such institution; or

(h) if payment of any installment of interest, principal or premium on any Bond shall not be made when the same shall become due and payable under the provisions of the Bond Indenture.

Whenever any event of default shall have occurred and be continuing:

I. *Acceleration of Maturity; Waiver of Event of Default and Rescission of Acceleration.* The Authority may at its discretion, by written notice to the Corporation, request that the Master Trustee declare the principal of the Series 2024 Obligation (if not then due and payable) to be due and payable immediately and such principal shall thereupon become immediately due and payable as if all of the sums of money payable thereunder were originally stipulated to be paid on such accelerated payment date, anything in the Series 2024 Obligation or in the Loan Agreement to the contrary notwithstanding. The Authority shall request that the Master Trustee declare the principal of the Series 2024 Obligation due and payable immediately upon the occurrence of any of the defaults described in (a), (e), (f), (g), (h) or (j) above. This provision, however, is subject to the condition that if, at any time after the principal of the Series 2024 Obligation shall have been so declared and become due and payable, all arrears of interest, if any, upon the Series 2024 Obligation and the expenses of the Authority shall be paid by the Corporation, and every other default in the observance or performance of any covenant, condition or agreement in the Series 2024 Obligation or in the Loan Agreement contained shall be made good, or be secured, to the satisfaction of the Authority, or provision deemed by the Authority to be adequate shall be made therefor, then and in every such case the Authority by written notice to the Corporation may waive the event of default by reason of which the principal of the Series 2024 Obligation shall have been so declared and become due and payable and may rescind and annul such declaration and its consequences; *provided, however*, that there shall not be waived any event of default in the payment of the principal payable on the Series 2024 Bonds when due whether by mandatory or optional redemption or at the date of maturity specified therein; and *provided further* that no such waiver, rescission or annulment shall extend to or affect any subsequent event of default or impair any right consequent thereon.

II. *Right to Bring Suit, Etc.* The Authority, personally or by attorney, may in its discretion, proceed to protect and enforce its rights by pursuing any available remedy including a suit or suits in equity or at law, whether for damages or for the specific performance of any obligation, covenant or agreement contained in the Series 2024 Obligation, in the Loan Agreement or in the Master Indenture, or in aid of the execution of any power granted in the Loan Agreement, or for the enforcement of any other appropriate legal or equitable remedy, as the Authority shall deem most effectual to collect the payments then due and thereafter to become due on the Series 2024 Obligation, to enforce performance and observance of any obligation, agreement or covenant of the Corporation hereunder, under the Series 2024 Obligation or under the Master Indenture or to protect and enforce any of the Authority's rights or duties hereunder or thereunder.

The proceeds or avails resulting from the exercise of any such remedies, together with any other sums which then may be held by the Authority under the Loan Agreement, whether under the provisions summarized under this heading or otherwise, and which are available for such application shall be applied as follows:

First: To the payment of the costs and expenses of the exercise of such remedies, including reasonable costs and expenses incurred by the Authority, the Master Trustee and the Bond Trustee, their agents, attorneys and counsel, and the expenses of any judicial proceedings wherein the same may be made, and of all outstanding fees, expenses, liabilities and advances made or incurred by any thereof as permitted by the Loan Agreement, together with interest at the Bond Trustee's announced prime rate per annum then in effect, on all such advances, and to the payment of all

taxes, assessments or claims prior to the claim of the Loan Agreement, except any taxes, assessments, liens, or other charges, subject to which Property may have been sold.

Second: To the payment of any amounts then payable under the Tax Certificate, if any.

Third: To the payment of the whole amount then due, owing and unpaid upon the Series 2024 Obligation for principal, interest and premium, if any (in that order); in case such proceeds shall be insufficient to pay in full the whole amount so due, owing or unpaid upon the Series 2024 Obligation, then ratably according to the aggregate of such principal and the accrued and unpaid interest and premium, if any; such application to be made upon presentation of the Series 2024 Obligation and the notation thereon of the payment, if partially paid, or the surrender and cancellation thereof, if fully paid.

Fourth: To the payment of the principal, interest and premium, if any, then due and unpaid upon the Series 2024 Bonds with respect to which payment of principal, interest and, premium, if any, have been extended as described in the Bond Indenture.

Fifth: To the payment of any other sums required to be paid by the Corporation pursuant to any provisions of the Loan Agreement or the Series 2024 Obligation.

Sixth: To the payment of any other sums required to be paid by the Corporation pursuant to any provisions of the Master Indenture.

Seventh: To the payment of the surplus, if any, to the Corporation, successors or assigns of the Corporation, upon the written request of the Corporation or to whomsoever may be lawfully entitled to receive the same upon its written request, or as any court of competent jurisdiction may direct.

No remedy conferred upon or reserved to the Authority or the Bond Trustee in the Loan Agreement is intended to be exclusive of any other available remedy or remedies but each and every such remedy shall be cumulative and shall be in addition to every other remedy given under the Loan Agreement and the Bond Indenture, now or hereafter existing, at law or in equity or by statute. No delay or omission to exercise any right or power accruing upon any Event of Default hereunder shall impair any such right or power or shall be construed to be a waiver thereof, but any such right and power may be exercised from time to time and as often as may be deemed expedient.

SUPPLEMENTS AND AMENDMENTS

Subject to the terms, conditions and provisions of Article X (Amendments to the Loan Agreement) of the Bond Indenture, the Corporation and the Authority may from time to time enter into such supplements and amendments to the Loan Agreement. An executed copy of any of the foregoing amendments, changes or modification shall be filed with the Bond Trustee. The Bond Trustee may, subject to the terms of the Bond Indenture, grant such waivers of compliance by the Corporation with provisions of the Loan Agreement as to which the Bond Trustee may deem necessary or desirable to effectuate the purposes or intent of the Loan Agreement and which, in the opinion of the Bond Trustee, which may be upon reliance on an opinion of counsel or other Consultants, do not have a material adverse effect upon the interests of the Bondholders, provided that the Bond Trustee shall file with the Authority any and all such waivers granted by the Bond Trustee within three (3) Business Days thereof.

DEFEASANCE

If the Corporation shall pay and discharge or provide, in a manner satisfactory to the Authority, for the payment and discharge of the whole amount of the principal of, premium, if any, and interest on the Series 2024 Obligation and shall pay or cause to be paid all other sums payable hereunder and under the Bond Indenture, or shall make arrangements satisfactory to the Authority for such payment and discharge, then and in that case all property, rights and interest conveyed or assigned or pledged by the Loan Agreement shall revert to the Corporation, and the estate, right, title and interest of the Authority therein shall thereupon cease, terminate and become void; and the Loan Agreement and the covenants of the Corporation contained therein, shall be discharged and the Authority in such case on demand of the Corporation and at its cost and expense, shall execute and deliver to the Corporation a proper instrument or proper instruments acknowledging the satisfaction and termination of the Loan Agreement and shall convey, assign and transfer or cause to be conveyed, assigned or transferred, and shall deliver or cause to be delivered, to the Corporation, all Property, including money, then held by the Authority other than moneys deposited with the Bond Trustee for the payment of the principal of, premium, if any, or interest on the Series 2024 Obligation, together with such Obligations marked paid or cancelled.

The Corporation agrees to pay all costs of the Authority, its advisors and counsel in connection with any advance refunding of the Series 2024 Bonds, including without limitation the cost of having a bond rating reassigned to any Series 2024 Bonds which are to be advance refunded, if such rating is requested by the Corporation. The Corporation also agrees that prior to advance refunding the Series 2024 Bonds it will make available to any Rating Agency which is maintaining a rating on the Series 2024 Bonds to be refunded such information as any such Rating Agency may require to reassign a bond rating to any Series 2024 Bonds which are to be advance refunded.

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APPENDIX E

FORM OF CONTINUING DISCLOSURE AGREEMENT

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CONTINUING DISCLOSURE AGREEMENT

This Continuing Disclosure Agreement (the “*Disclosure Agreement*”) is executed and delivered by Eskaton Properties, Incorporated, a nonprofit public benefit corporation duly organized and existing under the laws of the State of California (the “*Borrower*”), on behalf of itself, and as Obligated Group Representative (hereinafter defined) on behalf of Eskaton Village – Grass Valley, a nonprofit public benefit corporation organized under the laws of the State of California (“*Grass Valley*”), and Eskaton Village-Roseville, a nonprofit public benefit corporation organized under the laws of the State of California (“*Roseville*”), and any future Members of the Obligated Group (hereinafter defined), and U.S. Bank Trust Company, National Association, a national banking association, in its capacity as dissemination agent hereunder (the “*Dissemination Agent*”), in connection with the issuance by the California Municipal Finance Authority (the “*Issuer*”) of its \$82,895,000 Revenue and Refunding Bonds (Eskaton Properties, Incorporated Obligated Group), Series 2024 (the “*Bonds*”). The Bonds will be issued pursuant to a Bond Trust Indenture, dated as of September 1, 2024 (the “*Bond Indenture*”) by and between the Issuer and U.S. Bank Trust Company, National Association, as trustee (the “*Bond Trustee*”). The proceeds of the Bonds will be loaned by the Issuer to the Borrower pursuant to the Loan Agreement, dated as of September 1, 2024 (the “*Loan Agreement*”), by and between the Issuer and the Borrower. The Dissemination Agent and the Obligated Group covenant and agree as follows:

Section 1. Purpose of the Disclosure Agreement. This Disclosure Agreement is being executed and delivered by the Obligated Group and the Dissemination Agent for the benefit of the Holders and Beneficial Owners of the Bonds and in order to assist the Underwriter in complying with the hereinafter defined Rule. The Obligated Group and the Dissemination Agent acknowledge that the Issuer has undertaken no responsibility with respect to any reports, notices or disclosures provided or required under this Disclosure Agreement, and has no liability to any Person, including any Holder or Beneficial Owner of the Bonds, with respect to the Rule.

Section 2. Definitions. In addition to the definitions set forth in the Bond Indenture and the Master Indenture, which apply to any capitalized term used in this Disclosure Agreement unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

“*Annual Report*” shall mean any Annual Report provided by the Obligated Group pursuant to, and as described in, Sections 3 and 4 of this Disclosure Agreement.

“*Beneficial Owner*” shall mean any Person which has or shares the power, directly or indirectly, to make investment decisions concerning ownership of any Bonds (including any Person holding Bonds through nominees, depositories or other intermediaries).

“*Days Cash on Hand*” shall have the meaning set forth in the Master Indenture.

“*Debt Service Coverage Ratio*” shall have the meaning set forth in the Master Indenture.

“Disclosure Representative” shall mean the Chief Financial Officer of the Borrower or his designee, or such other person as the Borrower shall designate in writing to the Dissemination Agent from time to time.

“Discretionary Listed Event” shall mean each of the Listed Events in Section 5(a) as follows: (ii), (vii), (viii), (x), (xiii), (xiv), (xv) and (xvi).

“Dissemination Agent” shall mean U.S. Bank Trust Company, National Association, or any successor Dissemination Agent designated in writing by the Obligated Group Representative and which has filed with the Obligated Group Representative a written acceptance of such designation.

“EMMA” shall mean the Electronic Municipal Market Access system of the MSRB accessible at <http://emma.msrb.org> or such other information repository as may be determined by the SEC from time to time.

“Financial Obligation” means a (a) debt obligation, (b) derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation, or (c) guarantee of (a) or (b). The term Financial Obligation does not include municipal securities as to which a final official statement has been provided to the MSRB consistent with the Rule.

“Fiscal Year” shall have the meaning set forth in the Master Indenture.

“Independent Consultant” shall have the meaning set forth in the Master Indenture.

“Listed Events” shall mean any of the events listed in Section 5(a) of this Disclosure Agreement.

“Master Indenture” means the Amended and Restated Master Trust Indenture, dated as of September 1, 2024, among the Borrower, the other Members of the Obligated Group from time to time thereunder, and the Master Trustee, as supplemented and amended.

“Master Trustee” means U.S. Bank Trust Company, National Association, a national banking association organized and existing under the laws of the United States of America, or its successor, as successor trustee, under the Master Indenture.

“Member” shall have the meaning set forth in the Master Indenture.

“Monthly Report” shall mean any Monthly Report provided by the Obligated Group pursuant to, and as described in, Sections 3 and 4(c) of this Disclosure Agreement.

“MSRB” shall mean the Municipal Securities Rulemaking Board or any other entity designated or authorized by the SEC to receive reports pursuant to the Rule. Until

otherwise designated by the MSRB or the SEC, filings with the MSRB are to be made through EMMA.

“Obligated Group” shall have the meaning set forth in the Master Indenture.

“Obligated Group Representative” shall have the same meaning set forth in the Master Indenture.

“Official Statement” shall mean the Official Statement, dated September 4, 2024, relating to the Bonds, as the same may be supplemented or amended from time to time.

“Quarterly Report” shall mean any Quarterly Report provided by the Obligated Group pursuant to, and as described in, Sections 3 and 4(b) of this Disclosure Agreement.

“Rule” shall mean Rule 15c2-12(b)(5) adopted by the SEC under the Securities Exchange Act of 1934, as the same may be amended from time to time.

“SEC” shall mean the Securities and Exchange Commission.

“State” shall mean the State of California.

“Underwriter” shall mean B.C. Ziegler and Company, the original Underwriter of the Bonds.

Section 3. Provision of Annual Reports, Quarterly Reports and Monthly Reports.

(a) Within 150 days following completion of each Fiscal Year (which fiscal year currently ends on December 31 of each calendar year), commencing with the Fiscal Year ending December 31, 2024, the Obligated Group Representative shall, or shall cause the Dissemination Agent to, provide to the MSRB an Annual Report which is consistent with the requirements of Section 4(a) of this Disclosure Agreement.

(b) As soon as practicable after they become available, but in no event more than 45 days following completion of the first, second and third fiscal quarters of each Fiscal Year, and no more than 60 days following the completion of the fourth quarter of each Fiscal Year, commencing with the fiscal quarter ending September 30, 2024, the Obligated Group Representative shall, or shall cause the Dissemination Agent to, provide or cause to be provided to the MSRB a Quarterly Report that is consistent with the requirements of Section 4(b) of this Disclosure Agreement.

(c) Within 45 days after the end of each month following the delivery of a final quarterly report in accordance with the Master Indenture disclosing that the Debt Service Coverage Ratio of the Obligated Group for any Fiscal Year is less than 1.00:1, the Obligated Group Representative shall, or shall cause the Dissemination Agent to, provide or cause to be provided to the MSRB a Monthly Report as described in and consistent with the requirements of Section 4(c) of this Disclosure Agreement during the period of time any Monthly Report is required under Section 4(c) hereof.

(d) In each case the Annual Report, the Quarterly Report and the Monthly Report may be submitted as a single document or as a package comprising separate documents. Any or all of the items constituting the Annual Report may be incorporated by reference from other documents that have been submitted to the MSRB or the SEC. If the document incorporated by reference is a final official statement, it must be available from the MSRB. The Obligated Group Representative shall clearly identify each such other document so incorporated by reference.

(e) The Dissemination Agent shall (if the Dissemination Agent is other than the Obligated Group Representative) file a report with the Obligated Group Representative certifying that each Annual Report, Quarterly Report and Monthly Report has been provided pursuant to this Disclosure Agreement, stating the date it was provided to the MSRB and the Dissemination Agent.

(f) With respect to each Annual Report, Quarterly Report or Monthly Report required to be submitted to the MSRB in this Section 3, the Obligated Group Representative agrees to deliver such information or, alternatively, a notice of the Obligated Group Representative's intent to act as its own Dissemination Agent with respect to such information, to the Dissemination Agent at least five (5) Business Days prior to the date required for dissemination. If the Dissemination Agent does not receive an Annual Report, Quarterly Report or Monthly Report or a notice of the Obligated Group Representative's intent to act as Dissemination Agent with respect to such information on or before such date, then the Dissemination Agent shall file with the MSRB a Notice of Failure to file in the form attached as *Exhibit A* hereto. If the Obligated Group Representative is unable to provide to the MSRB an Annual Report, Quarterly Report or Monthly Report by the dates required in this Section 3 and the Dissemination Agent has not filed with the MSRB a related Notice of Failure to file in the form attached as *Exhibit A* hereto, the Obligated Group Representative shall send or cause to be sent a notice of such fact to the MSRB.

(g) Each Annual Report, Quarterly Report and Monthly Report submitted hereunder shall be in readable PDF or other acceptable electronic form, accompanied by such identifying information as is prescribed by the MSRB, and shall identify the Bonds by name and CUSIP number.

(h) To the extent that generally accepted accounting principles would require consolidation of certain financial information of entities that are not Members of the Obligated Group with financial information of one or more Members, consolidating financial statements prepared in accordance with generally accepted accounting principles that include information with respect to entities that are not Members of the Obligated Group may be delivered in satisfaction of the requirements of this Disclosure Agreement so long as: (1) supplemental information in sufficient detail to separately identify the information with respect to the Members of the Obligated Group is delivered with the audited financial statements; (2) such supplemental information has been subjected to the auditing procedures applied in the audit of the consolidated financial statements and, in the opinion of the accountant, is fairly stated in all material respects in relation to the consolidated financial statements taken as a whole; and (3) such supplemental information is used for the purposes hereof.

Section 4. Content of Annual Reports, Quarterly Reports and Monthly Reports; Other Required Filings. (a) Each Annual Report shall contain, or incorporate by reference, the following:

(i) The audit report on the consolidated or combined financial statements of the Obligated Group for such Fiscal Year, audited by a firm of certified public accountants, including consolidating or combining balance sheets for the respective Members as of the end of such Fiscal Year and consolidating or combining statements of changes in fund balances, statements of revenues and expenses, and statements of cash flows of the respective Members of the Obligated Group for such Fiscal Year, showing in the case of the consolidated or combined financial statements, in comparative form, financial information for the immediately preceding Fiscal Year; and if any information provided in connection with the delivery of the final Quarterly Report for any Fiscal Year delivered pursuant hereto is incorrect, an Officer's Certificate disclosing and correction such error, with reasonable specificity.

(ii) A separate written examination report by the accountants auditing such audit report on the calculations of the Obligated Group's Debt Service Coverage Ratio for such Fiscal Year and of the Obligated Group's Days Cash on Hand as of the last day of such Fiscal Year.

(iii) A separate written statement by the accountants auditing such report that they have no knowledge of any default under the Master Indenture insofar as such default relates to accounting matters, or if such accountants shall have obtained knowledge of any such default or defaults, disclosing with reasonable specificity all such defaults and the nature thereof; *provided, however*, that this statement shall not be required if such accountants state in writing that such statement is either not permitted by, or not consistent with customary practice under, the reporting standards promulgated by the American Institute of Certified Public Accountants or the Financial Accounting Standards Board.

(iv) The Annual Report to be delivered under Section 3(a) shall also provide the following financial and operating data, all prepared in reasonable detail and certified, subject to year-end adjustment, by an officer of the Obligated Group Representative:

(1) Most recent rating of the Obligated Group's skilled nursing beds issued by the Centers for Medicare & Medicaid Services pursuant to its Five-Star Quality Rating System;

(2) Occupancy levels for all Facilities (defined in the Master Indenture) operated by the Obligated Group by level of care as of the end of each such Fiscal Year;

(3) A report (which may be in table form) of the payor mix of all of Obligated Group's assisted living, skilled nursing and related services provided by the Members during the applicable period; and

(4) A summary report on unit mix and average fees by level of care for all of the facilities operated by the Obligated Group as of the end of each such fiscal year.

(b) Each Quarterly Report (except as otherwise provided in clause (b)(iv) below) shall contain, or incorporate by reference, the following:

(i) Financial statements (unaudited) of the Obligated Group for such fiscal quarter (shown on a Fiscal Year-to-date basis), including a combined or combining, if applicable, statement of revenues and expenses and statement of cash flows for the applicable period, and a combined or combining, if applicable, balance sheet as of the last day of such period, showing in each case, in comparative form, financial information for the comparable period during the immediately preceding year;

(ii) A calculation of the Obligated Group's Days Cash on Hand as of the last day of such fiscal quarter, calculated in accordance with the Master Indenture;

(iii) A calculation of the Obligated Group's Debt Service Coverage Ratio through the end of such fiscal quarter on a rolling twelve-month basis, calculated in accordance with the Master Indenture;

(iv) A report on period end occupancy levels for all Facilities operated by the Obligated Group by level of care;

(v) A report (which may be in table form) of the payor mix for assisted living, skilled nursing and related services provided by the Members during the applicable period;

(vi) A written, narrative discussion of the financial performance and position of the Obligated Group during (or as of the last day of, as applicable) such fiscal quarter (shown on a Fiscal Year-to-date basis), including but not limited to management's discussion and analysis of key factors that influenced financial results, underlying causes of material changes in financial performance, events of unusual or infrequent nature, and positive and negative trends, and further including a comparison of such financial performance and position to the financial performance and position of the Obligated Group during the comparable periods during the immediately preceding Fiscal Year and the reasons for material differences between the current period(s) and prior period(s); and

(vii) An update of the status of any construction project ongoing or completed during the fiscal quarter the cost of which exceeds \$20 million in the aggregate.

(c) A Monthly Report to be delivered under this Section 4(c) shall be required within 45 days after the end of each month following the delivery of a final Quarterly Report disclosing that the Debt Service Coverage Ratio of the Obligated Group for the preceding fiscal year was less than 1.00:1, and each month thereafter until the Obligated Group's Debt Service Coverage Ratio for any subsequent calendar month (calculated in accordance with the Master Indenture) is

at least 1.00:1. The Monthly Report to be delivered under Section 3(c) shall contain the same information required to be included in the Quarterly Reports, as detailed in Section 4(b) above.

(d) On or before the date of delivery of the financial reports referred to in clauses (a) and (b)(i) above, the Borrower or the Dissemination Agent shall provide to the MSRB an Officer's Certificate of the Obligated Group Representative stating that the Obligated Group is in compliance with all of the terms, provisions and conditions of the Master Indenture or if not, specify all such defaults and the nature thereof.

(e) Within 60 days after the end of each Fiscal Year, a summary of the board-approved annual budget for the next succeeding Fiscal Year.

(f) The Borrower also agrees that, within 10 days after its receipt thereof, the Obligated Group Representative will file with the MSRB a copy of each Independent Consultant's report or a summary thereof (which may be redacted to exclude confidential competitive information) required to be prepared under the terms of the Master Indenture.

(g) The Obligated Group Representative or the Dissemination Agent shall give prompt written notice to the MSRB of a change of accountants due to the resignation of the accountants (a change of accountants in the ordinary course of business is not subject to this reporting requirement) by the Obligated Group. The notice shall state:

(i) The effective date of such change;

(ii) Whether there were any unresolved disagreements with the former accountants on any matter of accounting principles or practices, financial statement disclosure, or auditing scope or procedure, which the accountants claimed would have caused them to refer to the disagreement in a report on the disputed matter, if it was not resolved to their satisfaction; and

(iii) Such additional information, if any, relating thereto as any Related Bond Trustee or the Master Trustee may reasonably request.

(h) The Obligated Group Representative may designate a different Fiscal Year for the Members of the Obligated Group in accordance with the Master Indenture and filing notice thereof with the MSRB.

(i) Any or all of the items listed above may be included by specific reference to other documents, including without limitation any audited financial statements, official statements of debt issues with respect to which any of the Borrower or its affiliates, or the Obligated Group is an "obligated person" (as defined by the Rule), which have been submitted to the MSRB or the SEC. If the document included by reference is a final official statement, it must be available from the MSRB. The Borrower shall clearly identify each such other document so included by reference.

Section 5. Reporting of Listed Events. (a) Pursuant to the provisions of this Section 5, the Borrower shall give, or upon delivery of the information to the Dissemination Agent, the Dissemination Agent shall give, notice of the occurrence of any of the following events with respect to the Bonds (each, a “*Listed Event*”):

- (i) Principal and interest payment delinquencies;
- (ii) Nonpayment related defaults, if material;
- (iii) Unscheduled draws on the debt service reserves reflecting financial difficulties;
- (iv) Unscheduled draws on credit enhancements reflecting financial difficulties;
- (v) Substitution of credit or liquidity providers, or their enhancement facility or their failure to perform;
- (vi) Adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices of determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds;
- (vii) Modifications to rights of Holders, if material;
- (viii) Bond calls, if material, and tender offers (except for mandatory scheduled redemptions not otherwise contingent upon the occurrence of an event);
- (ix) Defeasances;
- (x) Release, substitution or sale of property securing repayment of the Bonds, if material;
- (xi) Rating changes;
- (xii) Bankruptcy, insolvency, receivership, or similar event involving a Member;
- (xiii) Consummation of a merger, consolidation, or acquisition involving a Member or the sale of all or substantially all of the assets of a Member (other than in the ordinary course of business), the entry into a definitive agreement to undertake such action or the termination of a definitive agreement relating to any such actions, other than pursuant to the terms of such agreement, if material;
- (xiv) Appointment of a successor or additional trustee, or the change of name of a trustee, if material;

(xv) the incurrence of a Financial Obligation of an Obligated Group Member, if material, or an agreement to covenants, events of default, remedies, priority rights, or other similar terms (including debt service schedules) of a Financial Obligation of an Obligated Group Member, any of which affect security holders, if material; and

(xvi) default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a Financial Obligation of an Obligated Group Member, any of which reflect financial difficulties.

(b) The Bond Trustee shall, within five (5) Business Days after obtaining actual knowledge of the occurrence of any of the Listed Events, contact the Disclosure Representative, inform such person of the event, and request that the Borrower promptly notify the Dissemination Agent in writing whether or not to report the event pursuant to subsection (f) of this Section; *provided*, that the failure of the Bond Trustee to so notify the Borrower shall not constitute a breach by the Bond Trustee of any of its duties and responsibilities under the Bond Indenture or the Loan Agreement. In notifying the Disclosure Representative of the occurrence of a Listed Event, the Bond Trustee shall have no duty or obligation to determine the materiality of such Listed Event or whether financial difficulties are reflected by the occurrence of such Listed Event. For purposes of this Disclosure Agreement, “actual knowledge” of the occurrence of such Listed Events means actual knowledge by the officer or officers at the corporate trust office of the Bond Trustee with regular responsibility for the administration of the Bond Indenture.

(c) Whenever the Borrower or any other Member of the Obligated Group obtains knowledge of the occurrence of a Listed Event, the Borrower shall, within five (5) Business Days of obtaining such knowledge and in any event no more than eight (8) Business Days after the occurrence of such Listed Event, (i) in the case of any Discretionary Listed Event, determine if such event is material under applicable federal securities laws and therefore required by the Rule to be disclosed, and (ii) provide the Dissemination Agent with notice and instructions pursuant to this Section 5.

(d) If the Borrower has determined that the occurrence of a Discretionary Listed Event is material under applicable federal securities laws, or upon the occurrence of any Listed Event that is not a Discretionary Listed Event, in each case therefore requiring disclosure, the Borrower shall promptly notify the Dissemination Agent in writing. Such notice shall instruct the Dissemination Agent to report the occurrence pursuant to subsection (f) of this Section.

(e) If the Borrower determines that the Discretionary Listed Event is not material under applicable federal securities laws and therefore is not required to be disclosed, the Borrower shall so notify the Dissemination Agent in writing and instruct the Dissemination Agent not to report the occurrence.

(f) If the Dissemination Agent has been instructed by the Borrower to report the occurrence of a Listed Event, within two (2) Business Days of its receipt of such written notice and in any event no more than ten (10) Business Days after the occurrence of the Listed Event, the Dissemination Agent shall file a notice of such occurrence with the MSRB with a copy to the

Borrower and the Issuer. Notwithstanding the foregoing, notice of Listed Events described in subsections 5(a)(viii) need not be given under this subsection any earlier than the notice (if any) of the underlying event is given to the Holders of affected Bonds pursuant to the Bond Indenture.

(g) The Borrower shall promptly notify the Dissemination Agent if any Person becomes a Member of the Obligated Group or if any Member ceases to be a Member of the Obligated Group, each pursuant to the applicable provisions of the Master Indenture. The Dissemination Agent shall file a notice of such occurrence with the MSRB with a copy to the Borrower.

Section 6. Termination of Reporting Obligation. The obligations of the Borrower, the other Members of the Obligated Group and the Dissemination Agent under this Disclosure Agreement shall terminate upon the legal defeasance, prior prepayment or payment in full of all of the Bonds. If such termination occurs prior to the final maturity of the Bonds, the Borrower shall give notice of such termination in the same manner as for a Listed Event under Section 5(f). If the Borrower's obligations under the Loan Agreement, and the Obligated Group's related obligations under the Master Indenture, are assumed in full by some other entity, such Person shall be responsible for compliance with this Disclosure Agreement relating thereto in the same manner as if it were the Borrower and the Borrower shall have no further responsibility hereunder with respect thereto.

Section 7. Dissemination Agent. The Borrower may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Disclosure Agreement, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent. The initial Dissemination Agent shall be U.S. Bank Trust Company, National Association. The Dissemination Agent may resign at any time by providing at least thirty (30) days written notice to the Borrower. If a successor Dissemination Agent is appointed to assist the Borrower in carrying out its obligations under this Disclosure Agreement, such successor Dissemination Agent shall execute an acceptance of duties as Dissemination Agent in substantially the form attached as *Exhibit B* hereto.

Section 8. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Agreement, the Borrower and the Dissemination Agent may amend this Disclosure Agreement (and the Dissemination Agent shall agree to any amendment so requested by the Borrower, *provided* that the Dissemination Agent shall not be obligated to enter into any amendment increasing or affecting its duties or obligations) and any provision of this Disclosure Agreement may be waived, *provided* that the following conditions are satisfied:

(a) If the amendment or waiver relates to the provisions of Sections 3(a), 4 or 5(a), it may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature or status of an "obligated person" (as defined in the Rule) with respect to the Bonds, or the type of business conducted;

(b) The undertaking, as amended or taking into account such waiver, would, in the opinion of nationally recognized bond counsel, have complied with the requirements of the Rule at the time of the original execution and delivery of the Bonds

after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and

(c) The amendment or waiver either (i) is approved by the Holders of the Bonds in the same manner as provided in the Bond Indenture for amendments to such Bond Indenture with the consent of Holders, or (ii) does not, in the opinion of Bond Counsel, materially impair the interests of the Holders or Beneficial Owners of the Bonds.

In the event of any amendment or waiver of a provision of this Disclosure Agreement, the Borrower shall describe such amendment in the next Annual Report, and shall include, as applicable, a narrative explanation of the reason for the amendment or waiver and its impact on the type (or in the case of a change of accounting principles, on the presentation) of financial information or operating data being presented by the Borrower. In addition, if the amendment relates to the accounting principles to be followed in preparing financial statements, (i) notice of such change shall be given in the same manner as for a Listed Event under Section 5(f), and (ii) the Annual Report for the year in which the change is made should present a comparison (in narrative form and also, if feasible, in quantitative form) between the financial statements as prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles.

Section 9. Additional Information. Nothing in this Disclosure Agreement shall be deemed to prevent any of the Borrower or any other Member of the Obligated Group from disseminating any other information, using the means of dissemination set forth in this Disclosure Agreement or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Agreement. If the Borrower chooses to include any information in any Annual Report or Quarterly Report or notice of occurrence of a Listed Event, in addition to that which is specifically required by this Disclosure Agreement, the Borrower shall have no obligation under this Disclosure Agreement to update such information or include it in any future Annual Report or Quarterly Report or notice of occurrence of a Listed Event.

Section 10. Default. In the event of a failure of the Borrower or any other Member of the Obligated Group or the Dissemination Agent to comply with any provision of this Disclosure Agreement, the Bond Trustee may (and at the request of the Underwriter or the Holders of at least 25% in aggregate principal amount of Outstanding Bonds, shall) or any Holder or Beneficial Owner of the Bonds may take such actions as may be necessary and appropriate, including seeking a mandate or specific performance by court order, to cause the Borrower or any other Member of the Obligated Group or the Dissemination Agent, as the case may be, to comply with their respective obligations under this Disclosure Agreement. Upon any such default, the Bond Trustee is required to promptly notify (and confirm in writing) the Issuer of such event but the Issuer has no duties pursuant to this Disclosure Agreement as a result of being so notified. A default under this Disclosure Agreement shall not be deemed an event of default under the Master Indenture, the Bond Indenture or Loan Agreement, and the sole remedy under this Disclosure Agreement in the event of any failure of the Borrower, the Obligated Group or

the Dissemination Agent to comply with this Disclosure Agreement shall be an action to compel performance.

Section 11. Duties, Immunities and Liabilities of the Dissemination Agent. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Agreement, and the Borrower, on its own behalf and on behalf of all current and future Members of the Obligated Group, agrees to indemnify and save the Dissemination Agent and its officers, directors, employees and agents, harmless against any loss, expense and liabilities which they may incur arising out of or in the exercise or performance of their powers and duties hereunder, including the costs and expenses (including reasonable attorney's fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's negligence or willful misconduct. The Dissemination Agent shall be paid compensation by the Borrower for its services provided hereunder in accordance with its schedule of fees as agreed to between the Dissemination Agent and the Borrower from time to time. The Dissemination Agent shall have no duty or obligation to review any information provided to it by or on behalf of the Borrower or any Member of the Obligated Group and shall not be deemed to be acting in any fiduciary capacity for the Borrower, the Obligated Group Members, the Holders, Beneficial Owners or any other party. The obligations of the Borrower and the other Members of the Obligated Group under this Section shall survive resignation or removal of the Dissemination Agent and payment of the Bonds.

Section 12. Notices. Any notices or communications to or among any of the parties to this Disclosure Agreement may be given as follows:

To the Obligated Group Representative:

Eskaton Properties, Incorporated
5105 Manzanita Avenue
Carmichael, California 95608
Attention: Chief Financial Officer

To the Dissemination Agent:

U.S. Bank Trust Company, National Association
633 W. 5th Street, 24th Floor
Los Angeles, California 90071
Attention: Global Corporate Trust

To the Issuer:

California Municipal Finance Authority
2111 Palomar Airport Road, Suite 320
Carlsbad, California 92011

To the Bond Trustee:

U.S. Bank Trust Company, National Association
633 W. 5th Street, 24th Floor
Los Angeles, California 90071
Attention: Global Corporate Trust

Section 13. Beneficiaries; Enforcement Rights of the Issuer. This Disclosure Agreement shall inure solely to the benefit of the Issuer, the Borrower, future Members of the Obligated Group, the Bond Trustee, the Dissemination Agent, the Underwriter, Holders and Beneficial Owners from time to time of the Bonds and shall create no rights in any other Person or entity.

Section 14. Counterparts. This Disclosure Agreement may be executed in several counterparts, each of which shall be an original and all of which shall constitute but one and the same instrument.

Dated as of September 19, 2024

ESKATON PROPERTIES, INCORPORATED, on
behalf of itself and all Members of the
Obligated Group

By: _____
Chief Financial Officer

U.S. BANK TRUST COMPANY, NATIONAL
ASSOCIATION, as Dissemination Agent

By: _____
Vice President

EXHIBIT A

**NOTICE TO MSRB OF FAILURE TO FILE ANNUAL,
QUARTERLY OR MONTHLY REPORT**

Name of Issuer: California Municipal Finance Authority

Name of Issue: \$82,895,000 Revenue and Refunding Bonds (Eskaton Properties, Incorporated Obligated Group), Series 2024 (the “*Bonds*”)

Name of Obligated Group Representative: Eskaton Properties, Incorporated

Date of Issuance: September 19, 2024

NOTICE IS HEREBY GIVEN that the Obligated Group has not provided [an Annual Report] [a Quarterly Report] [a Monthly Report] with respect to the above-named Bonds as required by the Continuing Disclosure Agreement, dated as of September 19, 2024, with respect to the Bonds. The Obligated Group Representative anticipates that the [Annual] [Quarterly] [Monthly] Report will be filed by _____.

Dated: _____

_____,
as Dissemination Agent, on behalf of the
Borrower

By: _____
Authorized Signatory

EXHIBIT B

ACCEPTANCE OF DUTIES AS DISSEMINATION AGENT

The undersigned, duly authorized officer of [Name of Successor Dissemination Agent] (the “*Dissemination Agent*”) hereby accepts the duties and obligations imposed upon the undersigned as Dissemination Agent under the Continuing Disclosure Agreement, dated as of September 19, 2024, of Eskaton Properties, Incorporated, for itself and all Members of the Obligated Group, and U.S. Bank Trust Company, National Association, as initial Dissemination Agent.

The principal corporate trust office of the Dissemination Agent is _____.

Dated: _____

[NAME OF SUCCESSOR DISSEMINATION AGENT],
as successor Dissemination Agent

By: _____
Authorized Officer

APPENDIX F

FORM OF OPINION OF BOND COUNSEL

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[LETTERHEAD OF JONES HALL]

[Dated Date]

California Municipal Finance Authority
2111 Palomar Airport Road, Suite 320
Carlsbad, CA 92011

OPINION: \$ _____ California Municipal Finance Authority
Revenue and Refunding Bonds (Eskaton Properties, Incorporated Obligated
Group), Series 2024

Ladies and Gentlemen:

We have acted as bond counsel to California Municipal Finance Authority (the “Issuer”) in connection with the issuance by the Issuer of the bonds captioned above (the “Bonds”). In such capacity, we have examined such law and such certified proceedings, certifications, opinions and other documents as we have deemed necessary to render this opinion.

The Bonds are issued pursuant to Article 4 of Chapter 5 of Division 7 of Title 1 (commencing with Section 6584) of the Government Code of the State of California (the “Bond Law”), the Bond Trust Indenture, dated as of September 1, 2024 (the “Indenture”), by and between the Issuer and U.S. Bank Trust Company, National Association, as trustee (the “Trustee”), and a resolution (the “Resolution”) of the governing board of the Issuer adopted August 9, 2024. Under the Indenture, the Issuer has pledged certain revenues (the “Revenues”) for the payment of principal, premium (if any), and interest on the Bonds when due.

Proceeds of the Bonds will be loaned to Eskaton Properties, Incorporated, a California nonprofit public benefit corporation and an organization described in section 501(c)(3) of the Code (defined below) (the “Borrower”) pursuant to a Loan Agreement dated as of September 1, 2024 (the “Loan Agreement”) between the Issuer and the Borrower, to finance and refinance the acquisition, construction, furnishing and equipping of certain facilities owned and operated by the Borrower, Eskaton Village-Roseville (“Eskaton-Roseville”), a California nonprofit, public benefit corporation, and Eskaton Village-Grass Valley, a California nonprofit, public benefit corporation (“Eskaton-Grass Valley” and, together with the Borrower and Eskaton-Roseville, the “Obligated Group Members”) (the “Project”).

Regarding questions of fact material to our opinion, we have relied on representations of the Issuer contained in the Indenture, and on the certified proceedings and certifications of public officials, the Borrower, and others furnished to us, without undertaking to verify the same by

independent investigation. In addition, in rendering the following opinion we have relied on the opinion of Hefner Law ("Borrower's Counsel"), that, among other things, the Borrower and each other Obligated Group Member is an organization described in Section 501(c)(3) of the Internal Revenue Code of 1986 (the "Code"), the Borrower and other Obligated Group Members do not have "unrelated business taxable income" within the meaning of section 512 of the Code, and the Project will be used in furtherance of the Obligated Group Members' "exempt purpose" as defined in Section 501(c)(3) of the Code.

Based upon the foregoing, we are of the opinion, under existing law, that:

1. The Issuer is a joint exercise of powers agency duly organized and validly existing under the laws of the State of California, with the power to adopt the Resolution, enter into the Indenture and the Loan Agreement and perform the agreements on its part contained therein, and issue the Bonds.

2. The Indenture and the Loan Agreement have been duly authorized, executed and delivered by the Issuer, and constitute valid and binding obligations of the Issuer, enforceable against the Issuer.

3. The Indenture creates a valid lien on the Revenues and other funds pledged by the Indenture for the security of the Bonds, on a parity with other bonds (if any) issued or to be issued in accordance with the Indenture.

4. The Bonds have been duly authorized, executed and delivered by the Issuer and are valid and binding limited obligations of the Issuer, payable solely from the Revenues and other sources provided therefor in the Indenture.

5. Interest on the Bonds is excluded from gross income for federal income tax purposes, and is not an item of tax preference for purposes of the federal alternative minimum tax. It should be noted however that interest on the Bonds may be subject to the corporate alternative minimum tax. The opinions set forth in the preceding sentences are subject to the condition that the Issuer and the Obligated Group Members comply with all requirements of the Code that must be satisfied subsequent to the issuance of the Bonds in order that the interest thereon be, and continue to be, excludable from gross income for federal income tax purposes. The Issuer and the Borrower (for itself and the other Obligated Group Members) have made certain representations and covenants in order to comply with each such requirement. Inaccuracy of those representations, or failure to comply with certain of those covenants, may cause the inclusion of such interest in gross income for federal income tax purposes, which may be retroactive to the date of issuance of the Bonds.

6. The interest on the Bonds is exempt from personal income taxation imposed by the State of California.

We express no opinion regarding any other tax consequences arising with respect to the ownership, sale or disposition of, or the amount, accrual or receipt of interest on, the Bonds.

In rendering the opinion in paragraph 5 above, we have relied upon representations of the Borrower and the other Obligated Group Members concerning "unrelated trade or business" activities, as defined in Section 513(a) of the Code. We are not opining nor providing assurance concerning Section 513(a) of the Code, and neither we nor Borrower's Counsel can give or has given any opinion or assurance about the future activities of the Borrower or other Obligated

Group Members, or about the effect of future changes in the Code, the applicable regulations, the interpretation thereof or the resulting changes in enforcement thereof by the Internal Revenue Service (the "IRS"). Failure of the Borrower and the other Obligated Group Members to be organized and operated in accordance with the IRS's requirements for the maintenance of its status as an organization described in Section 501(c)(3) of the Code or to operate the facilities financed or refinanced by the Bonds in a manner that is substantially related to the Borrower's and the other Obligated Group Members' charitable purpose under Section 513(a) of the Code may result in interest on the Bonds being included in federal gross income, possibly from the date of original issuance the Bonds.

The rights of the owners of the Bonds and the enforceability of the Bonds and the Indenture are limited by bankruptcy, insolvency, reorganization, moratorium and other similar laws affecting creditors' rights generally, and by equitable principles, whether considered at law or in equity.

This opinion is given as of the date hereof, and we assume no obligation to revise or supplement this opinion to reflect any facts or circumstances that may hereafter come to our attention, or any changes in law that may hereafter occur. Moreover, our opinions are not a guarantee of a particular result, and are not binding on the IRS or any court; rather, our opinions represent our legal judgment based upon our review of existing law that we deem relevant to such opinions, and any assumptions expressed herein, and in reliance upon the representations, and covenants referenced above. Our engagement with respect to this matter has terminated as of the date hereof.

Respectfully submitted,

A Professional Law Corporation

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APPENDIX G

BOOK-ENTRY SYSTEM

DTC will act as securities depository for the Bonds. The Bonds will be issued as fully-registered bonds registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. The ownership of one fully-registered Bond for each maturity, each in the aggregate principal amount of such maturity, will be registered in the name of Cede & Co.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments from over 100 countries that DTC's participants ("*Direct Participants*") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("*DTCC*"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("*Indirect Participants*"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com and www.dtc.org.

Purchases of the Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond ("*Beneficial Owner*") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in the Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not affect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults, and proposed amendments to bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them. Redemption notices shall be sent to DTC. If less than all of the Bonds are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the Bonds unless authorized by a Direct Participant in accordance with DTC's Procedures. Under its usual procedures, DTC mails an "Omnibus Proxy" to the Authority as soon as possible after the Record Date. The "Omnibus Proxy" assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Bonds are credited on the Record Date (identified in a listing attached to the "*Omnibus Proxy*").

Principal and interest payments on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the Bond Trustee or the Authority, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as in the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Bond Trustee or the Authority, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of principal and interest to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the Bond Trustee or the Authority. Disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the Authority and the Bond Trustee. Under such circumstances, in the event that a successor securities depository is not obtained, Bond certificates are required to be printed and delivered.

THE INFORMATION PROVIDED ABOVE HAS BEEN PROVIDED BY DTC. NO REPRESENTATION IS MADE BY THE AUTHORITY, THE CORPORATION OR THE UNDERWRITER AS TO THE ACCURACY OR ADEQUACY OF SUCH INFORMATION PROVIDED BY DTC OR AS TO THE ABSENCE OF MATERIAL ADVERSE CHANGES IN SUCH INFORMATION SUBSEQUENT TO THE DATE HEREOF.

For so long as the Bonds are registered in the name of DTC or its nominee, Cede & Co., the Authority and the Bond Trustee will recognize only DTC or its nominee, Cede & Co., as the registered owner of the Bonds for all purposes, including payments, notices and voting.

Under the Bond Indenture, payments made by the Bond Trustee to DTC or its nominee will satisfy the Authority's obligations under the Bond Indenture and the Corporation's obligations under the Loan Agreement, to the extent of the payments so made.

None of the Authority, the Underwriter, the Corporation or the Bond Trustee will have any responsibility or obligation with respect to (i) the accuracy of the records of DTC, its nominee or any Direct Participant or Indirect Participant with respect to any beneficial ownership interest in any Bond, (ii) the delivery to any Direct Participant or Indirect Participant or any other Person, other than an owner, as shown in the Bond Register, of any notice with respect to any Bond including, without limitation, any notice of redemption, tender, purchase or any event which would or could give rise to a tender or purchase right or option with respect to any Bond, (iii) the payment of any Direct Participant or Indirect Participant or any other Person, other than an owner, as shown in the Bond Register, of any amount with respect to the principal of, premium, if any, or interest on, or the purchase price of, any Bond or (iv) any consent given by DTC as registered owner.

Prior to any discontinuation of the book-entry only system described above, the Authority and the Bond Trustee may treat DTC as, and deem DTC to be, the absolute owner of the Bonds for all purposes whatsoever, including, without limitation, (i) the payment of principal of, premium, if any, and interest on the Bonds, (ii) giving notices of redemption and other matters with respect to the Bonds, (iii) registering transfers with respect to the Bonds and (iv) the selection of Bonds for redemption.

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APPENDIX H

FINANCIAL FEASIBILITY REPORT

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HENDRICKSON CONSULTING

6 Beach Road – #494, Tiburon, California 94920 - (415) 889-5035 – Bill1Hendrickson@gmail.com

FINAL REPORT

ESKATON PROPERTIES OBLIGATED GROUP

FINANCIAL FEASIBILITY REPORT

AUGUST 21, 2024

HENDRICKSON CONSULTING

6 Beach Road, #494, Tiburon, CA 94920 – (415) 889-5035 – BillHendrickson@gmail.com

August 21, 2024

Mark Jenkins
Senior Vice President/Chief Financial Officer
Eskaton
5105 Manzanita Avenue
Carmichael, CA 95608

Dear Mr. Jenkins:

We are pleased to submit this feasibility study for Eskaton, a 501(c)(3) corporation that owns and operates a continuing care retirement community (CCRC), senior rental communities, and provides other services to seniors in the greater Sacramento area. The feasibility report provides financial forecasts for the Eskaton Properties Incorporated Obligated Group (the EOG), which owns the majority of Eskaton's facilities, and is the obligor for 2012, 2013, and 2022 tax-exempt Bonds. In addition to the Home Office, the EOG includes the Eskaton Village Carmichael CCRC, and four senior rental communities; Eskaton Village Grass Valley, Eskaton Village Roseville, Eskaton Gold River, and Eskaton Land Park.

The purpose of the 2024 Revenue and Refunding Bonds is to refinance the three existing bonds and to provide capital improvement funds for maintenance/upgrade projects within EOG. The 2024 Bonds are anticipated to be issued in September and are expected to have maximum coupon rates of 5.0%. Semi-annual interest payments to bondholders begin on November 15, 2024. Annual principal payments begin on November 15, 2024 and end on November 15, 2044.

To evaluate the financial feasibility of the transaction we have reviewed critical information sources, including the following:

- the key revenue sources for EOG,
- the key expenses for EOG,
- the estimated costs and timing of the improvements, and
- the terms and structure of the proposed bond issue.

The information obtained through this process has been used to forecast the EOG financial statements for the fiscal years ending December 31, 2024 to 2029. Based on our evaluation, the debt coverage ratio is expected to equal or exceed 2.0x maximum annual debt service in all forecast years. In addition, the sources of funds will be adequate to meet operating expenses, working capital, and other capital requirements.

The forecasts contained in this report are based on several assumptions. To the extent that these assumptions are not realized, the actual results may vary accordingly. Implementation of policies and procedures to attain the forecast results is the responsibility of Eskaton and its management. Since forecasts of future events are subject to uncertainty, we cannot guarantee these forecasts as specific results that will be achieved.

We appreciate the assistance provided by Eskaton management during the preparation of this study.

Sincerely,

William D. Hendrickson

William D. Hendrickson
Hendrickson Consulting

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SECTION A
ESKATON OBLIGATED GROUP
STATEMENTS OF CHANGES IN NET ASSETS
(\$000s)

Fiscal Year Ending 12/31	2023	2024	2025	2026	2027	2028	2029
<u>REVENUE</u>							
EV Carmichael	\$37,561	\$38,080	\$39,603	\$41,187	\$42,834	\$44,548	\$46,329
EV Carmichael - Amortized M.Fees	1,629	1,694	1,762	1,832	1,906	1,982	2,061
EV Grass Valley	10,829	11,600	12,163	12,649	13,155	13,682	14,229
EV Roseville	9,992	10,480	10,899	11,335	11,789	12,260	12,751
Eskaton Gold River	8,064	8,960	9,318	9,691	10,079	10,482	10,901
Eskaton Land Park	4,833	5,040	5,242	5,451	5,669	5,896	6,132
Eskaton Cameron Park/Other	2,477	696	914	932	950	969	989
Management/Other Fees - External	3,780	3,880	4,035	4,197	4,364	4,539	4,721
Management Fees - Internal	1,780	1,954	2,032	2,113	2,198	2,286	2,377
Grants/Other	1,564	1,610	270	281	292	304	316
Investment Earnings	7,032	2,758	2,354	2,528	2,728	2,957	3,096
Total Revenue	\$89,541	\$86,752	\$88,592	\$92,197	\$95,965	\$99,904	\$103,902
<u>EXPENSES</u>							
Salaries	\$36,931	\$36,908	\$38,384	\$39,920	\$41,516	\$43,177	\$44,904
Benefits	6,865	10,800	11,232	11,681	12,149	12,634	13,140
Purchased Serv./Prof. Fees	15,512	10,940	11,378	11,833	12,306	12,798	13,310
Supplies/Utilities/Other	12,787	12,420	12,917	13,433	13,971	14,530	15,111
Depreciation/Amortization	5,912	6,420	6,825	7,207	7,403	7,612	7,853
Net Interest/Fees	4,301	4,154	4,066	3,943	3,814	3,679	3,536
Total Expenses	\$82,308	\$81,642	\$84,802	\$88,017	\$91,159	\$94,431	\$97,854
Net Income	\$7,233	\$5,110	\$3,790	\$4,180	\$4,807	\$5,474	\$6,047
Discontinued Operations	\$8,577	(\$2,000)	\$0	\$0	\$0	\$0	\$0
Other	1,115	0	0	0	0	0	0
Change NA w/o Donor R.	\$9,692	(\$2,000)	\$0	\$0	\$0	\$0	\$0
Change NA w/o Donor R.	\$16,925	\$3,110	\$3,790	\$4,180	\$4,807	\$5,474	\$6,047
NET ASSETS	\$46,605	\$49,715	\$53,505	\$57,685	\$62,491	\$67,965	\$74,012

SECTION A
ESKATON OBLIGATED GROUP
STATEMENTS OF FINANCIAL POSITION
(\$000s)

Fiscal Year Ending 12/31	2023	2024	2025	2026	2027	2028	2029
<u>ASSETS</u>							
Cash & Investments	\$68,938	\$58,858	\$63,200	\$68,211	\$73,928	\$77,395	\$81,260
Accounts Receivable	3,918	4,314	4,503	4,682	4,868	5,062	5,263
Due from Related Parties	13,695	14,695	14,695	14,695	14,695	14,695	14,695
Other Current Assets	6,070	6,070	6,070	6,070	6,070	6,070	6,070
Total Current Assets	\$92,621	\$83,937	\$88,468	\$93,658	\$99,561	\$103,222	\$107,289
Limited Use Assets	\$8,927	\$20,000	\$12,000	\$4,000	\$0	\$0	\$0
Net Property, Plant, Equip.	49,082	51,717	56,891	61,685	62,282	61,670	61,096
Due from Related Parties	3,147	7,147	7,147	7,147	7,147	7,147	7,147
Other Assets	14,996	14,996	14,996	14,996	14,996	14,996	14,996
TOTAL ASSETS	\$168,773	\$177,797	\$179,502	\$181,485	\$183,986	\$187,034	\$190,528
<u>LIABILITIES</u>							
Accounts Pay./Accrued Exp.	\$5,915	\$6,183	\$6,409	\$6,642	\$6,884	\$7,136	\$7,397
Other Current Liabilities	12,266	12,266	12,266	12,266	12,266	12,266	12,266
Current Portion - Debt	4,642	2,460	2,585	2,710	2,845	2,990	3,140
Total Current Liabilities	\$22,823	\$20,909	\$21,260	\$21,618	\$21,995	\$22,392	\$22,803
Unamortized Memb.Fees	\$9,027	\$9,433	\$9,583	\$9,738	\$9,899	\$10,068	\$10,242
Debt - Long-Term	76,637	86,659	84,074	81,364	78,519	75,529	72,389
Other Liabilities	13,681	11,081	11,081	11,081	11,081	11,081	11,081
TOTAL LIABILITIES	\$122,168	\$128,082	\$125,998	\$123,801	\$121,495	\$119,069	\$116,516
NET ASSETS	\$46,605	\$49,715	\$53,505	\$57,685	\$62,491	\$67,965	\$74,012
TOTAL NET ASSETS/LIAB.	\$168,773	\$177,797	\$179,502	\$181,485	\$183,986	\$187,034	\$190,528

SECTION A
ESKATON OBLIGATED GROUP
STATEMENTS OF CASH FLOWS
(\$000s)

Fiscal Year Ending 12/31	2023	2024	2025	2026	2027	2028	2029
<u>OPERATING ACTIVITIES</u>							
Change in Net Assets	\$16,925	\$3,110	\$3,790	\$4,180	\$4,807	\$5,474	\$6,047
Depreciation and Amortization	6,478	6,420	6,825	7,207	7,403	7,612	7,853
Net Membership Fees	2,272	2,100	1,911	1,988	2,067	2,150	2,236
Gains Disposal of Property	(26,113)	0	0	0	0	0	0
Amortized Membership Fees	(1,629)	(1,694)	(1,762)	(1,832)	(1,906)	(1,982)	(2,061)
Changes in Assets/Liabilities	(7,219)	(7,729)	38	54	56	58	60
Cash From Operating Act.	(\$9,286)	\$2,207	\$10,803	\$11,596	\$12,427	\$13,312	\$14,135
<u>INVESTING ACTIVITIES</u>							
Project Expenditures	\$0	\$0	(\$8,000)	(\$8,000)	(\$4,000)	\$0	\$0
Capital Expenditures	(6,160)	(6,000)	(4,000)	(4,000)	(4,000)	(7,000)	(7,280)
Property Sale/Other	34,154	0	0	0	0	0	0
Cash From Investing Act.	\$27,994	(\$6,000)	(\$12,000)	(\$12,000)	(\$8,000)	(\$7,000)	(\$7,280)
<u>FINANCING ACTIVITIES</u>							
Debt Proceeds	\$0	\$90,324	\$0	\$0	\$0	\$0	\$0
Release 2012/13 Bond Funds	0	11,509	0	0	0	0	0
Change in 2024 Bond Funds	0	(20,000)	8,000	8,000	4,000	0	0
Refund Escrow	0	(80,078)	0	0	0	0	0
Issuance/Swap Termination	0	(3,054)	0	0	0	0	0
Debt Principal Payments	(8,395)	(1,205)	(2,460)	(2,585)	(2,710)	(2,845)	(2,990)
Net Change Related Entities	(3,959)	0	0	0	0	0	0
Other	(314)	(3,783)	0	0	0	0	0
Cash From Financing Act.	(\$12,668)	(\$6,287)	\$5,540	\$5,415	\$1,290	(\$2,845)	(\$2,990)
Net Change in Cash/Equiv.	\$6,040	(\$10,080)	\$4,343	\$5,011	\$5,717	\$3,467	\$3,865
End Of Year Cash & Equiv.	\$68,938	\$58,858	\$63,200	\$68,211	\$73,928	\$77,395	\$81,260

B. BACKGROUND

Eskaton is a 501(c)(3) non-profit California corporation formed in 1968 to provide housing and services to seniors. Eskaton is the sole corporate member of 10 non-profit and for-profit corporations (the subsidiaries), three of which are in the Eskaton Properties Incorporated Obligated Group (the EOG). The EOG was originally formed in 1999 under a Master Indenture of Trust.

The three corporations that form the EOG include Eskaton Properties, Inc. (EPI), Eskaton Village Grass Valley (EVGV), and Eskaton Village Roseville (EVR). EPI includes Eskaton Village Carmichael (EVC), a continuing care retirement community (CCRC), Eskaton Gold River (EGR), Eskaton Land Park (ELP), Eskaton Cameron Park (ECP), and the administrative Home Office (HO). In 2023 Eskaton sold and/or ceased operations for three EPI skilled nursing facilities (SNFs), Eskaton Home Healthcare (a home medical care provider), and ECP, which since has been leased to the California Department of Forestry. The SNF sales and closures were completed in part to address operating losses for the previous years. EOG received \$35.6 million for the SNFs and used a portion of these proceeds to partially defease the 2022 Refunding Bonds.

EVC is the largest EOG facility and accounts for more than one-half of EOG revenue. EVC is a State-licensed CCRC with 295 independent living (IL) apartments and cottages, 57 assisted living (AL) and memory care (MC) units, and a 35-bed SNF. EVC is located in the community of Carmichael and opened in 1991.

The four operating EOG rental senior communities have a combined total of 426 IL, AL, and MC units. EVGV is the largest rental community with 137 IL, AL, and MC units. EVR has 96 IL, AL, and MC units. EGR includes 95 IL, AL, and MC units and ELP has 98 IL units.

PROPOSED 2024 BONDS

The proceeds of the \$91.3 million par/premium tax-exempt fixed-rate 2024 Revenue and Refunding Bonds will be used to refund three existing tax-exempt bonds (Series 2012, 2013, and 2022) with a refunding escrow of \$80.2 million, and to fund \$20.0 million in capital maintenance and upgrade projects at four communities. The current maximum annual debt service (MADS) of \$8.9 million will be lowered to \$6.6 million as a result of lengthening the current terms (2029-2035) to 2044 and lowering the interest rates.

THE BOARD OF DIRECTORS

EOG is governed by a 10-member Board of Directors. Non-resident directors are eligible to serve up to three consecutive 3-year terms, and after a one-year break, are eligible for additional terms. Current Board members have served an average of five years. Members also participate in a series of committees including Finance, Investment, Audit, Strategic Planning, and Health Services.

C. FINANCING ASSUMPTIONS

A summary of the 2024 Bond sources and uses of funds is shown in **Table 1** and debt payments in **Table 2**.

REFUNDING

The EOG currently has \$80.1 million in outstanding (as of the end of 2023) tax-exempt bonds with terms ranging from 2029 to 2035. The two fixed-rate bonds were issued in 2012 and 2013 and refunded previous bonds and funded capital improvements. The 2012 Bonds have \$25.6 million outstanding and mature on November 15, 2034. Annual debt payments average \$2.7 million. The 2013 Bonds have \$36.6 million outstanding and mature on November 15, 2035. Annual debt payments average \$3.6 million. The 2022 variable-rate Bonds refunded previous bonds. They were placed through a bank and are due in August 2029. Monthly principal and interest payments are required and the balance at 2024 Bond closing is estimated at \$16.8 million. In 2023 annual debt payments on the 2022 Bonds were \$2.9 million. The combined MADS for the three loans totals \$8.9 million.

Approximately \$70.9 million (par/premium) of the \$91.3 million 2024 Bonds will be used to refund these three loans. The Bonds are estimated to be dated September 1, with annual principal payments beginning on November 15, 2024 and ending on November 15, 2044. Semi-annual interest payments also begin on November 15, 2024. Coupon rates are 5.0% and the all-in true-interest cost is estimated at 4.3%. As shown in **Table 2**, annual debt payments average \$6.6 million, \$2.2 million below current levels. Not shown are 2023 payments for the existing bonds, which are estimated at \$1.1 million principal (for the 2022 Bonds) and \$3.5 million interest on all debt prior to the issuance of the 2024 Bonds.

2024 BOND FUNDED PROJECTS

Eskaton expects to use the \$20.0 million in project funds for various projects over the next three years. None of these projects is expected to have a direct impact on operating revenues or expenses, and primarily consist of exterior, common area, and apartment upgrades as well as technology improvements. Management will focus on four campuses, EVGV (estimated \$7 million), EVC (\$5 million), EGR (\$5 million), and EVR (\$3 million). EVC's funds will be expended primarily for dining/bistro renovation, addition of an outdoor dining venue, and common area and resident apartment upgrades.

TABLE 1
ESKATON OBLIGATED GROUP
SOURCES/USES OF FUNDS
(\$000s)

Fiscal Year Ending 12/31	2024	2025	2026	2027	TOTAL
<u>SOURCES</u>					
2024 Bonds - Par	\$83,725	\$0	\$0	\$0	\$83,725
2024 Bonds - Premium	7,555	0	0	0	7,555
2012/13 Bond Funds	10,529	0	0	0	10,529
Cash - Swap Termination	930	0	0	0	930
TOTAL SOURCES	\$102,739	\$0	\$0	\$0	\$102,739
<u>USES</u>					
2012/13 Bond Escrow	\$80,196	\$0	\$0	\$0	\$80,196
Project Funds	0	8,000	8,000	4,000	20,000
Issuance Costs	1,613	0	0	0	1,613
Swap Termination	930	0	0	0	930
TOTAL USES	\$82,739	\$8,000	\$8,000	\$4,000	\$102,739
BALANCE	\$20,000	\$12,000	\$4,000	\$0	\$0

TABLE 2
ESKATON OBLIGATED GROUP
ANNUAL 2024 BOND DEBT PAYMENTS
(\$000s)

Fiscal Year Ending 12/31	2024	2025	2026	2027	2028	2029
Interest	\$652	\$4,125	\$4,000	\$3,869	\$3,732	\$3,587
Principal	<u>\$1,225</u>	<u>2,495</u>	<u>2,620</u>	<u>2,750</u>	<u>2,890</u>	<u>3,030</u>
Annual Debt	\$1,877	\$6,620	\$6,620	\$6,619	\$6,622	\$6,617
Balance Par/Premium	\$90,055	\$87,560	\$84,940	\$82,190	\$79,300	\$76,270

D. OPERATING ASSUMPTIONS

The following is a discussion of key utilization, revenue, and expense assumptions. Fiscal year (FY) ending December 31, 2023, is based on internal financial statements and the audit. FY 2024 estimates are based on the budget and internal financials and occupancy totals through June 30.

REVENUE ASSUMPTIONS

Table 3 shows a summary of rates for the five operating EOG communities, separated into the EVC CCRC and the four operating senior rental communities (a fifth community, Eskaton Cameron Park, ceased operation in late-2023). **Tables 4-5** show a summary of EVC's occupancies and revenues and **Table 6** shows the same information for each of the four rental communities. All rates and other revenues are estimated to increase at an inflation rate of 4.0% per year after FY 2024 unless otherwise noted.

Resident Agreements and Rates

Entrants to EVC IL are covered under a Type C Membership Agreement which describes the services to be provided and the financial terms during the resident's stay. Entrants pay a one-time Membership Fee upon entry to one of the 295 IL units and monthly/daily fees for all levels of care. Residents are provided with three meals per day, bi-weekly housekeeping, and a range of activity programs. Priority admission but no discounts are provided to IL residents who transfer to AL, MC, or SNF care.

The Membership Fee shares some similarities to the more typical CCRC entrance fee but has features which differ. These include a) 50% shared appreciation in addition to the 90% of paid price repayment upon resale of the unit, b) the resident's responsibility to set the price for and sell the unit, c) the ability of the resident to sell the unit to EVC, who in turn can sell the unit at a negotiated rate or as a declining refund "amortized" fee, and d) the responsibility of residents to continue paying a reduced monthly fee until the unit is resold. As shown in **Table 3**, 90%+50% appreciation suggested Membership Fees range from \$135,000-\$500,000 and monthly fees from \$5,120-\$7,855 for a single occupant. Amortized fee prices are set at 60% of 90% refundable prices. Monthly fee rates are increased each January 1, most recently by an average of 6.8% for all levels of care. Membership Fee rates are set by the resident occupant.

Residents of the four smaller senior communities enter into rental agreements and, unlike EVC, can enter into any level of care. Rates are generally increased each January 1 and were last increased from 1.3% to 7.8% depending on the community and level of care. As shown in **Table 3**, IL single residents pay an average of about \$5,500 for IL (EGR and EVR IL units are not separate from AL) in all but ELP, which has fewer services and lower rates. IL residents in EVGV, EGR, and EVR are provided three meals daily and bi-weekly housekeeping services. ELP residents receive one meal per day.

TABLE 3
ESKATON OBLIGATED GROUP
KEY 2024 UNIT/FEEs

Unit/Bed Type	Units/Beds	Square Feet	Member Fee - 90%	Monthly Fee
<u>ESKATON VILLAGE CARMICHAEL</u>				
One-Bedroom	85	650-940	\$135,000-\$175,000	\$5,120-\$5,945
Two-Bedroom	86	1,020-1,360	\$185,000-\$315,000	\$6,350-\$7,290
Two-Bedroom/Den	30	1,360-1,410	\$310,000-\$325,000	\$7,670-\$7,670
Cottages	<u>94</u>	1,040-1,590	\$215,000-\$500,000	\$6,540-\$7,855
Total IL Units	295			
Assisted Living	37	340-480		\$7,010-\$8,370
Memory Care	20	220-220		\$9,415-\$12,130
Skilled Nursing (per Day)	35			\$493/\$588

(1) Second person monthly fee is \$1,625. Amortized membership Fees priced at 60% of the suggested membership fee.

Community	Total Units	Square Feet	Monthly Fees - IL	Monthly Fees - AL	Monthly Fees - MC
EV-Grass Valley	137	390-790	\$5,790-\$7,570	\$6,955-\$11,080	\$8,625-\$11,055
Eskaton Gold River	95	430-590	\$5,130-\$5,725	\$6,560-\$10,970	\$8,485-\$11,110
EV-Roseville	96	430-590	\$5,240-\$6,340	\$6,560-\$10,430	\$9,075-\$11,880
Eskaton Land Park	<u>98</u>	430-850	\$3,245-\$5,530		
Total Units	426				

(1) Community move-ins fees \$2,000-\$2,500 and second person \$650 for ELP and \$1,225-\$1,300 for others

Occupancy and Monthly Fee/Other Revenue

Tables 4 and 5 show a summary of occupancy and revenues for EVC and for the four rental communities. Information for 2023 is based on the audit and internal records. Estimates for 2024 are based on the budget and internal records through June. EOG community occupancy declined to a low during the Covid-19 period in 2020-21, before gradually increasing in 2022 and 2023. The overall occupancy improvement has continued in 2024, and generally exceeds 90% at each community. Current occupancy is over 97% for EVC IL units (including about 25 vacant units, about 8.5% of the total units. with former residents paying about \$700 lower monthly fees), and ranges from 88% for EVGV to 95% for ELP. Occupancy for the remainder of 2024 and thereafter is estimated to remain at current levels, although management expects further improvement.

Operating revenues include monthly fees (about 95% of the total) and other operating revenues (e.g. meals, beauty shop, guest rooms). Eskaton includes donations and membership resale/transfer

fees under operating revenue. These each average approximately \$500,000-\$600,000 per year (EVC received an additional \$1.0 million in FY 2023 for donated apartments). Rates and other revenues are estimated to increase by an average of 4.0% per year after 2024.

EVC Membership Fees

Table 6 shows a summary of EVC Membership Fees and move-ins. Membership Fees include appreciation received by EVC on 90% contract resales by residents plus amortized fee proceeds for units sold by EVC net of any refunds to residents. The number of move-ins shown excludes internal move-ins (e.g. residents relocating to smaller or larger units). As shown, Membership Fee revenues are estimated to total approximately \$2 million. This represents approximately 5% of total EVC revenue, a relatively small share compared to the typical 10%-15% for other California CCRCs. Membership Fees are forecast to increase by 4.0% per year.

Home Office Revenues

The Home Office provides administrative and management services to EOG communities as well as non-EOG Eskaton communities/programs and non-Eskaton communities. The majority of the estimated 2024 \$7.4 million annual revenues are from management fees and/or service fees from non-Eskaton communities including the O'Connor Woods, Housing and Urban Development (HUD) facilities, and Paradise Valley Estates CCRCs. The Home Office also receives management fees from non-EOG Eskaton communities (e.g. The Reutlinger Community-TRC, Granite Bay, Placerville). Other Home Office revenue includes a State-funded grant program, which provided \$1.2 million in 2023 and is estimated to provide \$1.3 million in 2024 (the grant ends in 2024) and miscellaneous lease and other revenues (about \$250,000). Home Office revenues are forecast to increase by 4.0% per year after 2024.

Eskaton Cameron Park (ECP)/Discontinued SNF/Other Operations

In 2023 Eskaton sold and/or ceased operations on three SNFs, Eskaton Home Healthcare, and ECP. ECP was leased to the California Department of Forestry for dormitory uses effective April 1, 2024, and ending in 2034. The lease is currently \$75,000 per month, increasing by 2.0% each April 1. The other discontinued operations are still incurring temporary revenue and expense adjustments, mainly contractual adjustments, but those are expected to cease by the end of 2024.

TABLE 4
ESKATON OBLIGATED GROUP
OPERATING REVENUE FORECASTS - CARMICHAEL
(\$000s)

Fiscal Year Ending 12/31	2023	2024	2025	2026	2027	2028	2029
<u>INDEPENDENT LIVING</u>							
Available Units	295.0	295.0	295.0	295.0	295.0	295.0	295.0
Average Paid Occupancy (1)	283.0	288.0	285.0	285.0	285.0	285.0	285.0
% Occupancy	95.9%	97.6%	96.6%	96.6%	96.6%	96.6%	96.6%
Average Monthly Revenue/Unit	\$7,094	\$7,130	\$7,415	\$7,711	\$8,020	\$8,341	\$8,674
ANNUAL REVENUES	\$24,092	\$24,640	\$25,359	\$26,373	\$27,428	\$28,525	\$29,666
<u>ASSISTED LIVING/MEMORY CARE</u>							
Available Units/Beds	58.0	57.5	57.0	57.0	57.0	57.0	57.0
Average Occupancy	54.7	54.0	54.0	54.0	54.0	54.0	54.0
% Occupancy	94.3%	93.9%	94.7%	94.7%	94.7%	94.7%	94.7%
Average Monthly Revenue/Unit	\$7,908	\$8,488	\$8,827	\$9,180	\$9,547	\$9,929	\$10,327
ANNUAL REVENUES	\$5,191	\$5,500	\$5,720	\$5,949	\$6,187	\$6,434	\$6,692
<u>SKILLED NURSING</u>							
Available Units/Beds	35.0	35.0	35.0	35.0	35.0	35.0	35.0
Average Occupancy	32.8	31.0	32.0	32.0	32.0	32.0	32.0
% Occupancy	93.7%	88.6%	91.4%	91.4%	91.4%	91.4%	91.4%
Average Daily Revenue/Bed	\$691	\$702	\$730	\$759	\$789	\$821	\$854
ANNUAL REVENUES	\$8,278	\$7,940	\$8,524	\$8,865	\$9,220	\$9,588	\$9,972
<u>TOTAL</u>							
Available Units/Beds	388.0	387.5	387.0	387.0	387.0	387.0	387.0
Average Occupancy	370.5	373.0	371.0	371.0	371.0	371.0	371.0
% Occupancy	95.5%	96.3%	95.9%	95.9%	95.9%	95.9%	95.9%
Average Monthly Revenue/Unit	\$8,448	\$8,508	\$8,895	\$9,251	\$9,621	\$10,006	\$10,406
ANNUAL REVENUES	\$37,561	\$38,080	\$39,603	\$41,187	\$42,834	\$44,548	\$46,329

(1) Includes an average of 20-25 IL units that are vacant but receive discounted monthly fees

TABLE 5
ESKATON OBLIGATED GROUP
OPERATING REVENUE FORECASTS - OTHER COMMUNITIES
(\$000s)

Fiscal Year Ending 12/31	2023	2024	2025	2026	2027	2028	2029
<u>EV ROSEVILLE</u>							
Available Units	96.0	96.0	96.0	96.0	96.0	96.0	96.0
Average Occupancy	91.6	90.0	90.0	90.0	90.0	90.0	90.0
% Occupancy	95.4%	93.8%	93.8%	93.8%	93.8%	93.8%	93.8%
Average Monthly Revenue/Unit	\$9,090	\$9,704	\$10,092	\$10,496	\$10,915	\$11,352	\$11,806
ANNUAL REVENUES	\$9,992	\$10,480	\$10,899	\$11,335	\$11,789	\$12,260	\$12,751
<u>EV GRASS VALLEY</u>							
Available Units/Beds	137.0	137.0	137.0	137.0	137.0	137.0	137.0
Average Occupancy	119.7	122.0	123.0	123.0	123.0	123.0	123.0
% Occupancy	87.4%	89.1%	89.8%	89.8%	89.8%	89.8%	89.8%
Average Monthly Revenue/Unit	\$7,539	\$7,923	\$8,240	\$8,570	\$8,913	\$9,269	\$9,640
ANNUAL REVENUES	\$10,829	\$11,600	\$12,163	\$12,649	\$13,155	\$13,682	\$14,229
<u>GOLD RIVER</u>							
Available Units/Beds	95.0	95.0	95.0	95.0	95.0	95.0	95.0
Average Occupancy	78.7	86.0	86.0	86.0	86.0	86.0	86.0
% Occupancy	82.8%	90.5%	90.5%	90.5%	90.5%	90.5%	90.5%
Average Monthly Revenue/Unit	\$8,539	\$8,682	\$9,029	\$9,391	\$9,766	\$10,157	\$10,563
ANNUAL REVENUES	\$8,064	\$8,960	\$9,318	\$9,691	\$10,079	\$10,482	\$10,901
<u>LAND PARK</u>							
Available Units/Beds	98.0	98.0	98.0	98.0	98.0	98.0	98.0
Average Occupancy	95.1	95.0	95.0	95.0	95.0	95.0	95.0
% Occupancy	97.0%	96.9%	96.9%	96.9%	96.9%	96.9%	96.9%
Average Monthly Revenue/Unit	\$4,235	\$4,421	\$4,598	\$4,782	\$4,973	\$5,172	\$5,379
ANNUAL REVENUES	\$4,833	\$5,040	\$5,242	\$5,451	\$5,669	\$5,896	\$6,132
<u>COMBINED FACILITIES</u>							
Available Units/Beds	426.0	426.0	426.0	426.0	426.0	426.0	426.0
Average Occupancy	385.1	393.0	394.0	394.0	394.0	394.0	394.0
% Occupancy	90.4%	92.3%	92.5%	92.5%	92.5%	92.5%	92.5%
Average Monthly Revenue/Unit	\$7,296	\$7,651	\$7,957	\$8,276	\$8,607	\$8,951	\$9,309
ANNUAL REVENUES	\$33,718	\$36,080	\$37,622	\$39,127	\$40,692	\$42,320	\$44,013

TABLE 6
ESKATON OBLIGATED GROUP
MEMBERSHIP FEE FORECASTS - CARMICHAEL
(000s)

Fiscal Year Ending 12/31	2023	2024	2025	2026	2027	2028	2029
Number of Resales	45.0	40.0	35.0	35.0	35.0	35.0	35.0
Average Net Receipts/Resale	\$50	\$53	\$55	\$57	\$59	\$61	\$64
NET MEMBERSHIP FEES (1)	\$2,272	\$2,100	\$1,911	\$1,988	\$2,067	\$2,150	\$2,236

(1) Excludes Resale/Transfer revenues set at 10% of lower of original or resale price, average \$500,000/year

Investment Earnings

The EOG has \$60 + million in cash and investments. Earnings totaled \$7.2 million in 2023, including \$6.8 million in unrealized gains. Earnings in 2025 and thereafter are estimated at 4.0% per year in interest, dividends, and realized gains, and unrealized gains (estimated at 50% of total earnings).

EXPENSE ASSUMPTIONS

Table 7 shows a summary of current staffing for each of the five EOG communities and the Home Office. As shown, EVC accounts for about 45% of the total 474 full-time equivalent (FTE) community employees. Nursing and dining FTEs account for about 66% of all FTEs at both EVC and the combined rental communities, with housekeeping, life enrichment, maintenance, and administration making up the remainder.

Expenses are estimated to increase by 4.0% per year and FTEs are forecast to remain at 2024 levels. Home Office expenses in 2024 include approximately \$800,000 in severance payments to previous executive staff and staff at the three SNFs sold at the end of 2023. These expenses are expected to end in 2024, with a resulting reduction in the estimated 2025 Home Office expenses.

**TABLE 7
ESKATON OBLIGATED GROUP
STAFFING SUMMARY
FISCAL YEAR 2024**

Community	FTEs
EV-Carmichael	209.0
EV Grass Valley	79.0
EV Roseville	87.0
Eskaton Gold River	73.0
Eskaton Land Park	26.0
Eskaton Cameron Park	0.0
Other Communities	265.0
Home Office	79.0
TOTAL FTEs	553.0

OPERATING CASH FLOWS

Table 8 shows a summary of EOG operating departmental cash flows before and after membership fee revenues. Revenues exclude investment earnings and amortized Membership Fees, and expenses exclude depreciation and interest. As shown, EOG operating cash flow totaled \$10.7 million in FY 2023 and is expected to grow at a stable rate to more than \$14 million by FY 2029.

TABLE 8
ESKATON OBLIGATED GROUP
CASH FLOW FORECASTS
(\$000s)

Fiscal Year Ending 12/31	2023	2024	2025	2026	2027	2028	2029
<u>REVENUES</u>							
EV Carmichael	\$37,561	\$38,080	\$39,603	\$41,187	\$42,834	\$44,548	\$46,329
EV Grass Valley	10,829	11,600	12,163	12,649	13,155	13,682	14,229
EV Roseville	9,992	10,480	10,899	11,335	11,789	12,260	12,751
Eskaton Gold River	8,064	8,960	9,318	9,691	10,079	10,482	10,901
Eskaton Land Park	4,833	5,040	5,242	5,451	5,669	5,896	6,132
Eskaton Cameron Park/Other	2,477	696	914	932	950	969	989
Management/Other Fees - External	3,780	3,880	4,035	4,197	4,364	4,539	4,721
Management Fees - Internal	1,780	1,954	2,032	2,113	2,198	2,286	2,377
Grants/Other	1,564	1,610	270	281	292	304	316
Total Operating Revenues	\$80,880	\$82,300	\$84,476	\$87,836	\$91,331	\$94,965	\$98,745
<u>EXPENSES</u>							
Salaries	\$36,931	\$36,908	\$38,384	\$39,920	\$41,516	\$43,177	\$44,904
Benefits	6,865	10,800	11,232	11,681	12,149	12,634	13,140
Purchased Serv./Prof. Fees	15,512	10,940	11,378	11,833	12,306	12,798	13,310
Supplies/Utilities/Other	12,787	12,420	12,917	13,433	13,971	14,530	15,111
Total Operating Expenses	\$72,095	\$71,068	\$73,911	\$76,867	\$79,942	\$83,140	\$86,465
Operating Cash Flow	\$8,785	\$11,232	\$10,565	\$10,969	\$11,389	\$11,826	\$12,280
Net Membership Fees	\$2,272	\$2,100	\$1,911	\$1,988	\$2,067	\$2,150	\$2,236
Combined Operating Cash Flow	\$11,057	\$13,332	\$12,476	\$12,957	\$13,457	\$13,976	\$14,515

E. FINANCIAL STATEMENT FORECASTS

Section A shows financial forecast statements for EOG. Other key assumptions reflected on the statements are summarized below.

STATEMENTS OF ACTIVITIES

In addition to the cash revenue and expense assumptions discussed above, there are two accrual categories. Depreciation estimates are based on an average useful life of 20 years for the \$20 million Bond-funded projects and an average useful life of 15 years for ongoing capital improvements. Amortized membership fees are increased by 4.0% per year.

STATEMENTS OF FINANCIAL POSITION

Accounts receivable is estimated at 20 days of cash revenues excluding investment earnings. Accounts payable and accrued expenses are projected at 30 days of annual expenses less depreciation. Other current assets include other receivables and deposits. Other assets include amounts due from liability insurers, resident deposits, EVC-owned units, and investments in partnerships. Both these categories are held at end of 2023 levels during the forecasts. Due from related parties represents amounts owed to the EOG by other Eskaton entities (particularly TRC) and are conservatively projected to remain at end of 2024 levels for the forecasts period. Other current liabilities and non-current liabilities are also kept at end of 2024 levels. Other current liabilities include pending litigation and employee health plan totals. Non-current liabilities include self-insured worker's compensation and resident deposits. Both categories are held at 2023 levels.

STATEMENTS OF CASH FLOWS

Capital expenditures from reserves are estimated at \$6.0 million in FY 2024, reduced to \$4.0 million per year during the 2025-27 Bond-funded project period, then increasing in 2028 and inflated by 4.0% per year thereafter. Proceeds of 2024 Bonds are expended by the end of FY 2027.

F. KEY FINANCIAL RATIOS

Table 9 shows a summary of key financial ratios for EOG. Debt coverage is projected to exceed 2.0x maximum annual debt service (MADS). EOG's unrestricted and board designated reserves are expected to exceed 290 days cash on hand (DCOH).

TABLE 9
ESKATON OBLIGATED GROUP
DEBT COVERAGE AND OTHER KEY RATIOS
(\$000s)

Fiscal Year Ending 12/31	2023	2024	2025	2026	2027	2028	2029
<u>CASH AVAILABLE FOR DEBT SERVICE</u>							
Net Income	\$7,233	\$5,110	\$3,790	\$4,180	\$4,807	\$5,474	\$6,047
Unrealized Losses (Gains)/Other	(6,869)	(2,068)	(1,177)	(1,264)	(1,364)	(1,479)	(1,548)
Depreciation and Amortization	5,912	6,420	6,825	7,207	7,403	7,612	7,853
Amortized Membership Fees	(1,629)	(1,694)	(1,762)	(1,832)	(1,906)	(1,982)	(2,061)
Membership Fee Receipts	2,272	2,100	1,911	1,988	2,067	2,150	2,236
Interest	4,301	4,154	4,066	3,943	3,814	3,679	3,536
Income Available for Debt Service	\$11,220	\$14,022	\$13,653	\$14,221	\$14,821	\$15,454	\$16,063
<u>DEBT SERVICE</u>							
Net Interest - All Debt	\$4,301	\$4,154	\$4,066	\$3,943	\$3,814	\$3,679	\$3,536
Principal - Long-term Debt	3,255	1,205	2,460	2,585	2,710	2,845	2,990
Annual Debt Service	\$7,556	\$5,359	\$6,526	\$6,528	\$6,524	\$6,524	\$6,526
MADS	\$8,872	\$6,529	\$6,529	\$6,529	\$6,529	\$6,529	\$6,529
Unrestricted Reserves	\$68,938	\$58,858	\$63,200	\$68,211	\$73,928	\$77,395	\$81,260
Operating Expenses	\$76,396	\$75,222	\$77,977	\$80,810	\$83,756	\$86,819	\$90,001
Long-Term Debt	\$76,637	\$86,659	\$84,074	\$81,364	\$78,519	\$75,529	\$72,389
<u>KEY RATIOS</u>							
Debt Coverage - MADS	1.26	2.15	2.09	2.18	2.27	2.37	2.46
Days Cash on Hand	329	286	296	308	322	325	330
Cash to Long-term Debt	90.0%	67.9%	75.2%	83.8%	94.2%	102.5%	112.3%

G. SENSITIVITY FORECASTS

The base case ratio forecasts are shown in **Section A**. The following are MADS debt coverage and DCOH calculations under two alternative scenarios (**Table 10**).

Scenario 1 – Combined occupancy for each community is reduced from current levels (94.1% or 765 units for all communities) by 5.0% to (89.1% or 724 combined units) without any offsetting reduction in operating expenses for FY 2025-FY 2029.

Scenario 2 - Staffing and other operating expenses are increased each year by 5.0% per year without any offsetting increase in the 4.0% annual rate increase assumed in the forecasts.

TABLE 10
ESKATON OBLIGATED GROUP
SENSITIVITY ANALYSIS
(\$000s)

Fiscal Year Ending 12/31	2025	2026	2027	2028	2029
<u>Base Case</u>					
Debt Coverage Ratio- MADS	2.09	2.18	2.27	2.37	2.46
Days Cash on Hand	296	308	322	325	330
<u>Sensitivity 1 - Occupancy</u>					
Debt Coverage Ratio- MADS	1.36	1.40	1.45	1.50	1.54
Days Cash on Hand	274	263	255	236	218
<u>Sensitivity 2 - High Expense Inflation</u>					
Debt Coverage Ratio- MADS	1.98	1.95	1.91	1.85	1.79
Days Cash on Hand	290	292	293	282	268

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